New Issue/Book-Entry-Only

Ratings: S&P: AAA
Moody's: Aa1
Fitch: AAA
(See "RATINGS" herein)

CITY OF GREENSBORO, NORTH CAROLINA
$64,700,000 Combined Enterprise System Revenue Bonds, Series 2017A
$25,990,000 Combined Enterprise System Revenue Refunding Bonds, Series 2017B (Green Bonds)

Dated: Date of Delivery **Due: As shown on the inside cover**

This Official Statement has been prepared by the North Carolina Local Government Commission and the City of Greensboro, North Carolina (the "*City*") to provide information in connection with the sale and issuance of the City of Greensboro, North Carolina $64,700,000 Combined Enterprise System Revenue Bonds, Series 2017A (the *"Series 2017A Bonds"*) and the $25,990,000 Combined Enterprise System Revenue Refunding Bonds, Series 2017B (Green Bonds) (the *"Series 2017B Bonds,"* and together with the Series 2017A Bonds, the "*Series 2017 Bonds*") offered hereby. Selected information is presented on this cover page for convenience of the user. To make an informed decision regarding the purchase of the Series 2017 Bonds, prospective investors should read this Official Statement in its entirety.

Security: The Series 2017 Bonds are secured by and payable from the Net Receipts (as defined herein) of the City's Combined Enterprise System (as defined herein), currently composed of the City's water system and sanitary sewer system, and, under certain circumstances, the proceeds of the Series 2017 Bonds, investment earnings and certain other proceeds. **Neither the faith and credit nor the taxing power of the City is pledged for the payment of principal of, premium, if any, or interest on the Series 2017 Bonds, and no registered owner of the Series 2017 Bonds has the right to compel the exercise of the taxing power of the City or the forfeiture of any of its property other than Net Receipts in connection with any default on the Series 2017 Bonds.**

Tax Treatment: In the opinion of Womble Carlyle Sandridge & Rice, LLP, Co-Bond Counsel, based on existing law and assuming continuing compliance by the City with certain covenants to comply with the provisions of the Internal Revenue Code of 1986, as amended (the "*Code*"), interest on the Series 2017 Bonds will not be includable in the gross income of the owners thereof for purposes of federal income taxation and will not be a specific preference item for purposes of the alternative minimum tax imposed by the Code on corporations and other taxpayers, including individuals; however, such interest will be includable in determining adjusted current earnings of corporations for purposes of computing the alternative minimum tax imposed by the Code on corporations. Furthermore, in the opinion of Womble Carlyle Sandridge & Rice, LLP, Co-Bond Counsel, based on existing law, interest on the Series 2017 Bonds will be exempt from all State of North Carolina income taxes. See **"TAX TREATMENT"** herein.

Redemption: The Series 2017 Bonds are subject to optional and mandatory sinking fund redemption prior to their stated maturity as described herein.

Purpose: The Series 2017A Bonds are being issued for the purpose of providing funds, together with any other available funds, to (a) redeem in whole an outstanding revenue bond anticipation note of the City as described herein, the proceeds of which have been used to finance a portion of the costs of certain improvements to the City's water and sanitary sewer system, as described under **"THE PLAN OF FINANCE – The 2017 Project"** herein (the "*2017 Project*"), (b) pay the remaining cost of the 2017 Project, and (c) pay certain fees and expenses incurred in connection with the sale and issuance of the Series 2017A Bonds. The Series 2017B Bonds are being issued for the purpose of providing funds, together with any other available funds, to (a) advance refund a portion of the City's Combined Enterprise System Revenue Bonds, Series 2009A (the "*Bonds to be Refunded*"), the proceeds of which were used to finance the Green Projects (as defined herein), and (b) pay certain fees and expenses incurred in connection with the sale and issuance of the Series 2017B Bonds. The Series 2017B Bonds constitute Green Bonds within the framework of the Green Bond Principles as more particularly described in **"THE PLAN OF FINANCE – Green Projects"** herein.

Maturity Dates and Interest Rates: The Series 2017 Bonds will mature on the dates and in the amounts, and bear interest at the rates, as set forth on the inside cover.

Interest Payment Date: Interest on the Series 2017 Bonds is payable on each June 1 and December 1, commencing December 1, 2017.

Denominations: Individual purchases of the Series 2017 Bonds by the beneficial owners will be made in denominations of $5,000 or any whole multiple thereof. The Series 2017 Bonds will be issued as fully registered bonds in book-entry-only form, and when delivered will be registered in the name of Cede & Co., as registered owner and nominee for The Depository Trust Company, New York, New York. See Appendix E hereto.

Expected Closing/Settlement: On or about August 17, 2017.

Trustee/Bond Registrar U.S. Bank National Association.

Co-Bond Counsel: Womble Carlyle Sandridge & Rice, LLP, Raleigh, North Carolina, and McKenzie & Associates, Washington, D.C.

City Attorney: Thomas D. Carruthers, Esq.

Underwriters' Counsel: Parker Poe Adams & Bernstein LLP, Raleigh, North Carolina.

Financial Advisor: DEC Associates, Inc., Charlotte, North Carolina.

BofA Merrill Lynch

Loop Capital Markets **Wells Fargo Securities**

Dated: July 27, 2017

MATURITY SCHEDULE

$34,010,000 Series 2017A Serial Bonds

Due June 1	Principal Amount	Interest Rate	Yield	CUSIP†	Due June 1	Principal Amount	Interest Rate	Yield	CUSIP†
2019	$1,140,000	5.00%	0.90%	395468KD2	2029	$1,860,000	5.00%	2.23%*	395468KP5
2020	1,200,000	5.00	1.01	395468KE0	2030	1,955,000	4.00	2.47*	395468KQ3
2021	1,260,000	5.00	1.12	395468KF7	2031	2,030,000	3.25	2.85*	395468KR1
2022	1,320,000	5.00	1.21	395468KG5	2032	2,095,000	3.50	2.87*	395468KS9
2023	1,390,000	5.00	1.36	395468KH3	2033	2,170,000	4.00	2.80*	395468KT7
2024	1,455,000	5.00	1.51	395468KJ9	2034	2,255,000	4.00	2.86*	395468KU4
2025	1,530,000	5.00	1.69	395468KK6	2035	2,345,000	3.50	3.09*	395468KV2
2026	1,605,000	5.00	1.85	395468KL4	2036	2,430,000	3.50	3.13*	395468KW0
2027	1,685,000	5.00	2.00	395468KM2	2037	2,515,000	3.50	3.15*	395468KX8
2028	1,770,000	5.00	2.13*	395468KN0					

$13,950,000 3.50% 2017A Term Bonds due June 1, 2042 – Yield: 3.32%*, CUSIP†: 395468KY6

$16,740,000 4.00% 2017A Term Bonds due June 1, 2047 – Yield: 3.19%*, CUSIP† : 395468KZ3

* Yield to June 1, 2027 call date at 100%.

† Copyright 2016, American Bankers Association. CUSIP numbers herein are provided by CUSIP Global Services, managed by Standard & Poor's on behalf of the American Bankers Association, and are set forth herein for the convenience of reference only. Neither the City nor the Underwriters take any responsibility for the selection or accuracy of such numbers set forth herein.

$25,990,000 Series 2017B Serial Bonds

Due December 1	Principal Amount	Interest Rate	Yield	CUSIP†	Due December 1	Principal Amount	Interest Rate	Yield	CUSIP†
2019	$1,650,000	5.00%	0.94%	395468LA7	2025	$2,180,000	5.00%	1.76%	395468LG4
2020	1,725,000	4.00	1.05	395468LB5	2026	2,290,000	5.00	1.92	395468LH2
2021	1,800,000	5.00	1.16	395468LC3	2027	2,410,000	5.00	2.04	395468LJ8
2022	1,885,000	4.00	1.27	395468LD1	2028	2,535,000	5.00	2.16**	395468LK5
2023	1,975,000	5.00	1.42	395468LE9	2029	2,665,000	5.00	2.26**	395468LL3
2024	2,075,000	5.00	1.58	395468LF6	2030	2,800,000	5.00	2.32**	395468LM1

** Yield to December 1, 2027 call date at 100%.

† Copyright 2016, American Bankers Association. CUSIP numbers herein are provided by CUSIP Global Services, managed by Standard & Poor's on behalf of the American Bankers Association, and are set forth herein for the convenience of reference only. Neither the City nor the Underwriters take any responsibility for the selection or accuracy of such numbers set forth herein.

No dealer, broker, salesman or other person has been authorized to give any information or to make any representation other than those contained in this Official Statement in connection with the offering described herein, and, if given or made, such other information or representation must not be relied upon as having been authorized. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy any securities other than the Series 2017 Bonds offered hereby, nor shall there be any offer or solicitation of such offer or sale of the Series 2017 Bonds in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale. Neither the delivery of this Official Statement nor the sale of any of the Series 2017 Bonds implies that the information herein is correct as of any date subsequent to the date thereof.

The information contained herein has been obtained from the City and other sources believed to be reliable. The information contained herein is subject to change after the date of this Official Statement, and this Official Statement speaks only as of its date. All descriptions and summaries of documents and statutes hereinafter set forth do not purport to be comprehensive or definitive, and reference is made to each document and statute for complete details of all terms and conditions. All statements herein are qualified in their entirety by reference to each such document and statute.

The Underwriters have provided the following sentence for inclusion in this Official Statement. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their respective responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

Neither the Series 2017 Bonds, the Trust Agreement nor the Twenty-First Supplemental Trust Agreement (each as defined herein) have been registered with the Securities and Exchange Commission by reason of the provisions of Section 3(a)(2) of the Securities Act of 1933, as amended, and Section 304(a)(4) of the Trust Indenture Act of 1939, as amended. Any registration or qualification of the Series 2017 Bonds, the Trust Agreement or the Twenty-First Supplemental Trust Agreement in accordance with applicable provisions of securities laws of the states in which the Series 2017 Bonds, the Trust Agreement or the Twenty-First Supplemental Trust Agreement have been registered or qualified, if so required, and the exemption from registration or qualification in other states, shall not be regarded as a recommendation thereof.

In making an investment decision, potential investors must rely on their own examination of the terms of the offering, including the merits and risks involved. The Series 2017 Bonds have not been recommended by any federal or state securities commission or regulatory authority. Furthermore, the foregoing authorities have not confirmed the accuracy or determined the adequacy of this Official Statement.

Certain statements included or incorporated by reference in this Official Statement constitute forward-looking statements. Such statements are generally identifiable by the terminology used such as “plan,” “expectations,” “estimate,” “project,” “budget” or other similar words. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. No assurance is given that actual results will meet the expectations of the City in any way, regardless of the level of optimism communicated in the information. The City is not obligated to issue, nor does it plan to issue any updates or revisions to the forward-looking statements.

References to web site addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely for the reader’s convenience. Unless specified otherwise, such web sites and the information or links contained therein are not incorporated into, and are not part of, this Official Statement.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITERS MAY OVERALLOT OR EFFECT TRANSACTIONS THAT STABILIZE OR MAINTAIN THE MARKET PRICE OF THE SERIES 2017 BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

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State of North Carolina
Department of State Treasurer

DALE FOLWELL
Treasurer

State and Local Government Finance Division
and the Local Government Commission

GREG C. GASKINS
Deputy Treasurer

CITY OF GREENSBORO, NORTH CAROLINA
$64,700,000 Combined Enterprise System Revenue Bonds, Series 2017A
$25,990,000 Combined Enterprise System Revenue Refunding Bonds, Series 2017B (Green Bonds)

INTRODUCTION

The purpose of this Official Statement, which includes the appendices, is to provide certain information in connection with the issuance by the City of Greensboro, North Carolina (the "*City*") of $64,700,000 Combined Enterprise System Revenue Bonds, Series 2017A (the "*Series 2017A Bonds*") and $25,990,000 Combined Enterprise System Revenue Refunding Bonds, Series 2017B (the "*Series 2017B Bonds*," and together with the Series 2017A Bonds, the "*Series 2017 Bonds*"). The Series 2017 Bonds are being issued pursuant to a Trust Agreement, dated as of June 1, 1995 (the "*Original Trust Agreement*"), between the City and Branch Banking and Trust Company (succeeded by U.S. Bank National Association), as trustee (the "*Trustee*"), as amended by a First Amendatory Trust Agreement, dated as of May 1, 2001 (the "*First Amendatory Trust Agreement*"), and a Second Amendatory Trust Agreement, dated as of July 1, 2003 (the "*Second Amendatory Trust Agreement*" and, together with the Original Trust Agreement and the First Amendatory Trust Agreement, the "*Trust Agreement*"), each between the City and the Trustee, and the Twenty-First Supplemental Trust Agreement, dated as of August 1, 2017 (the "*Twenty-First Supplemental Trust Agreement*"), between the City and the Trustee.

For the definition of certain terms used herein and a summary of certain provisions of the Trust Agreement and the Twenty-First Supplemental Trust Agreement, see Appendix D hereto. Capitalized terms used herein and not otherwise defined have the meanings given such terms in the Trust Agreement and the Twenty-First Supplemental Trust Agreement unless otherwise indicated.

This introduction provides certain limited information to serve as a guide to the Official Statement and is expressly qualified by the Official Statement as a whole. Investors should make a full review of the entire Official Statement and the documents summarized or described herein.

Authorization. The Series 2017 Bonds are being issued pursuant to The State and Local Government Revenue Bond Act, Article 5 of Chapter 159, as amended, of the General Statutes of North Carolina (the "*Act*") and an order adopted by the City Council of the City on June 20, 2017.

Security and Parity Debt. The Series 2017 Bonds will be special obligations of the City, secured by and payable from the Net Receipts (hereinafter defined) of the City's water system and sanitary sewer system (the "*Combined Enterprise System*") and, under certain circumstances, the proceeds of the Series 2017 Bonds, investment earnings and certain other proceeds. The Series 2017 Bonds will be additionally secured by certain funds, accounts and subaccounts held by the Trustee under the Trust Agreement and the Twenty-First Supplemental Trust Agreement. See **"SECURITY AND SOURCES OF PAYMENT FOR THE SERIES 2017 BONDS".**

The Trust Agreement provides that the Series 2017 Bonds will be secured by a pledge, charge and lien upon the Net Receipts on a parity with any outstanding Parity Indebtedness (hereinafter defined) of the City secured by the Trust Agreement. The City currently has six series of bond issues outstanding under the Trust Agreement in the aggregate principal amount of $210,990,000 that constitute Parity

Indebtedness. See **"SECURITY AND SOURCES OF PAYMENT FOR THE SERIES 2017 BONDS – Parity and Subordinated Indebtedness"** herein.

Purpose. The Series 2017A Bonds are being issued for the purpose of providing funds, together with other available funds, to (a) redeem in whole the City's Combined Enterprise System Revenue Bond Anticipation Note, Series 2016 (the "*Bond Anticipation Note*"), the proceeds of which have been used to finance a portion of the cost of improvements to the City's water and sanitary sewer system (the *"2017 Project"*), (b) finance the remaining cost of the 2017 Project and (c) pay certain fees and expenses incurred in connection with the sale and issuance of the Series 2017A Bonds. The Series 2017B Bonds are being issued for the purpose of providing funds, together with other available funds, to (a) redeem a portion of the City's Combined Enterprise System Revenue Bonds, Series 2009A (the "*Bonds to be Refunded*"), the proceeds of which financed the Green Projects (as defined herein) and (b) pay certain fees and expenses incurred in connection with the sale and issuance of the Series 2017B Bonds. See **"THE PLAN OF FINANCE"** and **"ESTIMATED SOURCES AND USES OF FUNDS"** herein.

Details of Bonds. The Series 2017 Bonds will be dated the date of delivery thereof. Interest on the Series 2017 Bonds will be payable on June 1 and December 1, beginning December 1, 2017, at the rates shown on the inside front cover. Principal of the Series 2017A Bonds will be payable, subject to prior redemption of the Series 2017 Bonds as described herein, on June 1 in the years and amounts shown on the inside front cover. Principal of the Series 2017B Bonds will be payable, subject to prior redemption of the Series 2017B Bonds as described herein, on December 1 in the years and amounts shown on the inside front cover.

The Series 2017 Bonds will be issued as fully registered bonds in book-entry-only form, without physical delivery of bond certificates to the beneficial owners of the Series 2017 Bonds. The Bond Registrar will make payment of principal of and interest on the Series 2017 Bonds to The Depository Trust Company, New York, New York ("*DTC*"), which will in turn remit such payment to its participants for subsequent distribution to the beneficial owners of the Series 2017 Bonds. Individual purchases of the Series 2017 Bonds by the beneficial owners will be made in denominations of $5,000 or whole multiples thereof. See Appendix G hereto for more information regarding DTC and the book-entry-only system.

City and Combined Enterprise System. See Appendix A hereto for certain information regarding the City's water system and sanitary sewer system and Appendix B hereto for certain information regarding the City.

Tax Status. See **"TAX TREATMENT"** herein.

Professionals. Merrill Lynch, Pierce, Fenner & Smith Incorporated, Charlotte, North Carolina, Loop Capital Markets LLC, New York, New York and Wells Fargo Bank, National Association (collectively, the "*Underwriters*"), are underwriting the Series 2017 Bonds. Womble Carlyle Sandridge & Rice, LLP, Raleigh, North Carolina, and McKenzie & Associates, Washington, D.C., are serving as Co-Bond Counsel. Parker Poe Adams & Bernstein LLP, Raleigh, North Carolina, is serving as counsel to the Underwriters. Thomas D. Carruthers, Esq., Greensboro, North Carolina, is the City Attorney. U.S. Bank National Association, Raleigh, North Carolina, is serving as the Trustee, Bond Registrar and Escrow Agent (as hereinafter defined). DEC Associates, Inc., Charlotte, North Carolina, is acting as financial advisor to the City in connection with the sale and issuance of the Series 2017 Bonds.

THE SERIES 2017 BONDS

AUTHORIZATION

The Series 2017 Bonds will be issued pursuant to the Act and an order adopted by the City Council of the City on June 20, 2017. The Series 2017 Bonds will be issued pursuant to the Trust Agreement and the Twenty-First Supplemental Trust Agreement.

The issuance of the Series 2017 Bonds received the required approval of the North Carolina Local Government Commission (the "*LGC*") on July 11, 2017. The LGC is a division of the State Treasurer's office charged with general oversight of local government finance in North Carolina. Its approval is required for all local government bond issues and substantially all other local government financing arrangements in North Carolina. In determining whether to allow bonds to be issued under the Act, the LGC has been given wide statutory discretion to consider the need for and feasibility of the projects to be financed, the local government's capability to repay the amount financed from the pledged revenue sources and the local government's general compliance with State budget and finance laws. Under the Act, the LGC is also responsible, with the issuing unit's approval, for selling bonds issued pursuant to the Act. See Appendix E hereto for additional information on the LGC and its powers and duties.

GENERAL

The Series 2017 Bonds will be dated the date of delivery thereof, will bear interest from their dated date payable on each June 1 and December 1, beginning December 1, 2017, at the rates shown on the inside front cover. The Series 2017A Bonds will mature, subject to prior redemption as described below, on June 1 in the years and amounts shown on the inside front cover. The Series 2017B Bonds will mature, subject to prior redemption as described below, on December 1 in the years and amounts shown on the inside front cover. The Series 2017 Bonds will be issued as fully registered bonds and will be subject to the provisions of the book-entry-only system described below. Individual purchases of the Series 2017 Bonds by the beneficial owners will be made in denominations of $5,000 or whole multiples thereof.

The Series 2017 Bonds will be issued as fully registered bonds in book-entry-only form without physical delivery of bonds to the beneficial owners of the Series 2017 Bonds. The Trustee will make payments of principal of and interest on the Series 2017 Bonds to DTC, which will in turn remit such payments to DTC participants for subsequent distribution to the beneficial owners of the Series 2017 Bonds. See Appendix G hereto for more information regarding DTC and the book-entry-only system for the Series 2017 Bonds.

REDEMPTION PROVISIONS

Optional Redemption. The Series 2017A Bonds maturing on or after June 1, 2028 will be subject to redemption, at the option of the City, either in whole or in part on any date on or after June 1, 2027, at a redemption price equal to 100% of the principal amount of Series 2017 Bonds to be redeemed, plus accrued interest to the redemption date. The Series 2017B Bonds maturing on or after December 1, 2028 will be subject to redemption, at the option of the City, either in whole or in part on any date on or after December 1, 2027, at a redemption price equal to 100% of the principal amount of Series 2017 Bonds to be redeemed, plus accrued interest to the redemption date.

Mandatory Redemption. The Series 2017A Bonds maturing on June 1, 2042 (the "*2042 Term Bond*") are subject to mandatory redemption in part on June 1, 2038, and on each June 1 thereafter, in the principal amounts set forth below from money deposited to the credit of the Series 2017A Subaccount of

the Sinking Fund Account, at a Redemption Price equal to 100% of the principal amount of such 2042 Term Bond to be redeemed, plus accrued interest to the redemption date:

YEAR	AMOUNT
2038	$2,600,000
2039	2,695,000
2040	2,785,000
2041	2,885,000
2042*	2,985,000

*Maturity

The Series 2017A Bonds maturing on June 1, 2047 (the *"2047 Term Bond,"* and together with the 2042 Term Bond, the *"Series 2017A Term Bonds"*) are subject to mandatory redemption in part on June 1, 2043, and on each June 1 thereafter, in the principal amounts set forth below from money deposited to the credit of the Series 2017A Subaccount of the Sinking Fund Account, at a Redemption Price equal to 100% of the principal amount of such 2047 Term Bond to be redeemed, plus accrued interest to the redemption date:

YEAR	AMOUNT
2043	$3,090,000
2044	3,215,000
2045	3,345,000
2046	3,475,000
2047*	3,615,000

*Maturity

Redemption Provisions. At least 30 days, but not more than 60 days, prior to the redemption date for Series 2017 Bonds, whether such redemption be in whole or in part, the Bond Registrar will cause a notice of redemption to be mailed first-class, postage prepaid, to all Owners of Series 2017 Bonds to be redeemed in whole or in part; provided, however, that notices to DTC will be sent by registered or certified mail or by other electronic means as may be required or authorized by DTC. Failure to mail any such notice to any Owner or any defect in such notice will not affect the validity of any proceedings for such redemption as to any other Owner to whom such notice is properly given. The Bond Registrar will also cause such notice of redemption to be given to the Municipal Securities Rulemaking Board ("*MSRB*") through the Electronic Municipal Market Access ("*EMMA*") system, or any other entity designated or authorized by the MSRB or the Securities and Exchange Commission, in accordance with then current guidelines, but failure to give such notice or any defect therein will not affect the validity of any proceedings for such redemption.

If less than all of the Series 2017 Bonds are called for redemption, other than pursuant to a Sinking Fund Requirement, the Series 2017 Bonds or portions thereof of each maturity to be redeemed will be selected by the City in its discretion. If less than all the Series 2017 Bonds of any one maturity are called for redemption, the Series 2017 Bonds of such maturity to be redeemed will be selected by the Bond Registrar by lot; provided, however that so long as the only Owner of the Series 2017 Bonds is DTC, such selection will be made by DTC in accordance with its operating rules and procedures. The Series 2017 Bonds may be redeemed only in whole multiples of $5,000, and in selecting the Series 2017 Bonds for redemption, each $5,000 portion of principal of the Series 2017 Bonds shall be counted as one Series 2017 Bond for such purpose. If a portion of a Series 2017 Bond is called for redemption, a new

Series 2017 Bond in principal amount equal to the unredeemed portion thereof will be issued to the Owner upon surrender thereof.

Upon giving notice and depositing funds or securities with the Trustee or the Bond Registrar as provided in the Trust Agreement, the Series 2017 Bonds or portions thereof so called for redemption shall become due and payable on the redemption date, and interest on such Series 2017 Bonds or portions thereof shall cease to accrue from and after such date.

Any notice of redemption, except a notice of redemption in respect of a Sinking Fund Requirement, may state that the redemption to be effected is conditioned upon the receipt by the Trustee or Bond Registrar on or prior to the redemption date of moneys sufficient to pay the principal of and premium, if any, and interest on the Series 2017 Bonds to be redeemed and that if such moneys are not so received such notice shall be of no force or effect and such Series 2017 Bonds shall not be required to be redeemed. In the event that such notice contains such a condition and moneys sufficient to pay the principal of and premium, if any, and interest on such Series 2017 Bonds are not received by the Trustee or Bond Registrar on or prior to the redemption date, the redemption will not be made and the Bond Registrar will within a reasonable time thereafter give notice, in the manner in which the notice of redemption was given, that such moneys were not so received.

SECURITY AND SOURCES OF PAYMENT FOR THE SERIES 2017 BONDS

GENERAL

The Series 2017 Bonds will be special obligations of the City, secured by and payable from the Net Receipts of the Combined Enterprise System and, under certain circumstances, the proceeds of the Series 2017 Bonds, investment earnings and certain net insurance and other proceeds. **Neither the credit nor the taxing power of the City is pledged for the payment of principal of, premium, if any, or interest on the Series 2017 Bonds, and no Owner of the Series 2017 Bonds has the right to compel the exercise of the taxing power by the City or the forfeiture of any of its property other than Net Receipts in connection with any default on the Series 2017 Bonds.**

As of the date of this Official Statement, the Combined Enterprise System is composed of the City's water system and sanitary sewer system. See Appendix A – **"THE COMBINED ENTERPRISE SYSTEM."** The Trust Agreement authorizes the City to add to the Combined Enterprise System other Enterprises, including any existing or future facilities or systems related to such Enterprises, upon compliance with certain terms set forth in the Trust Agreement. The Trust Agreement also authorizes the withdrawal of an Enterprise from the Combined Enterprise System upon compliance with certain provisions set forth in the Trust Agreement. See **"Summary of the Trust Agreement - Addition of Enterprise; Deletion of Enterprise"** in Appendix D hereto. The City may also sell or dispose of and encumber certain components of the Combined Enterprise System upon compliance with the provisions set forth in the Trust Agreement. See **"Summary of the Trust Agreement — Payment of Charges and Covenant Against Encumbrances and - Covenants Against Sale or Disposition"** and the definition of Permitted Encumbrances in Appendix D hereto. The City has no current plans to add or remove an enterprise (or sell, dispose of or encumber any material components of an enterprise) from the Combined Enterprise System.

PLEDGE OF NET RECEIPTS

The Net Receipts of the Combined Enterprise System are pledged to the payment of, and as security for, the Series 2017 Bonds and any other Indebtedness secured by the Trust Agreement. See the table under the heading **"PARITY AND SUBORDINATED INDEBTEDNESS"** below for a list of outstanding Parity Indebtedness. Pursuant to the terms of the Second Amendatory Trust Agreement, to the extent

permitted by statute or judicial decision, Net Receipts may also be pledged to the payment of, and as security for, Derivative Agreement Obligations, subject to the prior lien on the Net Receipts as security for the payment of Parity Indebtedness. Net Receipts for any particular period means the excess, if any, of Gross Receipts after the payment of Current Expenses for such period and also includes all moneys (and any investments purchased therewith) that constituted Gross Receipts at the time of their deposit in the Revenue Account which, if transferred from the Revenue Account as authorized by the Trust Agreement, have not been commingled with any other moneys of the City or encumbered pursuant to The Local Government Budget and Fiscal Control Act (Article 3 of Chapter 159 of the General Statutes of North Carolina); provided, however, that any amounts so transferred cease to retain such character upon the close of the Fiscal Year in which they were received. Gross Receipts generally include substantially all receipts, revenues, income, proceeds and money received in any period by or for the City in respect of the Combined Enterprise System, and all rights to receive the same, whether in the form of accounts receivable, contract rights or other rights, and the proceeds of such rights whether now owned or held or hereafter coming into existence. Current Expenses generally include the City's current expenses for the operation, maintenance and repair of the Combined Enterprise System as determined in accordance with generally accepted accounting principles, except that Current Expenses do not include reserves for extraordinary replacements and repairs, allowances for depreciation or amortization of financing expenses, deposits to any fund, account or subaccount created by the Trust Agreement or any Supplemental Agreement or debt service payments in respect of Parity Debt, Subordinated Indebtedness or System G.O. Indebtedness. See Appendix D hereto for complete definitions of Gross Receipts and Current Expenses.

FUNDS AND ACCOUNTS

Revenue Account. The Revenue Account is administered by the City and is not a Trustee-held fund. The City deposits all Gross Receipts as received in the Revenue Account. However, upon the failure of the City to pay the principal of, premium, if any and interest on any Bond or Parity Debt when the same is due and payable or upon receipt by the Trustee of notice of any acceleration of Bonds or Parity Debt, the Trustee will, and upon the occurrence of any other Event of Default under the Trust Agreement (including any event of default under any Supplemental Agreement and any event of default under a Parity Debt Resolution for which notice thereof is given to the Trustee), the Trustee may (a) require the City to endorse all checks and other negotiable instruments representing Gross Receipts to the order of the Trustee immediately upon receipt thereof and deliver such endorsed instruments daily to the Trustee, (b) notify any or all account debtors of the City to pay any amounts representing Gross Receipts, when due and owing, directly to the Trustee and (c) require the City to deliver to the Trustee all Net Receipts in the possession of the City or any Depositary.

Bond Fund. The Bond Fund is held by the Trustee and is composed of six separate accounts known as the Capitalized Interest Account, the Interest Account, the Principal Account, the Sinking Fund Account, the Redemption Account and the Parity Reserve Account. Each Supplemental Agreement authorizing a Series of Bonds will provide for the creation, to the extent applicable, of separate subaccounts within the Capitalized Interest Account, the Interest Account, the Principal Account, the Sinking Fund Account and the Redemption Account relating to the Series of Bonds authorized by such Supplemental Agreement. Moneys held in such subaccounts are pledged to the payment of the principal of (whether at maturity or pursuant to mandatory sinking fund redemption) and interest on the Series of Bonds for which such subaccounts are established and do not secure other Series of Bonds or other Parity Debt.

Each Parity Resolution providing for the issuance or incurrence of Parity Indebtedness may provide that the Parity Indebtedness authorized thereby will be secured by the Parity Reserve Account. If any Parity Indebtedness is secured by the Parity Reserve Account, the City must fund the Parity Reserve Account in an amount equal to the Parity Reserve Account Requirement at the time of delivery and

payment for such Parity Indebtedness. If the Parity Resolution authorizing Parity Indebtedness does not provide that such Parity Indebtedness will be secured by the Parity Reserve Account, such Parity Indebtedness will have no claim on the Parity Reserve Account.

Moneys on deposit in the Parity Reserve Account (or provided under a Reserve Alternative Instrument) will be used as necessary to pay the principal of and interest on all Parity Indebtedness secured by the Parity Reserve Account to the extent that moneys on deposit for such payment are insufficient therefor. **The Series 2017 Bonds will not be secured by the Parity Reserve Account.**

Special Reserve Account. A Parity Resolution authorizing Parity Indebtedness may also provide for the creation of a Special Reserve Account to be maintained by the Trustee or a Depositary that will secure only the Parity Indebtedness authorized by such Parity Resolution. **The Series 2017 Bonds will not be secured by a Special Reserve Account.**

Construction Fund. A portion of the proceeds of the Series 2017 Bonds will be deposited in the Series 2017 Bond Proceeds Subaccount of the Additional Projects Account of the Construction Fund created by the Twenty-First Supplemental Trust Agreement and held by the Trustee. Amounts deposited in such Subaccount, including investment earnings thereon, will be used to pay the costs of the 2017 Project and the costs incurred in connection with the issuance of the Series 2017 Bonds. Amounts on deposit in such Subaccount are, to the extent permitted by law, subject to a lien and charge in favor of the Owners of the Series 2017 Bonds pending the application of such amounts to pay costs of the 2017 Project and other lawful charges against such Subaccount.

Insurance and Condemnation Award Account. The Insurance and Condemnation Award Account is held by the Trustee. Under certain circumstances described in the Trust Agreement, Net Insurance Proceeds and Net Eminent Domain Proceeds are required to be deposited by the City in the Insurance and Condemnation Award Account. Moneys held in the Insurance and Condemnation Award Account will be disbursed to repair or replace the Combined Enterprise System or to pay or redeem Bonds and Parity Debt in the manner set forth in the Trust Agreement. See "Summary of the Trust Agreement - Insurance and Condemnation Award Account" in Appendix D hereto.

APPLICATION OF GROSS RECEIPTS

The City will pay Current Expenses from Gross Receipts deposited in the Revenue Account, and Current Expenses will be a first charge against the Revenue Account; provided, however, that the City may pay Current Expenses from any other legally available sources. Current Expenses will be paid as they become due and payable in conformity with the City's applicable budgetary and payment procedures. At such time or times as are specifically provided for in any Parity Resolution, Subordinated Indebtedness Resolution or Derivative Agreement, the City will use amounts on deposit in the Revenue Account to make the required deposits under the Trust Agreement, any Supplemental Agreement, any Parity Debt Resolution or any Derivative Agreement as described below.

The Twenty-First Supplemental Trust Agreement provides that, with respect to the Series 2017 Bonds, the City will deposit with the Trustee from moneys held in the Revenue Account the following amounts for application in the following order:

(1) into the Series 2017 Subaccount of the Interest Account, on or before the Business Day immediately preceding each Interest Payment Date, the interest payable on the Series 2017 Bonds, on such Interest Payment Date;

(2) into the Series 2017 Subaccount of the Principal Account, on or before the Business Day immediately preceding each June 1, the principal of all Series 2017A Bonds constituting Series 2017A Serial Bonds coming due on such June 1; and

(3) into the Series 2017 Subaccount of the Principal Account, on or before the Business Day immediately preceding each December 1, the principal of all Series 2017B Bonds constituting Series 2017B Serial Bonds coming due on such December 1; and

(4) into the Series 2017 Subaccount of the Sinking Fund Account, on or before the Business Day immediately preceding each June 1, the amount required to retire the Series 2017A Bonds constituting Series 2017A Term Bonds to be called by mandatory redemption or paid at maturity on such June 1.

Moneys on deposit in the subaccounts mentioned above will be used to pay the scheduled payments of principal of, and interest and the scheduled mandatory sinking fund redemption payments on, the Series 2017 Bonds.

The deposits required by the Twenty-First Supplemental Trust Agreement mentioned above are subject to the provisions of the Trust Agreement governing the withdrawal and transfer of funds from the Revenue Account as described under **"Summary of the Trust Agreement - Use of Money for Debt Service Accounts and Reserve Accounts and Other Purposes"** in Appendix D hereto.

Except during the continuation of an Event of Default, the City may, in its discretion, after making the deposits required by the Trust Agreement, transfer in each month any balance remaining in the Revenue Account, in whole or in part, to any fund or account established by the City that is limited solely to the making of expenditures with respect to the Combined Enterprise System designated by the City, the amounts so transferred to be held separate and apart from money of the City derived from any other source, provided that an Authorized Officer must first certify to the Trustee that the transfer of such amount will not have a materially adverse effect of the City's ability during the following six calendar months to pay the Current Expenses, to make the deposits required under the Trust Agreement and to meet all other financial obligations imposed by the Trust Agreement. Following the close of each Fiscal Year, any moneys so transferred will be unrestricted as to use.

Except during the continuation of an Event of Default, the City, in its discretion, may transfer within 30 days following June 30 of each Fiscal Year any balance remaining in the Revenue Account on such date, in whole or in part, to the City's general fund or any other fund or account designated by the City, provided that an Authorized Officer first certifies to the Trustee that the transfer of such amount will not have a materially adverse effect on the City's ability over the next twelve calendar months to pay the Current Expenses, to make the deposits required under the Trust Agreement and to meet all other financial obligations imposed by the Trust Agreement.

PARITY AND SUBORDINATED INDEBTEDNESS

The City has heretofore issued the following Bonds under the Trust Agreement which are expected to be outstanding in the following amounts after the issuance of the Series 2017 Bonds:

SERIES	ORIGINAL PRINCIPAL AMOUNT	PRINCIPAL AMOUNT OUTSTANDING
Combined Enterprise System Revenue Refunding Bonds, Series 2006 (the "*Series 2006 Bonds*")	$49,480,000	$31,855,000

SERIES	ORIGINAL PRINCIPAL AMOUNT	PRINCIPAL AMOUNT OUTSTANDING
Combined Enterprise System Revenue Bonds, Series 2009A (the "*Series 2009A Bonds*")	$43,180,000	$3,505,000*
Combined Enterprise System Revenue Refunding Bonds, Series 2012A (the "*Series 2012A Bonds*")	$35,185,000	$22,625,000
Combined Enterprise System Revenue Refunding Bonds, Series 2014A (the "*Series 2014A Bonds*")	$70,665,000	$60,665,000
Combined Enterprise System Revenue Refunding Bonds, Series 2015 (the "*Series 2015 Bonds*")	$33,985,000	$33,985,000
Combined Enterprise System Revenue Refunding Bonds, Series 2016 (the "*Series 2016 Bonds*")	$29,310,000	$28,755,000

*The Bonds to be Refunded (hereinafter defined) include the callable maturities of the Series 2009A Bonds.

The outstanding Series 2006 Bonds, Series 2009A Bonds, Series 2012A Bonds, Series 2014A Bonds, Series 2015 Bonds and Series 2016 Bonds will be secured by a pledge, charge and lien upon the Net Receipts on a parity with the Series 2017 Bonds. Under the conditions and limitations set forth in the Trust Agreement and without the approval or consent of the Owners or Holders of Indebtedness, the City may issue or incur additional Parity Indebtedness secured by a pledge, charge and lien upon the Net Receipts on a parity with the outstanding Series 2006 Bonds, Series 2009A Bonds, Series 2012A Bonds, Series 2014A Bonds, Series 2015 Bonds, Series 2016 Bonds and the Series 2017 Bonds. See **"Summary of the Trust Agreement - Limitation on Parity Indebtedness"** in Appendix D hereto

Under the conditions and limitations set forth in the Trust Agreement and without the approval or consent of the Owners or Holders of Parity Indebtedness, the City may issue or incur Senior Subordinated Indebtedness secured by a pledge, charge and lien upon Net Receipts subordinate to the payment of Parity Indebtedness, and the City may incur Derivative Agreement Obligations that, to the extent permitted by statute or judicial decision, may be secured by a pledge, charge and lien upon Net Receipts subordinate to the payment of Parity Indebtedness and Senior Subordinated Indebtedness. The City may also incur Junior Subordinated Indebtedness secured by a pledge, charge and lien upon the Net Receipts subordinate to the payment of Parity Indebtedness, Senior Subordinated Indebtedness and Derivative Agreement Obligations. See **"Summary of the Trust Agreement - Limitation on Subordinated Indebtedness"** in Appendix D hereto.

System G.O. Indebtedness does not constitute Parity Indebtedness or Subordinated Indebtedness, and the Trust Agreement contains no limitations on the incurrence of System G.O. Indebtedness.

As of June 30, 2017, the City maintains no System G.O. Indebtedness, Senior Subordinated Indebtedness, Junior Subordinated Indebtedness or Derivative Agreement Obligations.

In connection with the issuance of the Series 2014A Bonds, the City arranged for a liquidity facility supporting such Series 2014A Bonds (the "*Liquidity Facility*"). Under the terms of the Liquidity Facility, the provider of the Liquidity Facility is required to purchase the Series 2014A Bonds upon optional or mandatory tender thereof under the circumstances described in the Liquidity Facility if remarketing proceeds are not available for such purchase. The Liquidity Facility constitutes a Credit Facility within the meaning of the Trust Agreement and is deemed to be Parity Debt for purposes of the

Trust Agreement. Under certain circumstances, including the failure to pay principal of or interest on the Series 2014A Bonds, the Liquidity Facility may be terminated immediately.

Failure to pay the purchase price of the Series 2014A Bonds when due and payable, either from the proceeds made available under the Liquidity Facility (or any substitute liquidity facility) or otherwise, will constitute an Event of Default under the Trust Agreement. Upon termination of the Liquidity Facility, all amounts owing to the liquidity provider or its assignee thereunder shall immediately become due and payable.

RATE COVENANT

Under the Trust Agreement, the City has covenanted as follows:

(a) to fix and charge rates, fees, rentals and charges for the use of and for the services furnished or to be furnished by the Combined Enterprise System, and from time to time and as often as it shall appear necessary, to revise such rates, fees, rentals and charges as may be necessary or appropriate, in order that for each Fiscal Year, the Income Available for Debt Service for such Fiscal Year will not be less than the greater of (i) 120% of the Long-Term Debt Service Requirement for Parity Indebtedness only for such Fiscal Year and (ii) 100% of the Long-Term Debt Service Requirement for Parity Indebtedness and Subordinated Indebtedness for such Fiscal Year; and

(b) to fix and charge rates, fees, rentals and charges for the use of and for the services furnished or to be furnished by the Combined Enterprise System, and from time to time and as often as it shall appear necessary, to revise such rates, fees, rentals and charges as may be necessary or appropriate, in order that the Gross Receipts will be sufficient in each Fiscal Year to pay the Current Expenses and to make the cash deposits required under the Trust Agreement to pay, among other things, principal of and interest on the Series 2017 Bonds and any other Parity Indebtedness, and the amounts required by the related documentation to make up any deficiencies in the Parity Reserve Account or any Special Reserve Account.

THE PLAN OF FINANCE

THE 2017 PROJECT

The proceeds of the Series 2017A Bonds will be used to finance the cost of the certain improvements to the City's water and sanitary sewer system, defined as the 2017 Project. The 2017 Project includes improvements to the T. Z. Osbourne Water Reclamation Facility, the majority of which are associated with an expansion designed to increase treatment capacity to 56 MGD; water booster station replacement and relocation; pump station improvements; and upgrades to the Mitchell and Townsend water treatment plants. Certain components of the 2017 Project were originally financed with the proceeds of the Bond Anticipation Note, issued in April of 2016 in the principal amount of not to exceed $50,000,000. A portion of the proceeds of the Series 2017A Bonds will be used to redeem in whole the outstanding principal amount of the Bond Anticipation Note on the date of issuance of the Series 2017A Bonds.

THE PLAN OF REFUNDING

A portion of the proceeds of the Series 2017B Bonds will be used to refund the Series 2009A Bonds maturing June 1, 2020 to 2029, inclusive, and 2031 (collectively, the "*Bonds to be Refunded*"). To accomplish the refunding of the Bonds to be Refunded, a portion of the proceeds of the Series 2017B Bonds, together with other available funds of the City, will be transferred to the U.S. Bank, National Association, as escrow agent (the "*Escrow Agent*") pursuant to an Escrow Deposit Agreement dated as of

August 1, 2017 (the "*Escrow Agreement*") between the City and the Escrow Agent, for deposit in an Escrow Fund. The Escrow Agent will use these funds to purchase certain direct obligations of, or obligations the principal of and interest on which are unconditionally guaranteed by, the United States of America (the "*Escrow Securities*"). The Escrow Securities will mature at such times and in such amounts, and will bear interest payable at such times and in such amounts sufficient to provide funds, together with funds deposited with the Escrow Agent and remaining uninvested, to pay when due all principal of and interest on the Bonds to be Refunded to and including their respective dates of payment and redemption. On the execution and delivery of the Escrow Agreement and the deposit of funds with the Escrow Agent as described above, the Bonds to be Refunded will no longer be Outstanding or secured by the Trust Agreement, but will be payable solely from and secured solely by, such Escrow Securities, case and other money on deposit in the Escrow Fund. The City will irrevocably instruct the Escrow Agent to redeem the Bonds to be Refunded on June 1, 2019 at a redemption price equal to 100% of the principal amount of the Bonds to be Refunded, plus accrued interest to the redemption date.

THE GREEN PROJECTS

The Bonds to be Refunded financed certain water and wastewater projects (the "*Green Projects*") that the City has deemed to serve an environmental benefit within the framework of the Green Bond Principles. The Green Bond Principles are a set of voluntary process guidelines developed by a consortium of investment banks, issuers and investors relating to the issuance of obligations that finance or refinance projects that promote environmental sustainability. All of the Bonds to be Refunded originally financed Green Projects. All of the proceeds of the Series 2017B Bonds (other than the portion used to pay costs of issuance) will be used to refinance the Green Projects.

The Green Projects financed by the Bonds to be Refunded all fall under the eligibility category of Sustainable Water Management, specifically Sustainable Infrastructure for Clean and Drinking Water. The Green Projects include:

- Construction of improvements to Lake Townsend Dam and Lake Townsend Water Treatment Plant, including the construction of a new intake structure and pump station to replace the prior structure.

- Phase I of electrical improvements to Lake Townsend Water Treatment Plant. These improvements converted the plant's electrical system to a standard supply voltage system and included general upgrades to the plant's electrical system.

- Repairs of downstream spillways and abutments for Lake Townsend Dam.

- Construction of the Randleman Water Treatment Plant feeder main - approximately nine miles of 30" and 24" water main from the Piedmont Triad Regional Water Authority pump station to the City.

- Clearwell replacement at the Mitchell Water Treatment Plant, including replacement of the aging brick clearwell and inlet valve and associated site and pavement work.

The purpose of designating the Series 2017B Bonds as "Green Bonds" is to allow investors to invest directly in bonds which finance or refinance environmentally-sustainable projects. The proceeds of the Bonds to be Refunded used to finance the Green Projects have been spent and construction of the Green Projects has been completed.

The holders of the Series 2017B Bonds do not assume any specific risk related to any of the Green Projects. The terms "Green Projects" and "Green Bonds" are neither defined in, nor related to the

Trust Agreement or the Twenty-First Supplemental Trust Agreement, and their use in this Official Statement is for identification purposes only and is not intended to provide or imply that any holder of the Series 2017B Bonds is entitled to any additional security other than as provided in the Trust Agreement and the Twenty-First Supplemental Trust Agreement.

ESTIMATED SOURCES AND USES OF FUNDS

The City estimates the sources and uses for the plan of financing to be as follows:

SOURCES:	
Par Amount of Series 2017A Bonds	$64,700,000
Par Amount of Series 2017B Bonds	25,990,000
Original Issue Premium on Series 2017A Bonds	5,803,011
Original Issue Premium on Series 2017B Bonds	5,586,569
City Contribution[1]	297,163
TOTAL	**$102,376,743**
USES:	
Costs of 2017 Project	$26,685,657
Deposit to Escrow Fund	31,673,413
Redemption of Bond Anticipation Note	43,316,551
Costs of Issuance[2]	701,122
TOTAL	**$102,376,743**

[1] Reflects accrued interest on the Bonds to be Refunded, which the City will pay with other available City funds.
[2] Includes underwriters' discount, legal fees, printing costs, rating agency fees, fees and expenses of the Trustee, the Bond Registrar and miscellaneous fees and expenses.

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ANNUAL DEBT SERVICE REQUIREMENTS

The following table sets forth for each Fiscal Year ending June 30, the amounts required for the payment of debt service related to the Series 2006 Bonds, the Series 2009A Bonds, the Series 2012A Bonds, the Series 2014A Bonds, the Series 2015 Bonds, the Series 2016 Bonds and the Series 2017 Bonds. The City currently has no System G.O. Indebtedness or Subordinated Indebtedness outstanding.

Fiscal Year Ending June 30,	Existing Bonds[1][2][3]	Series 2017 Bonds		Total
		Principal	Interest	
2018	$22,466,837	$ --	$3,062,191	$ 25,529,028
2019	22,463,037	1,140,000	3,881,650	27,484,687
2020	19,402,769	2,850,000	3,783,400	26,036,169
2021	19,433,331	2,985,000	3,647,650	26,065,981
2022	20,107,337	3,120,000	3,505,150	26,732,487
2023	16,352,225	3,275,000	3,356,450	22,983,675
2024	16,361,584	3,430,000	3,199,875	22,991,459
2025	14,082,357	3,605,000	3,025,875	20,713,232
2026	14,328,875	3,785,000	2,843,000	20,956,875
2027	11,102,200	3,975,000	2,651,000	17,728,200
2028	11,291,428	4,180,000	2,449,250	17,920,678
2029	8,222,279	4,395,000	2,237,125	14,854,404
2030	8,392,900	4,620,000	2,014,125	15,027,025
2031	5,463,025	4,830,000	1,799,300	12,092,325
2032	8,643,502	2,095,000	1,663,325	12,401,827
2033	5,275,905	2,170,000	1,590,000	9,035,905
2034	5,298,025	2,255,000	1,503,200	9,056,225
2035	1,595,875	2,345,000	1,413,000	5,353,875
2036	1,597,125	2,430,000	1,330,925	5,358,050
2037	1,599,425	2,515,000	1,245,875	5,360,300
2038	1,595,425	2,600,000	1,157,850	5,353,275
2039	1,595,288	2,695,000	1,066,850	5,357,138
2040	1,598,850	2,785,000	972,525	5,356,375
2041	1,595,950	2,885,000	875,050	5,356,000
2042	1,596,750	2,985,000	774,075	5,355,825
2043	1,596,088	3,090,000	669,600	5,355,688
2044	1,598,963	3,215,000	546,000	5,359,963
2045	1,595,213	3,345,000	417,400	5,357,613
2046		3,475,000	283,600	3,758,600
2047		3,615,000	144,600	3,759,600
Total	$246,252,568	$90,690,000	$57,109,916	$394,052,484

(1) Includes principal and interest.
(2) The Series 2014A Bonds are variable rate bonds with an assumed interest rate of 4.50% per annum.
(3) Excludes debt service on the Bonds to be Refunded.
Note: Totals may not foot due to rounding.

HISTORICAL COVERAGE OF DEBT SERVICE

The following table presents actual Revenues, Current Expenses and Income Available for Debt Service (derived by the City from audited financial statements of the City for the Fiscal Year ended June 30, 2016) and shows how many times such Income Available for Debt Service covered the Long-Term Debt Service Requirement for Parity Indebtedness for such Fiscal Year.

	FISCAL YEAR ENDED JUNE 30, 2016
Revenues	$107,510,348
Current Expenses	59,641,631
Income Available for Debt Service	$47,868,717
Historical Debt Service Coverage	
Long-Term Debt Service Requirement for Parity Indebtedness	$19,881,881
Long-Term Debt Service Coverage Ratio for Parity Indebtedness	2.41x

THE COMBINED ENTERPRISE SYSTEM

The Combined Enterprise System is currently composed of the City's water system and sanitary sewer system. See Appendix A for a description of the Combined Enterprise System.

THE CITY

The City was incorporated in 1808, is the county seat of Guilford County and covers an area of approximately 134 square miles. See Appendix B for a description of the City.

CONTINUING DISCLOSURE

In accordance with the requirements of Rule 15c2-12 issued under the Securities Exchange Act of 1934 ("*Rule 15c2-12*") and the Twenty-First Supplemental Trust Agreement, the City will undertake, for the benefit of the beneficial owners of the Series 2017 Bonds, to provide to the Municipal Securities Rulemaking Board ("*MSRB*") through the Electronic Municipal Market Access (EMMA) system:

(a) by not later than seven months from the end of each Fiscal Year of the City, beginning with the Fiscal Year ended June 30, 2017, the audited financial statements of the City for such Fiscal Year, if available, prepared in accordance with Section 159-34 of the General Statutes of North Carolina, as it may be amended from time to time, or any successor statute, or, if such audited financial statements of the City are not available by seven months from the end of such Fiscal Year, unaudited financial statements of the City for such Fiscal Year to be replaced subsequently by audited financial statements of the City to be delivered within fifteen (15) days after such audited financial statements become available for distribution;

(b) by not later than seven months from the end of each Fiscal Year of the City, beginning with the Fiscal Year ended June 30, 2017, the financial and statistical data as of the date not earlier than the end of the preceding Fiscal Year for the type of information included under the following headings in Appendix A to this Official Statement, to the extent such items are not included in the financial statements referred to in (a) above:

(1) **"THE COMBINED ENTERPRISE SYSTEM - The Water System - General** (capacity and consumption figures contained therein), **- Water Rates** (tables contained therein), **- Other Fees and Charges** (tables contained therein and assessment fee), **- Number of Active Customer Accounts** (table contained therein and customer mix) and **- Major Water Customer Accounts** (table contained therein)"; and

(2) **"THE COMBINED ENTERPRISE SYSTEM - The Sanitary Sewer System - General** (capacity and usage figures contained therein), **- Sanitary Sewer Rates** (tables contained therein), **- Other Fees and Charges** (tables contained therein and assessment fee), **- Number of Active Customer Accounts** (table contained therein) and **- Major Sanitary Sewer Customer Accounts** (table contained therein)";

(c) in a timely manner not in excess of ten business days after the occurrence of the event, notice of any of the following events with respect to the Series 2017 Bonds:

(1) principal and interest payment delinquencies;

(2) non-payment related defaults, if material;

(3) unscheduled draws on debt service reserves reflecting financial difficulties;

(4) unscheduled draws on any credit enhancements reflecting financial difficulties;

(5) substitution of any credit or liquidity providers, or their failure to perform;

(6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Series 2017 Bonds or other material events affecting the tax status of the Series 2017 Bonds;

(7) modification to the rights of the beneficial owners of the Series 2017 Bonds, if material;

(8) bond calls, other than mandatory sinking fund redemptions, if material, and tender offers;

(9) defeasances;

(10) release, substitution or sale of any property securing repayment of the Series 2017 Bonds, if material;

(11) rating changes;

(12) bankruptcy, insolvency, receivership or similar event of the City, which event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the City in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets of the business of the City, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court of governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision over substantially all of the assets or business of the City;

(13) the consummation of a merger, consolidation, or acquisition involving the City or the sale of all or substantially all of the assets of the City, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such action, other than pursuant to its terms, if material; and

(14) appointment of a successor Trustee or additional Trustee or the change of name of the Trustee, if material; and

(d) in a timely manner, notice of a failure of the City to provide required annual financial information described in (a) or (b) above on or before the date specified.

At present, Section 159-34 of the General Statutes of North Carolina requires the City's financial statements to be prepared in accordance with generally accepted accounting principles and to be audited in accordance with generally accepted auditing standards.

All information provided to the MSRB as described in this Section shall be provided in an electronic format as prescribed by the MSRB and accompanied by identifying information as prescribed by the MSRB.

The City may discharge the undertaking described above by complying with any other procedures that may be authorized or required by the United States Securities and Exchange Commission.

The Twenty-First Supplemental Trust Agreement will also provide that if the City fails to comply with the undertaking described above, the Trustee or any beneficial owner of the Series 2017 Bonds may take action to protect and enforce the rights of all such beneficial owners with respect to such undertaking, including an action for specific performance; provided, however, that failure to comply with such undertaking shall not be an Event of Default under the Trust Agreement and shall not result in any acceleration of the Series 2017 Bonds. All actions shall be instituted, had and maintained in the manner provided in this paragraph for the benefit of all beneficial owners of the Series 2017 Bonds.

Pursuant to the Twenty-First Supplemental Trust Agreement, the City will reserve the right to modify from time to time the information to be provided to the extent necessary or appropriate in the judgment of the City, provided that:

(a) any such modification may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of the City;

(b) the information to be provided, as modified, would have complied with the requirements of Rule 15c2-12 as of the date of this Official Statement, after taking into account any amendments or interpretations of Rule 15c2-12, as well as any changes in circumstances; and

(c) any such modification does not materially impair the interests of the beneficial owners of the Series 2017 Bonds, as determined either by the Trustee or bond counsel, or by the approving vote of the Owners of a majority in principal amount of the Series 2017 Bonds then Outstanding pursuant to the terms of the Trust Agreement at the time of the amendment.

Any annual financial information containing modified operating data or financial information is required to explain, in narrative form, the reasons for the modification and the impact of the change in the type of operating data or financial information being provided.

The undertakings described above will terminate upon payment, or provision having been made for payment in a manner consistent with Rule 15c2-12, in full of the principal of and interest on all of the Series 2017 Bonds.

To the best knowledge of the City, the City has complied in all material respects with its previous continuing disclosure undertakings pursuant to Rule 15c2-12 during the past five years.

LITIGATION

No litigation is now pending or, to the best of the City's knowledge, threatened against or affecting the City seeking to restrain or enjoin the authorization, execution or delivery of the Series 2017 Bonds, the Twenty-First Supplemental Trust Agreement or contesting the validity or the authority or proceedings for the authorization, execution or delivery of the Series 2017 Bonds, the Trust Agreement, the Twenty-First Supplemental Trust Agreement or the City's creation, organization or corporate existence, or the title of any of the City's present officers to their respective offices, or the City's authority to carry out its obligations thereunder.

The City is party to a number of civil lawsuits and other legal actions. The ultimate outcome of these suits is not expected to have a material adverse impact upon the City's financial position.

LEGAL MATTERS

Legal matters related to the authorization, execution, sale and delivery of the Series 2017 Bonds are subject to the approval of Womble Carlyle Sandridge & Rice, LLP, Raleigh, North Carolina, and McKenzie & Associates, Washington, D.C., Co-Bond Counsel. Certain legal matters will be passed upon for the City by Tom Carruthers, Esq., Greensboro, North Carolina, City Attorney, and for the Underwriters by Parker Poe Adams & Bernstein LLP, Raleigh, North Carolina, counsel to the Underwriters.

Womble Carlyle Sandridge & Rice, LLP serves as Bond Counsel for the City and, from time to time it and Parker Poe Adams & Bernstein LLP, counsel to the Underwriters, have represented the Underwriters as counsel in other financing transactions. Neither the City nor the Underwriters have conditioned the future employment of either of these firms in connection with any proposed financing issues for the City or for the Underwriters on the successful issuance of the Series 2017 Bonds.

TAX TREATMENT

OPINION OF CO-BOND COUNSEL

In the opinion of Womble Carlyle Sandridge & Rice, LLP, Co-Bond Counsel, based on existing law and assuming continuing compliance by the City with certain covenants to comply with the requirements of the Internal Revenue Code of 1986, as amended (the "*Code*"), regarding, among other matters, the use, expenditure and investment of the proceeds of the Series 2017 Bonds, and the timely payment of certain investment earnings to the United States Treasury, interest on the Series 2017 Bonds will not be includable in the gross income of the owners thereof for purposes of federal income taxation. Such Co-Bond Counsel is also of the opinion that interest on the Series 2017 Bonds will not be a specific preference item for purposes of the alternative minimum tax imposed by the Code on corporations and other taxpayers, including individuals; however, such interest will be includable in determining adjusted current earnings of corporations for purposes of computing the alternative minimum tax imposed by the Code on corporations. In addition, in the opinion of such Co-Bond Counsel, based on existing law, interest on the Series 2017 Bonds will be exempt from all State of North Carolina income taxes.

The Code and other laws of taxation, including the laws of taxation of the State of North Carolina, of other states and of local jurisdictions, may contain other provisions that could result in tax consequences, upon which such Co-Bond Counsel expresses no opinion, as a result of ownership or transfer of the Series 2017 Bonds.

ORIGINAL ISSUE PREMIUM

The initial public offering prices of each maturity of the Series 2017 Bonds are greater than the amounts payable at maturity. The difference between (a) the initial offering prices to the public (excluding bond houses, brokers or similar persons or organizations acting in the capacity of underwriters, placement agents, wholesalers or other intermediaries) at which a substantial amount of each maturity of the Series 2017 Bonds is sold and (b) the principal amount payable at maturity of such Series 2017 Bonds constitutes original issue premium. In general, an owner of a Series 2017 Bond must amortize the bond premium over the remaining term of the Series 2017 Bond based on the owner's yield over the remaining term of the Series 2017 Bond, determined based on constant yield principles (in certain cases involving a Series 2017 Bond callable prior to its stated maturity date, the amortization period and yield may be required to be determined on the basis of an earlier call date that results in the lowest yield on such Series 2017 Bond). An owner of a Series 2017 Bond must amortize the bond premium by offsetting the qualified stated interest allocable to each interest accrual period under the owner's regular method of accounting against the bond premium allocable to that period and subtract such bond premium from the owner's basis in such Series 2017 Bond. If the bond premium allocable to an accrual period exceeds the qualified stated interest allocable to that accrual period, the excess is a nondeductible loss. Under certain circumstances, the owner of a Series 2017 Bond may realize a taxable gain upon disposition of the Series 2017 Bond even though it is sold or redeemed for an amount less than or equal to the owner's original acquisition cost.

Owners and prospective purchasers of the Series 2017 Bonds should consult their own tax advisors regarding the treatment of bond premium for federal income tax purposes, including various special rules relating thereto, and state and local tax consequences in connection with the ownership and disposition of the Series 2017 Bonds.

OTHER TAX CONSEQUENCES

Ownership or transfer of, or the accrual or receipt of interest on, the Series 2017 Bonds may result in collateral federal, State of North Carolina, other state or local tax consequences to certain taxpayers, including, without limitation, financial institutions, property and casualty insurance companies, certain foreign corporations doing business in the United States, certain S corporations with excess passive income, individual recipients of Social Security or Railroad Retirement benefits, taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry tax-exempt obligations, taxpayers who may be eligible for the federal earned income tax credit, and taxpayers subject to franchise, estate, inheritance, gift or capital gains taxes. Owners and prospective purchasers of the Series 2017 Bonds should consult their tax advisors as to any such possible tax consequences. Except to the extent covered in its legal opinion, Co-Bond Counsel expresses no opinion regarding any such collateral tax consequences.

No assurance can be given that future legislation, including amendments to the Code or interpretations thereof, if enacted into law, or certain litigation or judicial decisions, if upheld, will not contain provisions or produce results which could, directly or indirectly, reduce the benefit of the excludability of interest on the Series 2017 Bonds from gross income for federal income tax purposes.

The Internal Revenue Service (the "*Service*") has an ongoing program of auditing tax-exempt obligations to determine whether, in the view of the Service, interest on such tax-exempt obligations is

includable in the gross income of the owners thereof for federal income tax purposes. No assurances can be given as to whether or not the Service will commence an audit of the Series 2017 Bonds.

Interest paid on tax-exempt obligations, such as the Series 2017 Bonds, will be subject to information reporting in a manner similar to interest paid on taxable obligations. Although such reporting requirement does not, in and of itself, affect the excludability of interest with respect to the Series 2017 Bonds from gross income for federal income tax purposes, such reporting requirement causes the payment of interest with respect to the Series 2017 Bonds to be subject to backup withholding if such interest is paid to beneficial owners who (a) are not "exempt recipients," and (b) either fail to provide certain identifying information (such as the beneficial owner's taxpayer identification number) in the required manner or have been identified by the Service as having failed to report all interest and dividends required to be shown on their income tax returns. Generally, individuals are not exempt recipients, whereas corporations and certain other entities generally are exempt recipients. Amounts withheld under the backup withholding rules from a payment to a beneficial owner would be allowed as a refund or credit against such beneficial owner's federal income tax liability provided the required information is furnished to the Service.

LEGALITY FOR INVESTMENT

Section 159-140 of the General Statutes of North Carolina provides that the Series 2017 Bonds are securities in which all public officers and public bodies of the State of North Carolina and its political subdivisions and agencies and all insurance companies, trust companies, investment companies, banks, savings banks, building and loan associations, savings and loan associations, credit unions, pension or retirement funds, other financial institutions engaged in business in the State of North Carolina, executors, administrators, trustees and other fiduciaries may properly and legally invest funds, including capital in their control or belonging to them, and the Series 2017 Bonds are securities which may properly and legally be deposited with and received by any State of North Carolina or municipal officer or any agency or political subdivision of the State for any purpose for which the deposit of bonds, notes or obligations of the State is now or may hereafter be authorized by law.

RATINGS

Moody's Investors Service ("*Moody's*"), Global Ratings ("*S&P*"), and Fitch Ratings ("*Fitch*"), have given the Series 2017 Bonds the respective ratings set forth on the front cover hereof. Further explanation of the significance of such ratings may be obtained from Moody's, S&P and Fitch. The City has provided to Moody's, S&P and Fitch certain information that has not been included in this Official Statement. The ratings are not a recommendation to buy, sell or hold the Series 2017 Bonds and should be evaluated independently. There is no assurance that such ratings will not be withdrawn or revised downward by Moody's, S&P or Fitch. Such action may have an adverse effect on the market price of the Series 2017 Bonds. Neither the City nor the Underwriters have undertaken any responsibility after the issuance of the Series 2017 Bonds to assure maintenance of the ratings or to oppose any such revision or withdrawal.

UNDERWRITING

The Underwriters have entered into a Bond Purchase Agreement to purchase (1) all of the Series 2017A Bonds, if any of the Series 2017A Bonds are to be purchased, at a purchase price equal to 100% of the principal amount thereof, plus an original issue premium of $5,803,011.15 and less an underwriters' discount of $276,541.61, and (2) all of the Series 2017B Bonds, if any of the Series 2017B Bonds are to be purchased, at a purchase price equal to 100% of the principal amount thereof, plus an original issue premium of $5,586,569.10 and less an underwriters' discount of $97,580.33. The obligation of the

Underwriters to pay for the Series 2017 Bonds is subject to certain terms and conditions set forth in the Bond Purchase Agreement.

The Underwriters may offer and sell the Series 2017 Bonds to certain dealers (including dealers depositing the Series 2017 Bonds into investment trusts) and others at prices lower than the initial public offering prices stated on the cover page hereof. The public offering prices may be changed from time to time by the Underwriters.

The Underwriters and their respective affiliates are full service financial institutions engaged in various activities, which may include sales and trading, commercial and investment banking, lending, advisory, investment management, investment research, principal investment, hedging, market making, brokerage and other financial and non-financial activities and services. Under certain circumstances, the Underwriters and their respective affiliates may have certain creditor and/or other rights against the State or the City and its affiliates in connection with such activities. In the course of its various business activities, the Underwriters and their respective affiliates, officers, directors and employees may purchase, sell or hold a broad array of investments and actively trade securities, derivatives, loans, commodities, currencies, credit default swaps and other financial instruments for their own account and for the accounts of their customers, and such investment and trading activities may involve or relate to assets, securities and/or instruments of the State or the City (directly, as collateral securing other obligations or otherwise) and/or persons and entities with relationships with the State or the City. The Underwriters and their respective affiliates may also communicate independent investment recommendations, market color or trading ideas and/or publish or express independent research views in respect of such assets, securities or instruments and may at any time hold, or recommend to clients that they should acquire, long and/or short positions in such assets, securities and instruments.

Bank of America, N.A., an affiliate of Merrill Lynch, Pierce, Fenner & Smith Incorporated, an underwriter for the Series 2017 Bonds, is the holder of the Bond Anticipation Note that will be redeemed with proceeds of the Series 2017 Bonds.

Loop Capital Markets LLC ("*Loop Capital Markets*"), one of the Underwriters of the Series 2017 Bonds, has entered into a distribution agreement with UBS Financial Services Inc. ("*UBSFS*") for the retail distribution of certain securities offerings at the original issue prices. Pursuant to the distribution agreement, UBSFS may purchase the Series 2017 Bonds from Loop Capital Markets at the original issue prices less a negotiated portion of the selling concession applicable to any Series 2017 Bonds that the firm sells.

Wells Fargo Securities, one of the Underwriters of the Series 2017 Bonds, is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Bank, National Association which conducts its municipal securities sales, trading and underwriting operations through the Wells Fargo Bank, NA Municipal Products Group, a separately identifiable department of Wells Fargo Bank, National Association, registered with the Securities and Exchange Commission as a municipal securities dealer pursuant to Section 15B(a) of the Securities Exchange Act of 1934. Wells Fargo Bank, National Association, acting through its Municipal Products Group ("*WFBNA*"), as one of the Underwriters, has entered into an agreement (the "*WFA Distribution Agreement*") with its affiliate, Wells Fargo Clearing Services, LLC (which uses the trade name Wells Fargo Advisors) ("*WFA*"), for the distribution of certain municipal securities offerings, including the Series 2017 Bonds. Pursuant to the WFA Distribution Agreement, WFBNA will share a portion of its underwriting compensation with respect to the Series 2017 Bonds with WFA. WFBNA has also entered into an agreement (the "*WFSLLC Distribution Agreement*") with its affiliate Wells Fargo Securities, LLC ("*WFSLLC*"), for the distribution of municipal securities offerings, including the Series 2017 Bonds. Pursuant to the WFSLLC Distribution Agreement, WFBNA pays a

portion of WFSLLC's expenses based on its municipal securities transactions. WFBNA, WFSLLC and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

VERIFICATION AGENT

Bingham Arbitrage Rebate Services, Inc. will deliver to the City and the Underwriters on or before the date of delivery of the Series 2017 Bonds its report indicating that it has examined, in accordance with standards established by the American Institute of Certified Public Accountants, certain information and assertions provided by the Underwriters on behalf of the City. Included in the scope of its examination will be the verification of the mathematical accuracy of (a) the mathematical computations of the adequacy of the cash and the maturing principal of and interest on the Escrow Securities held in the Escrow Fund established under the Escrow Agreement to pay all of the redemption price of and interest on the Bonds to be Refunded, as such interest payments become due and the Bonds to be Refunded are redeemed and (b) the mathematical computations supporting the conclusion of Bond Counsel that the Series 2017 Bonds are not "arbitrage bonds" under the Code and the regulations promulgated thereunder. Bond Counsel will rely on said verification in rendering its opinion as to the excludability of interest on the Series 2017 Bonds from gross income of the owners thereof for federal income tax purposes.

MISCELLANEOUS

Members of the LGC staff have participated in the preparation of this Official Statement and other documents related to the issuance of the Series 2017 Bonds, but the LGC and its staff assume no responsibility for the accuracy or completeness of any representation or statement in this Official Statement other than those made in Appendix E hereto.

The LGC and the City have each duly authorized the execution and delivery of this Official Statement.

NORTH CAROLINA LOCAL GOVERNMENT COMMISSION

By: /s/ Greg C. Gaskins
Secretary

CITY OF GREENSBORO, NORTH CAROLINA

By: /s/ Richard L. Lusk
Finance Director

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APPENDIX A

THE COMBINED ENTERPRISE SYSTEM

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APPENDIX A

THE COMBINED ENTERPRISE SYSTEM

The Combined Enterprise System is currently composed of the City's water system and sanitary sewer system. The Trust Agreement authorizes the City to add other Enterprises, including the facilities or systems of which such Enterprises are a part, to the Combined Enterprise System in the future. Enterprises include any undertaking for any one or more projects, facilities or systems constituting a "revenue bond project" under the Act, including natural gas and electric systems, solid waste facilities, public transportation systems, parking facilities, public auditoriums and convention centers and recreational facilities, and any other facilities or systems in the general nature of a revenue-producing activity as authorized by law and as conclusively determined by the City Council. Reference is made to the complete definition of "revenue bond project" in the Act.

ORGANIZATION AND MANAGEMENT

The water system and sanitary sewer system are owned by the City and operated through its Water Resources Department. The Water Resources Department consists of seven divisions: Water Supply, Water Reclamation, Engineering, Operations, Customer Service, Business, and Stormwater Management. The Water Resources Department has 346 full-time authorized employees, with 53 assigned to the Water Supply division, 54 to the Water Reclamation division, 147 to the Operations division, 13 to the Stormwater division, 21 to the Engineering division, 17 to the Business division, and 41 to the Customer Service division. The remaining three positions include the Director and two Assistant Directors of the Water Resources Department. The managers of the above-mentioned divisions, the Assistant Directors, and the Director perform administrative duties for the entire Water Resources Department. The Stormwater Management division is not part of the Combined Enterprise System as defined in the Trust Agreement.

The Water Resources Department lies under the administrative control of the City Manager, with the Director of the Water Resources Department reporting directly to the Assistant City Manager.

David Parrish is the Assistant City Manager responsible for the Water Resources Department. He is a graduate of the University of North Carolina-Chapel Hill with a Master's Degree in Public Administration and a Bachelor's Degree in Recreation, Parks, and Tourism. Mr. Parrish has been employed by the City since 2013.

The Water Resources Director is Steven D. Drew. He is a graduate of the University of North Carolina at Greensboro with an undergraduate concentration in Public Administration and has completed additional graduate work in the area of Public Affairs. He has been with the City since 1979 and has held his current position since January 2012.

Mike Borchers, P.E., is Assistant Water Resources Director. He has a B.E. degree in Marine Engineering from SUNY Maritime College and a Master's Degree in Environmental Engineering from the University of Tennessee. He entered the profession in 1989 and joined the City in 2005 in the Stormwater Management Division. Mr. Borchers held the position of Engineering Manager from 2009-2015 before being promoted to Deputy Director in February 2015 and Assistant Water Resources Director in July 2016.

Kristine Williams is also Assistant Water Resources Director. She is a graduate of Western Carolina University with a Bachelor's Degree in Natural Resources Management. Ms. Williams has been with the City since 1998 and served as the Water Resources Business Manager before being promoted to her current position in July 2016.

The Water Supply Manager is Dell Harney. He is a graduate of Columbia Basin College and J.M. Perry Technical Institute with undergraduate concentrations in Industrial Electronics and Process Control Technology. He has been with the City since 1997 in the Water Supply division and was promoted to his current position in January 2017.

The Water Reclamation Manager is Elijah Williams, P.E. He is a graduate of North Carolina A&T State University with a Bachelor's Degree in Civil Engineering. Mr. Williams started his position in July 2014 and began with the City in June 2005.

The Operations Manager is Adam Conn. He is a graduate of the University of Pittsburgh with a Bachelor's Degree in Mechanical Engineering Technology. Mr. Conn started his position with the City in November 2014 with 10 years of previous municipal utility operations experience.

The Customer Service Manager is Jeff Kimel. He is a graduate of the University of North Carolina at Chapel Hill with a Bachelor's Degree in Economics and Public Policy Analysis. Mr. Kimel has been with the City since 1993 and has held his current position since 1999.

The Business Manager is Kimberly Sowell. She is a graduate of North Carolina A&T University with a Bachelor's Degree in Accounting and a Master's Degree in Adult Education. Ms. Sowell has been with the City since 2015 as an Organizational Development Specialist and was promoted to her current position in December 2016.

The Engineering Manager is Virginia Spillman, P.E. She has a Civil Engineering Degree from EAFIT University and a Master's Degree in Business Administration from the University of North Carolina at Greensboro. Ms. Spillman has been with the City since 2003 and has held her current position since July 2015.

The Stormwater Manager is David Phlegar. He is a graduate of Western Carolina University with a Bachelor's Degree in Natural Resources Management. Mr. Phlegar began his employment with the City in 1998 and has held his current position since 2009.

The City Council sets rates for all utilities, and no State or other authority has any regulatory control over the City's utility rates. The City conducts an ongoing management review of administrative policies and procedures, business strategies, maintenance of assets and rate structures for the water and sanitary sewer systems, and adjustments are made as necessary.

THE WATER SYSTEM

General. The City first established a public water system in 1901, when the City purchased the then existing system, which was privately owned. The City's water system is the only water system operating within the City limits, and there are no competing water systems within the immediate surroundings of the City.

The City currently draws raw water from three impoundments: Lake Brandt, Lake Townsend and Lake Higgins. These impoundments capture water from approximately 105 square miles of watershed. The usable impounded volume of the lakes is approximately 7.9 billion gallons and provides a safe yield of 35 million gallons per day ("*MGD*").

The water distribution system currently consists of approximately 1,502 miles of water mains and lines providing service to approximately 104,208 billed accounts. The water system also serves the unincorporated areas of Guilford County and provides some wholesale service to the Town of Jamestown. Water is treated in two water treatment plants owned and operated by the City. The Lake Townsend

Water Treatment Plant is a 30 MGD facility located at the site of the Townsend Dam and currently produces about 14.5 MGD of treated water. The Lake Townsend Water Treatment Plant was originally built in 1970 as a 20 MGD plant and was expanded to its current capacity in 1995. The Mitchell Water Treatment Plant is a 24 MGD facility located in the center of the City and currently produces about 7.3 MGD of treated water. The Mitchell Water Treatment Plant was originally built in 1956 as an 8 MGD plant and has had two subsequent expansions to bring it to its current capacity. Finished water storage is provided by 17.5 MG of ground level storage and 12.5 MG of elevated storage.

The average daily water consumption for calendar year 2016 was 33.8 MGD, with a recorded peak daily demand of 43.1 MGD. The City uses interconnections with other cities, a pipeline from the neighboring Haw River Basin as described below and demand management and restrictions to keep ample reserves when drought conditions occur.

The City has entered into arrangements with the City of High Point, the Winston-Salem/Forsyth County Utility Commission ("*WSFCUC*"), the City of Reidsville and the City of Burlington to provide water system interconnections for additional water supply. These interconnections are in place, and the amounts available to the City under these agreements and the respective expiration dates of such agreements are as follows:

PROVIDER	AMOUNT OF WATER	EXPIRATION DATE
High Point	1 MGD	Indefinite[(1)]
WSFCUC	1-3 MGD	Indefinite[(2)]
Reidsville	4 MGD	June 30, 2024
Burlington	5 MGD	July 1, 2018[(3)]

[(1)] Subject to termination by either party on 60 days' notice.
[(2)] Subject to termination by either party on 30 days' notice.
[(3)] The City plans to negotiate a five-year extension on this contract.

These additional water sources are available on an "as needed" basis. The agreement with the City of Reidsville requires the purchase of an average annual daily volume of 1.0 million gallons. The agreement with the City of Burlington requires a minimum purchase of an average daily volume of 1.5 MGD. The City considers the WSFCUC and High Point interconnections to be only for emergency needs.

In response to a drought that occurred in 2001-2002, the City purchased a small dam on the Haw River as a means to augment lake filling during prolonged droughts (the "*Haw River Project*"). This project, consisting of 13 miles of 30-inch pipe and major pump station rehabilitation, allows the City to move up to 13 MGD of water into its lakes when stream flow will allow the transfer. The City does not include this volume in safe yield calculations, but uses the Haw River Project as a way to prevent lake levels from dropping during multi-year droughts. This project is expected to make it highly unlikely that lake levels will fall below 30% (at a 35 MGD safe yield) in the event a drought like that of 2001-2002 occurs, even without the imposition of mandatory restrictions.

The long-term solution to the City's capacity needs is the construction of the Randleman Dam project. The Randleman Dam project consists of a dam and reservoir constructed on the Deep River by the Piedmont Triad Regional Water Authority (the "*Authority*") to provide 48 MGD of raw water capacity for its members. The Authority was formed in 1987, and its members consist of one county and five municipalities, including the City. The City is responsible under an interlocal agreement with the Authority and the Authority's other members to pay for 53.1% of the capital and operational expenditures relating to the Randleman Dam project. The Randleman Dam was completed in January 2003. After remaining road and bridge modifications were completed in early 2006, the lake was allowed to fill and

was full by mid-2007. In 2008, Authority members authorized the construction of a water treatment plant to provide finished water to members, and the plant was completed and put into service in October 2010. The City's allocation from the first phase of this project was 6.3 MGD. In 2016, filter upgrades at the Randleman Dam resulted in an increased allocation of 0.366 MGD with an excess allocation of another 1.1 MGD for the City. Future expansions will be made as Authority members determine the need for additional capacity.

For planning purposes, the City has established an annual average production capacity of its water system (to recognize the safe yield of its lakes) at 46.5 MGD. This includes a finished water production (after production losses) of 31.5 MGD; the average water produced for the City from the Authority, estimated at 6 MGD; the supplemental purchase of water from Reidsville of 4 MGD; and the purchase of water from Burlington of 5 MGD. This amount also excludes water received from the Cities of Winston-Salem or High Point which is a further buffer in the remote case that a drought would stress other supplies. Given nearly constant finished water demand of between 32 and 34 MGD over the last five years, there remains over 12.5 MGD of capacity for system growth. In addition, the Haw River supplement will make the reservoir yield of 31.5 MGD of finished water highly dependable.

The City's water meets all federal guidelines for quality set by the Safe Drinking Water Act. There have been no material violations of these standards.

Water Rates. Water rates increased 3.25% for customers inside the City and 5.5% for customers outside the City effective July 1, 2017. Water rates (based on one hundred cubic feet ("*CCF*") of water used) are set forth below.

Residential Customers

Inside Monthly	First 3 CCF used per month	$2.02/CCF
	4 to 10 CCF used per month	$2.90/CCF
	11 to 20 CCF used per month	$3.66/CCF
	All over 20 CCF used per month	$5.04/CCF
Outside Monthly	First 3 CCF used per month	$5.05/CCF
	4 to 10 CCF used per month	$7.28/CCF
	11 to 20 CCF used per month	$9.06/CCF
	All over 20 CCF used per month	$12.64/CCF

Irrigation Only Meters

Inside Monthly	Per 1 CCF used per month	$5.04/CCF
	Outside Monthly	Per 1 CCF used per month $12.64/CCF

Non-Residential Customers

Inside Monthly	Per 1 CCF used per month	$2.90/CCF
	Outside Monthly	Per 1 CCF used per month $7.28/CCF

A billing and availability charge is also included in each monthly billing based on meter size as follows:

	BILLING AND AVAILABILITY CHARGE	
SIZE OF METER	INSIDE	OUTSIDE
5/8”	$ 3.72	$ 9.36
3/4”	5.99	15.00
1”	18.88	47.47
1¼”	45.00	113.00
1½”	75.00	191.00
2”	126.00	315.00
3”	252.00	630.00
4”	396.00	993.00
6”	758.00	1,890.00
8”	1,218.00	3,040.00

Other Fees and Charges. The City charges a one-time fee for connecting to the water system (based on meter size) to cover the cost of such connection. The City also charges a one-time capacity use fee (based on meter size) for the purpose of paying for the loss of water treatment plant capacity due to the providing of such service. The capacity use fee is charged only to water connections requested for structures built after July 1, 1989. The water connection fee schedule is the same for customers inside and outside the City limits. The capacity use fee for customers outside the City limits is two times that for customers inside the City limits, depending upon the service availability area for the property. The following tables set forth the current water connection fees and capacity use fees:

WATER CONNECTION FEES

METER SIZE	CONNECTION FEE (INCLUDES METER)	SET METER ONLY
5/8”	$ 1,100	$185
3/4”	1,150	200
1”	Actual Cost	235
1½”	Actual Cost	310
2”	Actual Cost	385
3”	Actual Cost	Actual Cost
4”	Actual Cost	Actual Cost
6”	Actual Cost	Actual Cost
8”	Actual Cost	Actual Cost
10”	Actual Cost	Actual Cost

CAPACITY USE FEES

METER SIZE	INSIDE CITY LIMITS	OUTSIDE CITY LIMITS
5/8"	$ 980	$ 1,960
3/4"	1,472	2,944
1"	2,450	4,900
1½"	4,900	9,800
2"	7,844	15,688
3"	15,684	31,368
4"	24,506	49,012
6"	49,012	98,024
8"	78,422	156,844
10"	112,732	225,464

In addition, the City charges a one-time assessment or payment in lieu of assessment for the cost of water lines fronting property where the City has installed water lines. Such assessment or payment is equal to $12.00 per front foot.

In August of 2016, the North Carolina Supreme Court overturned a lower court decision in the matter of *Quality Built Homes, Inc. vs. Town of Carthage* that had upheld the authority of the Town of Carthage to charge and collect impact fees. The Supreme Court reversed the lower court, holding that the imposition of the impact fees was invalid as it exceeded the powers delegated to the Town of Carthage under the public enterprise statute, the source of authority cited by the Town of Carthage. The Supreme Court remanded the case to the North Carolina Court of Appeals to determine, among other things, whether the Town of Carthage is required to refund the impact fees collected.

As described herein and under **"The Sanitary Sewer System – *Other Fees and Charges*"** herein, the City charges certain user fees, connection fees and development fees. In the judgment of the City's legal staff, the decision in the *Quality Built Homes* case will not have an effect on the City's ability to continue to levy and collect these fees as the City does not charge the sort of fees invalidated by the court decision described above.

On June 29, 2017, the North Carolina General Assembly enacted House Bill 436 (*"HB 436"*) relating to the authority of local government units to fix, charge and assess "system development fees" (as defined in HB 436). The Governor signed the bill on July 20, 2017, and HB 436 became Session Law 2017-138 with an effective date of October 1, 2017. HB 436 generally authorizes local government units to fix and charge system development fees solely for the purpose of paying the cost of system improvements and services imposed with respect to new development or to recoup the cost of existing facilities which serve new development. HB 436 requires the use of specific methodologies for calculating the amount of system development fees that can be charged to pay or recover such costs and requires that local government units follow certain procedural processes set forth in HB 436 for implementing such fees (including publication of a written analysis, solicitation of public comments and holding of a public hearing thereon). HB 436 provides that any system development fees currently being lawfully charged by a local government unit and in effect on October 1, 2017 must be conformed to the requirements of HB 436 by no later than July 1, 2018.

The capacity use fees and special assessment fees described herein and under **"The Sanitary Sewer System – *Other Fees and Charges*"** herein constitute system development fees within the meaning of HB 436. Thus, the City will be required to conform such fees to the requirements of HB 436 by July 1, 2018 in order to continue to charge such fees. For the fiscal year ended June 30, 2016, the

water and sewer system capacity use fees and special assessments were $1,722,142 which accounted for approximately 1.60% of the total revenues of the System. For the fiscal year ended June 30, 2017, the water and sewer system capacity use fees and special assessments were $2,601,287 (unaudited) which accounted for approximately 2.28% of total revenues of the System. Since 2008, these revenue sources have averaged $2,338,305, which represents 2.05% of unaudited 2017 total revenues of the System.

HB 436 provides that system development fees shall be accounted for in a separately-maintained capital reserve fund and shall only be applied to pay the costs of capital projects necessitated by new development. However, water and sewer capacity use fees and special assessment fees collected by the City constitute Gross Receipts within the meaning of the Trust Agreement and are required to be deposited in the Revenue Account established by the Trust Agreement and thereafter applied in the manner and priority set forth in the Trust Agreement (see **"SECURITY AND SOURCES OF PAYMENT FOR THE SERIES 2017 BONDS - APPLICATION OF GROSS RECEIPTS"** in the front part of this Official Statement). It is unclear at this time how the City would comply with the requirements of both HB 436 and the Trust Agreement. It should be noted, however, that Section 159-93 of the General Statutes of North Carolina, as amended, generally prohibits the State from limiting or altering the rights vested in any municipality at the time of issuance of revenue bonds to establish, maintain, revise, charge and collect rates, fees, rentals, tolls and other charges where such revenues are required to pay when due the principal of and interest on such bonds or impair, in any way, the rights and remedies of bondholders.

Number of Active Customer Accounts[1]. The following table shows the number of active water customer accounts at the end of each of the last five calendar years:

YEAR	INSIDE CITY LIMITS	OUTSIDE CITY LIMITS	TOTAL	TOTAL PERCENTAGE INCREASE
2012	96,429	5,870	102,299	0.5
2013	96,764	5,977	102,741	0.4
2014	97,079	6,076	103,155	0.4
2015	97,661	6,174	103,835	0.7
2016	97,942	6,266	104,208	0.7

[1] Active customer accounts include only billable customer accounts and include meters in service of vacant property that can be activated.

As of January 1, 2017, the water system's customer account mix was approximately 91.0% residential (including multi-family accounts) and 9.0% commercial and industrial. Approximately 94.0% of the customers were inside the City limits. The City does not provide free water service to any customers. Substantially all developed areas within the City limits have City water service available.

Major Water Customer Accounts. The following table provides information on the top ten customer accounts of the water system (by annual revenues from water charges) for the calendar year of 2016, the water consumption for each such customer account and the percentage of total annual water revenues generated by each such customer account. Certain of the water customers listed in the table have other water customer accounts.

CUSTOMER ACCOUNT	CONSUMPTION (MILLION GALLONS)	ANNUAL WATER REVENUES[2]	PERCENTAGE OF TOTAL ANNUAL WATER REVENUES[3]
Procter & Gamble Inc.	274	$1,025,932	1.6%
University of North Carolina at Greensboro	139	571,586	1.0
North Carolina A&T University	114	511,228	0.9
Elastic Fabrics of America	96	367,606	0.8
Stockhausen/Evonik, Inc.	76	298,057	0.7
ITG Brands (Lorillard Inc.)	62	234,252	0.6
Moses Cone Health System	67	275,426	0.5
Precision Fabrics Group	59	230,961	0.4
Shionogi Qualicaps[1]	22	204,180	0.4
Qorvo (RF Micro Devices)	44	179,997	0.4
TOTAL	953	$3,899,225	7.3%

[1] Outside City limits.
[2] Includes fixed service charges.
[3] Based on total water revenues from January 3, 2016 to January 3, 2017.

THE SANITARY SEWER SYSTEM

General. The City's sanitary sewer system provides wastewater collection, treatment and disposal for approximately 99,676 billed accounts, approximately 94.8% of which are located within the City limits. It is the only sanitary sewer system operating within the City limits, and there are no competing sewer systems within the immediate surrounding area of the City.

The City operates two wastewater treatment plants. The North Buffalo Wastewater Treatment Plant was originally built in 1939 as an 8 MGD activated sludge facility. The capacity of the plant was expanded in 1959 to 18 MGD, but the upgrade and conversion of the plant to a tertiary plant in 1980 resulted in a down rating of the plant to 16 MGD. The North Buffalo Wastewater Treatment Plant is planned for decommission in 2017 with the capacity to be transferred to the T.Z. Osborne Wastewater Treatment Plant.

The T.Z. Osborne Wastewater Treatment Plant began operation in July 1984. It is a single stage activated sludge plant with effluent filtration and chemical phosphorus removal. Sludge handling facilities burn sludge from the T.Z. Osborne and North Buffalo Wastewater Treatment Plants and from the Mitchell Water Treatment Plant. The capacity of the T.Z. Osborne Wastewater Treatment Plant was expanded from 20 MGD to 30 MGD in 2001, and then further expanded to 40 MGD in 2003. A project to expand the capacity from 40 to 56 MGD is to be completed in 2017 in connection with the decommissioning of the North Buffalo Wastewater Treatment Plant.

In the calendar year of 2016, average daily usage of the sanitary sewer system was 32.8 MGD, with a recorded peak usage of 123.9 MGD, the peak being a result of wet weather. The expansion of the T.Z. Osborne Wastewater Treatment Plant to 56 MGD is projected to meet the City's wastewater demand through at least the year 2026. Wastewater is stored during wet weather peaks until treatment capacity is available.

Wastewater collection is accomplished through approximately 1,423 miles of gravity outfalls and mains. The City currently operates 49 lift stations.

The City's Pretreatment Program has 35 significant industrial users ("*SIUs*"). Through pretreatment, companies identified as SIUs reduce, eliminate or alter pollutants in wastewater before they are introduced into the sewer collection system. Federally-mandated pretreatment standards target pollutants that would interfere with the wastewater treatment plant's operation, would not be susceptible to treatment or would adversely affect plant equipment and personnel.

The City has entered into an interlocal agreement with the Town of Jamestown to provide sewage treatment services for certain of the City's sanitary sewer customers. Pursuant to such agreement, the City pays the Town of Jamestown for sewage treatment volumes at Jamestown's current rate of $5.10 per CCF ($6.80, less $1.70 for maintenance). The City has also entered into an interlocal agreement with the City of High Point to provide sewage treatment services for certain of the City's sanitary sewer customers. Pursuant to such agreement, the City pays the City of High Point for sewage treatment volumes at High Point's current rate of $7.35 per CCF ($9.80, less $2.45 for maintenance). The contracts with both the City of High Point and the Town of Jamestown do not have stated expiration dates. However, the contract with the City of High Point can be terminated by either party upon sixty (60) days' notice and the contract with the Town of Jamestown can be terminated upon the mutual consent of both parties.

Sanitary Sewer Rates. Sanitary sewer rates increased 3.25% for customers inside the City and 5.5% for customers outside the City effective July 1, 2017. These rates are based on volume of water usage (except in cases where wastewater flow is separately metered), and rates for customers outside the City limits pay different rates than customers inside the City limits. Commercial and industrial customers pay rates in accordance with the same schedule as residential customers.

Current sanitary sewer rates (based on one hundred CCF of water used or treated if separately metered) are set forth below:

Inside City Limits - Monthly	$3.59/CCF
Outside City Limits - Monthly	$8.90/CCF

A billing and availability charge is also charged with each monthly billing as follows:

	BILLING AND AVAILABILITY CHARGE	
SIZE OF METER	INSIDE CITY LIMITS	OUTSIDE CITY LIMITS
5/8"	$ 3.72	$ 9.36
3/4"	5.99	15.00
1"	18.88	47.47
1¼"	45.00	113.00
1½"	75.00	191.00
2"	126.00	315.00
3"	252.00	630.00
4"	396.00	993.00
6"	758.00	1,890.00
8"	1,218.00	3,040.00

The City adds a surcharge of $0.82 per pound of BOD and $0.76 per pound of suspended solids in excess of 200 parts per million, as monitored by the City's Water Resources Department Industrial Waste Treatment Section, to the affected customer's service charge.

Other Fees and Charges. The City charges a one-time fee for connecting to the sanitary sewer system (based on line size) to cover the cost of such connection. The City also charges a one-time capacity use fee (based on meter size) for the purpose of paying for the loss of wastewater treatment plant capacity due to the providing of such service. The capacity use fee is charged only to sewer connections requested for structures built after July 1, 1989. The sewer connection fee schedule is the same for customers inside and outside the City limits. The capacity use fee for customers outside the City limits is two or three times that for customers inside the City limits, depending upon the service availability area for the property.

The following tables set forth the current sanitary sewer connection fees and capacity use fees:

SEWER CONNECTION FEES

4" line	$ 1,050
6" line	Actual Cost
8" line	Actual Cost

CAPACITY USE FEES

SIZE OF METER	INSIDE CITY LIMITS	OUTSIDE CITY LIMITS
5/8"	$ 990	$ 1,980
3/4"	1,488	2,976
1"	2,480	4,960
1½"	4,960	9,920
2"	7,936	15,872
3"	15,872	31,744
4"	24,800	49,600
6"	49,598	99,196
8"	79,358	158,716
10"	114,080	228,160

In addition, the City charges a one-time assessment or payment in lieu of assessment for the cost of sewer lines fronting property where the City has installed sewer lines. Such assessment or payment is equal to $16.00 per front foot.

Number of Active Customer Accounts[(1)]. The table below shows the number of active sewer customer accounts at the end of each of the last five calendar years:

YEAR	INSIDE CITY LIMITS	OUTSIDE CITY LIMITS	TOTAL	TOTAL PERCENTAGE INCREASE
2012	92,785	4,789	97,574	0.7
2013	93,121	4,836	97,957	0.4
2014	93,555	4,968	98,523	0.6
2015	94,052	5,068	99,120	0.6
2016	94,516	5,160	99,676	0.6

[(1)] Active customer accounts include only billable customer accounts and include meters in service for vacant property that can be activated.

Mandatory connection inside the City limits is required by City ordinance. Substantially all developed areas within the City limits have City sanitary sewer service available.

Major Sanitary Sewer Customer Accounts. The following table provides information on the top ten customer accounts of the sanitary sewer system (by annual revenues from sewer charges) for the calendar year of 2016, the volume treated for each such customer account and the percentage of total annual wastewater revenues generated by each such customer account. Certain sanitary sewer customers listed in the table have other sanitary sewer customer accounts.

CUSTOMER ACCOUNT	VOLUME TREATED (MILLIONS OF GALLONS)	ANNUAL WASTEWATER REVENUES[2]	PERCENTAGE OF TOTAL ANNUAL WASTEWATER REVENUES[3]
Procter & Gamble	241	$1,524,798	2.3%
Cone Mills Corporation	100	457,902	0.9
North Carolina A&T University	111	597,662	0.9
Elastic Fabrics of America[1]	94	439,409	0.9
Stockhausen/Evonik [1]	71	527,232	0.8
University of North Carolina at Greensboro[1]	94	489,108	0.7
Moses Cone Health System [1]	66	325,093	0.6
Qorvo (RF Micro Devices)	67	319,018	0.6
ITG (Lorillard Inc.) [1]	47	217,375	0.6
Precision Fabrics	59	309,481	0.6
TOTAL	950	$5,207,078	8.9%

[1] Sewer charge based on water usage less consumptive use as monitored by sub-meters.
[2] Revenues include fixed service charge and sewer surcharges.
[3] Based on total wastewater revenues from January 3, 2016 to January 3, 2017.

BILLING AND COLLECTION PROCEDURES

The City uses electronic meter reading devices to read its water meters. Utility bills are prepared by the City's Data Processing Department. All customers are billed monthly, with the exception of unmetered accounts who only receive wastewater services, who are billed quarterly.

Monthly accounts are due 17 to 21 days after the billing date. The quarterly bills are due 20 days after the billing date. If the bill goes unpaid, a delinquency notice is mailed, giving the customer 17 to 21 more days to pay. After the due date on the delinquency notice, a $20.00 penalty is added, and two days later service is discontinued. If the bill is still unpaid after one week, an additional $20.00 penalty is added. After the City's Water Resources Department mails the utility bills, the City's Finance Department assumes collection and accounting responsibilities.

Before establishing service, utility customers who are tenants must sign an agreement with the City and provide security by paying a deposit or verifying ownership of property within the City limits. The security deposits are as follows:

Residential - $150
Commercial - Based on consumption and/or meter size with a minimum of $200
Owners and tenants - $15 non-refundable service charge

The City has also adopted an ordinance allowing the City to place a lien on property served by the water or sewer system if any charges relating thereto are not paid within ten days after the same become due. As of July 1, 2010, liens are no longer allowed on rental properties in which the account was in the tenant's name when the account became delinquent.

OPERATING AND CAPITAL BUDGET PROCEDURES

Operating and capital budgets for the water and sewer systems are formulated in the same manner as those of other City departments. The manager of each department prepares an initial budget request. The City Manager reviews and may revise the submitted budget request and incorporates the request into the overall budget submitted to the City Council for its consideration.

The City adopted a policy, effective April 3, 2012, that addresses where it will extend water and sewer services outside the City limits. With limited exception, the City will only provide services outside its boundaries when property owners who apply for services agree to be annexed. Pursuant to this policy, the City sets aside $750,000 per year, primarily to provide for water and sewer extensions. Such policy may be amended by the City Council at any time.

CAPITAL IMPROVEMENT PROGRAM

The City's Water and Sewer Capital Improvement Program (the "*CIP*") is a ten-year plan prepared annually for the scheduling and appropriation of funds for major projects such as the construction, purchase or major renovation of buildings, physical structures and extensions of the water and sewer system. The CIP represents the best judgment of the City Council at the time the CIP is adopted and is subject to alteration prior to completion based on changing needs and constraints. The following table provides summary information on the category of projects and anticipated funding sources included in the City's current CIP for fiscal years 2018 through 2021:

	Fiscal Year Ended June 30,				
Projects	2018	2019	2020	2021	Total
Water Mains	$18,671,569	$17,764,865	$13,999,180	$16,667,203	$ 67,102,817
Water Plants	18,467,567	27,120,214	11,346,849	10,900,000	67,834,630
Sewer Mains and Pump Stations	26,163,979	26,298,000	8,368,000	13,168,000	73,997,979
Wastewater Treatment Plants	23,508,111	20,303,000	20,948,000	-	64,759,111
Total	$86,811,226	$91,486,079	$54,662,029	$40,735,203	$273,694,537
Funding Source					
Bond and BAN Issues	$57,082,678	$58,873,214	$31,594,849	$18,335,854	$165,886,595
Renewal and Replacement Fund	29,728,548	32,612,865	23,067,180	22,399,349	107,807,942
Total	$86,811,226	$91,486,079	$54,662,029	$40,735,203	$273,694,537

RATE INCREASES

The following table provides information on water and sewer rate increases imposed by the City from January 1, 2009 to date:

WATER RATE INCREASES (DECREASES)[1]

EFFECTIVE DATE	INSIDE CITY LIMITS - MONTHLY	OUTSIDE CITY LIMITS - MONTHLY
January 1, 2009	9.7%	(14.6%)[2]
July 1, 2010	6.0	6.0
January 1, 2011	(3.0)	(3.0)
February 1, 2011	(3.0)	(3.0)
July 1, 2012	3.0	7.5
July 1, 2013	3.5	7.5
July 1, 2014	4.0	8.0
July 1, 2015	5.5	8.0
July 1, 2016	4.5	4.5
July 1, 2017	3.25	5.5

[1] These percentage rate increases are based upon typical residential customer rate changes.

[2] Outside Monthly rates decreased due to the conversion of all inside customers to monthly billing and a change to the outside billing and availability fee, which was required by an agreement between the City and Guilford County to be no more than two times the rate charged to customers inside the City limits.

SEWER RATE INCREASES (DECREASES)[1]

EFFECTIVE DATE	INSIDE CITY LIMITS - MONTHLY	OUTSIDE CITY LIMITS - MONTHLY
January 1, 2009	8.5%	(10.2)%
July 1, 2010	6.0	6.0
January 1, 2011	(3.0)	(3.0)
February 1, 2011	(3.0)	(3.0)
July 1, 2012	3.0	7.5
July 1, 2013	3.5	7.5
July 1, 2014	4.0	8.0
July 1, 2015	5.5	8.0
July 1, 2016	4.5	4.5
July 1, 2017	3.25	5.5

[1] These percentage rate increases are based upon typical residential customer rate changes.
[2] Outside City Monthly rates decreased due to the conversion of all inside customers to monthly billing and a change to the outside billing and availability fee, which was required by an agreement between the City and Guilford County to be no more than two times the rate charged to customers inside the City limits.

Over the next five years, the City anticipates water and sewer rates to increase by 3.25% to 5.5% each year effective as of each July 1.

COMPARATIVE BILLS

The following table provides a comparison of the cost of monthly water and wastewater service for a typical residential customer calculated under the existing rates for the City and those of several other municipal utilities in the State as of January 2017. For comparison purposes, monthly bills for all utilities were calculated utilizing a typical average monthly usage amount of 6 CCF for both water and wastewater.

UTILITY PROVIDER	TOTAL MONTHLY BILL
Jacksonville	$84.45
Orange Water and Sewer Authority	77.10
Cary	70.54
Cape Fear Public Utility Authority[1]	68.00
Asheville	65.24
High Point	64.49
Raleigh	62.99
Gastonia	59.13
Greenville	56.65
Durham	54.44
Fayetteville	54.38
Charlotte	54.13
Winston-Salem	43.39
Greensboro	**42.39**
Burlington	39.33

[1] Located in Wilmington, North Carolina.

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RECENT OPERATING RESULTS

Summary Financial Information. Partial year information on the financial performance of the Combined Enterprise System for the eleven-month period ended May 31, 2017, as compared to the same period during fiscal year 2016, is presented below.

	OPERATING FUND[1] ELEVEN-MONTH PERIOD ENDED	
	MAY 31, 2017	**MAY 31, 2016**
Operating Revenues:		
Charges for Current Services	$101,631,560	$ 96,302,765
Other Operating Revenues	1,615,603	1,445,464
Total Operating Revenues	103,247,163	97,748,229
Operating Expenses:		
Personal Services	13,978,144	13,414,750
Fringe Benefits	5,957,736	5,601,498
Maintenance and Operations	32,912,020	32,207,154
Depreciation	20,323,069	19,743,220
Total Operating Expenses	73,170,969	70,966,622
Operating Income (Loss)	30,076,194	26,781,607
Nonoperating Revenues (Expenses):		
Investment Income	454,639	445,029
Miscellaneous Nonoperating Revenues	49,579	128,374
Interest Expense	(4,311,352)	(3,582,671)
Miscellaneous Nonoperating Expenses	(333,543)	(331,622)
Total Nonoperating Revenues (Expenses)	(4,140,677)	(3,340,890)
Income (Loss) Before Transfers	25,935,517	23,440,717
Transfers In		--
Transfers Out	(26,824,106)	(25,409,416)
Change in Net Position	(888,589)	(1,968,699)
Net Position – July 1	351,358,720	373,867,721
Net Position – May, 31	$350,470,131	$371,899,022

[1] Excludes capital reserve, capital project and bond funds.

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APPENDIX B

THE CITY

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APPENDIX B

THE CITY

GENERAL DESCRIPTION

The City was incorporated in 1808, is the county seat of Guilford County (the "*County*") and covers an area of approximately 134 square miles. The City is located approximately midway between Washington, D.C. and Atlanta, Georgia in the central piedmont region of North Carolina. The City has an estimated 2016 population of 282,840 according to the North Carolina Office of State Budget and Management. The estimated current population of the Greensboro-Winston-Salem-High Point combined statistical area ("*CSA*") is 1,642,506 as of July 1, 2015, according to the United States Census Bureau. Over one million people live within a 30-mile radius of the City and more than five million people live within a 90-mile radius stretching southwest to Charlotte, through Winston-Salem to the west, and to Durham and Raleigh to the east.

The City has a Council-Manager form of government. The City Council is the legislative body of City government and includes a Mayor and eight Council members who serve two-year terms. The Mayor and three Council members are elected at-large and the remaining five Council members are elected from districts. The Mayor is a voting member and the presiding officer of the City Council and a Mayor Pro Tempore is elected by the City Council from among its members.

The City Manager is appointed by the City Council and administers the daily operations and programs of the City through appointed department heads and staff members. The City provides services to its citizens in the following areas: police, fire, public transit, solid waste collection and disposal, streets, water and sewer service, public improvements, parks and recreation, libraries and general administrative services.

The City Council adopted its first comprehensive plan known as the Connections 2025 Comprehensive Plan (the "*Plan*") in May 2003. The Plan includes a vision statement with four elements: community character, sustainable growth, economic prosperity and people, organizations and government. Plan elements include goals and policies pertaining to land use, community character, housing and neighborhood, economic development, transportation and community facilities/infrastructure. Implementation of the Plan includes a total of 75 actions, including revising development regulations, processes for amending and monitoring the Plan and a number of other studies, new programs and expenditures by the City and other parties. Most of these recommendations have been completed. The City Council has started to update and revitalize the plan with the goal of moving forward with an updated plan in the fall of 2017. Development of a Land Development Ordinance ("*LDO*") was a Plan recommendation to overhaul regulations to address a number of primary goals, including ease of ordinance use, creating more flexible standards and procedures, protecting neighborhoods and the environment, and promoting mixed use and quality infill development. The LDO was adopted in June 2010, and several amendments have been made by the City since 2010.

The City is empowered by statute to extend its corporate limits by annexation, through voluntary petition or City-initiated actions. Factors the City considers when evaluating annexations include the location of new developments, environmental constraints, availability of water and sewer and other City services, transportation accessibility, land use patterns and development regulations and policies.

Minor annexations occur each year through the voluntary petition procedure. The last major City-initiated annexation was in 2008 and included twelve separate areas in various quadrants of the City, containing seven square miles (353 acres) and an estimated population of 10,141. Most of the citizens in the annexed areas were already served by the City's water and sanitary sewer utilities system.

The City is empowered to levy a property tax on the appraised value of all real property and certain categories of tangible personal property located within the City. The County is the only other unit levying such taxes within the City's corporate limits. Taxation for operating purposes may not exceed $1.50 per $100 assessed valuation unless the voters approve a higher rate, except for debt service, deficits and civil disorders for which unlimited taxes may be levied. The City also has the authority to levy an ad valorem tax of up to $0.035 per $100 of assessed valuation to improve its public transit system. The City's adopted tax rate for the fiscal year ending June 30, 2018 is $0.6325 per $100 assessed valuation, which includes the public transit ad valorem tax of $0.035 per $100 assessed valuation.

The North Carolina General Statutes require a revaluation of real property at least every eight years. The latest octennial revaluation was performed in 2012 and was effective in the fiscal year ended June 30, 2013. In February 2014, the Board of Commissioners for the County changed its revaluation cycle to once every five years. The latest revaluation is currently underway, effective in the fiscal year ending June 30, 2018.

The United States Department of Commerce, Bureau of the Census, has recorded the population of the City to be as follows:

1990	**2000**	**2010[1]**
183,894	223,891	269,666

[1] In the 2010 Census, the City ranked 69th nationally in population among cities, and the CSA ranked 31st nationally in population among CSAs.

The North Carolina Office of State Budget and Management has estimated the population of the City to be as follows:

2013	**2014**	**2015**
278,560	280,801	282,840

Per capita income figures for the County, the State and the United States are presented in the following table:

YEAR	COUNTY[1]	STATE	UNITED STATES
2011	$37,375	36,474	42,453
2012	39,139	38,596	44,267
2013	38,711	37,798	44,462
2014	40,321	39,365	46,414
2015	41,691	40,759	48,112

Source: United States Department of Commerce, Bureau of Economic Analysis.
[1] Separate data for the City are not available.

COMMERCIAL, INDUSTRIAL AND INSTITUTIONAL PROFILE

The City's diversified economy can be attributed to its blend of service, trade and manufacturing businesses and local government and educational institutions. Many area businesses have experienced continuing growth and development, in part because of the City's location.

A regional master plan is in progress to assess the region's assets and possible future infrastructure improvements such as an intermodal rail hub. The Piedmont Improvement Program is a North Carolina Department of Transportation (NCDOT) initiative to update rail service and facilities on

the state's rail network. These projects are largely funded through federal stimulus money through the American Recovery and Reinvestment Act. The Federal Railroad Administration awarded the state a $546.5 million grant from that program in 2010. A cooperative agreement with the Federal Railroad Administration specifies that $520 million of the money goes directly to the Piedmont Improvement Program. To complete the work, NCDOT is partnering with the North Carolina Railroad Company, the owner of the Raleigh to Charlotte railroad corridor, and Norfolk Southern Railway and CSX Transportation, which are performing the track construction.

In March 2017, *Site Selection* magazine announced that for the sixth consecutive year, the Greensboro Metro Area earned a number one ranking for GDP per-capita growth amount similar-sized cities (US Beureau of Economic Analysis). The region remains sixth in the nation for corporate real estate projects of $1 million or greater announced in the metro area in 2016 (Conway Project Database). Further, according to *Site Selection* magazine, the State won the 2017 Prosperity Cup for the third year in a row, a measure of state economic competitiveness. The State was also ranked number 2 among states for Top Business Climate for the second year in a row, and has held the top rating eleven times in fourteen years. The State ranks fourth nationally in total new and expanded facility announcements for 2016 in *Site Selection's* March 2017 Governor's Cup ranking, with 289 projects. It ranked seventh nationally in the per-capita Governor's Cup tally of projects for the year – unchanged from the previous year.

Several Fortune 500 companies have major operations in the City: AT&T, Citigroup, Lincoln Financial, Procter & Gamble, United Guaranty, UnitedHealthGroup, UPS and VF Corporation. A Comprehensive Regional Plan, Piedmont Together, was completed for the 12-county Triad region in 2013. The Plan assessed regional assets and recommends specific infrastructure improvements, including investments in multi-modal transportation networks, an intermodal logistic hub and other community infrastructure.

Local industry is characterized by the production of a wide range of products, including aircraft, machinery, electronic equipment, textiles, apparel and tobacco, as well as expansion in the aircraft maintenance, transportation and financial services industries. The principal offices of manufacturing companies such as Procter & Gamble and Volvo Trucks North American Corporation/Mack Trucks, Inc. are located in the City and surrounding areas. Major plants of ITG Brands (Lorillard Tobacco Company), VF Corporation, Unfi, Inc. are also located in the area.

The Greensboro region is well-suited for sizable computing centers due to the significant electric power grid developed in previous years to accommodate large textile manufacturing operations, along with existing fiber optic and advanced telecommunications infrastructure. The State is home to large scale data centers for Apple, Google and IBM, among others.

The Piedmont Triad Regional Council (PTRC) plans to take advantage of existing assets, such as fiber optic cable infrastructure previously installed for the City's traffic-light system, to enable the development of high-speed broadband capability in the City and surrounding areas. The Tri-Gig High Speed Broadband Initiative is a cooperative effort between PTRC, the City, the cities of High Point and Burlington, the County, North Carolina A&T State University and the University of North Carolina at Greensboro. The group has partnered with North State Communications for certain pilot projects throughout the area with a long-term vision to develop a gigabit fiber network that fosters innovation, stimulates economic growth, drives job creation, and serves new areas of development in the City and surrounding areas.

Various major industrial and business parks with fully developed infrastructure, covering about 700 acres, are located in the vicinity of the Piedmont Triad International Airport ("*PTIA*"). Existing office and industrial facilities located within 2.5 miles of the airport exit off Interstate Highway 40

include more than three million square feet of office, office/showroom, warehouse/distribution, light industrial and hotel space.

The Urban Loop, a 44-mile state-constructed beltway around the City, is in progress at a cost of $900 million, with over 30 miles of the roadway completed. The southern and portions of the eastern and western loop are currently open. Construction on the last leg of the western portion is split into two phases with the first phase slated to begin later in 2017 and the second phase to be completed in 2018. The northern and eastern Loop are in various stages of construction with a concentration on 15 miles from the western end near the Piedmont Triad International Airport eastward to US 70. Construction of the northern portion and linking I-73 with the Urban Loop began right-of-way acquisition in 2016 and is scheduled to begin construction in 2018. The entire project has been funded by the State.

The following table lists the largest employers in the City and its surrounding area as of July 2016:

COMPANY OR INSTITUTION	PRODUCT OR SERVICE	APPROXIMATE NUMBER OF EMPLOYEES
Guilford County Schools	Public Education	9,228
Moses Cone Health System	Health Care	9,090
City of Greensboro	Government	2,945
Ralph Lauren	Apparel	2,853
University of North Carolina at Greensboro	Education	2,663
U.S. Postal Service	Postal Service	2,300
Guilford County Government	Government	2,283
Volvo Trucks North America	Truck Production	2,200
Unifi, Inc.	Textile Manufacturing	2,021
United Healthcare	Health Care	1,878
HAECO Americas (Timco Aviation)	Aviation Products	1,750
Honda Aircraft Co.	Aviation	1,700
Lincoln Financial Group	Financial Services	1,600
North Carolina A&T University	Education	1,482
Qorvo (RF Micro Devices)	Microchips & Integrated Circuits	1,400
VF Corporation	Apparel	1,370
ITG Brands (Lorillard Inc.)	Tobacco Products	1,120
Time Warner Cable	Service	1,100

Source: 2017 Book of Lists, Triad Business Journal.

Cone Health, the City's largest private employer, received State approval in 2016 for plans to pursue a $134 million project to relocate the standalone Women's Hospital to a 118,000 square foot, 5-story new construction addition on the south side of the existing Moses H. Cone Memorial Hospital. The groundbreaking for this "hospital within a hospital" project should occur in 2017, with the new facility to open in 2020. The capital investment plan also calls for $18.5 million in renovations of operating suites at Wesley Long Hospital, which should be completed in 2018. These projects continue to ensure long–term sustainability and transform health care services for the community and add to the substantial investment Cone Health made in its North Tower project, which opened in June 2013. According to Business North Carolina Magazine, Cone Hospital ranked as the third best hospital in the State in 2016. The ranking identifies organizations that excel in patient satisfaction, safety, and low readmission and mortality rates for common conditions and procedures.

In addition to the largest major employers, approximately one hundred international firms from 22 countries are located in the Triad region of the State. These retail and wholesale companies provide a variety of goods and services in the areas of technology, manufacturing, pharmaceuticals, medical equipment, insurance, food products, chemicals and furniture.

Some more recent significant commercial and industrial development activities in and around the City include:

- In February 2012, development of an American Express data center facility was completed and operational. The City facilitated this development by annexing the 145 acres of property where the data center is located.

- In June 2013 Lenovo completed a new 40,000 square foot plant (in addition to 200,000 square feet of existing space) and created 115 new jobs. Lenovo has had operations in the County since 2008, including a logistics center, customer solutions center and national returns center.

- Honda Aircraft Company has invested $140 million to establish its world headquarters, along with manufacturing, testing, training, maintenance and customer service facilities, comprising over 600,000 square feet on its 133-acre campus located at PTIA. The company currently employs approximately 1,700 people at the campus. In December of 2015, following 12 years of design and testing, the HondaJet HA-420, a lightweight 7-passenger passenger jet, received final FAA type certification - a major milestone that enables the company to enter the jet into commercial service by year-end. The Honda Aircraft Company expects the HondaJet to be a formidable competitor in the light business jet market. The company has targeted sales in North America, Europe, the Middle East and Asia and has reported that annual production may reach 80 to 90 units with expected profitability by 2020. As of January 2017, the company had delivered 24 aircraft with sales and distribution networks set up in multiple countries. The City Council had previously approved an economic incentive grant in the amount of $523,750 ($1,250 per new job) for Honda Aircraft Company. The grant was provided for the purpose of real property improvements, new equipment and creating jobs.

- Since October 2012, Deere-Hitachi Construction Machinery Corporation has been in the process of expanding its neighboring Kernersville location with the goal of adding 340 jobs by the end of 2017 and investing more than $97 million in a new facility. As of November, 2015 a new 300,000 square-foot assembly plant has been built and the company is in the process of hiring new employees. Deere-Hitachi manufactures and distributes excavation equipment for the mining and construction industry. Coupled with nearby Caterpillar, Inc. in Forsyth County, expansion in heavy equipment manufacturing is noted in the region.

- In fiscal year 2015, North Carolina A&T State University, the University of North Carolina - Greensboro, Guilford Technical Community College and Cone Health created Union Square Campus, Inc., a nonprofit tasked with developing a university campus in the downtown area of the City. The $37 million healthcare-related project, includes a four-story, 85,000 square foot facility that houses bachelor and doctor of nursing programs and a simulated surgical lab. A 7.5 acre site was selected in the City's South Elm Redevelopment area, of which 2 acres was donated by the City for the first phase of the project. Phase I construction of

the facility began in April 2015 and the facility opened on August 5, 2016. City leaders also authorized funding of up to $500,000 in other infrastructure improvements and agreed to fund the costs of construction for parking spaces associated with the facility. It is anticipated that Phase II of the project will focus on promoting global business and other areas of economic development and will include construction of adjoining office and retail space, a conference hotel and apartments. As envisioned, the fully developed project would involve seven educational institutions in the City and would be funded with public, private and state and federal grant contributions. The estimated long-term economic impact of this project is expected to be more than $500 million, according to a recent economic analysis study.

DOWNTOWN; SPORTS AND CULTURAL ACTIVITIES

During the past several years, the City's downtown has experienced considerable growth. Revitalization of downtown has been energized with a variety of activities including new housing development, business location loans, business façade improvement programs, landscaping programs and public safety.

A $20 million minor league baseball stadium with a 7,499 seat capacity opened in 2005 with annual attendance topping 400,000 in each of the past five years. The stadium, First National Bank Field, is the home of the Greensboro Grasshoppers, a Class A affiliate team of the Florida Marlins.

The Greensboro Science Center is the only facility in the State to offer an accredited science museum, zoological park, domed theater/planetarium and aquarium in a single destination. Currently, the Greensboro Science Center is working to complete a $20 million project (approved by voters in 2009) which included a 23,000 square foot building and a 250,000 gallon Aquarium (Carolina SciQuarium), North Carolina's only centrally located "inland" aquarium. The SciQuarium opened in June 2013 and offers a complete immersion experience, with over 300,000 in attendance during the first year of operation. Visitors can engage with animal keepers and educators to learn about the different species of animals and fish. In addition, behind-the-scenes tours and educational SciPods focus on the science of animal care. Facilities also include an art gallery, classrooms, and renovations to the current museum including "HealthQuest," a human health and biology wing. Newly opened in 2015 is SKYWILD, an aerial attraction of ropes, platforms and zip lines, designed for education, family entertainment, physical fitness, team-building and leadership training. Also opened in 2015 is SciPlayBay, a sea focused adventure for children age seven and under, providing a hands-on interaction and educational experience. The Greensboro Science Center ranked number three in North Carolina as the top field trip attraction receiving students, visitors and educators from throughout the State. In April 2014, the Center earned the Association of Zoos and Aquariums (AZA) accreditation, a high award, that only 223 of the more than 2,000 facilities nationally that exhibit animals receive. On March 15, 2017, a 5,000 square foot addition to the Aquarium opened to showcase more diverse species adding 16 new tanks due to a $1 million private donation received in 2014. Construction of a new dinosaur exhibit is in progress.

The City was selected from among thirty-two applications to host the annual National Folk Festival from 2015 to 2017. The outdoor, three-day event drew approximately 102,000 attendees in September of 2015 and 138,000 in September of 2016. Thirty acts were set up on separate stages at downtown locations in the vicinity of the planned Greensboro Performing Arts Center (GPAC), including the newly opened LeBauer Park. The festival is expected to attract up to 175,000 visitors in 2017 with a measured economic impact of $15 million to $30 million a year. The festival is paid for by sponsorships and fees paid by craft and food vendors.

The Steven Tanger Center for the Performing Arts, a $78.1 million, 3,000 seat arts center located in the City's downtown area is being funded by a public/private partnership with $39.6 million in public funds provided by the City and $38.5 million in private funds. The facility will be a multi-use venue with diverse programming for all ages and is estimated to attract 300,000 patrons annually, extending educational opportunities for families through exposure to high quality performances in a local setting. Donor pledges toward funding of the project have exceeded the original $35 million goal, including a single private pledge of $7.5 million for naming rights for the facility. The estimated completion date for this facility is 2019. The City has financed its share of the project costs using short-term financing arrangements and expects to refinance these arrangements with long-term debt. The City is planning to pay the debt service associated with such financing from a portion of the hotel/motel occupancy tax, facility fees and parking-related revenues.

In the City's downtown area, an approximate $60 million large-scale mixed-use project, currently named Carroll at Bellemeade, is planned for completion in 2017. The development will include 288 upscale apartments and a 110-room, six-story mid-market Hyatt Place Hotel. The hotel will be within walking distance of First National Bank Field and the proposed Steven Tanger Center for the Performing Arts.

North of the City's downtown, a $100 million redevelopment project on the historic 45-acre Revolution Mill campus completed the first phase in early 2017. Notable as the first flannel textile mill in the South and registered on the National Register of Historic Places, the mixed-use site includes 142 apartment units, 240,000 square feet of office space, two restaurants and 40 artist studios. The planning concept was to create a live-work-play community that supports the culture of arts in the City. The large historic restoration project will also connect the campus to the downtown area of the City via the City's Greenways trails.

Several new craft breweries have opened in the City, including Gibb's Hundred Brewing Company, Big Dan's Brew Shed, Preyer Brewing, Pig Pounder and Joymongers. Established craft brewery Natty Greene's is increasing its capacity by 50 percent with plans to create a larger footprint in neighboring states. The company is increasing its brewing capacity to 30,000 barrels annually, setting its sights on the 200,000 barrel mark with the planned investment of $14.25 million for a new production brewery and restaurant at Revolution Mill in the City. World of Beer, a network of taverns known for offering more than 500 bottles of brew from around the world, opened a location in the City in late 2015. The restaurant occupies a 4,800 square-foot space within the 9,000 square-foot expansion of Westover Gallery of Shops. To meet the increased demand for craft beers offered by bars and restaurants, local distributor R.H. Barringer began a planned $5 million dollar expansion of its Greensboro facility to increase its craft cooler space.

In 2005, a Business Improvement District (BID) was established for downtown Greensboro with an additional separate tax rate for properties located within the district boundaries. Currently the tax rate is $0.08 per $100 valuation, down from $0.09 at its inception. The BID generated close to $570,000 in the fiscal year ended June 30, 2016 for downtown improvement projects.

The following table reflects the total taxable sales for the County during the five fiscal years ended June 30, 2012 through 2016 and the ten-month period ended April 30, 2017:

FISCAL YEAR ENDED JUNE 30	TOTAL TAXABLE SALES	INCREASE (DECREASE) OVER PREVIOUS YEAR
2012	$5,639,379,892	-
2013	5,645,035,166	5.2%
2014	5,871,111,589	4.0
2015	6,449,699,410	9.9
2016	6,706,236,444	4.0
2017 (10 mos)	6,120,030,702	

Source: North Carolina Department of Revenue.
Note: The total taxable sales for the same ten-month period during the fiscal year ended June 30, 2016 was $5,556,849,790. The 2017 figure represents a 10.1% increase over the same period in the prior fiscal year.

Construction activity in the City for the five calendar years ended December 31, 2012 through 2016 and the five-month period ended May 31, 2017 is shown in the following table:

	NON-RESIDENTIAL		RESIDENTIAL		
CALENDAR YEAR	NUMBER	VALUE	NUMBER	VALUE	TOTAL VALUE
2012	1,167	$193,117,920	1,993	$103,204,645	$296,322,565
2013	1,386	230,015,880	2,341	160,727,234	390,743,114
2014	1,069	230,707,371	2,750	214,719,158	445,426,529
2015	1,765	315,161,029	2,425	161,316,609	476,477,638
2016	1,812	508,753,949	3,156	287,488,257	796,242,206
2016 (5 mos)	667	$218,098,211	1,142	$110,644,534	$328,742,745
2017 (5 mos)	573	174,396,648	1,382	123,879,122	298,275,770

Source: City Engineering and Inspections Department.

EMPLOYMENT

The Division of Employment Security of the North Carolina Department of Commerce has estimated the percentage of unemployment in the City to be as follows:

	2012	2013	2014	2015	2016	2017		2012	2013	2014	2015	2016
January	8.9%	9.1%	6.5%	5.9%	5.7%	5.7%	July	10.1%	8.3%	7.0%	6.4%	5.8%
February	8.9	8.2	6.4	5.7	5.5	5.2	August	9.3	7.8	6.7	6.1	5.8
March	8.5	7.7	6.3	5.5	5.3	5.0	September	8.3	6.9	5.6	5.3	5.3
April	8.2	7.3	5.5	5.4	5.0	4.6	October	8.2	7.1	5.4	5.4	5.2
May	8.8	7.9	6.4	6.2	5.1	4.7	November	8.1	6.6	5.4	5.4	5.1
June	9.7	8.5	6.5	6.3	5.7	NA	December	8.3	6.2	5.2	5.2	5.1

The following is a comparison of average annual unemployment rates for the City, County, State and United States:

YEAR	CITY	COUNTY	STATE	UNITED STATES
2012	9.1%	9.7%	9.5%	8.1%
2013	8.2	8.7	8.0	7.4
2014	6.5	6.4	6.1	6.2
2015	5.7	5.9	5.8	5.3
2016	5.4	5.2	5.1	4.9

Source: Division of Employment Security of the North Carolina Department of Commerce.

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APPENDIX C

FINANCIAL INFORMATION OF THE CITY

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Management's Discussion and Analysis

The following is Management's Discussion and Analysis of the financial activities of the City, lifted from the Comprehensive Annual Financial Report for the City for the fiscal year ended June 30, 2016. Management's Discussion and Analysis provides an objective and easily readable short and long-term analysis of the City's financial activities based on currently known facts, decisions or conditions. Management's Discussion and Analysis is not a required part of the basic financial statements but is supplementary information required by the Governmental Accounting Standards Board. The independent auditors of the City have applied certain limited procedures, which consist primarily of inquiries of management regarding the methods of measurement and presentation of the required supplementary information. However, they did not audit this information and did not express an opinion on it.

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MANAGEMENT'S DISCUSSION AND ANALYSIS

As management of the City of Greensboro, we offer readers of our financial statements this narrative overview and analysis of the financial activities of the City of Greensboro for the fiscal year ended June 30, 2016. The Management Discussion and Analysis (MD&A) section is designed to assist the reader in focusing on significant financial issues, provide an overview of the City's financial activity, identify changes in the City's financial condition, identify material deviations from the financial budget, and identify individual fund issues or concerns.

Since the MD&A is structured to focus on the current year's activities, resulting changes and currently known facts, we encourage readers to consider the information presented here in conjunction with the transmittal letter, which can be found beginning on page I of this report, and the City's financial statements, which follow this section.

FINANCIAL HIGHLIGHTS

- The assets of the City of Greensboro exceeded its liabilities at the close of the fiscal year by $1.053 billion *(net position)*.

  The City's net position increased by $28.6 million (2.8%) compared to FY 2015, restated. The prior year net position includes a prior period adjustment addition of $408 thousand due to implementation of Governmental Accounting Standards Board (GASB) Statement No. 73, applying new pension standards to assets not under the scope of GASB 68. The governmental net position increased by $2.8 million (0.8%) and the business-type net position increased $25.8 million (3.9%) primarily due to increases in certain general revenues above plan, water rate increases effective July 1, 2015 and certain cost sharing reimbursements from Guilford County for utility projects outside of the City limits, along with other cost containments.

- The governmental activities program revenue was lower than last year's results by approximately $3 million at $58.6 million. Approximately $2.8 million of the difference can be attributed to the elimination of business privilege license fees by the General Assembly. General governmental revenues increased by $4.4 million (1.9%) and include increased property tax receipts, higher local option sales tax receipts and increased collections from state-shared utility sales tax. The property tax rate remained the same as last year at $.6235 per $100 of assessed valuation. Base property values are projected to grow at 1.5% in FY 2017. Sales tax receipts increased 6.1% or approximately $2.7 million due to improved economic conditions in the region. Investment earnings were the equivalent of 1.38 cents on the property tax rate compared to 1.23 cents last year. For budgeting purposes, management projects interest earnings to remain flat for the near-term planning cycle for conservatism. In the City's business-type activities, total revenues decreased by about $500 thousand despite revenue increases of $7.5 million partially generated from rate increases, offset by decreased event revenue in the War Memorial Coliseum Complex operation.

- During the year, the City's governmental expenses at the entity-wide level were $290.6 million, an increase of $19 million or 7% more than last year, primarily due to increased street and sidewalk improvements and additional public safety expenditures. In all, expenses increased $21.6 million or 5.3% citywide with approximately $2.6 million of the increase affecting business-type fund activity, or 1.8%. Increased expenditures in the proprietary funds of $10.3 million, primarily for water and sewer operations, were offset by decreased expenditures of $7.7 million in the War Memorial Coliseum Fund.

- Of the City's various business-type service areas, water and sewer operations and the stormwater management program generated sufficient revenues in their programs to cover expenses. No significant new revenue sources were noted in FY 2016.

- As of the close of the current fiscal year, the City's governmental funds reported combined ending fund balances of $135.1 million, a net increase of approximately $11.1 million in comparison with the prior year, noting $6.4 million was added due to a restatement of prior year fund balance for changes in accounting treatment for the Police Separation Allowance due to implementation of GASB Statement No. 73. Approximately 54.4% of this total amount or $73.5 million is restricted or non-spendable and 45.6% or $61.6 million is Committed, Assigned or Unassigned, including $8.1 million appropriated for next year's budget.

- At the end of the current fiscal year, the total fund balance for the General Fund specifically was $77.2 million. Approximately 36.3% or $28 million of this balance is restricted for accounts receivable and encumbrances and $6.7 million is assigned for appropriation next year. It is also the City's policy to hold aside 9% of the subsequent year's General Fund budget as "unassigned" to remain available for working capital, but it may also be appropriated for emergencies. This amounted to $24.8 million as of June 30, 2016. Amounts remaining that are either non-spendable, committed or assigned for other purposes totaled approximately $17.7 million.

- Charges for services for the City's largest enterprise activity, the Water Resources Fund, comprising water and sewer operations increased $6.8 million or 6.9% in FY 2016. Rate increases of 5.5% for customers inside the city limits and 8.0% for those outside were in effect as of July 1, 2015. The cost of the City's water supply purchased from three neighboring municipalities in the current year was approximately $2.7 million compared to $2.3 million last year, and is budgeted at $3 million in FY 2017 for purchases from Reidsville, Winston-Salem, and Burlington. These interlocal arrangements will continue to be in place to keep the water lines "fresh" and to ensure additional supply in emergency or drought conditions. Current year contributions of $882,023 were made to the Piedmont Triad Regional Water Authority ("PTRWA") for certain ongoing administration and operations associated with the Randleman Dam, which is fully operational. The City initially contributed $33,544,093 in FY 2008 to support PTRWA's Water Treatment Plant project. This project is being funded by a group of local government units and will supplement Greensboro's water supply needs for the long term. The City's total water rights in the Randleman Dam project, recorded as an Intangible Asset, are approximately $77.9 million, net of $10.3 million in amortization, as of June 30, 2016. Amortization of the water rights is calculated over a 50 year period. The City began receiving water from the PTRWA in October 2010, culminating a 20-year project that will ensure the City's long-term water supply. Water purchases totaling $2.4 million were paid to the PTRWA in Fiscal Year 2016 and are budgeted at $2.3 million in FY 2017. Revenue Bond debt service coverage was 2.41 times, exceeding the targeted goal of 2.0 times coverage.

- Certain deficit fund balances were reported in the State Highway Allocation Fund ($51,933), Workforce Investment Act ($5,581), State and Federal Grants (ARRA) Fund ($30,303), Street and Sidewalk Capital Project Fund ($525,517), Parks and Recreation Bond Fund – 2008 (56,082), Street Improvements Bond Fund ($4,163,815), and the Parks and Recreation Bond Fund - 2010 ($36,792), respectively, as of the end of the fiscal year. These deficits will be funded with federal and state grant reimbursements in FY 2017 and future issuance of General Obligation Bonds.

- The General Fund budget for the fiscal year ended June 30, 2016 was adopted with a $.5872 per $100 assessed valuation property tax rate, unchanged from June 30, 2015. Overall, the total FY 2016 general levy tax rate remained the same as the prior year at $.6325 and includes $.0069 for

housing initiatives, $.0050 for economic development purposes and $.0334 for public transit. Two special historic district taxes and a downtown business district tax for certain additional improvements are also taxed as "special district" rates.

- As of June 30, 2016, the City had collected approximately $264.5 million or 101.6% of its amended budgeted General Fund revenues and had incurred $260.6 million or 96.5% of its amended budgeted expenditures. The net effect on General Fund fund balance was an increase of approximately $3.9 million this year.

- The City did not contribute to the OPEB Trust Fund in FY 2016, and the overall OPEB liability increased from $2.8 million to $6.8 million. In FY 2015, the City contributed 81.9% of the actuarial required contribution ("ARC") and targets 100% as a contribution goal each year. In FY 2016, higher than projected employee health-related costs prevented additional advance OPEB payments to be made. The projected accrued OPEB actuarial liability for Greensboro retirees is $90.3 million, with 16.8%, or more than $15 million funded as of June 30, 2016.

- The State of North Carolina's pension system, a multi-employer defined benefit plan in which the City participates, had an overall net pension liability as of June 30, 2016. The City's total prorata share was $12,141,673 as reflected in the Statement of Net Position.

- In FY 2016, the City spent $24.7 million and $9.5 million for federal and state-funded grant programs, respectively, compared to $20.2 million in federal and $8.8 million in state funding last year. Certain ARRA programs are nearing completion.

Key Ratios

	2016	2015	2014	2013	2012
$ Bonded Debt Per Capita	$563	$563	$587	$600	$637
Legal Debt Margin as a % of Debt Limit	83.47%	81.64%	80.83%	80.75%	80.26%
% of Property Tax Levy Collected	99.28%	99.17%	98.55%	97.66%	97.77%
% Increase (Decrease) in Assessed Property Valuation	1.6	(0.6)	3.1	0.8	1.0

- Guilford County property tax revaluation occurs every five years. The most recent revaluation occurred in 2012, effective in FY 2013, noting a gain of approximately 0.8% above FY 2012 values. The next scheduled revaluation is planned for 2017, effective in FY 2018. The assessed property valuation for FY 2017 is expected to be within the normal range of growth and is estimated to increase 1.5%.

- The City's net governmental general obligation bonded debt increased by $1.6 million following the scheduled annual debt service payments and increased borrowing under the General Obligation 2014 Bond Anticipation Note; effectively maintaining the debt per capita at $563. In FY 2016, the City issued $29.3 million of Revenue Bonds, refunding the Combined Enterprise System 2014 Bond Anticipation Note. Interest rates on the City's variable rate debt were 0.43% and 0.42% for

tax-exempt and taxable general obligation bonds, respectively, and 0.42% for tax-exempt revenue bonds at June 30, 2016. It is the City's policy to maintain 25% or less in variable rate general debt outstanding to help partially offset lower interest earnings in recent years.

- The City of Greensboro maintained its AAA general obligation credit rating from Standard and Poor's and Fitch Ratings along with its Aaa rating from Moody's Investors Service.

Standard and Poor's (S&P)				
General Obligation Bonds	Currently	AAA	Target	AAA
Certificates of Participation	Currently	AA+	Target	AA+
Enterprise System Revenue Bonds	Currently	AAA	Target	AAA
Limited Obligation Bonds	Currently	AA+	Target	AA+

Moody's Investors Service (Moody's)				
General Obligation Bonds	Currently	Aaa	Target	Aaa
Certificates of Participation	Currently	Aa2	Target	Aa1
Enterprise System Revenue Bonds	Currently	Aa1	Target	Aaa
Limited Obligation Bonds	Currently	Aa2	Target	Aa1

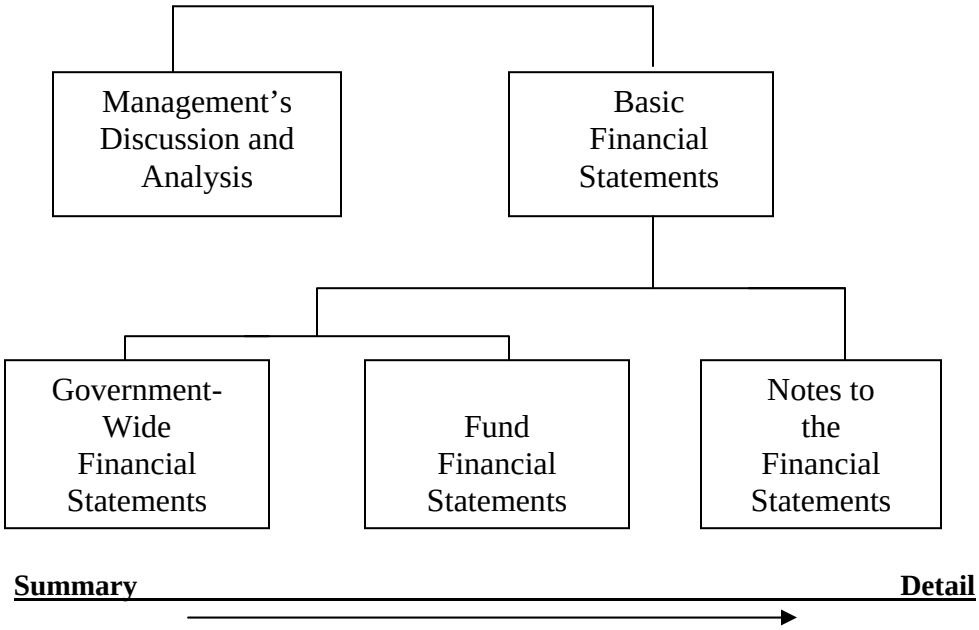
Fitch Ratings (Fitch)				
General Obligation Bonds	Currently	AAA	Target	AAA
Certificates of Participation	Currently	AA+	Target	AA+
Enterprise System Revenue Bonds	Currently	AAA	Target	AAA
Limited Obligation Bonds	Currently	AA+	Target	AA+

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis are intended to serve as an introduction to the City of Greensboro's basic financial statements. The financial statements include two kinds of statements that present different views of the City: 1) Government-Wide Financial Statements and 2) Fund Financial Statements. Both perspectives, however, are essential and complementary components that allow the user to address relevant questions, broaden a basis for comparison, and enhance the City's accountability. Another element of the basic financial statements is the notes to the financial statements. In addition to the basic financial statements, this report contains other supplemental information that will enhance the reader's understanding of the financial condition of the City of Greensboro. (See Figure 1)

Required Components of Annual Financial Report

Figure 1



A. Government-Wide Financial Statements

The government-wide statements report both short-term and long-term information about the financial condition of the City as a whole, focusing on the government's operational accountability. The accounting methods of these statements reflect that of private sector companies in that all governmental and business-type activities are consolidated into columns that add to a total for the primary government. The statement of net position reports the City's net position and includes all, both current and non-current, assets and liabilities of the government. The difference between the two is reported as net position. Over time, increases or decreases in the City's net position are one indicator of whether its financial health is improving or deteriorating. You will also need to consider other non-financial factors, such as changes in the City's property tax base, local economy and service levels, to assess the overall health of the City. On the other hand, the statement of activities reports how net position has changed and includes all of the current year's revenues and expenses regardless of when cash is received or paid.

The government-wide financial statements of the City are divided into three categories:

Governmental Activities - Most of the City's basic services are included here, such as police, fire, transportation, environmental services, libraries, planning, neighborhood development, public improvements, parks and recreation and general administration. Property taxes along with sales and certain state-shared taxes and state and federal grants finance most of these activities.

Business-Type Activities - The City charges fees to customers to help cover the costs of certain services it provides. The City's water and sewer system and other stormwater resources, parking facilities, solid waste facilities and coliseum activities are included here.

Component Units - The City includes four other discretely presented component entities in its report—Greensboro Housing Development Partnership, Inc., the Alcoholic Beverage Control Board (ABC), the Greensboro Transit Authority, and the Redevelopment Commission of Greensboro. The activities of Greensboro Center City Corporation are blended with those of the City. Although legally separate, these "component units" are important because of certain financial transactions that exist between the entities and the City and from extensive board member appointments by City officials.

The government-wide financial statements can be found on pages 3-6 of this report.

B. Fund Financial Statements

The fund financial statements provide more detailed information about the City's major funds while focusing on fiscal accountability. Funds are accounting devices that the City uses to keep track of specific sources of funding and spending for particular purposes, as required by state law and bond covenants. City Council establishes many funds to assure control as well as good management and to exhibit proper usage of certain taxes and grants. The City of Greensboro, like all other governmental entities in North Carolina, also uses fund accounting to ensure and reflect compliance (or non-compliance) with finance-related legal requirements, such as the General Statutes or City ordinances.

The City has three types of funds:

Governmental Funds - Most of the City's basic services are included in governmental funds, which focus on 1) how cash and other financial assets can readily be converted to cash flow in and out (that is, their liquidity) and 2) the balances left at year-end that are available for spending. This is the manner in which the financial budget is typically developed. Because this information provides a short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the City's programs, as opposed to the government-wide statements which provides both a short and a long-term focus, a reconciliation is provided on the page following the fund statements that explains the relationship or differences between the two views.

The governmental fund financial statements can be found on pages 7-19 of this report.

Proprietary Funds - Services for which the City charges customers a fee are generally reported in proprietary funds. Accounted for like the government-wide statements, proprietary funds provide both long and short-term financial information and in addition include the statement of cash flows. A reconciliation statement is once more provided following these funds to explain the differences between them. The Internal Service Funds are an accounting device used to accumulate and allocate costs internally among the City's various functions. Because these services predominantly benefit governmental rather than business-type functions, they have been included within governmental activities in the government-wide statements. Individual fund data for the Internal Service Funds is provided in the form of combining statements located on pages 132-139.

The proprietary fund financial statements can be found on pages 20-31 of this report.

Fiduciary Fund - The City is the trustee, or fiduciary, for the Other Post-Employment (OPEB) Trust Fund, established as an irrevocable trust in FY 2009. The City is responsible for ensuring that the assets reported in this fund are used only for their intended purposes. All of the City's fiduciary activities are reported in a separate statement of fiduciary net position and a statement of changes in fiduciary net position. We exclude these activities from the government-wide financial statements because the City cannot use these assets to finance its operations. The basic fiduciary fund financial statements can be found on pages 33-34 of this report.

C. Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found starting on page 38a of this report.

D. Required Supplementary Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City of Greensboro's progress in funding its obligation to provide pension benefits and other post-employment benefits to certain of its retirees. Required supplementary information can be found on pages 39-41 of this report.

E. Other Supplementary Information

The combining statements referred to earlier in connection with nonmajor governmental funds and Internal Service Funds are presented immediately following the required supplementary information on pensions and other post-employment benefits. Combining and individual fund statements and schedules can be found starting on page 42 of this report.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Net position may serve over time as a useful indicator of a government's financial position. In the case of the City of Greensboro, assets exceeded liabilities by $1,053,041,228 at the close of June 30, 2016 compared to $1,024,062,607 before restatement in the previous year. The net position for the City as a whole increased 2.8% at June 30, 2016 or net $29 million of which approximately $24 million of the gain is attributable to water resources activities.

The largest portion of the City of Greensboro's net position $770,182,032 (73.1%) represents its investment in capital assets (e.g. land, building, machinery, and equipment) less any related debt used to acquire those assets that are still outstanding. The resources needed to repay the debt must be provided from sources other than capital assets, since they cannot be used to liquidate the liabilities.

An additional portion of the City of Greensboro's net position $165,559,070 (15.7%), represents resources that are subject to enabling legislation or external restrictions on how they may be used. Unrestricted net position, the residual amount of assets that can be used without constraints established by debt covenants, enabling legislation, or other legal requirements changed from $122,277,043 at June 30, 2015 to $117,300,126 (11.2%), down approximately $5 million at the end of this year, with the decrease largely attributable to the increase in net position for capital projects and highway improvements. The City's overall unrestricted cash levels increased by approximately $8.2 million as well to approximately $209.5 million. However, it should be noted that of the total reported "unrestricted" amount, only approximately $24.8 million is available and unobligated in the General Fund to provide working capital to finance day-to-day governmental activities and fund unforeseen circumstances in the future.

Table A-1
City of Greensboro's Net Position
(In thousands of dollars)

	Governmental Activities		Business-Type Activities		Total		%
	2016	2015	2016	2015	2016	2015	2015-16
Current and Other Assets	$ 222,558	$ 231,806	$ 191,487	$ 188,902	$ 414,045	$ 420,708	-1.6%
Capital Assets, Net	416,789	405,553	823,506	780,187	1,240,295	1,185,740	4.6%
Total Assets	639,347	637,359	1,014,993	969,089	1,654,340	1,606,448	3.0%
Deferred Outflows of Resources	9,373	10,042	5,680	6,313	15,053	16,355	-8.0%
Long-Term Debt Outstanding	217,804	214,008	270,236	251,412	488,040	465,420	4.9%
Other Liabilities	65,211	43,410	56,144	50,993	121,355	94,403	28.5%
Total Liabilities	283,015	257,418	326,380	302,405	609,395	559,823	8.9%
Deferred Inflows of Resources	5,870	33,323	$ 1,087	$ 5,595	6,957	38,918	-82.1%
Net Position	$ 359,835	$ 356,660	$ 693,206	$ 667,402	$ 1,053,041	$ 1,024,062	2.8%
Net Investment in Capital Assets	$ 212,861	$ 215,311	$ 557,321	$ 534,544	$ 770,182	$ 749,855	2.7%
Restricted	92,784	84,598	72,775	67,332	165,559	151,930	9.0%
Unrestricted	54,190	56,751	63,110	65,526	117,300	122,277	-4.1%
Total Net Position	$ 359,835	$ 356,660	$ 693,206	$ 667,402	$ 1,053,041	$ 1,024,062	2.8%

For more detailed information, see the Statement of Net Position on pages 3-4.

Table A-2
City of Greensboro's Changes in Net Position
(In thousands of dollars)

	Governmental Activities		Business-Type Activities		Total	
	2016	2015	2016	2015	2016	2015
Revenues:						
Program Revenues:						
Charges for Services	$ 30,836	$ 36,052	$ 152,047	$ 155,958	$ 182,883	$ 192,010
Operating Grants and Contributions	23,858	21,502			23,858	21,502
Capital Grants and Contributions	3,938	4,186	4,387	3,310	8,325	7,496
General Revenues:						
Property Taxes	154,144	151,610			154,144	151,610
Other Taxes	76,923	74,313			76,923	74,313
Investment Income	2,437	2,226	1,963	1,470	4,400	3,696
Other	4,930	5,882	5,329	3,489	10,259	9,371
Total Revenues	297,066	295,771	163,726	164,227	460,792	459,998
Expenses:						
General Government	24,892	23,345			24,892	23,345
Public Safety	139,583	130,123			139,583	130,123
Transportation	22,713	16,964			22,713	16,964
Engineering and Building Maintenance	15,642	15,074			15,642	15,074
Field Operations	33,525	33,341			33,525	33,341
Environmental Services	660	430			660	430
Culture and Recreation	30,901	31,937			30,901	31,937
Neighborhood Development	8,722	8,387			8,722	8,387
Economic Opportunity	8,659	6,466			8,659	6,466
Interest, Fees on Long Term Debt	5,353	5,583			5,353	5,583
Water Resources			88,935	81,306	88,935	81,306
Stormwater Management			8,550	8,534	8,550	8,534
War Memorial Coliseum			26,209	33,931	26,209	33,931
Solid Waste Management			14,468	12,884	14,468	12,884
Parking Facilities			3,409	2,350	3,409	2,350
Total Expenses	290,650	271,650	141,571	139,005	432,221	410,655
Net, Before Transfers	$ 6,416	$ 24,121	$ 22,155	$ 25,222	$ 28,571	$ 49,343

(Continued)	Governmental Activities 2016	Governmental Activities 2015	Business-Type Activities 2016	Business-Type Activities 2015	Total 2016	Total 2015
Transfers	$ (3,650)	$ (6,040)	$ 3,650	$ 6,040	$	$
Change in Net Position	2,766	18,081	25,804	31,262	28,570	49,343
Beg. Net Position	356,660	358,391	667,402	639,290	1,024,062	997,681
Prior Period Adjustment	409	(19,812)		(3,150)	409	(22,962)
Restated	357,069	338,579	667,402	636,140	1,024,471	974,719
Ending Net Position	$ 359,835	$ 356,660	$ 693,206	$ 667,402	$1,053,041	$1,024,062

Table A-3
Summary of Financing/Interest Earnings - Governmental Activities
(In thousands of dollars)

	FY 2016	FY 2015	$ Change	% Change
Interest Revenue	$2,437	$2,226	$211	9.5%
Interest Expense	5,354	5,583	(229)	-4.1%
Net	($2,917)	($3,357)	$440	13.1%

Summary of Financing/Interest Earnings - Business Activities
(In thousands of dollars)

	FY 2016	FY 2015	$ Change	% Change
Interest Revenue	$1,963	$1,470	$493	33.5%
Interest Expense	4,102	5,057	(955)	-18.9%
Net	($2,139)	($3,587)	$1,448	40.4%

A. Governmental Activities

Governmental activities increased the City's net position by approximately $2.8 million, down from an approximate $18 million increase last year. Contributing to the decrease was increased spending on public safety and transportation bond fund projects this year. The Internal Service Funds are combined with governmental activities at the entity-wide level.

FIGURE 2
Expenses and Program Revenues – Governmental
(In thousands of dollars)

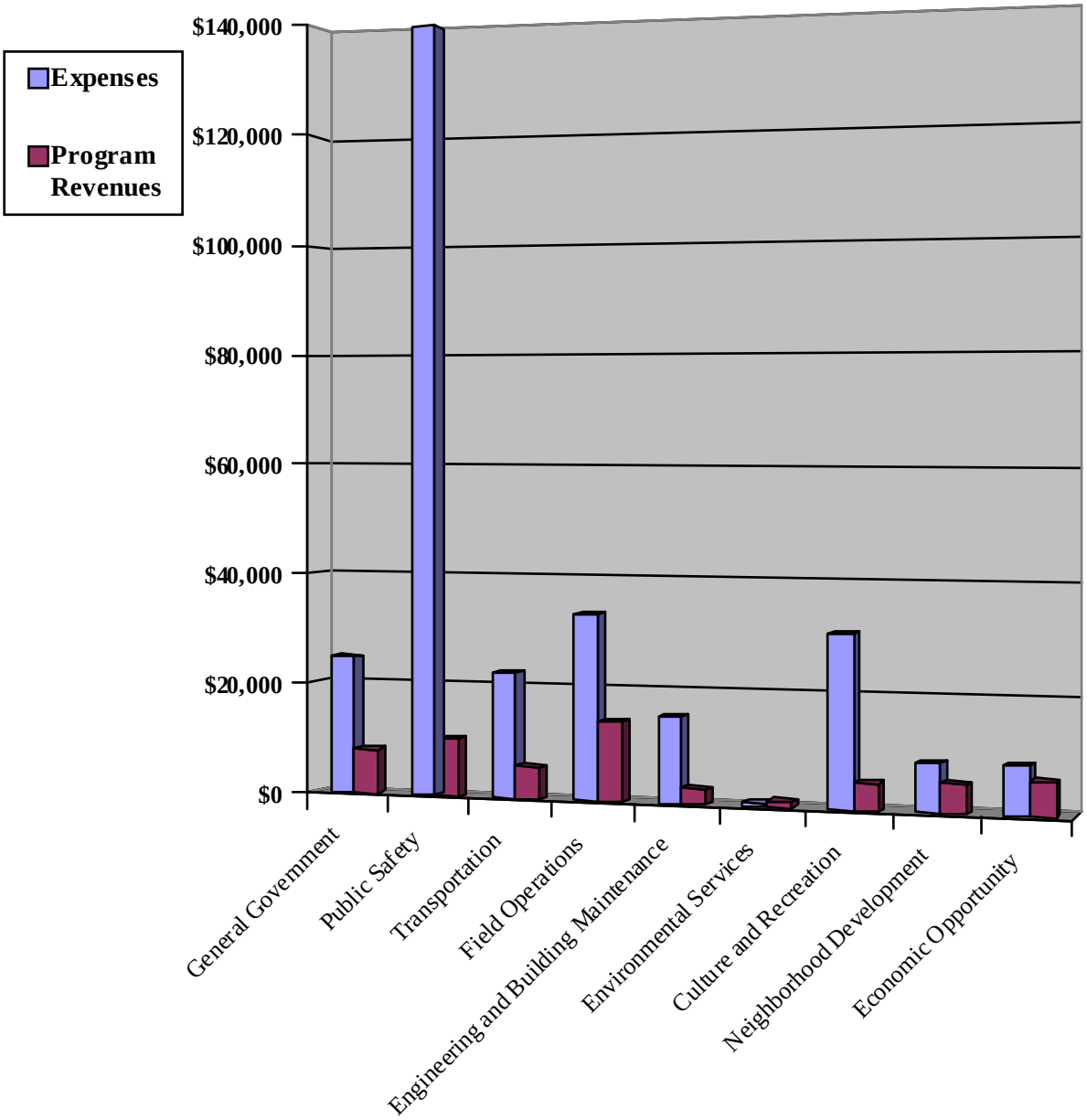


Table A-4
Net Cost – Governmental Activities
(In thousands of dollars)

	Total Cost of Services		% Change	Net Cost of Services		% Change
	2016	2015		2016	2015	
General Government	$ 24,892	$ 23,345	6.6%	$ (16,894)	$ (11,049)	-52.9%
Public Safety	139,583	130,123	7.3%	(129,273)	(118,793)	-8.8%
Transportation	22,713	16,964	33.9%	(16,942)	(12,070)	-40.4%
Engineering and Building Maintenance	15,642	15,074	3.8%	(12,781)	(12,301)	-3.9%
Field Operations	33,525	33,341	0.6%	(19,096)	(18,767)	-1.8%
Environmental Services	660	430	53.5%	509	338	50.6%
Culture and Recreation	30,901	31,937	-3.2%	(26,120)	(26,021)	-0.4%
Neighborhood Development	8,722	8,387	4.0%	(3,510)	(3,593)	2.3%
Economic Opportunity	8,659	6,466	33.9%	(2,557)	(2,070)	-23.5%
Total	$ 285,297	$ 266,067	7.2%	$ (226,664)	$ (204,326)	-10.9%

B. Business-Type Activities

Business-type activities increased the City of Greensboro's net position by $25.8 million, largely attributable to net income generated in the City's water and sewer utility, primarily from developer contributions of water and sewer lines, rate increases and continued cost containments compared to budget. The General Fund continued to support the Coliseum and solid waste operations; however, stormwater fees were sufficient to cover operations. Challenges are present in the business activities due to ongoing significant infrastructure and capital needs for the City's utility and waste disposal issues relating to closure and post-closure care costs for certain of the City's landfill facilities which are required to be closed, capped and monitored for a number of years.

1) *Enterprise Funds*

There are five separate and distinct operations accounted for in the Enterprise Funds: the Water Resources Utility Operations, Stormwater Management Services, War Memorial Coliseum Complex, Solid Waste Management and Parking Facilities (Other Non-Major Fund).

Depreciation is computed on all depreciable plant and equipment and is reflected as an operating expense. Depreciation expense also includes amortization of software and licenses and other intangible assets, such as water rights. The following schedule reflects the change in net position before and after depreciation/amortization for each of the enterprises compared to the preceding year.

Table B-1
Change in Net Position– Business-Type Activities
(in thousands of dollars)

	Change in Net Position Before Depreciation/Amortization		Change in Net Position After Depreciation/ Amortization*	
Enterprise Activities	2016	2015	2016	2015
Water Resources	$47,716	$49,312	$24,258	$26,486
Stormwater Management	2,404	4,610	625	2,790
War Memorial Coliseum	3,614	3,920	671	1,092
Solid Waste Management	1,630	1,311	1,078	882
Parking Facilities	(28)	633	(615)	54
Total	$55,336	$59,786	$26,017	$31,304

*Excludes the effect of Internal Service Fund chargebacks.

Major activities and/or changes in the Enterprise Fund operations are presented in the following comments.

2) *Water Resources Fund*

Charges for current services totaled $104,611,382 compared to $97,833,908 for the preceding year, an increase of 6.9%. Operating expenses (excluding depreciation) increased by 15% and totaled $59,835,012 as compared to $51,924,444 for the preceding year. On July 1, 2015, water and sewer rates for average residential customers increased by 5.5% for customers inside the City and 8% for those residing outside the City limits, largely causing the improved revenue results. On July 1, 2016, water and sewer rates were increased again, up 4.5% for customers inside the City and those residing outside the City limits, expected to generate approximately $4.6 million in additional revenues in FY 2017, in keeping with debt service coverage covenant targets of 2.0x coverage. Actual debt service coverage has exceeded 2.0x coverage in each of the past ten years, with a current coverage of 2.4x as of June 30, 2016.

The City continues to make a significant investment in water resource needs to replace and expand existing infrastructure and to meet new environmental regulations. The Water and Sewer utility comprises approximately one-third of the City's overall capital improvement plan, with estimated $580 million in planned capital expenditures over the next ten year period. Ongoing system improvements are expected and are included in our long-range planning, however, management projects that within the next five years, certain of the major improvements will be completed ($95 million nitrogen removal project, $63 million for the Osborne Wastewater Treatment Plant capacity upgrade and $97.6 million for a system wide Sanitary Sewer and Water Line Rehabilitation) and pay-go funding, which is expected to be more than 50%, should cover a large part of anticipated future costs. The City has also established a capital reserve account to provide for future needs of the water and sewer system, with an account balance of approximately $7.9 million available in the restricted assets total of the Water Resources Fund as of June 30, 2016. The Randleman Dam, Lake and Water Plant Project (managed by the Piedmont Triad Regional Water Authority, "PTRWA") is designed to meet long-term future water needs. PTRWA constructed a 12 MGD Water Treatment Plant (expandable to 48 MGD) which began pumping treated water to Greensboro in early October 2010. Approximately $2.4 million was paid to PTRWA in FY2016 for current water purchases from this supply. Greensboro has acquired certain water rights in this project, along with five other governmental units. Due to

ongoing interlocal water purchase agreements with neighboring communities, conservation measures, the purchase of a small dam on the Haw River, along with approximately 7.8 million gallons of water per day available to be piped from Randleman, the City has been able to adequately manage its water supply with an annual average production capacity of 47 MGD.

3) *Stormwater Management Fund*

Charges for current services totaled $9,591,310 as compared to $9,815,623 for the preceding year, a slight decrease of 2.3% due to lower user fees paid by the General Fund for City-owned streets. Operating expenses (excluding depreciation) decreased by .8% and totaled $6,770,912 as compared to $6,713,517. The stormwater program monitors and manages the quality and quantity of stormwater runoff and helps protect limited water resources throughout the City. Residential stormwater fees range from $1.50 to $3.90 based on the square footage of impervious property area owned and fund program operations as well as related capital improvement projects.

4) *War Memorial Coliseum Fund*

Charges for current services totaled $18,163,472 as compared to $28,495,534 for the preceding year, a decrease of 36.3%. The total number of event days in FY 2015-16 increased from 853 to 905. The overall facility attendance decreased from 1.4 million to 1.1 million in FY 2016; revenues also decreased due to less large concert events yielding less co-sponsor revenue and rotation of the men's ACC Championship games. The Greensboro arena has also hosted eleven Men's ACC Basketball Tournaments from 1995 to 2015, and Greensboro is scheduled to again host in 2020. Along with hosting the Women's ACC Basketball Tournament from 2000 to 2016, the arena has hosted other NCAA Regional events. Greensboro is widely recognized as the "Tournament Town". Operating expenses (excluding depreciation) totaled $22,915,270 as compared to $30,267,287 for the preceding year, a decrease of 24.3%. The General Fund contributed $2,500,000 toward Coliseum activities this year, $159,526 more than the subsidy last year, mainly for operations. Revenues and expenses for a given year may fluctuate based on the nature of the associated event agreements.

5) *Solid Waste Management Fund*

Charges for current services totaled $13,391,867 as compared to $11,493,834 for the preceding year, an increase of 16.5%. Operating expenses (excluding depreciation) totaled $13,781,455 as compared to $12,335,362 for the preceding year, an increase of 11.7% primarily due to an increase in estimated closure and post-closure care future liabilities as more landfill cells are being closed. The increase in charges for current services is due to the landfill roadway project and the disposal of excavated materials in Phase III of the White Street Landfill. The City entered into a contract with an Apex, North Carolina firm to convert methane gas at the White Street landfill into electricity and to sell it to Duke Energy. This gas is in surplus of the amount that the City currently gives to International Textile Group (ITG) in support of their manufacturing operation and local jobs. Over the 15-year term of the contract, it is estimated that the City will receive approximately $155,000 on average each year for a total estimate of $2.33 million, while continuing to provide ITG with its current supply of the landfill gas. Closure activities of certain landfill cells are also currently in progress.

In October 2006, the City completed construction of a solid waste transfer station as an alternative to the White Street Landfill, at an estimated cost of $9 million. The City issued $8.4 million in special obligation bonds in November 2005 associated with this new facility, supported with a pledge of local sales tax revenue. In December 2009, $5.7 million of the remaining 1997 bonds (originally issued at $16 million for landfill expansion and improvements) were refunded. All bonds relating to the original 1997 landfill bond issue were retired as of FY 2012. Debt

outstanding associated with the transfer station is $2,930,000 as of June 30, 2016. Debt service coverage by the local sales tax revenue well exceeds the 2.00 times covenant requirement, currently at more than 22 times covered.

6) *Parking Facilities Fund*
Charges for current services totaled $2,380,774 as compared to $2,010,212 in the preceding year, an increase of 18.4%. Operating expenses (excluding depreciation) totaled $2,816,037 as compared to $1,751,555 for the preceding year, an increase of 60.8%, due to major elevator repairs, and temporary parking lot rental for the Union Square Campus. General Fund suspended support of this operation in FY 2010 following final maturity of all parking deck debt recorded in the Fund. In FY 2011 and forward, a portion of the profits from this operation are scheduled to be returned to the General Fund, however, no transfers were made in the current year due to the capital improvements made to parking facilities this year.

FIGURE 3
Expenses and Program Revenues – Business-Type
(In thousands of dollars)

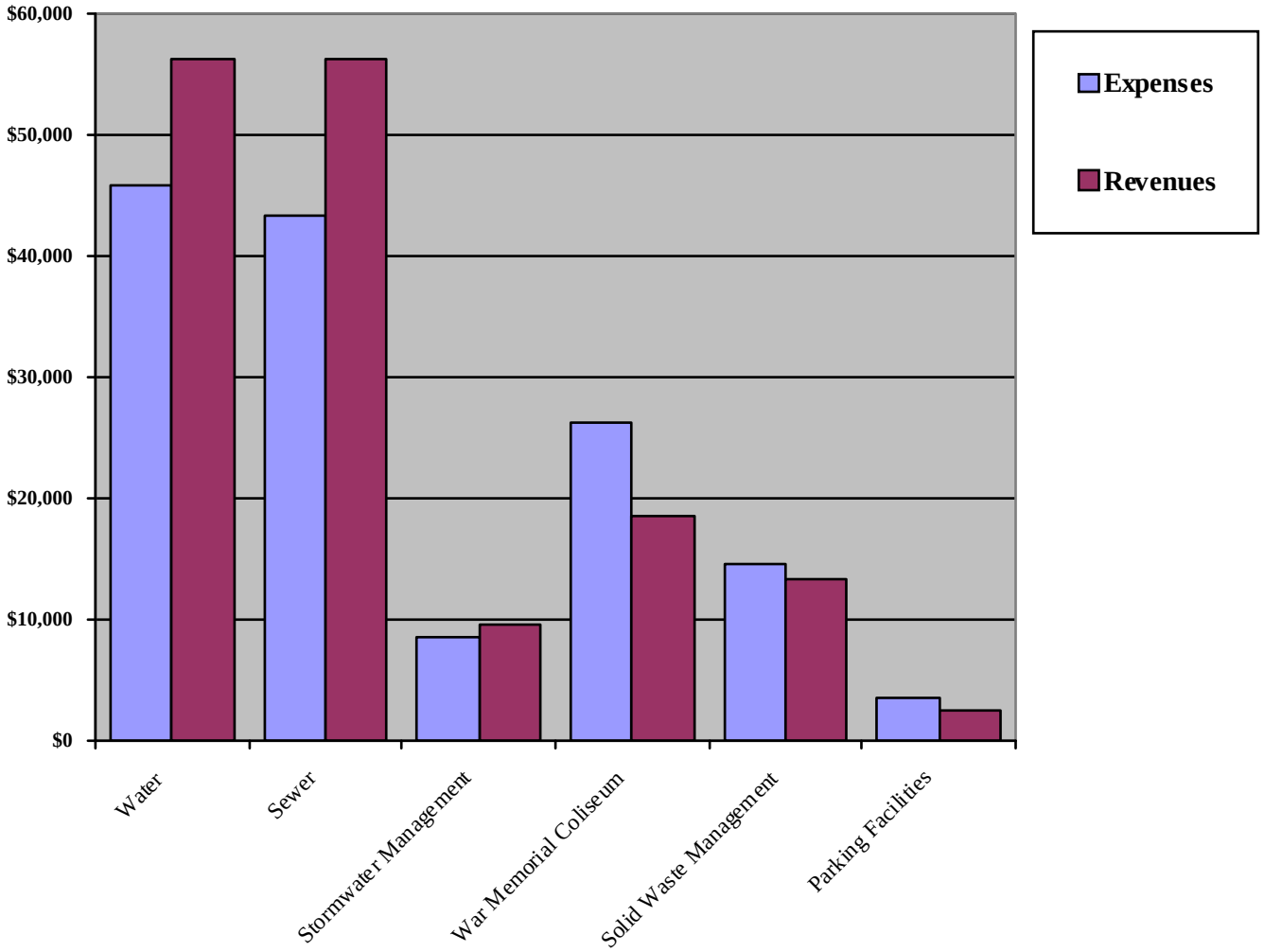
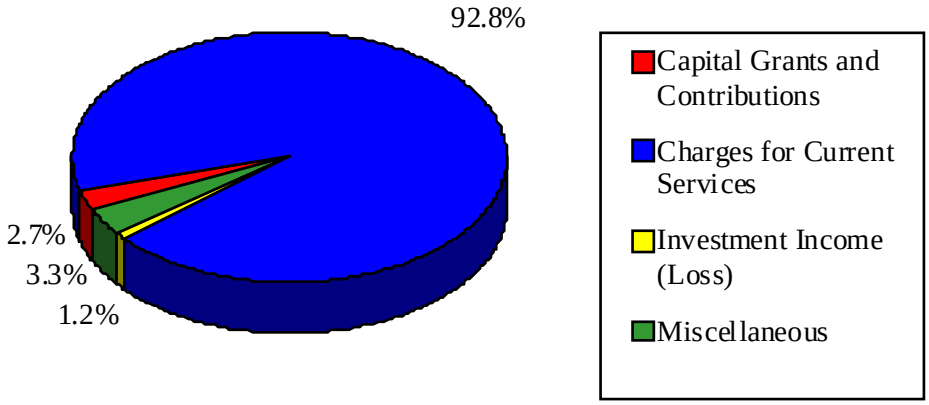


Figure 4
Revenues by Sources – Business-Type Activities



FINANCIAL ANALYSIS OF THE CITY'S FUNDS

A. <u>Governmental Funds</u>

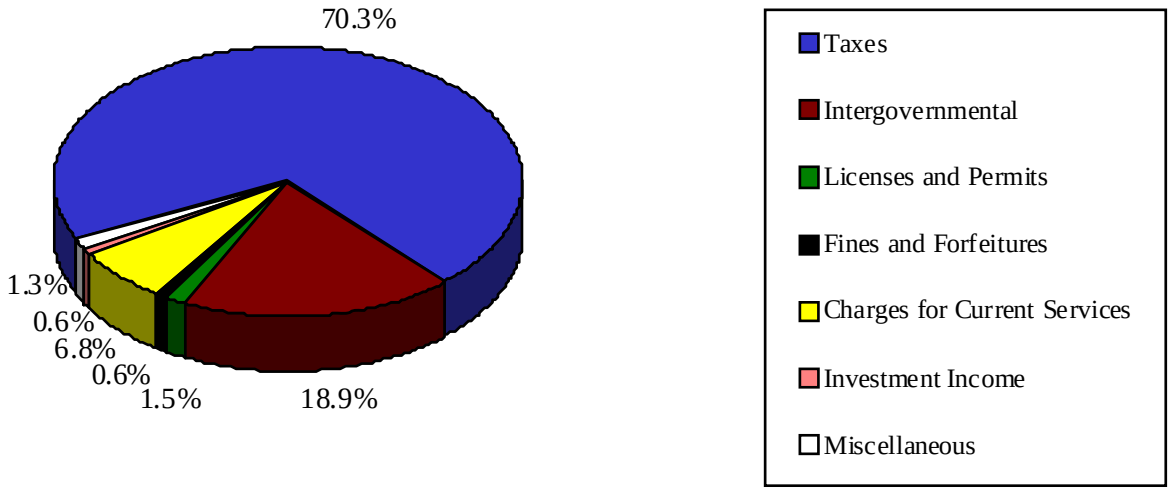
As noted earlier, the City uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. As of June 30, 2016, governmental funds reported a combined fund balance of $135 million, an increase of approximately $4.7 million or 3.6% of the FY 2015 restated amount. The General Fund net results increased fund balance by $3.9 million, due to robust sales tax receipts, increased property tax revenue, and increased utility sales tax receipts received through revenue-sharing with the state. Internal Service Funds are reported with the governmental activities in the Statement of Net Position. Overall operating expenditures (excluding debt service) have increased approximately $15.7 million or 6% primarily due to increased spending for transportation projects. Debt service expenditures at $18.8 million are lower by approximately $2.1 million, year to year. The current year transfers out exceeded transfers in by $8 million to support other operations. Fund balance of $73.5 million or 54.4% of the total amount is non-spendable or restricted to indicate that it is not available for spending due to GASB No. 54 classifications of (1) Non-Spendable which includes inventories, prepaid expenses, perpetual maintenance or assets held for resale 2) Restricted which includes amounts to liquidate contracts and purchase orders of the previous year, adherence to Stabilization for State Statute, amounts bound by debt covenants and third party grantor requirements. The adherence to State Statute limits the amount that may be appropriated by the governing board or for other restricted purposes. The remainder of fund balance represents amounts committed 8.8%, assigned 24% and unassigned 12.8% funds.

The General Fund is the chief operating fund of the City. At the end of the current fiscal year, total fund balance of the General Fund was $77.2 million. Of this amount, $1.2 million is non-spendable, $28 million is restricted, $6.4 million is committed for Police Separation Allowance benefits, $6.7 million is assigned for appropriation in next year's budget, $10.1 million is assigned for capital projects and $24.8 million or 9% of the subsequent years' budget is unassigned and retained for working capital purposes as well as unforeseen emergencies. General Fund fund balance increased by approximately $3.9 million primarily as a result of improved property tax receipts, sales tax collections and utility sales tax collections.

The Debt Service Fund has a fund balance of $10.9 million, $3 million higher than last year, with a target level of $10 million. The fund covered debt service expenditures of approximately $16.6 million, amounting to approximately 6.5 cents of the general property tax rate. The total fund balance at June 30, 2016 is assigned for debt service in next year's budget with the balance to be used to stabilize property tax rates from year to year, despite future increases in debt service amounts due to new voter-approved bonds, as well as to support the City's fund balance goals.

Revenues for general governmental functions (General, Special Revenue, Capital Project and Debt Service Funds) amounted to $293,635,090 for the fiscal year ended June 30, 2016 and are comprised of various sources as shown in the following graph:

Revenues by Sources – Governmental Activities



Property tax collections, for the current City levy, including $8,497,760 for GTA, amounted to $162,676,466. The rate of collection as of the end of the fiscal year was 99.28% for the current year levy, with collections for levies in previous years approximating close to 100%. We expect the collection rate to remain at high levels due to the new statewide motor vehicle "Tax and Tag Together" system, implemented by North Carolina effective July 1, 2013. The State of North Carolina now collects property taxes on motor vehicles and remits to the City rather than collected by Guilford County under the old system.

The overall property tax rate remained the same in FY 2016 and reflected the same allocations among purposes. The FY 2016 budget was adopted with $0.0069 directly recorded in the Housing Partnership Fund. This amount replaces the General Fund transfer to the housing fund that was budgeted in previous years and allows the Housing Partnership Fund to remain a Special Revenue Fund in accordance with GASB Statement No. 54. The FY 2016 budget also provides for $0.0050 for economic development purposes and $.0334 for public transit support. The resulting General Fund tax rate was 58.72 cents per $100 valuation in FY 2016.

Tax rates for the current and three preceding fiscal years were adopted, as follows, at the same overall rate, however, different allocations among purposes noted:

	2016	2015	2014	2013
General Fund	$.5872	$.5872	$.5872	$.5897
Economic Develop.	.0050	.0050	.0050	.0025
Housing Partnership	.0069	.0069	.0069	.0069
Transit Authority	.0334	.0334	.0334	.0334
Total Tax Rate	$.6325	$.6325	$.6325	$.6325

The *local option sales tax* collection amounted to $47,442,711 as compared to the previous year's collection of $44,713,374, an increase of approximately $2.7 million or 6.1% from last year, however, we note a 17.6% gain in the ten year trend for this revenue source. Guilford County uses the "ad valorem" (property tax) method to distribute its allocated sales tax receipts to municipalities within the County and as a result, sales tax receipts for Greensboro may fluctuate from year to year, depending on the proportion of property tax levies of each of the municipalities within the County, compared to the total collected. Greensboro's FY 2016 share of the sales tax distribution increased due to a decline in Guilford County's property tax rate from FY 2015 to FY 2016, however, healthy gains were also noted in retail sales activity this year. Local option sales taxes represent approximately 16.2% of overall general governmental fund revenues in FY 2016.

The total sales tax rate in Guilford County is 6.75% with 4.75% charged for the general state rate and 2.00% charged for the local option. The local option sales tax currently in effect is distributed to the County as follows, with subsequent distribution to Greensboro and the other municipalities in the County, based on the "ad valorem" method:

Article 39 (1%) Point of Origin
Article 40 (1/2%) Per Capita
Article 42 (1/2%) Point of Origin

Greensboro's occupancy tax collection of $3,905,980 has increased 34.4% over the ten-year period ending June 30, 2016 and generated a 1% gain this year. Construction of three new hotels is planned for downtown Greensboro in the near term.

Intergovernmental Revenues amounted to $55,388,556 as compared to previous year revenues of $55,031,166. State-shared and grant revenues are a major source of funding for municipal operations and services, with intergovernmental revenues comprising 18.9% of total general governmental revenues, as compared to 18.8% in the previous year.

Licenses and permits amounted to $4,390,773 compared to previous year revenues of $6,803,591 a decrease of 35.5%, primarily due to the elimination of the authority to issue business privilege licenses by the General Assembly.

Fines and forfeitures amounted to $1,864,116 as compared to the previous year's collection of $2,211,438, a decrease of 15.7% over last year. The decrease was primarily noted for parking violations and false burglar alarms fines.

Charges for current services amounted to $19,919,398 as compared to the previous year's revenue of $21,896,358 a decrease of 9% primarily due to sale of certain real estate in the Housing Partnership Revolving Fund in FY 2015 and a decrease in 911 surcharge revenue for the Emergency Telephone System Fund, both are Special Revenue Funds.

Cash Management

The City's investment policy is to minimize credit and market risks while maintaining a competitive yield on its portfolio. Accordingly, deposits were either insured by federal depository insurance or collateralized. All collateral on deposits was held either by the City or its agent. All investments held by the City during the year and at June 30, 2016 are classified in various levels of fair value hierarchy as defined by the Governmental Accounting Standards Board.

The City's cash management program provided the City with interest earnings totaling $3,481,487 for the fiscal year ended June 30, 2016 as compared to $3,037,517 in the prior year. Cash balances are analyzed daily to forecast the amount of funds required and amounts available for investment. The average amount of funds invested per month totaled $329,252,260 during the year. The City's average yield on investments for the year was 1.06%, up from 0.98% in the prior year. Interest earnings were the equivalent of nearly 1.38 cents on the tax rate for FY 2015-16 compared to 1.23 cents last year.

B. Proprietary Funds

Proprietary Funds provide the same type of information found in the government-wide financial statements but in more detail. Other factors concerning the finances of the proprietary funds have already been addressed in the discussion of the City of Greensboro's business-type activities.

General Fund Budgetary Highlights

The General Fund budget for FY 2015-16 was adopted at $267,937,148 (excluding carry-forward encumbrances) and represents an increase of approximately 3.3% compared to the adopted FY 2014-15 budget. Encumbrances of $3,293,817 were carried forward from FY 2015 commitments. Significant variances from the *original* and *final amended* budget follow:

- The General Fund budget increased by $2,080,432 from original to final amended in FY 2016 for programs being funded by appropriated fund balance.

As of June 30, 2016, the City had collected $264.5 million or 101.6% of its budgeted General Fund revenues and had incurred $260.6 million or 96.5% of its budgeted expenditures. Significant differences between *actual results* and the *final amended* budget are highlighted below:

- Overall General Fund revenues were higher compared to the final amended budget by approximately $4.3 million primarily in the areas of local option sales tax ($1.5 million) and significantly better actual results for state-shared electric utility sales tax ($4 million). Revenue generated from fines and forfeitures was lower than the final amended budget by approximately $881 thousand.

- Actual expenditures compared to final budget were less by $9.4 million or approximately 3.9%, noting approximately $1.6 million in savings in building maintenance costs in Engineering and Building Maintenance, $1.8 million less for Field Operations, approximately $2.8 million net overall savings in public safety operations, and $2 million in savings within the Culture and Recreation department. Overall the General Fund recognized approximately $1.5 million in savings due to lower fuel costs. Additional savings were also generated in other City programs.

- Cost containments during FY 2016 allowed for new staff additions with no increase in the property tax rate. Approximately 4 net new FTE's were added, including 18 new fire positions, partially offset by 14.3 FTE reductions mainly in Culture and Recreation, General Government, Transportation, and Field Operations without interruption to key service delivery.

- FY 2016 included a 2.5% average merit increase for employees, along with further implementation of compensation study recommendations.

Capital Asset and Debt Administration

A. <u>Capital Assets</u>

The City's investment in capital assets including intangible assets for both its governmental and business-type activities as of June 30, 2016, amounts to $1,240,294,587 (net of accumulated depreciation/amortization). These assets include buildings, roads and bridges, land, machinery and equipment, park facilities, vehicles and intangible assets such as easements, software and licenses and water rights among other types of assets. This investment represents an increase of $54,553,373 or 4.6% over the prior year.

Table C-1
Capital Assets
(Net of Depreciation/Amortization-in thousands of dollars)

	Governmental Activities		Business-Type Activities		Total	
	2016	2015	2016	2015	2016	2015
Land	$ 87,106	$ 84,247	$ 45,869	$ 45,638	$ 132,975	$ 129,885
Construction in Progress	17,032	11,449	90,094	44,942	107,126	56,391
Intangible Assets-Easements			22,252	21,179	22,252	21,179
Buildings	101,221	105,905	172,602	171,520	273,823	277,425
Land Improvements	13,501	14,475	24,573	26,172	38,074	40,647
Improvements Other Than Buildings	89	92	4,768	5,014	4,857	5,106
Furniture, Fixtures, Machinery and Equipment	45,356	40,001	25,338	25,137	70,694	65,138
Infrastructure	152,335	149,135	359,860	361,393	512,195	510,528
Intangible Assets	149	249	78,150	79,193	78,299	79,442
Total Capital Assets	$ 416,789	$ 405,553	$ 823,506	$ 780,188	$1,240,295	$1,185,741

This year's major capital asset additions included:

- Business Activities asset additions totaled over $43 million, with nearly all of the increase due to new construction in progress for utility system improvements. Developers also donated more than $3 million of the over $7.7 million in water and sewer infrastructure line improvements.

- General government infrastructure additions were mainly sidewalk, street, and right-of-way ($12 million) some of which are bond funded. The City also added $13 million to its heavy equipment and fleet inventory, maintained in the Equipment Services Internal Service Fund.

Construction in progress for governmental-type and business-type capital assets totaled $17,032,139 and $90,094,469 respectively as of June 30, 2016 compared to $11,448,650 and $44,941,551 last year. During the current fiscal year the War Memorial Auditorium, which held its last concert event in September 2014, was demolished with plans to install premium parking at this site adjacent to the Coliseum arena. All auditorium functions will eventually be held in the new performing arts center complex, currently underway in downtown Greensboro. There are significant wastewater utility facility improvements in progress.

The City adopted the FY 2017-2026 Capital Improvements Program (CIP) totaling $1,626,845,931 for projects as outlined below:

Table C-2
CIP Expenditures – 10 Year Plan

CIP Expenditure Category by Service Area	% of Total CIP
Infrastructure	86.53%
Community Services	10.41%
Public Safety	3.06%
	100.0%

Table C-3
CIP Funding Sources – 10 Year Plan

CIP Funding Source	% of Total CIP
Authorized Bonds	8.65%
Revenue Bonds	15.89%
Enterprise Funds	20.19%
Grants/Other	18.59%
Unauthorized Bonds	36.68%
	100.0%

Additional information on the City's capital assets can be found in Note I.D.6 and IV.C of this report.

B. Long-Term Debt

As of June 30, 2016, the City had total bonded debt outstanding (at par) of $445,877,026 with $168,973,007 backed by the full faith, credit and taxing power of the City, $30,847,318 backed by Hotel/Motel occupancy tax of the City, $243,126,701 backed by a revenue pledge of the Combined Enterprise System (currently Water Resources utility system) and $2,930,000 backed by a pledge of certain local sales tax revenues.

Table D-1
General Obligation, Limited Obligation, Special Obligation and Revenue Bonds – Outstanding Debt
(in thousands of dollars)

	Governmental Activities		Business-Type Activities		Total	
	2016	2015	2016	2015	2016	2015
General Obligation Bonds	$ 137,950	$ 149,700	$	$	$ 137,950	$ 149,700
General Obligation BANS	31,023	13,635			31,023	13,635
Limited Obligation Notes	1,057				1,057	
Limited Obligation Bonds	23,860	24,450			23,860	24,450
Certificates of Participation	5,930	6,210			5,930	6,210
Special Obligation Bonds			2,930	3,585	2,930	3,585
Revenue Bonds			224,630	207,790	224,630	207,790
Revenue BANS			18,497	14,075	18,497	14,075
Total	$ 199,820	$ 193,995	$ 246,057	$ 225,450	$ 445,877	$ 419,445

The City's total overall outstanding bonded long-term liabilities increased approximately $26.4 million during the current fiscal year due to additions to the City's BANS for construction-related activity which were offset by scheduled debt service payments. As of June 2016, the City had three outstanding construction period-type note agreements that provide a privately-placed commitment to fund capital projects as the expenditures are being incurred, effectively delaying actual long-term bond issuances for several more years. These commitments include a $50 million General Obligation BAN, a $50 million Combined Enterprise System Revenue BAN, and a $20 million Limited Obligation Note. The notes mature in fiscal years 2017, 2020, and 2022 respectively and have associated variable interest rates. In FY 2014, the City's Series 1994B variable rate general obligation swap matured, leaving $5.7 million in one "effective" hedging derivative instrument, which carried a negative mark-to-market valuation of ($566,943) as of June 30, 2016.

The City of Greensboro has a general obligation bond rating of Aaa from Moody's Investors Service and a AAA rating from both S&P Global Ratings and Fitch Ratings. These bond ratings are a clear indication of the sound financial condition of the City of Greensboro. Greensboro's credit worthiness is a major factor in securing the highest possible general obligation bond rating. This credit worthiness, according to recent rating reports, is the result of diversifying businesses, a stable and consistent growth in the taxpayer base, the conservative fiscal policies for reserve and debt management and the operating performance, as well as financial flexibility. Other factors considered and affecting the high-grade credit position is the history of budgeting, the moderate debt position and the oversight provided by the North Carolina Local Government Commission.

North Carolina general statutes limit the amount of general obligation debt that a unit of government can issue to 8 percent of the total assessed value of taxable property located within that government's boundaries. The legal debt margin for the City of Greensboro is $1,714,218,530. The City has $166,370,000 in authorized, but unissued bonds at June 30, 2016 which includes $126.080 million for Street Improvements, $11.475 million for Parks and Recreational Facilities and $1 million for Housing Bonds, $12.478 million for Fire Stations, $1.23 million for Library Facilities, $4 million for Economic Development and $10.108 million for Greensboro Science Center Bonds. Each referendum item was voted on separately. $31 million of this authorization was issued as bond anticipation notes as of June 2016 for Parks and Recreation Facilities, Library Facilities, Street Improvements, Fire Stations and Neighborhood Development initiatives.

More detailed information about the City's long-term liabilities is presented in Note IV.G.

Economic Factors and Next Year's Budgets and Rates

The Greensboro area economy continued to rebound in several areas including building permit and housing activity. The dollar value of residential building permits authorized in Q2 of 2016 was up 12.4% over 2015. National indicators report a 10.2% increase in the *number* of permits issued in the U.S. for the twelve month period. The number of existing homes sold in the Triad in Q2 of 2016 was up 19.3% compared to last year. Average home prices are also up 8.7% over June 2015 at $193,756. Unemployment decreased from 6.3% in June 2015 to a seasonally adjusted rate of 5.3%, slightly above the national average. Hotel/Motel occupancy taxes continued to increase for the sixth year in a row. Sales taxes grew more than 6.1% compared to FY 2015, partially due to a change in the distribution percentage received from Guilford County which is based on the ad valorem tax rates of municipalities within the County in a given year.

The City's adopted FY 2017 budget for all funds increased $22 million or 4.4% to approximately $520 million, primarily in the infrastructure area for utility improvements, increased debt service payments, and Coliseum improvements. The assessed base value of all real and personal property is projected to grow approximately 1.5% in FY 2017. The FY 2017 budget was adopted with a property tax rate of $.6325 cents per $100 of assessed value (the same rate for the past six years) and includes allocations of $.035, $.0069 and $.5856 to fund transit, housing and general government initiatives, respectively, along with another $.0050 to fund economic development projects, amounting to about $1.3 million each year. Funds for FY 2016 are fully allocated for a variety of items, which should spur additional economic growth.

City Council has reaffirmed its intention to continue to maintain the unassigned fund balance of the General Fund at 9% of the 2017 fiscal year budget, or approximately $24.8 million.

Budget Highlights for the Fiscal Year Ending June 30, 2017

Governmental Activities:

The General Fund budget for FY 2017 was adopted at approximately $275.6 million (up 3.3%) with approximately $8.8 million in increased appropriations over the amended FY 2016 budget. Overall the General Fund budget shows a net increase of about 10 positions, including 6 positions in Fire and 1 position each in Finance and Communications. The budget includes approximately $850,000 in estimated fuel cost reductions. The budget also estimates increased projected revenues of more than 4.5% from local option sales tax and 2.2% from electric utility sales taxes shared with the state. Major budgeted initiatives continue to include economic development and job creation. One half cent on the tax rate in the Economic Development Fund will generate approximately $1.3 million, set aside to serve as the primary funding source to support the Triad Stage and National Folk Festival.

Additional capital needs in FY 2017 include continued renovation of Greensboro Police headquarters, roof replacement at MMOB, resurfacing and bridge repair and maintenance to City-owned buildings. Appropriated General Fund fund balance is $6.7 million, or 2.4% of the total budget, but has historically been unused.

No significant services or programs were eliminated and few new service enhancements were funded. The budget included a 2.75% average merit increase for employees.

The second year budget for FY 2018 is balanced with a 63.25 cent tax rate, unchanged from the adopted FY 2017 rate.

In FY 2017, the Debt Service Fund budget increased from the prior adopted budget to approximately $23.4 million. The amount of general obligation debt service as a percentage of General Fund expenditures is projected to be 8.5% in FY 2017, within the City's target goal of 10%.

Business-Type Activities:

The Water Resources budget increased approximately $.6 million or .5% for the FY 2017 budget as compared to the previous budget. Transfers of $28.2 million to the Water Resources Capital Reserve Fund are budgeted to allow for capital expenditure needs in accordance with the long-term Capital Improvement Plan as well as improve the City's water and sewer system, including rehabilitation of older water and sewer lines. Water Resources overall staffing levels are projected to increase by 2 FTEs, one laboratory specialist and one paralegal to assist with new regulations and water related legal work in order for the utility to maintain the water and sewer infrastructure within the stated objectives. Debt service payments will increase from about $20 million to $23 million, supporting the enterprise's planned debt program. Water Resources instituted a rate increase of 4.5% for both customers inside the City and for customers outside the City on July 1, 2016, which is expected to generate $4.6 million in additional revenues. The rate increase equates to approximately $1.83 more per month for customers inside the City and approximately $4.46 more per month for those outside and still positions Greensboro as having the second lowest water rates among North Carolina cities, (January 2016) with a water bill of 1.18% of the Median Household Income (MHI). Rates of less than 2% of MHI are considered to be favorable. Approximately 95% of all of the utility's customers reside within the City limits.

Requests for Information

This financial report is designed to provide a general overview of the City of Greensboro's finances and to demonstrate the City's accountability for the money it receives. Questions concerning any information provided in this report or requests for additional information should be addressed to City of Greensboro Financial and Administrative Services Department, P.O. Box 3136, Greensboro, North Carolina 27402-3136 or by calling (336) 373-2077, or by visiting our website at www.greensboro-nc.gov.

Financial Statements

The financial statements of the City have been audited by certified public accountants for the fiscal year ended June 30, 2016. Copies of the financial statements containing the unqualified report of the independent certified public accountants are available in the office of Richard L. Lusk, Finance Director, Post Office Box 3136, Greensboro, North Carolina 27402-3136 (336) 373-2077.

The Government Finance Officers Association (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the City for its Comprehensive Annual Financial Report for the fiscal year ended June 30, 2015, and for the past 40 years. To receive this award, the highest form of recognition in governmental financial reporting, a governmental unit must publish a financial report which complies with both generally accepted accounting principles and applicable legal requirements. The City believes that the annual financial report for the fiscal year ended June 30, 2016 continues to meet the requirements under the Certificate of Achievement Program and has submitted it to the GFOA for review.

The following financial statements are the basic financial statements of the City, the notes thereto and the management's discussion and analysis, lifted from the audited Comprehensive Annual Financial Report of the City for the fiscal year ended June 30, 2016.

City of Greensboro
Statement of Net Position
June 30, 2016

	Primary Government			
ASSETS	**Governmental Activities**	**Business-Type Activities**	**Total**	**Component Units**
Cash and Cash Equivalents/Investments	$ 129,101,173	$ 80,403,773	$ 209,504,946	$ 6,504,507
Receivables, Net				
Taxes	5,073,526		5,073,526	620,879
Accounts, Notes and Mortgages	26,315,433	17,267,264	43,582,697	80,687
Assessments	21,038		21,038	
Rent	1,650		1,650	
Intergovernmental	26,909,322	785,758	27,695,080	9,037,733
Interest	360,277	193,350	553,627	974,487
Real Estate Foreclosed	640,678		640,678	
Internal Balances	(7,274,193)	7,274,193		
Due from Component Unit	968,875		968,875	
Inventories	1,832,388	4,632,375	6,464,763	2,446,514
Miscellaneous	311,001	6,477	317,478	116,944
Assets Held for Resale	695,180		695,180	5,075,041
Self-Funded Retention Deposits	19,375,856		19,375,856	
Long-Term Note Receivable		275,000	275,000	13,121,897
Restricted Assets:				
Temporarily Restricted:				
Cash and Cash Equivalents/Investments	14,145,761	78,195,671	92,341,432	36,555
Receivables, (Net):				
Accounts, Notes and Mortgages	1,693,685		1,693,685	
Assessments		620,976	620,976	
Intergovernmental		1,303,441	1,303,441	118,127
Interest		155,715	155,715	
Miscellaneous		373,103	373,103	
Permanently Restricted:				
Cash and Cash Equivalents/Investments	2,386,841		2,386,841	
Capital Assets, Net				
Non-Depreciable:				
Land	87,105,546	45,868,641	132,974,187	4,705,907
Construction in Progress	17,032,139	90,094,469	107,126,608	
Intangible Assets - Easements		22,252,477	22,252,477	
Depreciable:				
Land Improvements	31,941,241	45,739,412	77,680,653	95,355
Accumulated Depreciation	(18,440,601)	(21,166,877)	(39,607,478)	(11,029)
Buildings	177,827,103	308,658,345	486,485,448	41,664,656
Accumulated Depreciation	(76,605,784)	(136,056,414)	(212,662,198)	(10,138,749)
Improvements Other than Buildings	94,000	9,988,483	10,082,483	473,917
Accumulated Depreciation	(4,700)	(5,220,316)	(5,225,016)	(373,594)
Furniture, Fixtures, Machinery and Equipment	161,263,263	58,175,485	219,438,748	28,402,474
Accumulated Depreciation	(115,907,142)	(32,837,685)	(148,744,827)	(16,176,895)
Infrastructure	294,477,175	661,812,618	956,289,793	
Accumulated Depreciation	(142,142,008)	(301,952,366)	(444,094,374)	
Intangible Assets	4,318,993	93,558,671	97,877,664	39,443
Accumulated Amortization	(4,170,472)	(15,409,109)	(19,579,581)	(26,295)
Total Assets	639,347,244	1,014,992,930	1,654,340,174	86,788,561
DEFERRED OUTFLOWS OF RESOURCES				
Unamortized Bond Refunding Charges	226,280	4,051,634	4,277,914	
Pension Deferrals	19,108	3,626	22,734	
Current Year Pension Contributions	8,560,781	1,624,893	10,185,674	165,201
Accumulated Decrease in Fair Value of Hedging Derivatives	566,943		566,943	
Total Deferred Outflows of Resources	9,373,112	5,680,153	15,053,265	165,201

The notes to the financial statements are an integral part of this statement.

	Primary Government			
LIABILITIES	**Governmental Activities**	**Business-Type Activities**	**Total**	**Component Units**
Accounts Payable	$ 19,647,663	$ 8,404,202	$ 28,051,865	$ 2,072,873
Contracts/Retainage Payable	1,913,867	1,867,105	3,780,972	1,266,765
Notes Payable				122,958
Intergovernmental Payable	1,663,518	19,405	1,682,923	
Customer Deposits Payable	610,927	3,923,057	4,533,984	1,799
Pollution Remediation Payable		559,747	559,747	
Accrued Interest Payable	1,639,714	659,271	2,298,985	
Accrued Landfill Liability		500,000	500,000	
Due to Primary Government				968,875
Miscellaneous	79,066		79,066	82,874
Prepaid Privilege License Fees	18,604		18,604	
Prepaid Business License Fees	2,100		2,100	
Unearned Grant Revenues	1,406,563		1,406,563	
Unearned Contributions/Donations	319,627		319,627	
Unearned Revenues		1,047,788	1,047,788	
Liabilities Payable from Restricted Assets:				
Accounts Payable	1,208,721	57,500	1,266,221	11,008
Contracts/Retainage Payable	5,527,147	7,815,991	13,343,138	3,621
Miscellaneous	1,423,478		1,423,478	
Unearned Grant Revenues	1,244,436		1,244,436	
Noncurrent Liabilities:				
Due Within One Year:				
General Obligation Bonds Payable	13,474,390		13,474,390	
General Obligation BANS Payable	31,023,007		31,023,007	
Lease Purchase and Other Financing Agreements Payable	2,342,834	302,618	2,645,452	
Revenue Bonds Payable		16,241,277	16,241,277	
Limited Obligation Bonds Payable	712,503		712,503	
Special Obligation Bonds Payable		680,000	680,000	
Certificates of Participation Payable	333,014		333,014	
Compensated Absences	7,159,777	1,331,237	8,491,014	46,980
Due in More Than One Year:				
Derivative Instrument Liability	566,943		566,943	
General Obligation Bonds Payable	128,509,620		128,509,620	
Limited Obligation Notes Payable	1,057,318		1,057,318	
Limited Obligation Bonds Payable	24,632,045		24,632,045	
Lease Purchase and Other Financing Agreements Payable	9,789,412	13,001,915	22,791,327	
Revenue Bonds Payable		219,263,880	219,263,880	
Revenue BANS Payable		18,496,701	18,496,701	
Special Obligation Bonds Payable		2,250,000	2,250,000	
Certificates of Participation Payable	5,929,705		5,929,705	
Notes Payable				4,407,711
Compensated Absences	4,918,661	817,909	5,736,570	384
Pollution Remediation Payable		992,670	992,670	
Accrued Landfill Liability		25,101,702	25,101,702	
Other Postemployment Benefits Payable	5,655,408	1,108,488	6,763,896	
Net Penison Obligation	10,204,742	1,936,931	12,141,673	187,148
Unearned Revenues				2,354,401
Miscellaneous				361,232
Total Liabilities	283,014,810	326,379,394	609,394,204	11,888,629
DEFERRED INFLOWS OF RESOURCES				
Prepaid Taxes	127,823		127,823	
Prepaid Assessments	13,402		13,402	
Pension Deferrals	5,729,319	1,087,463	6,816,782	80,084
Total Deferred Inflows of Resources	5,870,544	1,087,463	6,958,007	80,084
NET POSITION				
Net Investment in Capital Assets	212,860,955	557,321,077	770,182,032	48,655,190
Restricted for:				
Assets Held for Resale	695,180		695,180	2,723,340
Stabilization by State Statute	61,375,317		61,375,317	
Highway Improvements	6,005,759		6,005,759	
Culture and Recreation	489,473		489,473	
Capital Projects		72,775,415	72,775,415	140,053
Neighborhood Development	856,460		856,460	45,190
Economic Opportunity	1,220,505		1,220,505	
Public Safety	378,264		378,264	
Self-Funded Retention Deposits	19,375,856		19,375,856	
Perpetual Care: Perpetual Maintenance	2,386,841		2,386,841	
Unrestricted	54,190,392	63,109,734	117,300,126	23,421,276
Total Net Position	$ 359,835,002	$ 693,206,226	$ 1,053,041,228	$ 74,985,049

The notes to the financial statements are an integral part of this statement.

City of Greensboro
Statement of Activities
For the Fiscal Year Ended June 30, 2016

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions
Primary Government:				
Governmental Activities:				
General Government	$ 24,891,783	$ 7,862,858	$ 103,156	$ 31,880
Public Safety	139,582,738	8,065,025	1,878,521	366,208
Transportation	22,712,727	1,135,911	1,541,515	3,093,683
Engineering and Building Maintenance	15,641,909	2,843,065		17,725
Field Operations	33,524,708	7,015,823	7,412,721	
Environmental Services	659,960	553,227	187,435	428,787
Culture and Recreation	30,900,864	2,917,048	1,863,821	
Neighborhood Development	8,721,998	326,067	4,886,160	
Economic Opportunity	8,659,082	117,253	5,984,320	
Interest, Fees on Long-Term Debt	5,353,607			
Total Governmental Activities	290,649,376	30,836,277	23,857,649	3,938,283
Business-Type Activities:				
Water Operations	45,730,742	52,190,551		4,051,593
Sewer Operations	43,204,926	56,328,824		
Stormwater Management	8,550,444	9,591,310		
War Memorial Coliseum	26,209,548	18,163,472		335,353
Solid Waste Management	14,467,928	13,391,867		
Parking Facilities	3,409,082	2,380,774		
Total Business-Type Activities	141,572,670	152,046,798		4,386,946
Total Primary Government	$ 432,222,046	$ 182,883,075	$ 23,857,649	$ 8,325,229
Component Units:				
Greensboro Housing Dev. Partnership	$ 187,518	$ 191,348	$	$
Greensboro Redevelopment Commission	940,771		805,576	456,247
Greensboro Transit Authority	25,546,050	2,470,156	1,212,335	12,442,251
Greensboro ABC Board	33,707,866	34,107,866		
Total Component Units	$ 60,382,205	$ 36,769,370	$ 2,017,911	$ 12,898,498

General Revenues:
- Property Tax
- Local Option Sales Tax
- Vehicle Gross Receipts Tax
- Motor Vehicle Tax
- Hotel/Motel Occupancy Tax
- Electric Utility Sales Tax
- Piped Natural Gas Sales Tax
- Telecommunications Sales Tax
- Beer and Wine Tax
- Payment in Lieu of Taxes
- ABC Profit Distribution-unrestricted
- Intergovernmental - unrestricted
- Investment Income
- Miscellaneous
- Total General Revenues

Transfers In (Out)

Total General Revenues Including Transfers

Change in Net Position

Net Position - July 1
Prior Period Adjustment
Net Position - July 1, (restated)

Net Position - June 30

The notes to the financial statements are an integral part of this statement.

Net (Expenses) Revenue and Changes in Net Position			
Primary Government			
Governmental Activities	Business-Type Activities	Total	Component Units
$ (16,893,889)	$	$ (16,893,889)	$
(129,272,984)		(129,272,984)	
(16,941,618)		(16,941,618)	
(12,781,119)		(12,781,119)	
(19,096,164)		(19,096,164)	
509,489		509,489	
(26,119,995)		(26,119,995)	
(3,509,771)		(3,509,771)	
(2,557,509)		(2,557,509)	
(5,353,607)		(5,353,607)	
(232,017,167)		(232,017,167)	
	10,511,402	10,511,402	
	13,123,898	13,123,898	
	1,040,866	1,040,866	
	(7,710,723)	(7,710,723)	
	(1,076,061)	(1,076,061)	
	(1,028,308)	(1,028,308)	
	14,861,074	14,861,074	
(232,017,167)	14,861,074	(217,156,093)	
			3,830
			321,052
			(9,421,308)
			400,000
			(8,696,426)
154,143,618		154,143,618	8,497,760
47,442,711		47,442,711	
317,027		317,027	
			1,323,854
3,905,980		3,905,980	
16,894,306		16,894,306	
952,353		952,353	
6,175,654		6,175,654	
1,235,242		1,235,242	
86,280		86,280	
3,634,041		3,634,041	
53,983		53,983	
2,436,909	1,963,029	4,399,938	1,050,463
1,155,859	5,329,411	6,485,270	187,332
238,433,963	7,292,440	245,726,403	11,059,409
(3,650,495)	3,650,495		
234,783,468	10,942,935	245,726,403	11,059,409
2,766,301	25,804,009	28,570,310	2,362,983
356,660,390	667,402,217	1,024,062,607	72,622,066
408,311		408,311	
357,068,701	667,402,217	1,024,470,918	72,622,066
$ 359,835,002	$ 693,206,226	$ 1,053,041,228	$ 74,985,049

The notes to the financial statements are an integral part of this statement.

Exhibit A-3

BALANCE SHEET

Governmental Funds
June 30, 2016

ASSETS	GENERAL	DEBT SERVICE	OTHER GOVERNMENTAL FUNDS	TOTAL (1) GOVERNMENTAL FUNDS
Cash and Cash Equivalents/Investments	$ 57,018,960	$ 10,697,305	$ 14,484,537	$ 82,200,802
Receivables:				
Taxes	4,992,001		81,525	5,073,526
Accounts, Notes and Mortgages	2,171,987		23,719,770	25,891,757
Assessments			21,038	21,038
Rent			1,650	1,650
Intergovernmental	21,245,856	212,120	4,457,429	25,915,405
Real Estate Foreclosed	640,678			640,678
Internal Receivables	150,910		1,351,420	1,502,330
Due from Component Unit	968,875			968,875
Inventories	1,003,078			1,003,078
Miscellaneous	197,660		1,550	199,210
Assets Held for Resale			95,180	95,180
Restricted Assets:				
Cash and Cash Equivalents/Investments	1,423,478		15,109,124	16,532,602
Receivables:				
Accounts, Notes and Mortgages			1,693,685	1,693,685
Total Assets	$ 89,813,483	$ 10,909,425	$ 61,016,908	$ 161,739,816
LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES				
Liabilities:				
Accounts Payable	$ 2,160,632	$	$ 145,688	$ 2,306,320
Contracts/Retainage Payable	516,651		1,370,235	1,886,886
Intergovernmental Payable	1,663,518			1,663,518
Customer Deposits Payable	564,876			564,876
Internal Payables			1,502,330	1,502,330
Miscellaneous			79,066	79,066
Prepaid Privilege License Fees	18,604			18,604
Prepaid Business Permit Fees	2,100			2,100
Unearned Grant Revenues			2,792,409	2,792,409
Unearned Contributions/Donations	319,627			319,627
Liabilities Payable From Restricted Assets:				
Accounts Payable			1,208,721	1,208,721
Contracts/Retainage Payable			5,527,147	5,527,147
Unearned Grant Revenues			1,244,436	1,244,436
Miscellaneous	1,423,478			1,423,478
Total Liabilities	6,669,486		13,870,032	20,539,518
Deferred Inflows of Resources:				
Property Taxes Receivable	4,992,001		81,525	5,073,526
Other Accounts Receivable	851,014		21,038	872,052
Prepaid Taxes	127,823			127,823
Prepaid Assessments			13,402	13,402
Total Deferred Inflows of Resources	5,970,838		115,965	6,086,803
Fund Balances:				
Non-Spendable:				
Inventories	1,003,078			1,003,078
Miscellaneous Prepaid Expenditures	197,660			197,660
Perpetual Maintenance			2,386,841	2,386,841
Assets Held for Resale			95,180	95,180
Total Non-Spendable Fund Balance	1,200,738		2,482,021	3,682,759
Restricted:				
Stabilization by State Statute	28,002,098	214,820	33,158,399	61,375,317
Debt Covenants			2,754,031	2,754,031
Grantor Requirements - Highway Improvements			4,806,451	4,806,451
Culture and Recreation			890,923	890,923
Total Restricted Fund Balance	28,002,098	214,820	41,609,804	69,826,722
Committed:				
For 911 Program			11,645	11,645
For Police Separation Allowance	6,365,576			6,365,576
For Special Tax Districts			865,792	865,792
For Neighborhood Development			1,055,049	1,055,049
For Economic Opportunity			328,533	328,533
For Cemetery Maintenance			171,605	171,605
For Debt Service			3,032,088	3,032,088
Total Committed Fund Balance	6,365,576		5,464,712	11,830,288
Assigned:				
Appropriated for Subsequent Year's Expenditures	6,654,740	732,014	670,157	8,056,911
For Debt Service		9,962,591		9,962,591
For Capital Projects	10,149,567		4,277,339	14,426,906
Total Assigned Fund Balance	16,804,307	10,694,605	4,947,496	32,446,408
Unassigned	24,800,440		(7,473,122)	17,327,318
Total Fund Balances	77,173,159	10,909,425	47,030,911	135,113,495
Total Liabilities, Deferred Inflows of Resources and Fund Balances	$ 89,813,483	$ 10,909,425	$ 61,016,908	$ 161,739,816

(1) After internal receivables and payables have been eliminated.

The notes to the financial statements are an integral part of this statement.

City of Greensboro
Reconciliation of the Balance Sheet of Governmental Funds
To the Statement of Net Position
June 30, 2016

Total fund balances - governmental funds	$	135,113,495
Amounts reported for governmental activities in the Statement of Net Position are different because:		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds.		371,416,656
Net pension obligation - LGERS.		(9,476,836)
Contribution to the LGERS pension plan in the current fiscal year are Deferred Outflows of Resources on the Statement of Net Position.		7,950,140
Internal service funds are used by management to charge the costs of equipment services, technical services, information services, metro communications, graphic services, employee risk retention, general risk retention and capital leasing to individual funds. The assets and liabilities of the internal service funds are included in governmental activities in the statement of net position.		79,258,125
Earned revenues considered deferred inflows of resources and unearned revenues in fund statements due to "availability" criteria.		7,331,424
Long-term liabilities included in net position (includes the addition of long-term debt and principal payments during the year.)		(226,709,323)
Pension related deferrals.		(5,302,902)
Miscellaneous adjustments to net position includes investment income receivable not reported in the governmental funds.		254,223
Net position of governmental activities	$	359,835,002

The notes to the financial statements are an integral part of this statement.

STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES

Governmental Funds
For the Fiscal Year Ended June 30, 2016

	GENERAL	DEBT SERVICE	OTHER GOVERNMENTAL FUNDS	TOTAL GOVERNMENTAL FUNDS
Revenues:				
Taxes	$ 198,820,594	$	$ 7,761,665	$ 206,582,259
Assessments			8,247	8,247
Intergovernmental	32,518,231		22,870,325	55,388,556
Licenses and Permits	4,390,773			4,390,773
Fines and Forfeitures	1,864,116			1,864,116
Charges for Current Services	17,343,516		2,575,882	19,919,398
Investment Income	72,689	1,124,463	332,493	1,529,645
Net Increase (Decrease) in the Fair Value of Investments		235,743		235,743
Total Investment Income	72,689	1,360,206	332,493	1,765,388
Miscellaneous	2,574,694	187,199	954,460	3,716,353
Total Revenues	257,584,613	1,547,405	34,503,072	293,635,090
Expenditures:				
Current:				
General Government	20,071,990	213,274	2,064,651	22,349,915
Public Safety	122,709,166		4,191,406	126,900,572
Transportation	9,371,974		24,341,840	33,713,814
Environmental Services			656,831	656,831
Engineering and Building Maintenance	14,777,214			14,777,214
Field Operations	33,754,392			33,754,392
Culture and Recreation	25,969,977		2,563,192	28,533,169
Neighborhood Development	371,129		8,896,396	9,267,525
Economic Opportunity	1,506,405		7,116,117	8,622,522
Intergovernmental	2,032,220			2,032,220
Debt Service:				
Principal Retirement		11,390,844	870,000	12,260,844
Interest, Fees on Long-Term Debt		5,185,003	1,316,971	6,501,974
Total Expenditures	230,564,467	16,789,121	52,017,404	299,370,992
Excess of Revenues Over (Under) Expenditures	27,020,146	(15,241,716)	(17,514,332)	(5,735,902)
Other Financing Sources (Uses):				
Debt Issuances:				
General Obligation BANs Issued			17,387,644	17,387,644
Limited Obligation BAN Issued			1,057,318	1,057,318
Transfers In	6,939,642	18,272,570	7,448,156	32,660,368
Transfers Out	(30,077,668)		(10,600,209)	(40,677,877)
Total Other Financing Sources (Uses)	(23,138,026)	18,272,570	15,292,909	10,427,453
Net Change in Fund Balances	3,882,120	3,030,854	(2,221,423)	4,691,551
Fund Balances - July 1	66,911,414	7,878,571	49,252,334	124,042,319
Prior Period Adjustment	6,379,625			6,379,625
Fund Balances - July 1, (restated)	73,291,039	7,878,571	49,252,334	130,421,944
Fund Balances - June 30	$ 77,173,159	$ 10,909,425	$ 47,030,911	$ 135,113,495

The notes to the financial statements are an integral part of this statement.

City of Greensboro
Reconciliation of the Statement of Revenues,
Expenditures, and Changes in Fund Balances of Governmental Funds
To the Statement of Activities
For the Fiscal Year Ended June 30, 2016

Amounts reported for governmental activities in the statement of activities are different because:		
Net change in fund balances----total governmental funds.	$	4,691,551
Governmental funds report capital outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays exceeded depreciation in the current period, including amounts for disposals.		5,798,496
Contributions to the pension plan in the current fiscal year are not included in the Statement of Activities.		7,938,808
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.		2,712,852
The issuance of long-term debt (e.g., bonds, leases) provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are unearned and amortized in the statement of activities. Includes OPEB and compensated absence activities.		(7,175,974)
Internal service funds are used by management to charge the costs of equipment services, technical services, information services, metro communications, graphic services, employee risk retention, general risk retention, and capital leasing to individual funds. The net revenue of certain activities of internal service funds is reported with governmental activities.		(3,743,507)
Some expenses reported in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds - Pension expense - LGERS Plan.		(4,753,683)
Revenues earned in prior year that first became available in the current year in the government funds have been reclassed to beginning net position in the statement of activities.		(2,702,242)
Change in net position of governmental activities	$	2,766,301

The notes to the financial statements are an integral part of this statement.

General Fund

The General Fund is the principal fund of the City from which the major portion of the City's operations are financed. This fund finances the regular operation of all departments except Enterprise Fund and Internal Service Fund departments.

A summary of revenues and other financing sources and expenditures and other financing uses for the fiscal year ended June 30, 2016 is presented below:

	Amount	Percent of Total
Revenues and Other Financing Sources		
Taxes	$ 198,820,594	75.1%
Intergovernmental	32,518,231	12.3%
Licenses and Permits	4,390,773	1.7%
Fines and Forfeitures	1,864,116	0.7%
Charges for Current Services	17,343,516	6.6%
Miscellaneous	2,574,694	1.0%
Investment Income	72,689	0.0%
Other Financing Sources	6,939,642	2.6%
Total Revenues and Other Financing Sources	$ 264,524,255	100.0%

Expenditures and Other Financing Uses		
General Government	$ 20,071,990	7.7%
Public Safety	122,709,166	47.0%
Transportation	9,371,974	3.6%
Engineering and Building Maintenance	14,777,214	5.7%
Field Operations	33,754,392	13.0%
Culture and Recreation	25,969,977	10.0%
Neighborhood Development	371,129	0.1%
Economic Opportunity	1,506,405	0.6%
Intergovernmental	2,032,220	0.8%
Other Financing Uses	30,077,668	11.5%
Total Expenditures and Other Financing Uses	$ 260,642,135	100.0%

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Variance with Final Budget-Positive (Negative)
Revenues:				
Taxes:				
Ad Valorem Taxes-Current Year	$ 137,693,000	$ 137,693,000	$ 136,921,843	$ (771,157)
Ad Valorem Taxes-Prior Year	2,276,000	2,276,000	1,382,599	(893,401)
State of NC RMV Taxes-Current Year	11,586,000	11,586,000	12,176,233	590,233
Penalties and Interest	845,000	845,000	737,835	(107,165)
Local Option Sales Tax	45,808,934	45,808,934	47,285,057	1,476,123
Vehicle Gross Receipts Tax	265,000	265,000	317,027	52,027
Total Taxes	198,473,934	198,473,934	198,820,594	346,660
Intergovernmental:				
State Grants:				
Libraries	317,680	317,680	383,054	65,374
State-Shared:				
Utility Taxes:				
Electric Utility Sales Tax	12,904,843	12,904,843	16,894,306	3,989,463
Piped Natural Gas Sales Tax	1,437,735	1,437,735	952,353	(485,382)
PEG Channel Support	95,446	95,446	83,916	(11,530)
Telecommunications Sales Tax	3,658,103	3,658,103	3,205,816	(452,287)
Video Programming/Telecommunications Service Sales Tax	2,984,875	2,984,875	2,885,922	(98,953)
Beer and Wine Tax	1,251,750	1,251,750	1,235,242	(16,508)
State Reimbursements/Other:				
Court Fees	70,000	70,000	53,983	(16,017)
Payment In Lieu of Taxes	451,746	451,746	479,764	28,018
Local Grants:				
PEG Channel Support			28,071	28,071
Economic Development		75,085	75,085	
Libraries	1,362,347	1,362,347	1,358,189	(4,158)
School Resource Officer Programs	1,064,051	1,064,051	1,061,054	(2,997)
Environmental Programs	145,000	145,000	187,435	42,435
ABC Board Profit Distribution	3,423,000	3,423,000	3,634,041	211,041
Total Intergovernmental	29,166,576	29,241,661	32,518,231	3,276,570
Licenses and Permits:				
Privilege Licenses:				
Privilege Licenses-Current Year	19,500	19,500	19,132	(368)
Penalties on Privilege Licenses	400	400	552	152
Privilege Licenses-Prior Years	150	150	6,096	5,946
Penalties on Prior Years' Licenses	50	50	1,141	1,091
Business Permits-Current Year			4,573	4,573
Motor Vehicle Licenses	725,000	725,000	741,101	16,101
Other Licenses and Permits	349,589	349,589	742,378	392,789
Construction Permits:				
Building Permits	987,500	987,500	1,177,393	189,893
Electrical Permits	588,642	588,642	639,213	50,571
Plumbing Permits	301,165	301,165	359,656	58,491
Mechanical Permits	617,100	617,100	699,538	82,438
Total Licenses and Permits	3,589,096	3,589,096	4,390,773	801,677

The notes to the financial statements are an integral part of this statement.

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Variance with Final Budget- Positive (Negative)
Fines and Forfeitures:				
Parking Violations	$ 1,235,000	$ 1,235,000	$ 837,648	$ (397,352)
Library Fines	186,005	186,005	161,095	(24,910)
City Code Violations	160,000	160,000	62,323	(97,677)
False Burglar Alarm Fines	1,164,550	1,164,550	803,050	(361,500)
Total Fines and Forfeitures	2,745,555	2,745,555	1,864,116	(881,439)
Charges for Current Services:				
Planning:				
Preliminary Plan Reviews	103,770	103,770	147,698	43,928
Final Plats/Declarations	20,360	20,360	14,936	(5,424)
Rezoning Applications	42,175	42,175	59,090	16,915
Other Planning Fees	16,222	16,222	29,776	13,554
Police Department:				
Police Department Services	31,826	31,826	49,690	17,864
Tow-In Services	34,482	34,482	22,229	(12,253)
Off-Duty Employment	181,600	181,600	269,890	88,290
Contracted Services	309,700	309,700	309,700	
Fire Department:				
Hazardous Material Fees	20,000	20,000	34,563	14,563
Fire Department Plan Reviews	71,000	71,000	69,545	(1,455)
Fire Code Reinspections	30,000	30,000	26,700	(3,300)
Miscellaneous Permits	125,425	125,425	145,540	20,115
Rental and Lease	6,000	6,000	3,500	(2,500)
Inspections:				
Fire Code Reinspections	300	300	681	381
Vacant Lot Cleaning Fees	150,000	150,000	173,896	23,896
Junked Auto Fees	14,000	14,000	14,425	425
Boarding Vacant Houses	33,000	33,000	22,241	(10,759)
Housing Civil Penalties			1,994	1,994
Re-inspection Fees	1,092	1,092	12,317	11,225
Transportation:				
State Highway System:				
Signals, Signs and Lights	707,000	707,000	790,797	83,797
Monthly Parking Fees	33,520	33,520	44,487	10,967
Field Operations:				
Maintenance Service-Local Agencies	21,500	21,500	6,249	(15,251)
State Highway System:				
Highway Maintenance	286,000	286,000	468,466	182,466
Mowing Services	88,560	88,560	88,560	
Waste/Trash Collection	4,975,250	4,975,250	4,783,460	(191,790)
ABC Recycling Fees	75,000	75,000	70,030	(4,970)
Engineering and Building Maintenance:				
Plan Review/Water and Sewer/Roadways	130,000	130,000	176,015	46,015
Rental and Lease	421,449	421,449	441,523	20,074
Environmental Services:				
Hazardous Waste Disposal Fees	456,000	456,000	459,227	3,227
Parks and Recreation:				
Admissions and Charges	1,484,335	1,484,335	1,491,929	7,594
Rental and Lease	101,000	101,000	141,252	40,252
Catering Services	200	200	102	(98)

The notes to the financial statements are an integral part of this statement.

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Variance with Final Budget- Positive (Negative)
Charges for Current Services (Continued):				
Concessions	$ 109,900	$ 109,900	$ 71,126	$ (38,774)
Fishing, Hunting and Boating Fees	39,800	39,800	38,048	(1,752)
Other Parks and Recreation Revenue	139,975	139,975	277,773	137,798
Library Fees	20,420	20,420	25,378	4,958
Interdepartmental Charges:				
Administrative Charges	4,545,034	4,545,034	4,562,254	17,220
Engineering Services	1,416,000	1,416,000	1,416,000	
Rents	413,845	413,845	582,429	168,584
Total Charges for Current Services	16,655,740	16,655,740	17,343,516	687,776
Miscellaneous:				
Sale of Assets	959,700	959,700	691,784	(267,916)
Miscellaneous Receivables Revenue	32,000	32,000	41,938	9,938
Donations and Private Contributions	105,600	125,600	109,880	(15,720)
Contracted Construction Projects	977,570	977,570	1,147,388	169,818
Service Charges	2,000	2,000	535	(1,465)
Other Revenue	493,280	493,280	583,169	89,889
Total Miscellaneous	2,570,150	2,590,150	2,574,694	(15,456)
Investment Income			72,689	72,689
Appropriated Fund Balance	7,796,455	9,781,802		(9,781,802)
Total Revenues	260,997,506	263,077,938	257,584,613	(5,493,325)

The notes to the financial statements are an integral part of this statement.

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Variance with Final Budget- Positive (Negative)
Expenditures:				
General Government:				
Legislative:				
Governing Body	$ 319,923	$ 319,923	$ 277,233	$ 42,690
Clerk of Governing Body	381,923	381,923	400,387	(18,464)
Elections	351,900	351,900	270,677	81,223
Community Relations	277,972	277,972	250,737	27,235
Total Legislative	1,331,718	1,331,718	1,199,034	132,684
Executive:				
City Manager	1,573,951	1,534,759	1,319,437	215,322
Internal Audit	360,396	360,396	382,420	(22,024)
Minority and Women's Business Enterprises	169,782	206,284	215,103	(8,819)
Contact Center	761,184	761,184	700,071	61,113
Total Executive	2,865,313	2,862,623	2,617,031	245,592
Human Relations	497,103	497,103	453,426	43,677
Human Resources:				
Administration	556,762	556,762	479,852	76,910
Employment	281,651	281,651	294,072	(12,421)
Benefits	119,516	119,516	127,074	(7,558)
HRIS/Compensation/Compliance	764,303	764,303	733,106	31,197
Learning and Development	1,036,679	1,022,679	951,453	71,226
Total Human Resources	2,758,911	2,744,911	2,585,557	159,354
Budget and Evaluation	762,637	762,637	759,338	3,299
Planning	1,766,127	1,766,127	1,578,034	188,093
Finance:				
Administration	725,418	725,418	680,014	45,404
Accounting	603,652	598,652	527,078	71,574
Financial Reporting	251,524	256,524	240,326	16,198
Purchasing and Supply	392,433	392,433	334,570	57,863
Collections	1,352,774	1,352,774	1,201,822	150,952
Treasury Management	493,350	493,350	486,158	7,192
Central Contracting	104,359	104,359	100,365	3,994
Total Finance	3,923,510	3,923,510	3,570,333	353,177
Legal	1,086,020	1,086,020	1,068,081	17,939
Communications	1,124,290	1,163,290	1,088,053	75,237
Information Technology:				
Administration	440,852	440,852	463,333	(22,481)
Geographic Information Services	574,634	574,634	563,863	10,771
IT - Operations	192,585	192,585	153,988	38,597
Application Development	574,950	574,950	579,584	(4,634)
Enterprise Business Solutions	1,761,306	1,761,306	1,733,131	28,175
Total Management Information Systems	3,544,327	3,544,327	3,493,899	50,428
Other General Government:				
NC Metropolitan Coalition	15,710	15,710	16,019	(309)
Faith Action ID	15,000	15,000	15,000	
Nondepartmental	880,148	892,148	1,628,185	(736,037)
Total Other General Government	910,858	922,858	1,659,204	(736,346)
Total General Government	20,570,814	20,605,124	20,071,990	533,134

The notes to the financial statements are an integral part of this statement.

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Variance with Final Budget- Positive (Negative)
Public Safety:				
Police:				
Administration	$ 2,506,590	$ 2,506,590	$ 2,634,695	$ (128,105)
Resource Management	9,333,326	9,308,224	8,349,402	958,822
Information Services	2,671,404	2,671,404	2,698,179	(26,775)
Field Operations	36,989,586	36,906,586	34,348,575	2,558,011
Criminal Investigations	8,472,006	8,472,006	8,819,646	(347,640)
Special Operations	2,796,094	2,801,698	2,787,050	14,648
Investigative Support	2,743,964	2,743,964	2,586,113	157,851
Vice/Narcotics	3,075,859	3,085,859	3,133,942	(48,083)
Professional Standards	950,473	950,473	1,002,662	(52,189)
Organizational Development	978,274	1,011,274	2,840,791	(1,829,517)
IT Public Safety	2,910,912	2,910,912	2,822,719	88,193
Total Police	73,428,488	73,368,990	72,023,774	1,345,216
Fire:				
Administration	1,896,564	1,925,564	1,523,285	402,279
Training	1,232,483	1,233,811	1,318,494	(84,683)
Fire Prevention	1,736,697	1,736,697	1,767,470	(30,773)
Emergency Services	37,165,290	37,136,290	36,235,570	900,720
Regulatory/Fleet Repair Service	5,150,566	5,150,566	4,999,650	150,916
Stations and Buildings	367,379	762,079	753,522	8,557
Total Fire	47,548,979	47,945,007	46,597,991	1,347,016
Inspections:				
Building Inspections	2,723,267	2,723,267	2,730,142	(6,875)
Code Compliance	1,513,518	1,513,518	1,357,259	156,259
Total Inspections	4,236,785	4,236,785	4,087,401	149,384
Total Public Safety	125,214,252	125,550,782	122,709,166	2,841,616
Transportation:				
Administration	1,488,130	1,463,892	1,298,547	165,345
Traffic Operations	3,346,843	3,370,840	3,267,722	103,118
Traffic Engineering	4,445,237	4,445,237	4,535,638	(90,401)
Transportation Planning	266,984	267,219	270,067	(2,848)
Total Transportation	9,547,194	9,547,188	9,371,974	175,214
Engineering and Building Maintenance:				
Administration	370,449	370,449	367,537	2,912
Engineering	4,287,798	4,254,798	3,986,965	267,833
Business and Technology	737,108	707,108	639,490	67,618
Facilities Engineering	514,233	511,733	334,417	177,316
Central City Maintenance	3,156,606	4,212,367	3,686,015	526,352
Building Maintenance	4,418,572	5,339,422	4,932,890	406,532
Energy	3,793,185	861,779	739,014	122,765
Franchise Administration	174,367	144,867	90,886	53,981
Total Engineering and Building Maintenance	17,452,318	16,402,523	14,777,214	1,625,309

The notes to the financial statements are an integral part of this statement.

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Variance with Final Budget- Positive (Negative)
Field Operations:				
Administration	$ 3,653,809	$ 3,653,809	$ 3,695,945	$ (42,136)
Materials Recovery Facility	73,892	73,892	55,373	18,519
Stormwater Utility Fee	1,960,104	1,960,104	1,941,544	18,560
Solid Waste Collections	17,419,370	17,374,370	16,524,703	849,667
Streets - Stormwater Maintenance	6,182,196	6,244,819	6,049,023	195,796
Right of Way Maintenance	5,202,241	5,148,115	4,533,661	614,454
Environmental Services	1,068,618	1,068,618	954,143	114,475
Total Field Operations	35,560,230	35,523,727	33,754,392	1,769,335
Culture and Recreation:				
Parks and Recreation:				
Administration	2,178,598	2,178,598	2,084,699	93,899
Planning	168,793	168,793	129,822	38,971
Gillespie Golf Course	485,069	593,730	620,893	(27,163)
Greensboro Sportsplex	491,922	544,722	525,808	18,914
City Arts	648,697	696,844	610,203	86,641
Program and Community Services	595,272	614,038	625,402	(11,364)
Neighborhood Playgrounds and Centers	1,938,415	2,189,140	2,118,300	70,840
Swimming Pools	320,419	330,419	343,651	(13,232)
Memorial Stadium	2,278	2,278	2,206	72
Hester Park	312,659	312,659	294,027	18,632
Country Park	361,254	361,254	306,783	54,471
Jaycee Park	305,992	294,818	306,961	(12,143)
Athletics	670,271	606,271	417,249	189,022
Turf/Athletic Field Maintenance	1,195,921	1,217,162	1,118,774	98,388
Regional Parks	98,290	98,290	105,970	(7,680)
Lake Wardens	596,212	596,212	534,207	62,005
Barber Park	400,793	400,793	393,483	7,310
Equipment Maintenance	138,555	138,555	140,465	(1,910)
Development and Maintenance	1,498,564	1,498,564	1,231,643	266,921
Landscape and Beautification	1,099,834	1,099,834	1,053,666	46,168
Carolyn Allen Park	486,452	476,386	477,780	(1,394)
Price Park	43,631	43,631	39,497	4,134
Keeley Park Operations	435,775	435,775	385,096	50,679
Trails and Greenways	303,509	303,509	263,185	40,324
Tennis	136,866	145,867	150,697	(4,830)
Arts Center	76,023	76,023	83,702	(7,679)
Simkins Indoor Sports Pavilion	130,482	130,482	106,194	24,288
Senior Programs	316,692	353,362	390,923	(37,561)
Bryan Park Operations	795,205	835,206	852,440	(17,234)
Youth First	313,543	320,682	315,761	4,921
Volunteer Services	173,267	178,347	71,142	107,205
Total Parks and Recreation	16,719,253	17,242,244	16,100,629	1,141,615

The notes to the financial statements are an integral part of this statement.

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Variance with Final Budget- Positive (Negative)
Library:				
Administration	$ 2,574,464	$ 2,624,465	$ 2,335,731	$ 288,734
Main Library	1,731,557	1,731,557	1,556,212	175,345
Extension Services	7,563	7,563	5,646	1,917
Collection Inventory	915,465	915,465	928,755	(13,290)
Benjamin Branch Library	318,199	338,608	279,014	59,594
Northeast Branch Library	379,511	414,651	374,984	39,667
Vance H. Chavis Branch Library	337,906	350,644	299,791	50,853
Hemphill Branch Library	420,025	420,025	418,215	1,810
Glenwood Branch Library	346,854	367,632	266,491	101,141
Kathleen Clay Edwards Branch Library	557,285	557,285	526,094	31,191
McGirt-Horton Branch Library	410,950	448,865	403,354	45,511
Historical Museum	872,175	872,175	785,314	86,861
Total Library	8,871,954	9,048,935	8,179,601	869,334
Other Culture and Recreation:				
Greensboro Science Center	1,085,000	1,085,000	1,085,000	
Greensboro Sports Commission	67,500	67,500	67,500	
Fun Fourth - Grassroots	9,250	9,250	12,993	(3,743)
Children's Museum	100,000	100,000	100,000	
Blandwood Mansion	16,750	16,750	16,750	
Festival of Lights	13,750	15,750	17,139	(1,389)
Center City Park	200,000	200,000	200,000	
Public Access - GCTV	193,985	193,985	190,365	3,620
Total Other Culture and Recreation	1,686,235	1,688,235	1,689,747	(1,512)
Total Culture and Recreation	27,277,442	27,979,414	25,969,977	2,009,437
Neighborhood Development				
Greensboro Housing Authority	50,000	50,000	86,279	(36,279)
Downtown Greensboro, Inc.	190,000	190,000	190,000	
East Market Street Development Corporation	50,000	50,000	50,000	
Architectural Salvage	14,850	14,850	14,850	
Downtown Development	100,000	100,000	30,000	70,000
Total Neighborhood Development	404,850	404,850	371,129	33,721
Economic Opportunity:				
Economic Development	1,412,967	1,517,744	1,329,640	188,104
Chamber of Commerce	300,000	300,000	176,765	123,235
Total Economic Opportunity	1,712,967	1,817,744	1,506,405	311,339

The notes to the financial statements are an integral part of this statement.

General Fund

Statement of Revenues, Expenditures and Changes in Fund Balance - Budget and Actual
For the Fiscal Year Ended June 30, 2016

	Original Budget	Final Budget	Actual	Variance with Final Budget- Positive (Negative)
Intergovernmental:				
Guilford County:				
Tax Collections	$ 1,325,000	$ 990,000	$ 966,170	$ 23,830
Animal Shelter and Animal Control	653,533	653,533	612,099	41,434
Environmental Health Control	5,500	5,500		5,500
State of NC RMV Collections		335,000	334,983	17
Educational Access Guilford County Schools	65,200	65,200	60,451	4,749
Piedmont Triad Regional Council	59,327	59,327	58,517	810
Total Intergovernmental	2,108,560	2,108,560	2,032,220	76,340
Total Expenditures	239,848,627	239,939,912	230,564,467	9,375,445
Excess of Revenues Over Expenditures	21,148,879	23,138,026	27,020,146	3,882,120
Other Financing Sources (Uses):				
Transfers In:				
State Highway Allocation Fund	5,846,000	5,846,000	5,846,000	
Special Tax Districts Fund	320,642	320,642	320,642	
Street Improvements Bond Fund	720,000	720,000	720,000	
Information Systems Fund	53,000	53,000	53,000	
Total Transfers In	6,939,642	6,939,642	6,939,642	
Transfers Out:				
Cemetery Operating Fund	415,160	415,160	415,160	
State and Federal Grants Fund		3,800	3,800	
Debt Service Fund	18,272,570	18,272,570	18,272,570	
General Capital Improvements Fund	375,000	2,360,347	2,360,347	
War Memorial Coliseum Fund	2,500,000	2,500,000	2,500,000	
Solid Waste Management Fund	1,805,777	1,805,777	1,805,777	
Guilford Metro Communications Fund	4,720,014	4,720,014	4,720,014	
Total Transfers Out	28,088,521	30,077,668	30,077,668	
Total Other Financing Sources (Uses)	(21,148,879)	(23,138,026)	(23,138,026)	
Excess of Revenues and Other Financing Sources Over Expenditures and Other Financing Uses	$	$	3,882,120	3,882,120
Fund Balance - July 1			66,911,414	66,911,414
Prior Period Adjustment			6,379,625	6,379,625
Fund Balance - July 1, (restated)			73,291,039	73,291,039
Fund Balance - June 30			$ 77,173,159	$ 77,173,159

The notes to the financial statements are an integral part of this statement.

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Statement of Net Position

Proprietary Funds

June 30, 2016

	Business-Type Activities - Enterprise Funds			
	Water Resources	Stormwater Management	War Memorial Coliseum	Solid Waste Management
ASSETS				
Current Assets:				
Cash and Cash Equivalents/Investments	$ 51,233,173	$ 9,688,043	$ 7,689,639	$ 8,442,745
Receivables (Net):				
Accounts, Notes and Mortgages	14,434,328	747,481	562,633	1,497,808
Intergovernmental	582,149	73,401	15,395	102,369
Interest	142,935	22,639	1,750	18,874
Inventories	4,584,053		42,415	5,907
Miscellaneous	1,017		4,060	1,400
Total Current Assets	70,977,655	10,531,564	8,315,892	10,069,103
Noncurrent Assets:				
Restricted:				
Cash and Cash Equivalents/ Investments	66,676,798	7,467,816	1,424,825	1,703,892
Receivables (Net):				
Accounts, Notes and Mortgages				
Assessments	620,976			
Intergovernmental	1,294,768		8,673	
Interest	134,016	17,117		2,545
Miscellaneous			373,103	
Assets Held for Resale				
Self-Funded Retention Deposits				
Long-Term Note Receivable				
Capital Assets:				
Non-Depreciable:				
Land	17,425,538	1,040,576	17,475,639	5,953,501
Construction in Progress	82,632,668	3,784,113	3,648,088	
Intangible Assets:				
Easements	20,806,613	1,445,864		
Depreciable/Amortizable:				
Land Improvements	25,630,352	1,749,186	646,726	17,656,208
Buildings	189,456,411	4,127	91,371,529	7,809,422
Improvements Other than Buildings	9,471,336		330,599	21,327
Furniture, Fixtures, Machinery and Equipment	44,751,741	157,426	10,746,387	1,273,488
Infrastructure	550,287,939	111,524,679		
Less Accumulated Depreciation	(354,136,257)	(64,995,564)	(46,735,124)	(16,922,100)
Intangible Assets:				
Software and Licenses	4,913,872	345,548		
Water Rights	88,250,033			
Less Accumulated Amortization	(15,039,003)	(320,888)		
Total Noncurrent Assets	733,177,801	62,220,000	79,290,445	17,498,283
Total Assets	804,155,456	72,751,564	87,606,337	27,567,386
DEFERRED OUTFLOWS OF RESOURCES				
Unamortized Bond Refunding Charges	4,051,634			
Pension Deferrals	2,104	404	819	224
Current Year Pension Contributions	942,446	181,216	367,051	100,568
Total Deferred Outflows of Resources	4,996,184	181,620	367,870	100,792

(1) After internal receivables and payables have been eliminated.

The notes to the financial statements are an integral part of this statement.

Other Enterprise Fund	(1) Totals	Internal Service Funds
$ 3,350,173	$ 80,403,773	$ 46,900,371
25,014	17,267,264	423,676
12,444	785,758	993,917
7,152	193,350	106,054
	4,632,375	829,310
	6,477	111,791
3,394,783	103,288,997	49,365,119
922,340	78,195,671	
	620,976	
	1,303,441	
2,037	155,715	
	373,103	
		600,000
		19,375,856
275,000	275,000	
3,973,387	45,868,641	1,840,011
29,600	90,094,469	351,195
	22,252,477	
56,940	45,739,412	974,505
20,016,856	308,658,345	3,135,089
165,221	9,988,483	94,000
1,246,443	58,175,485	142,146,362
	661,812,618	
(14,444,613)	(497,233,658)	(103,196,265)
49,218	5,308,638	830,969
	88,250,033	
(49,218)	(15,409,109)	(803,769)
12,243,211	904,429,740	65,347,953
15,637,994	1,007,718,737	114,713,072
	4,051,634	
75	3,626	1,363
33,612	1,624,893	610,641
33,687	5,680,153	612,004

(Continued)

Statement of Net Position (continued)

Proprietary Funds
June 30, 2016

	Enterprise Funds			
	Water Resources	Stormwater Management	War Memorial Coliseum	Solid Waste Management
LIABILITIES				
Current Liabilities:				
Accounts Payable	$ 2,024,227	$ 2,574	$ 6,265,168	$ 102,500
Contracts/Retainage Payable	382,563	60,271		722,920
Intergovernmental Payable			19,405	
Unearned Revenues			1,047,788	
General Obligation Bonds Payable				
Revenue Bonds Payable	16,241,277			
Special Obligation Bonds Payable				680,000
Lease-Purchase and Other Financing Agreements Payable			302,618	
Federal Loan Obligation				
Accrued Landfill Liability				500,000
Accrued Pollution Remediation Liability				559,747
Interest Payable	638,578		8,484	12,209
Customer Deposits Payable	3,864,965	5,000		
Compensated Absences Payable	864,593	203,612	136,445	99,648
Total Current Liabilities	24,016,203	271,457	7,779,908	2,677,024
Noncurrent Liabilities:				
Payable from Restricted Assets:				
Accounts Payable	57,500			
Contracts/Retainage Payable	6,430,599	204,614	1,180,778	
General Obligation Bonds Payable				
Revenue Bonds Payable	219,263,880			
Revenue BANs Payable	18,496,701			
Special Obligation Bonds Payable				2,250,000
Lease-Purchase and Other Financing Agreements Payable			13,001,915	
Accrued Landfill Liability				25,101,702
Accrued Pollution Remediation Liability				992,670
Compensated Absences Payable	379,557	39,457	296,066	66,815
Other Postemployment Benefits Payable	642,929	123,624	250,399	68,606
Net Pension Obligation	1,123,431	216,015	437,538	119,880
Total Noncurrent Liabilities	246,394,597	583,710	15,166,696	28,599,673
Total Liabilities	270,410,800	855,167	22,946,604	31,276,697
DEFERRED INFLOWS OF RESOURCES				
Pension Deferrals	630,734	121,279	245,650	67,305
NET POSITION				
Net Investment in Capital Assets	414,501,019	54,735,067	64,179,311	12,861,846
Restricted for:				
Capital Projects	62,238,459	7,280,319	625,823	1,706,437
Assets Held for Resale				
Self-Funded Retention Deposits				
Unrestricted	61,370,628	9,941,352	(23,181)	(18,244,107)
Total Net Position	$ 538,110,106	$ 71,956,738	$ 64,781,953	$ (3,675,824)

(1) After internal receivables and payables have been eliminated.

Other Enterprise Fund	Totals (1)	Internal Service Funds
$ 9,733	$ 8,404,202	$ 17,341,343
701,351	1,867,105	26,981
	19,405	
	1,047,788	
		783,606
	16,241,277	
	680,000	
	302,618	1,704,955
	500,000	
	559,747	
	659,271	10,281
53,092	3,923,057	46,051
26,939	1,331,237	567,733
791,115	35,535,707	20,480,950
	57,500	
	7,815,991	
		936,390
	219,263,880	
	18,496,701	
	2,250,000	
	13,001,915	5,484,994
	25,101,702	
	992,670	
36,014	817,909	337,273
22,930	1,108,488	416,573
40,067	1,936,931	727,906
99,011	290,843,687	7,903,136
890,126	326,379,394	28,384,086
22,495	1,087,463	408,672
11,043,834	557,321,077	36,462,152
924,377	72,775,415	
		600,000
		19,375,856
2,790,849	55,835,541	30,094,310
$ 14,759,060	$ 685,932,033	$ 86,532,318

City of Greensboro
Reconciliation of the Statement of Net Position-Proprietary Funds
To the Statement of Net Position
June 30, 2016

Net position - proprietary funds	$ 685,932,033
Amounts reported for business-type activities in the statement of net position are different because:	
Internal service funds	7,274,193
Net position of business-type activities	$ 693,206,226

The notes to the financial statements are an integral part of this statement.

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Statement of Revenues, Expenses, and Changes in Net Position

Proprietary Funds
For the Fiscal Year Ended June 30, 2016

	Business-Type Activities - Enterprise Funds			
	Water Resources	Stormwater Management	War Memorial Coliseum	Solid Waste Management
Operating Revenues:				
Charges for Current Services	$ 104,611,382	$ 9,591,310	$ 18,163,472	$ 13,391,867
Other Operating Revenues	2,450,756	66,463	822,012	272,516
Total Operating Revenues	107,062,138	9,657,773	18,985,484	13,664,383
Operating Expenses:				
Personal Services	14,697,240	2,817,537	5,728,026	1,577,467
Fringe Benefits	6,237,684	1,371,491	1,622,363	662,647
Maintenance and Operations	38,900,088	2,581,884	15,564,881	11,541,341
Claims and Expenses				
Depreciation/Amortization	23,458,134	1,779,532	2,942,957	552,255
Total Operating Expenses	83,293,146	8,550,444	25,858,227	14,333,710
Operating Income (Loss)	23,768,992	1,107,329	(6,872,743)	(669,327)
Nonoperating Revenues (Expenses):				
Investment Income	1,180,468	166,237	64,801	84,993
Net Increase in the Fair Value of Investments	324,208	46,070	18,182	24,278
Total Investment Income	1,504,676	212,307	82,983	109,271
Miscellaneous Nonoperating Revenue	38,011		3,821,806	
Interest Expense	(3,803,060)		(128,571)	(170,516)
Refunds and Recoveries	210,989			
Inventory Gain (Loss)	(108,108)		204	4,706
Gain (Loss) on Disposal of Capital Assets	23,648	(7,230)	(24,831)	
Amortization of Underwriters' Expense	(756,581)			
Cost Sharing Reimbursements	1,184,589			
Miscellaneous Nonoperating Expense	(831,842)		(100,596)	(2,230)
Total Nonoperating Revenues (Expenses)	(2,537,678)	205,077	3,650,995	(58,769)
Income (Loss) Before Contributions and Transfers	21,231,314	1,312,406	(3,221,748)	(728,096)
Capital Contributions	4,051,593		335,353	
Transfers In			3,557,318	1,805,777
Transfers Out	(1,025,000)	(687,600)		
Change in Net Position	24,257,907	624,806	670,923	1,077,681
Net Position - July 1	513,852,199	71,331,932	64,111,030	(4,753,505)
Net Position - June 30	$ 538,110,106	$ 71,956,738	$ 64,781,953	$ (3,675,824)

The notes to the financial statements are an integral part of this statement.

Other Enterprise Fund	Totals	Internal Service Funds
$ 2,380,774	$ 148,138,805	$ 79,770,547
353,844	3,965,591	4,031,532
2,734,618	152,104,396	83,802,079
524,485	25,344,755	9,551,919
208,341	10,102,526	3,753,526
2,083,211	70,671,405	18,379,864
		51,304,041
587,233	29,320,111	10,386,480
3,403,270	135,438,797	93,375,830
(668,652)	16,665,599	(9,573,751)
42,502	1,539,001	485,530
11,290	424,028	121,759
53,792	1,963,029	607,289
	3,859,817	99,081
	(4,102,147)	(346,610)
	210,989	
	(103,198)	42,805
	(8,413)	848,217
	(756,581)	
	1,184,589	
	(934,668)	
53,792	1,313,417	1,250,782
(614,860)	17,979,016	(8,322,969)
	4,386,946	
	5,363,095	4,775,517
	(1,712,600)	(408,503)
(614,860)	26,016,457	(3,955,955)
15,373,920	659,915,576	90,488,273
$ 14,759,060	$ 685,932,033	$ 86,532,318

City of Greensboro
Reconciliation of the Statement of Revenues,
Expenses, and Changes in Net Position-Proprietary Funds
To the Statement of Activities
For the Fiscal Year Ended June 30, 2016

Amounts reported for business-type activities in the statement of activities are different because:		
Net change in fund balances----total proprietary funds.	$	26,016,457
Internal service funds are used by management to charge the costs of fleet management and management information systems to individual funds. The net revenue (loss) of certain activities of internal service funds is reported with business-type activities.		(212,448)
Change in net position of business-type activities	$	25,804,009

The notes to the financial statements are an integral part of this statement.

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Statement of Cash Flows

Proprietary Funds
For the Fiscal Year Ended June 30, 2016

	Business-Type Activities - Enterprise Funds			
	Water Resources	Stormwater Management	War Memorial Coliseum	Solid Waste Management
Cash Flows from Operating Activities:				
Receipts from Customers	$ 104,745,236	$ 9,654,722	$ 21,014,412	$ 12,472,801
Payments to Suppliers	(41,020,014)	(2,860,205)	(15,874,285)	(11,143,608)
Payments to Employees	(21,759,590)	(4,146,603)	(7,255,387)	(2,213,715)
Other Receipts	3,884,345	66,463	4,643,818	272,516
Net Cash Provided by (Used for) Operating Activities	45,849,977	2,714,377	2,528,558	(612,006)
Cash Flows from Noncapital Financing Activities:				
Subsidies and Transfers In			3,557,318	1,805,777
Subsidies and Transfers Out	(1,025,000)	(687,600)		
Net Cash Provided by (Used for) Noncapital Financing Activities	(1,025,000)	(687,600)	3,557,318	1,805,777
Cash Flows from Capital and Related Financing Activities:				
Capital Debt Issued	64,818,299		141,611	
Acquisition and Construction of Capital Assets	(58,741,017)	(3,862,938)	(3,389,633)	(106,912)
Proceeds from Sale of Capital Assets	73,670			
Payment to Escrow Agent for Refunding of Debt	(30,000,000)			
Principal Paid on Capital Debt	(12,724,404)		(281,920)	(655,000)
Interest and Fiscal Charges Paid on Capital Debt	(8,332,737)		(230,610)	(174,929)
Net Cash Used for Capital and Related Financing Activities	(44,906,189)	(3,862,938)	(3,760,552)	(936,841)
Cash Flows from Investing Activities:				
Investment Income	1,432,871	205,215	79,013	109,163
Net Cash Provided by Investing Activities	1,432,871	205,215	79,013	109,163
Net Increase (Decrease) in Cash and Cash Equivalents	1,351,659	(1,630,946)	2,404,337	366,093
Balances - July 1	116,558,312	18,786,805	6,710,127	9,780,544
Balances - June 30	$ 117,909,971	$ 17,155,859	$ 9,114,464	$ 10,146,637
Reconciliation of Cash and Cash Equivalents/Investments:				
Cash and Cash Equivalents/Investments - Current	$ 51,233,173	$ 9,688,043	$ 7,689,639	$ 8,442,745
Cash and Cash Equivalents/Investments - Restricted	66,676,798	7,467,816	1,424,825	1,703,892
Total Cash and Cash Equivalents/Investments - June 30	$ 117,909,971	$ 17,155,859	$ 9,114,464	$ 10,146,637

The notes to the financial statements are an integral part of this statement.

Other Enterprise Fund	Totals	Internal Service Funds
$ 2,384,550	$ 150,271,721	$ 78,050,425
(1,392,471)	(72,290,583)	(66,333,594)
(998,578)	(36,373,873)	(13,055,567)
353,844	9,220,986	4,134,330
347,345	50,828,251	2,795,594
	5,363,095	4,775,517
	(1,712,600)	(408,503)
	3,650,495	4,367,014
	64,959,910	
(101,240)	(66,201,740)	(13,840,173)
	73,670	971,107
	(30,000,000)	
	(13,661,324)	(769,015)
	(8,738,276)	(250,916)
(101,240)	(53,567,760)	(13,888,997)
47,751	1,874,013	596,155
47,751	1,874,013	596,155
293,856	2,784,999	(6,130,234)
3,978,657	155,814,445	53,030,605
$ 4,272,513	$ 158,599,444	$ 46,900,371
$ 3,350,173	$ 80,403,773	$ 46,900,371
922,340	78,195,671	
$ 4,272,513	$ 158,599,444	$ 46,900,371

The notes to the financial statements are an integral part of this statement.

Statement of Cash Flows

Proprietary Funds
For the Fiscal Year Ended June 30, 2016

(continued)	Business-Type Activities - Enterprise Funds			
	Water Resources	**Stormwater Management**	**War Memorial Coliseum**	**Solid Waste Management**
Reconciliation of Operating Income (Loss) to Net Cash Provided by (Used for) Operating Activities:				
Operating Income (Loss)	$ 23,768,992	$ 1,107,329	$ (6,872,743)	$ (669,327)
Adjustments to Reconcile Operating Income (Loss) to Net Cash Provided by (Used for) Operating Activities:				
Depreciation/Amortization	23,458,134	1,779,532	2,942,957	552,255
Change in Assets, Deferred Outflows, Deferred Inflows and Liabilities:				
(Increase) Decrease in Receivables	133,854	63,412	123,118	(919,066)
(Increase) Decrease in Inventories	(170,647)		2,181	3,798
(Increase) Decrease in Intergovernmental Receivables	(1,074,761)	(49,143)	104,518	4,562
Decrease in Miscellaneous Assets			(267,679)	(1,400)
Increase (Decrease) in Accounts Payable	(874,518)	7,148	(166,668)	82,379
Increase (Decrease) in Contracts/Retainage Payable				
Increase in Landfill Liability				421,777
Increase in Deferred Outflows of Resources -Pensions	(92,969)	(11,802)	(7,551)	(7,529)
Decrease in Net Pension Asset	1,299,433	259,126	549,813	142,311
Increase (Decrease) in Deferred Inflows of Resources -Pensions	(2,536,300)	(510,275)	(1,094,378)	(279,541)
Increase in Net Pension Obligation	1,123,431	216,015	437,538	119,880
Increase in Accrued OPEB Actuarial Liability	392,833	75,075	168,209	41,690
Increase in Compensated Absences Payable	75,673	14,286	30,106	10,238
Decrease in Pollution Remediation Liability				(113,383)
Increase (Decrease) in Intergovernmental Payable	(1,184,589)		11,265	
Increase in Customer Deposits Payable	97,822			
Increase (Decrease) in Miscellaneous Payable			2,746,066	(650)
Increase (Decrease) in Other Receipts (Disbursements)	1,433,589	(236,326)	3,821,806	
Total Adjustments	22,080,985	1,607,048	9,401,301	57,321
Net Cash Provided by (Used for) Operating Activities	$45,849,977	$ 2,714,377	$ 2,528,558	$ (612,006)
Noncash Investing, Capital and Financing Activities:				
Lease-Purchase and Other Capital Assets	$	$	$	$
Principal Paid by Other Funds on Debt Obligations				
Imputed Capitalized Interest	1,274,860			
Donated Assets	4,051,593		335,353	
Total Noncash Investing, Capital and Financing Activities	$ 5,326,453	$	$ 335,353	$

The notes to the financial statements are an integral part of this statement.

Other Enterprise Fund	Totals	Internal Service Funds
$ (668,652)	$ 16,665,599	$ (9,573,751)
587,233	29,320,111	10,386,480
3,776	(594,906)	(235,854)
	(164,668)	6,249
(4,797)	(1,019,621)	(118,851)
	(269,079)	(901,803)
5,351	(946,308)	4,623,539
690,186	690,186	(22,969)
	421,777	
(4,209)	(124,060)	(51,082)
44,981	2,295,664	855,916
(87,136)	(4,507,630)	(1,677,404)
40,067	1,936,931	727,906
14,204	692,011	330,291
2,683	132,986	64,251
	(113,383)	
	(1,173,324)	
	97,822	
(1,342)	2,744,074	
(275,000)	4,744,069	(1,617,324)
1,015,997	34,162,652	12,369,345
$ 347,345	$ 50,828,251	$ 2,795,594
$	$	$ 2,182,414
		(1,716,405)
	1,274,860	
	4,386,946	
$	$ 5,661,806	$ 466,009

The notes to the financial statements are an integral part of this statement.

Fiduciary Fund

Other Postemployment Trust (OPEB) Fund

This fund was established to account for contributions held in trust to pay certain health and life benefits to employees following retirement, up to age 65.

City of Greensboro

Statement of Fiduciary Net Position
Fiduciary Fund
June 30, 2016

	Other Postemployment Benefit (OPEB) Trust
ASSETS	
Cash and Cash Equivalents/Investments,	
Restricted for:	
Other Postemployment Benefits	
Money Market Funds:	
Short-Term OPEB Fund	$ 170
Mutual Funds:	
OPEB Equity Fund	9,581,656
Long-Term OPEB Fund	1,665,344
NC Short Term Investment Fund	3,932,391
Interest Receivable	2,603
Total Assets	15,182,164
Net Position Restricted for:	
Other Postemployment Benefits	$ 15,182,164

The notes to the financial statements are an integral part of this statement.

City of Greensboro

Statement of Changes in Fiduciary Net Position
Fiduciary Fund
For the Fiscal Year Ended June 30, 2016

	Other Postemployment Benefit (OPEB) Trust
ADDITIONS	
Employer Contributions	$ 4,734,307
Employee Contributions	2,242,097
Interest Earnings:	
Investment Income	310,789
Net Increase (Decrease) in the Fair Value of Investments	(454,427)
Total Investment Income	(143,638)
Total Additions	6,832,766
DEDUCTIONS	
Benefits Paid	6,976,404
Administrative Expenses	32,611
Total Deductions	7,009,015
Change in Net Position	(176,249)
Net Position Restricted for OPEB - July 1	15,358,413
Net Position Restricted for OPEB - June 30	$ 15,182,164

The notes to the financial statements are an integral part of this statement.

Statement of Net Position

Component Units
June 30, 2016

ASSETS	Greensboro Housing Dev. Partnership	Greensboro Redevelopment Commission	Greensboro Transit Authority	Greensboro ABC Board	Total Component Units
Cash and Cash Equivalents/Investments	$ 60,405	$ 32,146	$ 1,743,949	$ 4,668,007	$ 6,504,507
Receivables, Net					
Taxes			620,879		620,879
Accounts, Notes and Mortgages			77,214	3,473	80,687
Intergovernmental		31,141	9,006,592		9,037,733
Interest			974,487		974,487
Inventories			423,103	2,023,411	2,446,514
Miscellaneous				116,944	116,944
Assets Held for Resale	2,351,701	2,723,340			5,075,041
Long-Term Note Receivable		2,353,701	10,768,196		13,121,897
Restricted Assets:					
Temporarily Restricted:					
Cash and Cash Equivalents/Investments			36,555		36,555
Receivables, (Net):					
Intergovernmental			118,127		118,127
Capital Assets:					
Non-Depreciable:					
Land			2,923,192	1,782,715	4,705,907
Depreciable:					
Land Improvements			95,355		95,355
Accumulated Depreciation			(11,029)		(11,029)
Buildings			37,760,053	3,904,603	41,664,656
Accumulated Depreciation			(9,124,202)	(1,014,547)	(10,138,749)
Improvements Other than Buildings			9,805	464,112	473,917
Accumulated Depreciation			(2,451)	(371,143)	(373,594)
Furniture, Fixtures, Machinery and Equipment			26,145,908	2,256,566	28,402,474
Accumulated Depreciation			(14,595,466)	(1,581,429)	(16,176,895)
Intangible Asset - Software and Licenses			39,443		39,443
Accumulated Amortization			(26,295)		(26,295)
Total Assets	2,412,106	5,140,328	66,983,415	12,252,712	86,788,561
DEFERRED OUTFLOW OF RESOURCES					
Current Year Pension Contributions				165,201	165,201
Total Deferred Outflow of Resources				165,201	165,201
LIABILITIES					
Accounts Payable			80,017	1,992,856	2,072,873
Contracts/Retainage Payable			1,266,765		1,266,765
Note Payable				122,958	122,958
Due to Primary Government				968,875	968,875
Customer Deposits Payable			1,799		1,799
Miscellaneous				82,874	82,874
Liabilities Payable from Restricted Assets:					
Accounts Payable			11,008		11,008
Contracts/Retainage Payable			3,621		3,621
Noncurrent Liabilities:					
Due Within One Year:					
Compensated Absences			46,980		46,980
Due in More Than One Year:					
Note Payable	2,398,057			2,009,654	4,407,711
Compensated Absences			384		384
Unearned Revenue		2,353,701	700		2,354,401
Miscellaneous				361,232	361,232
Net Pension Obligation				187,148	187,148
Total Liabilities	2,398,057	2,353,701	1,411,274	5,725,597	11,888,629
DEFERRED INFLOW OF RESOURCES					
Pension Deferrals				80,084	80,084
Total Deferred Inflow of Resources				80,084	80,084
NET POSITION					
Net Investment in Capital Assets			43,214,313	5,440,877	48,655,190
Restricted for:					
Assets Held for Resale		2,723,340			2,723,340
Capital Projects			140,053		140,053
Neighborhood Development	14,049	31,141			45,190
Unrestricted		32,146	22,217,775	1,171,355	23,421,276
Total Net Position	$ 14,049	$ 2,786,627	$ 65,572,141	$ 6,612,232	$ 74,985,049

The notes to the financial statements are an integral part of this statement.

Statement of Activities
Component Units
For the Fiscal Year Ended June 30, 2016

		Program Revenues		
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions
Greensboro Housing Dev. Partnership				
Governmental Activities:				
Neighborhood Development	$ 187,518	$ 191,348	$	$
Total Greensboro Housing Dev. Partnership	187,518	191,348		
Greensboro Redevelopment Commission				
Governmental Activities:				
Redevelopment Commission Operations	940,771		805,576	456,247
Total Greensboro Redevelopment Commission	940,771		805,576	456,247
Greensboro Transit Authority				
Business -Type Activities:				
Transit Operations	25,546,050	2,470,156	1,212,335	12,442,251
Total Greensboro Transit Authority	25,546,050	2,470,156	1,212,335	12,442,251
Greensboro ABC Board				
Business -Type Activities:				
ABC Board Operations	33,707,866	34,107,866		
Total Greensboro ABC Board	33,707,866	34,107,866		
Total	$ 60,382,205	$ 36,769,370	$ 2,017,911	$ 12,898,498

General Revenues:
Taxes:
Property Tax
Motor Vehicle Tax
Investment Income
Miscellaneous

Total General Revenues

Change in Net Position

Net Position - July 1

Net Position - June 30

The notes to the financial statements are an integral part of this statement.

Net (Expenses) Revenue and Changes in Net Position				
Greensboro Housing Dev. Partnership	**Greensboro Redevelopment Commission**	**Greensboro Transit Authority**	**Greensboro ABC Board**	**Totals**
$ 3,830	$	$	$	$ 3,830
3,830				3,830
	321,052			321,052
	321,052			321,052
		(9,421,308)		(9,421,308)
		(9,421,308)		(9,421,308)
			400,000	400,000
			400,000	400,000
3,830	321,052	(9,421,308)	400,000	(8,696,426)
		8,497,760		8,497,760
		1,323,854		1,323,854
	19	1,050,444		1,050,463
	142,000	45,332		187,332
	142,019	10,917,390		11,059,409
3,830	463,071	1,496,082	400,000	2,362,983
10,219	2,323,556	64,076,059	6,212,232	72,622,066
$ 14,049	$ 2,786,627	$ 65,572,141	$ 6,612,232	$ 74,985,049

NOTES TO THE FINANCIAL STATEMENTS
CITY OF GREENSBORO, NORTH CAROLINA

JUNE 30, 2016

I. Summary of Significant Accounting Policies

The accounting policies of the City of Greensboro (City) and its component units conform to US Generally Accepted Accounting Principles ("GAAP") as applicable to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles. The following is a summary of the more significant accounting policies of the City:

A. The Financial Reporting Entity

The City is a municipal corporation governed by an elected Mayor and eight–member Council. As required by GAAP, these financial statements present the City (the primary government) and its component units (entities for which the City is considered to be financially accountable). Criteria used to establish financial accountability include appointment of a voting majority of the component unit's governing board and imposition of will or a financial benefit/burden relationship, fiscal dependency or other significant operational and financial relationships.

1. Blended Component Unit

Blended component units, although legally separate entities, are, in substance, part of the City's operation. Financial amounts from these units are combined with amounts of the primary government.

The Greensboro Center City Corporation (GCCC) assists the City in financing, acquiring and constructing public facilities and in purchasing equipment. The sole purpose of the GCCC is to provide a funding source for City assets, lease the assets to the City and to use the lease payments to repay the debt. The corporation has no other operations. The GCCC's twelve member governing board is appointed by the Mayor. A financial burden exists, as the City is required to transfer funds to the GCCC in an amount sufficient to pay the scheduled debt service on GCCC certificates of participation. The GCCC's cash and debt are considered with assets of the War Memorial Coliseum Enterprise Fund and general government liabilities for financial statement purposes.

2. Discretely Presented Component Units

The component unit column in the basic financial statements includes the financial data of the City's other component units. The units are reported in a separate column to emphasize that they are legally separate from the City. Separate statements of net position and activities for the component units are presented in Exhibits A-15 and A-16.

Greensboro Housing Development Partnership, Inc (GHDP) provides first-time buyers, with low to moderate income, affordable financing. GHDP also serves as a conduit to sell surplus land to builders to develop affordable housing for City citizens. The City appoints the voting majority of the Board and guarantees support for any deficits for certain programs and loan obligations. The City also influences the operations of the GHDP by providing loan initiatives and rehabilitation of properties. Related transactions of this partnership are reflected in the City records in a Special Revenue Fund.

The Greensboro Redevelopment Commission (Commission) conducts studies, formulates plans, purchases and sells properties and oversees redevelopment projects in the City. The Commission performs legislative duties such as defining a redevelopment area and carries out delegated activities, subject to the consent, approval and policies of the City. The governing board is composed of five residents of the City who are appointed by City Council. No property transactions may be taken without City approval. City Council must agree before any expenditures or contracts are made by the board or any debt entered into for which the City could be liable. Budgets for the Commission are set by City Council and any changes require City approval through normal budget procedures. The City provides all staff and other resources necessary for operations and administration of the Commission. All funding is derived from City sources and federal grants and loans. The Commission's inventory of properties and associated notes receivable are

recorded as "Assets Held for Resale" and "Accounts, Notes and Mortgages" and "Unearned Revenues". The Commission is considered to almost exclusively benefit the City even though it does not provide services directly to it.

The Greensboro Transit Authority (GTA) is responsible for operating the mass transit system in the municipal area. The members of GTA's governing board are appointed by City Council. City Council approves GTA's budget, transit rates and maintains substantive approval over significant operating decisions. Transit taxes are levied under the taxing authority of the City and are included as part of the City's total tax levy. The GTA is presented as an Enterprise Fund.

Greensboro ABC Board operates alcoholic beverage stores, regulates the sale of such beverages and enforces alcoholic beverage laws in the City. Members of the governing body are appointed by City Council. Financial benefit is provided to the City as a portion of the Greensboro ABC Board's profits are distributed to the City, quarterly.

Each of the discretely presented component units has a June 30 year-end. Complete financial statements for the GHDP and Greensboro ABC Board component units may be obtained at their respective administrative offices. Financial transactions of the GTA and Commission are reported and audited during the City's annual audit. No separate financial statements are prepared for these entities.

ADMINISTRATIVE OFFICES

Greensboro Center City Corporation
Attention: Richard Lusk
P.O. Box 3136
Greensboro, North Carolina 27402-3136

Greensboro Housing Development
Partnership, Inc.
Attention: Sue Schwartz
P.O. Box 3136
Greensboro, North Carolina 27402-3136

Greensboro ABC Board
Attention: Vickee' Armstrong
P.O. Box 16905
Greensboro, North Carolina 27416-0905

Greensboro Redevelopment Commission
Attention: Sue Schwartz
P.O. Box 3136
Greensboro, North Carolina 27402-3136

B. Governmental-Wide and Fund Financial Statements

The basic financial statements include both government-wide (based on the City as a whole) and fund financial statements.

The government-wide financial statements (i.e., the statement of net position and the statement of activities) report information on all of the non-fiduciary activities of the primary government and its component units. For the most part, the effect of interfund activity has been removed from these financial statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support. Likewise, the primary government is reported separately from certain legally separate component units for which the primary government is financially accountable.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. *Direct expenses* are those that are clearly identifiable with a specific function or segment. *Program revenues* include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as *general revenues*.

Separate financial statements are provided for governmental funds, proprietary funds, and a fiduciary fund, even though the latter is excluded from the government-wide statements. The focus of the governmental and proprietary fund financial statements is on major funds. The City's determination of reporting major funds considered the criteria prescribed by GASB and consistency of presentation from year to year. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements. Non-major funds are summarized into a single column. Internal service funds, funds that provide goods and services to other City departments and certain outside agencies on a cost-reimbursement basis, have also been eliminated to prevent "double reporting" of their transactions. Internal service funds primarily perform services for the City's governmental funds.

The government-wide financial statements and the fund financial statements report the City's operational and fiscal accountability. Operational accountability refers to the reporting of efficiency and effectiveness of achieved operating objectives using all resources available for that purpose, and whether additional objectives can be met in the foreseeable future. Fiscal accountability is demonstrated through additional fund information detailing compliance with finance-related legal and contractual provisions.

C. Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The government-wide financial statements are reported using the *economic resources measurement focus* and the *accrual basis of accounting*, as are the proprietary fund and fiduciary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met. All assets and liabilities (whether current or non-current) associated with these activities are included in the government-wide financial statements, resulting in net position.

Governmental fund financial statements are reported using the *current financial resources measurement focus* and the *modified accrual basis of accounting*. Revenues are recognized when they are measurable and available, or when susceptible to accrual. "Measurable" means the amount of the transaction can be determined and "available" means collectible within the current period or soon enough thereafter to pay liabilities of the current period. The City considers sales taxes and state-shared revenues and reimbursements to be available if they are collected within 90 days after year-end and ad valorem taxes and profit distributions from the ABC Board to be available if collected within 60 days after year-end. Certain intergovernmental revenues, licenses and permits, fines and forfeitures, and charges for current services are recognized when cash is received, unless they are subject to deferral to a future period.

Expenditures are generally recognized under the modified accrual basis of accounting when the related fund liability is incurred. Exceptions to this general rule include accumulated unpaid sick pay which is not accrued and debt service on general long-term debt and claims and judgments which are recognized when the liability is normally expected to be liquidated with available financial resources.

Only current assets and current liabilities are generally included on the balance sheets of the governmental funds. Operating statements present increases (revenues and other financing sources) and decreases (expenditures and other financing uses) in net current position. Accordingly, the reported fund balance presents a summary of sources and uses of "available spendable resources" during a period. Since the governmental fund statements are presented on a different measurement focus and basis of accounting than the governmental activities column in the government-wide statements, a reconciliation is presented on the page following each statement, which briefly explains the adjustments necessary to transform the fund-based financial statements into the governmental activities column of the government-wide presentation.

Proprietary funds distinguish operating revenues and expenses from non-operating items. It is the City's policy that operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the Enterprise Funds and of the government's Internal Service Funds are charges to customers for sales and services. Operating expenses for Enterprise Funds and Internal Service Funds include the cost of sales and services, administrative expenses, claims payments, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

The government reports the following major governmental funds:

General Fund - The General Fund is the primary operating fund of the City. It is used to account for all financial resources of the general government, except those required to be accounted for in another fund.

Debt Service Fund - The Debt Service Fund is used to account for and report financial resources that are restricted, committed or assigned to the accumulation of resources for, and the payment of, general long-term debt principal, interest and related costs.

The government reports the following major proprietary funds:

Enterprise Funds - Enterprise Funds account for operations that are financed and operated in a manner similar to private business enterprises where the intent of the governing body is that the costs of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges; or where the governing body has decided that periodic determination of revenues earned, expenses incurred, and net income is appropriate for capital maintenance, public policy, management control, accountability or other purposes.

The Water Resources Fund provides water and sewer services to more than 100,000 customers and is designed to be self-supporting. This fund also provides for principal and interest on all water and sewer debt. Outstanding Combined Enterprise System revenue bonds are recorded in this fund.

The Stormwater Management Fund was established to account for the federally mandated program of stormwater system management, which is supported by a City-wide stormwater fee.

The War Memorial Coliseum Fund administers operations of a complex that brings top artists in entertainment, education, and sports to the City. The Coliseum Fund operation supports debt service on the financing agreements for energy improvements at the facility.

The Solid Waste Management Fund accounts for waste disposal and recycling operations of the City, as well as solid waste landfill improvements. Outstanding special obligation bonds are recorded and supported in this fund.

The City's parking operations are included in "Other Enterprise Fund", a non-major fund.

Additionally, the government reports the following fund types:

Internal Service Funds - Internal Service Funds account for the financing of goods or services provided by one department or agency to other departments or agencies of the City, or to other governments, on a cost-reimbursement basis. The City also accounts for its risk-retention transactions and equipment purchases financed with lease-purchase agreements in the Internal Service Funds. Internal Service Funds of the City government (which traditionally provide services primarily to other funds of the government) are presented in summary form as part of the proprietary fund financial statements. Since the principal users of the Internal Service Funds are associated with the City's governmental activities, financial statements of Internal Service Funds are consolidated into the governmental activities column when presented at the government-wide level. To the extent possible, the costs of these services are reflected in the appropriate functional activity.

Fiduciary Fund – The Other Postemployment Benefit Trust Fund accounts for assets held by the City in a fiduciary capacity and accumulates funds to provide certain health and life benefit payments to qualified retirees. This fund uses the accrual basis of accounting and has a capital maintenance measurement focus. It is accounted for in essentially the same manner as Proprietary Funds.

The City's fiduciary fund (which has been redefined and narrowed in scope) is presented in the fund financial statements by type (Other Postemployment Benefit Trust). Since by definition these assets are being held for the benefit of a third party (retiree participants) and cannot be used to address activities or obligations of the government, this fund is not incorporated into the government-wide statements.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to the rule are payments between the water resources and solid waste disposal funds and the General Fund. Eliminations of these charges would distort the direct costs and program revenues reported for the various functions concerned.

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed.

D. Assets, Liabilities, Deferred Outflows/Deferred Inflows of Resources, and Net Position or Equity

1. Cash and Cash Equivalents/Investments

The City maintains a cash and investment pool that is used by all funds except the following, which maintain separate deposits and investments: Capital Project Bond Funds and Water Resources Bond Funds. Each fund type's equity and cash and cash equivalents/investments are displayed separately on a combined balance sheet. Interest is distributed to the various funds on the basis of equity in the cash and cash equivalent/investments pool and individual fund investments. For purposes of the statement of cash flows, investments (including restricted assets) are considered to be cash equivalents, since they represent highly liquid deposits of the cash and investment pool.

2. Receivables and Payables

Activity between funds that are representative of lending/borrowing arrangements outstanding at the end of the Fiscal Year are referred to as "internal receivables/internal payable" (i.e., the current portion of interfund loans) and are reported "net". Residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances".

City ad valorem taxes are billed by the Guilford County Tax Collector after July 1, the beginning of the Fiscal Year, and are due on September 1. No penalties or interest are assessed until the following January 6. The taxes levied (other than motor vehicles) are based on assessed property values as of January 1, which is the statutory lien date on real property. Liens against personal property are coincident with action taken to levy or garnish. Collections of City taxes are made by the County and remitted to the City as collected. In accordance with State law, property taxes on certain registered motor vehicles are assessed and collected throughout the year based on a staggered registration system. Effective September 1, 2013, motor vehicle taxes become due at the time the vehicles are registered. Until that date, motor vehicle taxes became due the first day of the fourth month after vehicles were registered and were collected by the County and remitted to the City. Under the current system, vehicle taxes are collected by the State of North Carolina and remitted to the City. The taxes receivable amount for the General Fund is reduced by an allowance for uncollectible of $228,531. The net General Fund receivable of $4,992,001 is shown as a deferred inflow of resources on the Governmental Funds Balance Sheet.

3. Inventories/Assets Held for Resale and Prepaid Items

Inventories consist primarily of materials and supplies held for consumption. They are stated at cost, determined principally by a moving average method. The costs of governmental fund-type inventories are recorded as expenditures when consumed rather than when purchased. Inventories of the Greensboro ABC Board are valued at the lower of cost (FIFO) or market.

Assets Held for Resale in the amount of $2,723,340 and $2,351,701 as of June 30, 2016, can be found in the statement of net position for component units, Exhibit A-15 on page 35, for the Greensboro Redevelopment Commission and the Greensboro Housing Development Partnership, respectively. Assets Held for Resale amounting to $95,180, and $600,000 are recorded in the Street and Sidewalk Revolving Fund, and the Capital Leasing Fund, respectively, for certain other properties held by the City.

Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements and expensed as the items are used.

4. Restricted Assets

Certain proceeds of the City's bonds, certain grant receipts, as well as other funds are classified as restricted assets on the balance sheet because their use is limited by applicable bonds covenants, grantor or other third party and enabling legislative restrictions and state statutes.

Powell Bill funds are classified as restricted cash because they can be expended only for the purposes of maintaining, repairing, constructing, reconstructing or widening of local streets per G.S. 136-41.1 through 136-41.4.

5. Intangible Assets

Intangible Assets of $88,250,033 as of June 30, 2016 are recorded in the Water Resources Enterprise Fund and represent rights to future raw water allocations from the Randleman Dam and reservoir project, in accordance with a joint venture agreement established in September 1987 with five other governmental entities to form a regional water supply. The

intangible asset is based on City contributions to the Piedmont Triad Regional Water Authority for construction of the dam, reservoir, water treatment plant and surrounding infrastructure improvements as well as $882,023 of contributions recorded in Fiscal Year 2016, toward the City's administrative and operating allocation. In Fiscal Year 2011, the City began amortizing the water rights over a period of 50 years with current year related amortization expense totaling $1,765,001. Accumulated amortization totals $10,330,972.

Other Intangible Assets are recorded as follows:

	Easements	Software & Licenses	Accumulated Amortization
Governmental Activities:			
General Government Assets	$	$ 3,488,024	$ 3,366,703
Capital Leasing Fund		830,969	803,769
Total	$	$ 4,318,993	$ 4,170,472
Business-Type Activities:			
Water Resources Fund	$ 20,806,613	$ 4,913,872	$ 4,708,031
Stormwater Fund	1,445,864	345,548	320,888
Other Enterprise Fund		49,218	49,218
Total	$ 22,252,477	$ 5,308,638	$ 5,078,137

Software and Licenses are amortized over an estimated useful life of 3 to 7 years. Easements represent non-depreciable assets.

6. Capital Assets

Capital assets, which include property, plant, equipment, infrastructure assets (e.g., roads, bridges, sidewalks and similar items) and intangible assets, are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than $5,000. One exception is intangible assets, for internally generated software, which is capitalized if greater than $100,000. All purchased capital assets of the City and GTA are valued at historical cost or estimated historical cost if actual historical cost is not available. Donated capital assets received prior to June 15, 2015 are recorded at their estimated fair value at the date of donation. Donated capital assets received after June 15, 2015 are recorded at acquisition value. All other purchased or constructed capital assets are reported at cost or estimated historical cost. General infrastructure assets, including annexed streets that were acquired, or received substantial improvements subsequent to July 1, 1980 are reported at estimated historical cost using deflated replacement values. The cost of normal maintenance and repairs that do not add value to the asset or materially extend assets lives are not capitalized.

General capital assets and the related accumulated depreciation are reported for the City and GTA using the straight-line method over the following estimated useful lives: Buildings, 40 years; Improvements, 20 years; Equipment, 5-20 years and Infrastructure as follows: Streets, 50 years; Sidewalks, 40 years; Bridges, 50 years; Water/Sewer, 40 years and Stormwater Improvements, 30-75 years. Depreciation of all exhaustible capital assets used by Proprietary Funds is charged as an expense against their operations.

Property and equipment of the Greensboro ABC Board are stated at cost and are depreciated over their useful lives on a straight-line basis as follows: Buildings, 50 years; Equipment, 3-5 years. Leasehold improvements of the Greensboro ABC Board are depreciated over the term of the lease agreement.

Property, furniture and equipment of the GHDP are stated at cost and are depreciated over their useful lives on a straight-line basis as follows: Buildings, 27 years; Furniture and Equipment, 3-5 years.

Capital assets also include intangible assets which are described in D. 5.

7. Deferred Outflows/Inflows of Resources and Unearned Revenues

In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *Deferred Outflows of Resources*, represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The City has three items that meet this criterion, an unamortized loss on bond defeasance for General Obligation and Water and Sewer Refunding bonds, the accumulated decrease in fair value of hedging derivatives for Series 1998 General Obligation bonds and contributions made to the pension plan in the 2016 fiscal year. In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *Deferred Inflows of Resources*, represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The City has certain items that meet the criterion for this category – prepaid taxes, prepaid assessments and deferrals of pension expense that result from the implementation of GASB Statement No. 68. In addition, property tax and other accounts receivable are included at the fund level in the financial statements.

The City reports unearned revenue on its government-wide and fund financial statements. Unearned revenues arise when potential revenue does not meet both the "measureable" and "available" criteria for recognition in the current period (fund financial statements). Unearned revenues also arise when resources are unearned by the City and received before it has a legal claim to them, as when grant monies are received prior to the incurrence of qualifying expenditures (fund financial statements and government-wide financial statements). In subsequent periods, when both revenue recognition criteria are met, or when the City has a legal claim to the resources, the liability for unearned revenue is removed from the applicable financial statement and revenue is recognized.

Deferred Outflows/Inflows of Resources and Unearned Revenues in the fund and basic financial statements at June 30, 2016 are composed of the following:

	Fund Financial Statements	
Deferred Outflows of Resources		
Proprietary Funds		
Unamortized Bond Refunding Charges		
Water Resources Fund		$ 4,051,634
Pension Deferrals:		
Water Resources Fund	$2,104	
Stormwater Management Fund	404	
War Memorial Coliseum Fund	819	
Solid Waste Management Fund	224	
Other Non-Major Enterprise Fund	75	
Internal Service Funds	1,363	4,989
Current Year Pension Contributions:		
Water Resources Fund	942,446	
Stormwater Management Fund	181,216	
War Memorial Coliseum Fund	367,051	
Solid Waste Management Fund	100,568	
Other Non-Major Enterprise Fund	33,612	
Internal Service Funds	610,641	2,235,534
Subtotal Deferred Outflows of Resources		$ 6,292,157

	Fund Financial Statements	
Deferred Inflows of Resources		
Governmental Funds		
Taxes Receivable:		
General Fund	$ 4,992,001	
Other Non-Major Governmental Funds	81,525	$ 5,073,526
Other Accounts Receivable:		
General Fund	851,014	
Other Non-Major Governmental Funds	21,038	872,052
Prepaid Taxes:		
General Fund		127,823
Prepaid Assessments:		
Other Non-Major Governmental Funds		13,402
Subtotal Deferred Inflows of Resources		$ 6,086,803
Proprietary Funds		
Pension Deferrals:		
Water Resources Fund	$630,734	
Stormwater Management Fund	121,279	
War Memorial Coliseum Fund	245,650	
Solid Waste Management Fund	67,305	
Other Non-Major Enterprise Fund	22,495	
Internal Service Funds	408,672	
Subtotal Deferred Inflows of Resources		$ 1,496,135

	Fund Financial Statements
Unearned Revenues	
Governmental Funds	
Prepaid Privilege License Fees:	
General Fund	$ 18,604
Prepaid Business Permit Fees:	
General Fund	2,100
Contributions/Donations:	
General Fund	319,627
Grant Revenues:	
Other Non-Major Governmental Funds	4,036,845
Subtotal Unearned Revenues	$4,377,176
Proprietary Funds	
Prepaid Rents:	
War Memorial Coliseum Fund	$720,559
Promotional Fees in Advance:	
War Memorial Coliseum Fund	327,229
Subtotal Unearned Revenues	$1,047,788

	Government-Wide Financial Statements	
	Governmental Activities	Business-Type Activities
Deferred Outflows of Resources		
Unamortized Bond Refunding Charges	$ 226,280	$ 4,051,634
Pension Deferrals	19,108	3,626
Current Year Pension Contributions	8,560,781	1,624,893
Accumulated Decrease in Fair Value of Hedging Derivatives	566,943	
Subtotal Deferred Outflows of Resources	$9,373,112	$ 5,680,153
Deferred Inflows of Resources		
Prepaid Taxes	$ 127,823	$
Prepaid Assessments	13,402	
Pension Deferrals	5,729,319	1,087,463
Subtotal Deferred Inflows of Resources	$ 5,870,544	$1,087,463
Unearned Revenues		
Prepaid Privilege License Fees	$ 18,604	$
Prepaid Business Permit Fees	2,100	
Prepaid Rents		720,559
Promotional Fees in Advance		327,229
Grant Revenues	2,650,999	
Other unearned contributions	319,627	
Subtotal Unearned Revenues	$ 2,991,330	$ 1,047,788

8. Long-Term Liabilities

Long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund-type statement of net position in the government-wide financial statements, and proprietary fund-types in the fund financial statements. Bond premiums and discounts and losses on extinguishment of debt are unearned and amortized over the life of the bonds using the effective interest method. These latter amounts are now classified as Deferred Outflows of Resources. Bond issuance costs are expensed in the reporting period in which they are incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs during the current period. The face amount of debt issued is reported as an “Other Financing Source”. Premiums received on debt issuances are reported as “Other Financing Sources” while discounts on debt issuances are reported as “Other Financing Uses”. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures as “Fees and Other”.

9. Fund Equity

In the governmental fund financial statements, the fund balances are composed of five classifications designed to disclose the spending hierarchy of constraints placed on how fund balance can be spent. The City reports nonspendable funds, restricted, committed, assigned and unassigned fund balances. Fund balances are further segregated into the following classifications:

Nonspendable Fund Balance - This classification includes amounts that cannot be spent because they are either not in spendable form or legally or contractually required to be maintained intact. Amounts that cannot be spent due to form, include inventories, prepaid amounts, long-term amounts of loans and notes receivable funds permanently held for cemetery care and property held for resale, unless future property sale proceeds are restricted, committed or assigned.

Inventories and Miscellaneous Prepaids - This represents that portion of fund balance segregated for year-end inventories of supplies and prepaid items such as rent and postage; these are current assets and do not represent available spendable resources.

Assets Held for Resale - This represents that portion of fund balance segregated for assets that are intended to be resold and not used in operation.

Perpetual Maintenance – This represents Cemetery resources that are required to be retained in perpetuity for maintenance of the City's three cemeteries.

Restricted Fund Balance – This classification can be spent only for specific purposes, as stipulated by external resource providers and creditors, by constitution or through enabling legislation that is legally enforceable by an external party. Enabling legislation that creates a revenue stream must also stipulate the purposes for which that revenue can be used. Restrictions may only be changed by parties external to the entity or imposed by law.

Restricted for Stabilization by State Statute - This represents the amount of fund balance which cannot be appropriated by the governing board. North Carolina General Statutes (G.S. 159-8(a)) limit the amount that each local government may appropriate to the sum of cash and cash equivalents/investments, less the sum of liabilities, encumbrances and unearned revenues arising from cash receipts as those amounts stand at the close of the preceding Fiscal Year. Encumbrances represent commitments outstanding at June 30, 2016 related to purchase orders and unperformed contracts.

Restricted for Debt Covenants – This fund balance is derived from debt proceeds and is governed by certain covenants contained in financing agreements and is mainly restricted to finance major capital improvements.

Restricted for Highway Improvements – This represents the amount of fund balance which can only be spent on streets, such as Powell Bill. The Powell Bill Fund is reported as a Special Revenue Fund for reporting purposes and related capital expenditures are also reported in the State Highway Allocation Capital Project Fund. These funds were established to account for Powell Bill Funds which are derived from a one and three-fourths cents per gallon motor fuel tax. The State of North Carolina collects these monies and returns a proportionate share to local governments based on local street mileage and population. Expenditures from this fund are restricted to specific highway construction and maintenance costs.

Restricted for Culture and Recreation – This represents fund balance restricted by outside parties to be used for specific culture and recreation projects.

Committed Fund Balance – The portion of fund balance that can only be used for specific purposes imposed by a formal action in a majority vote by a quorum of the City of Greensboro's governing body (highest level of decision–making authority). The governing body can, by adoption of a resolution prior to the end of the year, commit fund balance. Once adopted, the limitation imposed by the resolution remains in place until a similar action is taken (the adoption of another resolution) to remove or revise the limitation. These amounts are not subject to legal enforceability by external parties, as in restricted; however, amounts cannot be used for any other purpose unless the governing body removes or changes the limitation by taking the same form of action employed to previously impose the limitation. Formal action to commit an amount to a specific purpose must be made prior to the end of the Fiscal Year. The actual amount, however, may be computed after the year end as part of the preparation of the financial statements.

Committed for 911 Program – This portion of fund balance represents amounts committed to the continued operations of the Guilford Metro 911 Emergency Telephone System.

Committed for Police Separation Allowance – This portion of fund balance will be used for the Law Enforcement Officers' Special Separation Allowance obligations.

Committed for Special Tax Districts – This represents the portion of fund balance committed by the board for special tax districts, primarily derived from specific property taxes.

Committed for Neighborhood Development - This portion of fund balance represents amounts committed to housing partnership and community development to fund low and moderate income housing initiatives, primarily derived from a specific property tax.

Committed for Economic Opportunity – This portion of fund balance represents amounts committed to enhancing economic development within the City of Greensboro.

Committed for Cemetery Maintenance – This amount represents the portion of fund balance to be used for the maintenance and operation of the three cemeteries that are owned and operated by the City, primarily derived from cemetery lot sales.

Committed for Debt Service – This represents amounts held for the future payment of general long-term debt principal and interest.

Assigned Fund Balance can be assigned either by any action of the governing body, or by designees with authority to assign. Amounts can be unassigned by the same process. Assignments calculations may be made after the end of the fiscal year during the process of preparation of the financial statements. The City may delegate to the City Manager (or his designee) the authority to assign amounts of a fund balance to promote sound financial operations of the City or to meet a future obligation.

Assigned for Subsequent Year's Expenditures – This represents the amount of fund balance appropriated by the City Council to balance the budget for the year ending June 30, 2017.

Assigned for Debt Service – This represents amounts held for the future payment of general long-term debt principal and interest.

Assigned for Capital Projects – This represents funds used to finance all major capital improvements. The governing body approves the appropriation.

Unassigned Fund Balance represents the residual classification for the General Fund, which has not been restricted committed, or assigned to specific purposes within the General Fund. Council action is needed to affect the Unassigned Fund Balance (Unappropriated Fund Balance) in the General Fund. The ordinance must be approved by seven Council members unless an emergency exists (Section 3.23 of Greensboro City Charter). The minimum fund balance policy for the General Fund is 9% of budgeted expenditures of the subsequent year, with the remaining amounts, if any, recorded as "Assigned for Capital Projects". Unassigned residual deficits may apply to other governmental funds to the extent fund balances are insufficient to satisfy restricted and committed balances.

The City of Greensboro's revenue spending policy provides guidance for programs with multiple revenue sources. The Finance Officer will use resources in the following hierarchy; bond proceeds, federal funds, state funds, local non-City funds, and then City funds when directing expenditures of the City.

Fund balance determination of order of expenditures – In determining the classification of total fund balance remaining at the end of the Fiscal Year when an expenditure is incurred for purposes for which both restricted and unrestricted amounts are available, expenditures will be applied first to restricted fund balance and then to unrestricted fund balance. The Finance Director has the authority to deviate from this policy if it is in the best interest of the City and promotes sound financial practices. Within unrestricted fund balance, the order in which the expenditures will be applied is as follows: Committed, Assigned, Unassigned, if multiple fund balances are reported for the same program.

10. Net Position

The government-wide and business-type fund financial statements utilize a net position presentation. Net position is categorized as net investment in capital assets, restricted and unrestricted.

Net Investment in Capital Assets is intended to reflect the portion of net position which is associated with non-liquid capital assets less outstanding capital asset-related debt.

Restricted Net Position represents liquid assets (typically generated from certain revenues and bond proceeds) which have third-party (statutory, bond covenant or granting agency) limitations on their use. Restrictions may also be imposed by law through constitutional provisions or enabling legislation.

At June 30, 2016, net position restricted by enabling legislation includes:

Water Resources Capital Reserve	$	7,914,239
Solid Waste Capital Reserve	$	1,138,058
Parking Facilities Capital Reserve	$	643,026

Unrestricted Net Position represents net position that does not meet the definitions of "Restricted" or "Net Investment in Capital Assets". Unrestricted net position may be assigned or committed for management's or the Board's specific internal purposes. Unrestricted net position does not equate to net position available for appropriation which is calculated using statutory guidelines.

11. Pensions

For purposes of measuring the net pension asset (liability), deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Local Governmental Employees' Retirement System (LGERS) and additions to/deductions from LGERS' fiduciary net position have been determined on the same basis as they are reported by LGERS. For this purpose, plan member contributions are recognized in the period in which the contributions are due. The City of Greensboro's employer contributions are recognized when due and the City of Greensboro has a legal requirement to provide the contributions. Benefits and refunds are recognized when due and payable in accordance with the terms of LGERS. Investments are reported at fair value.

12. Accounting Changes and Reclassifications

In accordance with Governmental Accounting Standards Board (GASB) Statement 73, the City reclassified assets of the Law Enforcement Officers' Special Separation Allowance Trust fund to the General Fund. As a result, fund balance for the General Fund increased by $6,379,625 and net position for governmental activities increased by $408,311.

II. Reconciliation of Government-Wide and Fund Financial Statements

A. <u>Explanation of certain differences between the governmental fund balance sheet and the government-wide statement of net position</u>.

The governmental fund balance sheet includes reconciliation between *fund balance – total governmental funds* and *net position – governmental activities* as reported in the government – wide statement of net position. One element of that reconciliation explains that "long-term liabilities, including bonds payable, are not due and payable in the current period and therefore are not reported in the funds."

The details of this $226,709,323 difference (including Premium of $5,751,153 and unamortized bond refunding charges of $226,280) are as follows:

Bonds and Notes Payable	$	171,060,741
Certificates of Participation Payable		6,262,719
Limited Obligation Bonds and Notes Payable		26,401,866
Lease Purchase and Other Financing Agreements Payable		4,942,297
Compensated Absences Payable		11,173,432
Accrued Interest Payable		1,629,433
OPEB Liability		5,238,835
Combined Adjustment	$	226,709,323

B. <u>Explanation of certain differences between the governmental fund statement of revenues, expenditures, and change in fund balances and the government-wide statement of activities</u>.

The governmental fund statement of revenues, expenditures, and changes in fund balances include reconciliation between *net changes in fund balances – total governmental funds* and *changes in net position of governmental activities* as reported in the government-wide statement of activities. One element of that reconciliation explains that "Governmental funds report capital

outlays as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense".

The details of this $5,798,496 difference are as follows:

Capital Outlay	$	19,468,966
Contributed Capital		17,725
Disposal		(1,204,250)
Depreciation/Amortization Expense		(12,483,945)
Combined Adjustment	$	5,798,496

Another element of that reconciliation states that "the issuance of long-term debt (e.g., bonds, leases) provides current financial resources to governmental funds, while the repayment of the principal of long-term debt consumes the current financial resources of governmental funds. Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are unearned and amortized in the statement of activities. Also included are OPEB and compensated absences activities."

The details of this $(7,175,974) difference are as follows:

Issuance of Debt	$	(18,444,962)
Principal Expenditure		12,850,663
Bond-Related Amortization		(255,128)
Interest Expenditures/Premium Amortization		1,750,106
Compensated Absences Expense		(89,411)
OPEB Expense		(2,987,242)
Combined Adjustment	$	(7,175,974)

III. Stewardship, Compliance and Accountability

A. Budgetary Information

In accordance with the General Statutes of the State of North Carolina, the City prepares and adopts its budgets on the modified accrual basis. The General Statutes also require balanced budgets for all funds for which a budget is required. The City adopts annual budgets for all funds except Capital Projects Funds, Grant Project Funds and Trust Fund. Annual budgets must be adopted no later than July 1, the beginning of the Fiscal Year. The following Special Revenue Funds have legally adopted annual budgets: Streets and Sidewalk Revolving, Cemetery, Hotel/Motel Occupancy Tax, Special Tax Districts, Housing Partnership Revolving, Economic Development Fund, and Emergency Telephone System Fund. Capital and Grant Project budgets are adopted for the duration of the project which may encompass several years. Appropriations for funds that adopt annual budgets lapse at the end of the budget year. Capital and Grant Project budget appropriations do not lapse until the completion of the project.

The following schedule provides management and citizens with information on the portion of General Fund balance that is available for appropriation:

Total Fund Balance - General Fund	$77,173,159
Less:	
Inventories	1,003,078
Prepaid Expenditures	197,660
Stabilization by State Statute	28,002,098
Police Separation Allowance	6,365,576
Appropriated Fund Balance in 2017 Budget	6,654,740
Capital Projects	10,149,567
Working Capital/Fund Balance Policy	24,800,440

Budgets are adopted at a fund level and are amended as necessary during the Fiscal Year in one of two ways. First, the City Manager, as delegated by City Council, may make line-item transfers within individual fund budgets with subsequent monthly notice to City Council. Such transfers can neither increase nor decrease the overall budget at the fund level. Secondly, the budget may be increased or decreased at the fund level as changing circumstances dictate, subject to City Council approval. The legal level of budgetary control (the level at which expenditures may not legally exceed appropriations) is the fund level.

As required by North Carolina General Statutes, appropriations in Governmental Funds are encumbered upon issuance of purchase orders, contracts or other forms of legal commitments. Even though goods and services have not been received, the transactions are accounted for as a reservation of fund balance in the year that the commitment is made. While appropriations lapse at the end of the Fiscal Year, the succeeding year's budget ordinance specifically provides for the re-appropriation of year-end encumbrances.

The outstanding encumbrances are amounts needed to pay any commitments related to purchase orders and contracts that remain unperformed at year-end are as follows:

Encumbrances	General Fund	Debt Service Fund	Non-Major Funds
$ 53,561,673	$ 3,674,807	$ 2,700	$ 49,884,166

Supplemental budgetary amendments increased the General Fund appropriation by $2,080,432 for programs being funded by state grants and appropriated fund balance. No expenditures exceeded appropriations at the legal level of control during Fiscal Year 2016.

B. <u>Deficit Fund Equity</u>

The following funds report deficit fund balances as of June 30, 2016:

State Highway Allocation Fund	$ (51,933)
Workforce Investment Act	(5,581)
Stimulus Grants Project Fund (ARRA)	(30,303)
Street and Sidewalk Capital Project Fund	(525,517)
Parks and Recreation Bond Fund - Series 2008	(56,082)
Street Improvement Bond Fund - Series 2010	(4,163,815)
Parks and Recreation Bond Fund - Series 2010	(36,792)

These deficits will be eliminated with future reimbursements of federal and state grants and with proceeds from future bond issuances.

IV. Detailed Notes on all Funds

A. <u>Deposits and Investments</u>

1. Deposits

All deposits of the City of Greensboro are either insured or collateralized by using one of the two methods. Under the Dedicated Method, all deposits that exceed the federal depository insurance coverage level are collateralized with securities held by the City's agents in the City's name. Under the Pooling Method, which is a collateral pool, all uninsured deposits are collateralized with securities held by the State Treasurer's agent in the name of the State Treasurer. Since the State Treasurer is acting in a fiduciary capacity for the City, the deposits are considered to be held by the City's agent in the City's name.

The amount of the pledged collateral is based on an approved averaging method for non-interest bearing deposits and the actual current balance for interest-bearing deposits. Depositories using the Pooling Method report to the State Treasurer the adequacy of their pooled collateral covering uninsured deposits. The State Treasurer does not confirm this information with the City or the escrow agent. Because of the inability to measure the exact amount of collateral pledged for the City under the Pooling Method, the potential exists for under collateralization, and the risk may increase in periods of high cash flows. However, the State Treasurer of North Carolina enforces strict standards of financial stability for each depository that

collateralizes public deposits under the Pooling Method. The City does not have a formal investment policy regarding custodial credit risk for deposits.

At June 30, 2016, the City's deposits had a carrying amount of $4,097,385 and a bank balance of $10,879,039. Of the bank balance, $250,000 was covered by federal depository insurance and the remainder was covered by the collateral held under the Pooling Method.

The Greensboro ABC Board, a discretely presented component unit, held deposits in Pooling Method banks only. At June 30, 2016, the ABC Board's carrying amount of deposits was $4,627,007 and the bank balance was $4,763,604. All of the bank balances were covered by federal depository insurance, as well.

The Greensboro Housing Development Partnership, a discretely presented component unit, had a bank balance at June 30, 2016 of $60,405. All of the bank balance was covered by federal depository insurance.

The Greensboro Redevelopment Commission, a discretely presented component unit, had a bank balance at June 30, 2016 of $32,146. All of the bank balance was covered by federal depository insurance.

2. Investments

North Carolina General Statute 159-30 (c) authorizes the City to invest in obligations of the U. S. Treasury and obligations of certain federal agencies; prime quality commercial paper and bankers' acceptances bearing the highest rating of the nationally recognized statistical rating services (NRSRS); repurchase agreements with respect to either direct obligations of the United States or obligations of which the principal and interest are guaranteed by the United States; and SEC-registered mutual funds certified by the N.C. Local Government Commission. The City typically holds investments to maturity in order to realize full book value and interest earnings. As required for periods beginning after June 15, 1997 by GASB Statement No. 31, *Accounting and Financial Reporting for Certain Investments and for External Investment Pools*, the City's investments with a maturity of more than one year at acquisition and non-money market investments are carried at fair value determined annually by quoted market prices, using the specific identification method. Money market instruments that have a remaining maturity at time of purchase of one year or less are reported at amortized cost. The securities of the NCCMT Cash Portfolio, a SEC-registered (2a-7) money market mutual fund, are valued at fair value, which is the NCCMT's share price. The NCCMT Term Portfolio has a duration of 0.14 years, and is also an eligible investment for City funds, investing in high-grade money market securities including obligations of the U.S. Treasury and the State of North Carolina.

General Statute 147-69.4 allows the City to participate in an Other Postemployment Benefit (OPEB) Investment Fund managed by the staff of the Department of the State Treasurer and operated in accordance with state laws and regulations. It is not registered with the SEC and G.S. 159-30(g) allows the City to make contributions to the Fund. The State Treasurer in her discretion may invest the proceeds in equities of certain publicly held companies and long or short-term fixed income investments as detailed in G.S. 147-69.2 (1-6) and (8). Funds submitted are managed in three different sub-funds, the State Treasurer's Short Term Investment Fund (STIF) consisting of short to intermediate treasuries, agencies and corporate issues authorized by G.S. 147-69.1, the long-term investment fund (LTIF) consisting of investment grade corporate securities, treasuries, and agencies, and BlackRock's Global Ex-US Alpha Tilts Fund B and BlackRock's Russell 3000 Alpha Tilts Fund B authorized under G.S. 147-69.2 (8). One domestic equity fund and one international equity fund are considered to be commingled in nature. Each is valued at the net asset value of units held at the end of the period based upon the fair value of the underlying investments. The STIF securities are reported at cost and maintain a constant $1 per share value. Under the authority of G.S. 147-69.3, no unrealized gains or losses of the STIF are distributed to participants of the fund. Ownership interests in the LTIF are determined monthly at fair market value based upon units of participation. Units of participation are calculated monthly based upon inflows and outflows as well as allocations of net earnings. The weighted average maturity of the STIF and LTIF is 1.5 years and 17.9 years, respectively.

Interest income earned in the Capital Projects funds, amounting to $41,072 was assigned to the Debt Service Fund.

The GTA owns a percentage of the City's total investment pool. Accordingly, investment balances of the GTA are included in the following table:

Investment Type	Valuation Measurement Method	Reported/Fair Value	Weighted Average Maturity (Year)
U.S. Government Agencies	Fair Value - Level 2	$ 246,815,204	1.48
Commercial Paper	Fair Value - Level 2	9,958,983	0.0003
OPEB - STIF	Amortized Cost	3,932,561	0.003
OPEB - LTIF	Fair Value - Level 2	1,665,344	0.003
OPEB - Equity	Fair Value - Level 1	9,581,656	0.003
NCCMT Cash Portfolio	Amortized Cost	33,369,226	0.003
NCCMT Term Fund	Fair Value - Level 1	10,564,204	0.003
Total Fair Value		$ 315,887,178	
Portfolio Weighted Average Maturity			0.51

All investments are measured using the market approach: using prices and other relevant information generated by market transactions involving identical or comparable assets or a group of assets.

Level of fair value hierarchy:

Level 1: Financial instruments are valued using directly observable, quoted prices (unadjusted) in active markets for identical assets.
Level 2: Financial instruments are valued using inputs that include quoted prices for similar assets and liabilities in active markets, and inputs that are observable for the asset or liability, either directly or indirectly, for substantially the full term of the financial instrument.

The Street Improvements Bond Fund-Series 2010 has $1,206,639 in checks in excess of cash and the Parks & Recreation-Series 2008 has $2,082 in checks in excess of cash, which are reflected in the liability section of these financial statements.

Interest Rate Risk

In accordance with the formal approved City of Greensboro's Charter, Article III, Section 4.71, the Investment Manager (Assistant Treasurer) prepares a memo describing investment transactions in detail as they are purchased. This memo is sent to the Mayor, the City Manager and the Finance Director (Treasurer) for signature approval and then returned to the Investment Manager. Although the investment policy has not been formally approved by the City Council, the City has an investment policy guideline, an internally approved Finance Department document that follows North Carolina General Statute 159-30. As a means of limiting the City's exposure to declines in fair market values from rising interest rates, the City limits the weighted average maturity of its investments to less than 3.5 years. Also, the City purchases securities in a structured ladder with stated maturity dates to limit interest rate risk.

Credit Risk

North Carolina General Statute 159-30 limits investments in U.S. Governmental Agencies and commercial paper to those with top ratings issued by NRSRS. The City has no formal investment policy regarding credit risk, however in practice, it follows NCGS 159-30, and in effect the City limits its investment types to those with top ratings issued by NRSRS. As of June 30, 2016, the City had investments in the NCCMT Cash Portfolio, which is rated AAAm by Standard and Poor's, and in U. S. Government Agencies, all of which were rated AAA by Standard and Poor's. The City also had investments in the NCCMT Term Portfolio, which is not rated. Investments in commercial paper by the City are rated either A1/P1 by Standard and Poor's or Moody's Investors Service.

Custodial Credit Risk

For an investment, the custodial risk is the risk that in the event of the failure of the counterparty, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. The City has no formal policy on custodial credit risk, but the City utilizes a separate third party custodial trust agent for all book-entry transactions, all of which are held in the City's name.

Concentration of Credit Risk

The City's investment policy does not restrict the level of investment in money markets or federal agencies, but it restricts investment in commercial paper or bankers' acceptances of a single issuer to no more than 10% of the total investment portfolio. As of June 30, 2016, the City owned the following investments, which exceed 5% of the City's total investments, along with the percentage noted for each compared to the total portfolio:

Federal National Mortgage Association	17.41%
Federal Home Loan Bank	12.66%
Federal Home Loan Mortgage Corporation	38.38%
Federal Farm Credit Bank	7.91%

At June 30, 2016, the City OPEB Plan had $15,182,164 invested in the State Treasurer's Local Government Other Post-Employment Benefits (OPEB) Investment Fund pursuant to G.S. 147-69.4. The State Treasurer's OPEB Fund may invest in public equities and both long-term and short-term fixed income obligations as determined by the State Treasurer pursuant to the General Statutes. At year-end, the State Treasurer's OPEB Fund was invested as follows: State Treasurer's Short Term Investment Fund (STIF) 26%; State Treasurer's Long Term Investment Fund (LTIF) 11% and BlackRock's Global Ex-US Alpha Tilts Fund B and BlackRock's Russell 3000 Alpha Tilts Fund B 63%.

a. Hedging Derivative Instruments

Objective of the Interest Rate Swaps

As a means to convert variable rate obligations to synthetic fixed rate obligations to reduce the overall variable rate exposure of the City, the City entered into an interest rate swap agreement with Bank of America Merrill Lynch in October 2002, in connection with its $5,700,000 Series 1998 Variable Rate General Obligation Bonds. The intention of the swap was to effectively change the City's interest rate on the bonds to a synthetic fixed rate of 3.46%.

Swap Terms

The bonds and the related swap agreement will mature on April 1, 2020. At inception, and at June 30, 2016, the swap notional amount of $5,700,000 matched the $5,700,000 variable-rate bonds outstanding. Starting in Fiscal Year 2019, the notional value and the principal amount of the associated debt declines. Under the swap, the City pays the counterparty a fixed payment of 3.46% and receives a variable payment computed as 67% of 1 Month London Interbank Offered Rate (LIBOR). The bonds' variable rate coupons are closely associated with the Securities Industry and Financial Markets Municipal Swap Index (SIFMA).

Fair Value

Because interest rates were lower on June 30, 2016 than at the date of the execution of the swap, the swap had an estimated fair value as of June 30, 2016 of ($566,943). The mark-to-market valuation was established by market quotations from the counterparty representing estimates of the amounts that would be paid for replacement transactions.

Credit Risk

As of June 30, 2016, the City is not exposed to credit risk of the counterparty given the derivatives' negative fair values. The counterparty was rated A1 by Moody's Investors Services (Moody's), A by Standard and Poor's (S&P) and A+ by Fitch Ratings (Fitch) at June 30, 2016. No collateral or other security is required to support the hedging derivative instruments' credit risk. No master netting arrangements are maintained as there is only one counterparty to the transactions.

Interest Rate/Basis Risk

As noted above, the swap exposes the City to basis risk should the relationship between 67% of 1 Month LIBOR and SIFMA diverge, changing the synthetic rate on the bonds. The effect of this difference in basis is indicated by the difference between the intended synthetic rate of 3.46% and the actual synthetic rate as of 2016 of 3.37%. As of June 30, 2016, the rate on the City's bonds was 0.43% whereas 67% of 1 Month LIBOR was 0.31%.

Termination Risk

The derivative contract uses the International Swap Dealers Association Master Agreement, which includes standard termination events, such as failure to pay and bankruptcy. The City will have the right to terminate the swap at any time over the life of the swap at the current market value on short-term notice. The respective Schedule to the respective Master Agreement includes an "additional termination event." That is, the swap may be terminated by the counterparty if the outstanding debt of the City, secured by its faith, credit and taxing power, ceases to be rated at least A3 by Moody's or any successor thereto, A- by S&P or any successor thereto, or A- by Fitch, or any successor thereto or shall fail to be rated by at least one of Moody's, S&P, and Fitch. The City or the counterparty may terminate the swap if the other party fails to perform under the terms of the contract. If the swap is terminated, the variable-rate bonds would no longer carry a synthetic interest rate. Termination will result in the City either making or receiving a termination payment based upon the market value on the date of termination.

Market Access Risk/Roll Over Risk

The City's swap is for the term (maturity) of the bonds and therefore there is no market-access risk or rollover risk.
Method of Evaluating Hedge Effectiveness

The City evaluated its derivative instrument by using the synthetic instrument quantitative method and deemed the instrument to be an effective hedge as of June 30, 2016.

B. <u>Long-Term Notes Receivable</u>

The City entered into an agreement with Duke Power Company, effective July 1, 1991, which authorized the discontinuance of transit services provided by Duke Transit in Greensboro, pursuant to a franchise agreement scheduled to expire on July 1, 2028. In exchange, the City is to receive $55,500,000 in 37 equal annual installments of $1,500,000 from Duke Power Company with the first installment on July 1, 1991 and the final installment on July 1, 2027, to assist in financing operations of the GTA. The annual payment is secured by a First and Refunding Mortgage Bond issued by Duke Power Company to the City. The present value of the note receivable as of June 30, 2016 is $10,768,196. Interest income of $6,268,050 will be recognized by the effective yield method over the remaining 11-year term of the note, based on an imputed interest rate of 8.95%.

Terms of certain of the notes receivable of the Redevelopment Commission are such that principal and interest may be forgiven upon meeting certain conditions. In addition, corresponding revenue was not recognized at the government-wide financial statement level because the loans were not considered substantially collectible.

C. Capital Assets

Capital asset activity of the year ended June 30, 2016 was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Governmental Activities:				
Capital Assets, Non-depreciable:				
Land	$ 84,247,173	$ 2,943,576	$ (85,203)	$ 87,105,546
Construction in Progress	11,448,650	7,775,249	(2,191,760)	17,032,139
Total Capital Assets Non-Depreciable	95,695,823	10,718,825	(2,276,963)	104,137,685
Capital Assets, Depreciable:				
Buildings	178,986,566	811,178	(1,970,641)	177,827,103
Improvements Other Than buildings	31,864,509	189,058	(18,326)	32,035,241
Furniture, Fixtures, Machinery and Equipment	152,881,528	16,750,384	(8,368,649)	161,263,263
Infrastructure	285,350,714	9,126,461		294,477,175
Intangible Assets - Software & Licenses	4,377,577	29,350	(87,934)	4,318,993
Total Capital Assets, Depreciable	653,460,894	26,906,431	(10,445,550)	669,921,775
Less Accumulated Depreciation For:				
Buildings	(73,081,070)	(4,419,965)	895,251	(76,605,784)
Improvements Other Than Buildings	(17,297,595)	(1,153,719)	6,013	(18,445,301)
Furniture, Fixtures, Machinery and Equipment	(112,880,376)	(11,241,182)	8,214,416	(115,907,142)
Infrastructure	(136,216,171)	(5,925,837)		(142,142,008)
Intangible Assets - Software & Licenses	(4,128,683)	(129,723)	87,934	(4,170,472)
Total Accumulated Depreciation	(343,603,895)	(22,870,426)	9,203,614	(357,270,707)
Total Capital Assets, Depreciable, Net	309,856,999	4,036,005	(1,241,936)	312,651,068
Capital Assets, Net Governmental Activities	$ 405,552,822	$ 14,754,830	$ (3,518,899)	$ 416,788,753

	Beginning Balance	Increases	Adjustments	Decreases	Ending Balance
Business-Type Activities:					
Capital Assets, Non-Depreciable:					
Land	$ 45,637,668	$ 230,973	$	$	$ 45,868,641
Construction in Progress	44,941,551	50,993,227		(5,840,309)	90,094,469
Intangible Assets - Easements	21,179,337	1,073,140			22,252,477
Total Capital Assets Non-Depreciable	111,758,556	52,297,340		(5,840,309)	158,215,587
Capital Assets, Depreciable:					
Buildings	302,311,075	9,565,438		(3,218,168)	308,658,345
Improvements Other Than buildings	55,767,214			(39,319)	55,727,895
Furniture, Fixtures, Machinery and Equipment	55,242,813	3,006,614		(73,942)	58,175,485
Infrastructure	649,076,654	12,735,964			661,812,618
Intangible Assets: Water Rights, Software & License	92,666,393	892,278			93,558,671
Total Capital Assets, Depreciable	1,155,064,149	26,200,294		(3,331,429)	1,177,933,014
Less Accumulated Depreciation/Amortization for:					
Buildings	(130,791,151)	(8,251,509)	(231,732)	3,217,978	(136,056,414)
Improvements Other Than Buildings	(24,581,601)	(1,840,345)		34,753	(26,387,193)
Furniture, Fixtures, Machinery and Equipment	(30,105,483)	(2,786,534)	(3,597)	57,929	(32,837,685)
Infrastructure	(287,683,249)	(14,505,443)	236,326		(301,952,366)
Intangible Assets: Water Rights, Software & License	(13,472,829)	(1,936,280)			(15,409,109)
Total Accumulated Depreciation	(486,634,313)	(29,320,111)	997	3,310,660	(512,642,767)
Total Capital Assets, Depreciable, Net	668,429,836	(3,119,817)	997	(20,769)	665,290,247
Capital Assets, Net Business-Type Activities	$ 780,188,392	$ 49,177,523	$ 997	$ (5,861,078)	$ 823,505,834

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities:	
General Government	$ 294,440
Public Safety	1,859,444
Transportation, including depreciation of general infrastructure assets	6,026,309
Field Operations	37,385
Engineering and Building Maintenance	734,290
Culture and Recreation	3,532,078
Capital assets held by the government's Internal Service Funds are charged to the various functions based on their usage of the assets	10,386,480
Total depreciation, amortization expense - Governmental Activities	$ 22,870,426
Business-Type Activities:	
Water Resources Fund, including depreciation of infrastructure assets	$ 23,458,134
Stormwater Management Fund	1,779,532
War Memorial Coliseum Fund	2,942,957
Parking Facilities Fund	587,233
Solid Waste Management Fund	552,255
Total depreciation, amortization expense - Business-Type Activities	$ 29,320,111

Construction Commitments

The City has construction contract commitments on capital projects at June 30, 2016 as follows:

Governmental Funds:		
Special Revenue	$	1,513,549
Capital Projects		26,836,165
Total Governmental Funds		28,349,714
Enterprise Funds:		
Water Resources		54,879,102
Stormwater Management		1,773,697
War Memorial Coliseum		7,529,702
Total Enterprise Funds		64,182,501
	$	92,532,215

Discretely Presented Component Units:

Activity for GHDP for the year ended June 30, 2016, was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Capital Assets, Depreciable, Amortized:				
Furniture, Fixtures, Machinery and Equipment	$ 3,723	$	$ (3,723)	$
Intangible Asset-Software and Licenses	135		(135)	
Total Capital Assets Depreciable, Amortized	3,858		(3,858)	
Less Accumulated Depreciation/Amortization for:				
Furniture, Fixtures, Machinery and Equipment	(3,723)		3,723	
Intangible Asset-Software and Licenses	(135)		135	
Total Accumulated Depreciation/Amortization	(3,858)		3,858	
Total Capital Assets, Depreciable, Amortized-Net				
GHDP Capital Assets, Net	$	$	$	$

Activity for GTA for the year ended June 30, 2016, was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Capital Assets, Non-depreciable:				
Land	$ 2,923,192	$	$	$ 2,923,192
Capital Assets, Depreciable:				
Buildings	37,760,053			37,760,053
Improvements Other Than Buildings	104,669	491		105,160
Furniture, Fixtures, Machinery and Equipment	22,371,975	6,240,377	(2,466,444)	26,145,908
Intangible Assets-Software & Licenses	39,443			39,443
Total Capital Assets, Depreciable	60,276,140	6,240,868	(2,466,444)	64,050,564
Less Accumulated Depreciation/Amortization for:				
Buildings	(8,179,597)	(944,605)		(9,124,202)
Improvements Other Than Buildings	(8,466)	(5,014)		(13,480)
Furniture, Fixtures, Machinery and Equipment	(14,764,541)	(2,213,021)	2,382,096	(14,595,466)
Intangible Assets-Software & Licenses	(19,722)	(6,573)		(26,295)
Total Accumulated Depreciation	(22,972,326)	(3,169,213)	2,382,096	(23,759,443)
Total Capital Assets, Depreciable-Net	37,303,814	3,071,655	(84,348)	40,291,121
GTA Capital Assets, Net	$ 40,227,006	$ 3,071,655	$ (84,348)	$ 43,214,313

Activity for ABC Board for the year ended June 30, 2016, was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Capital Assets, Non-depreciable:				
Land	$ 644,855	$ 1,137,860	$	$ 1,782,715
Capital Assets, Depreciable:				
Buildings	3,678,368	226,235		3,904,603
Improvements Other Than Buildings	419,708	44,404		464,112
Furniture, Fixtures, Machinery and Equipment	2,405,832	440,345	(589,611)	2,256,566
Total Capital Assets, Depreciable	6,503,908	710,984	(589,611)	6,625,281
Less Accumulated Depreciation/Amortization for:				
Buildings	(928,621)	(85,926)		(1,014,547)
Improvements Other Than Buildings	(332,504)	(38,639)		(371,143)
Furniture, Fixtures, Machinery and Equipment	(1,812,046)	(167,698)	398,315	(1,581,429)
Total Accumulated Depreciation	(3,073,171)	(292,263)	398,315	(2,967,119)
Total Capital Assets, Depreciable-Net	3,430,737	418,721	(191,296)	3,658,162
ABC Board Capital Assets, Net	$ 4,075,592	$ 1,556,581	$ (191,296)	$ 5,440,877

D. Closure and Postclosure Care Cost – White Street Landfill

The City owns and operates a regional landfill site located in the northeast portion of the City. State and federal laws require the City to place a final cover on its White Street landfill site and to perform certain maintenance and monitoring functions at the site for thirty years after closure. The City reports a portion of these closure and postclosure care costs as an operating expense in each period based on landfill capacity used as of each June 30. The $25,601,702 reported as landfill closure and postclosure care liability at June 30, 2016 is based on 100% use of the estimated capacity of Phase II and Phase III, Cells 1 and 2. Phase III, Cell 3 is estimated at 53.4% of capacity.

In November 2005, the City issued $8.4 million in Special Obligation bonds for the purpose of constructing a solid waste transfer facility. This facility, which opened in 2006, is located in an industrial section of western Greensboro and accepts waste from the City's solid waste collection services and from private haulers, with waste transported off-site daily to a private site outside of the City. It is expected that White Street Landfill will only be utilized for disposal of construction, demolition debris, yard waste and certain incinerated waste and in the event that the transfer station is not operational.

The estimated liability amounts are based on what it would cost to perform all closure and postclosure care in the current year. Actual costs may be higher due to inflation, changes in technology, or changes in regulations. At June 30, 2016, the City had expended $3,876,035 to complete closure of the White Street facility, Phase II and $2,535,980 to begin closure activities at the construction and demolition site located on top of the municipal waste filled space. The balance of closure costs, estimated at $13,101,987 and an estimated $12,499,715 for postclosure care will be funded over the remaining life of the landfill, estimated to be 20 to 25 years.

E. Pollution Remediation Obligations

Greensboro staff have identified specific City-owned properties where either it is known or reasonably believed that the sites contain certain pollutants. Most of the properties have not completed an environmental assessment of the impact or have active remediation systems in place, however each site has been reported to a North Carolina regulatory agency as having a current or reportable incident, thus voluntarily obligating the City for certain remediation activities. In addition, the City entered an administrative agreement with a state agency to voluntarily assess a site. None of the reported pollution creates an imminent endangerment to public health or welfare and many of the sources of impact have already been eliminated, as reasonably appropriate.

An estimated pollution remediation obligation of $1,552,417 is recorded in the Statement of Net Position in the Solid Waste Enterprise Fund. This amount reflects current estimates for groundwater pollution remediation noted at the City's White Street landfill, in an active part of the disposal site, not associated with closure and postclosure activities. City staff has voluntarily worked with appropriate State regulators to assess the environmental impact and to develop a corrective action plan. The estimated cost of remediation is based on an external consultant's estimate for the corrective action plan, which involves phyto-remediation and monitored natural attenuation activities. Should further activities become necessary, such as constructing a pump and treat system, cost estimates would then be re-evaluated. Remediation activities began in Fiscal Year 2010 and are ongoing.

Certain other sites associated with pollution activity within the City have been identified, primarily pertaining to former waste disposal or prior property use; however, costs for remediation activities are not estimable as of June 30, 2016.

In addition, we estimate no future recoveries to potentially reduce the recorded pollution liabilities in Fiscal Year 2016.

F. Interfund Receivables, Payables and Transfers

The following is a schedule of interfund receivables and payables and due to/from primary government and component units at June 30, 2016:

1. Internal Receivables/Payables:

	General Fund	Housing Partnership Revolving Fund	General Capital Improvement II Fund	Total
Receivable By:				
General Fund	$ 150,910	$	$	$ 150,910
Non-Major Governmental Funds		1,340,420	11,000	1,351,420
Total	$ 150,910	$ 1,340,420	$ 11,000	$ 1,502,330
Current Payable From:				
Non-Major Governmental Funds:				
Community Development	$	$ 913,420	$	$ 913,420
State Highway Allocation	55,000			55,000
HOME Program		427,000		427,000
Workforce Investment Act	95,910			95,910
Street & Sidewalk Capital Project			11,000	11,000
Total	$ 150,910	$ 1,340,420	$ 11,000	$ 1,502,330

2. Due To/From Primary Government and Component Unit:

	Receivable By: General Fund
Payable From: Component Unit - ABC Board	$ 968,875

Internal receivables and payables were recorded due to timing lags in receipt of funds from outside parties. Current internal balances represent amounts advanced to the Community Development Block Grant Fund ($913,420), State Highway Allocation ($55,000), Home Program Fund ($427,000), Workforce Investment Act ($95,910) and the Street and Sidewalk Capital Project Fund ($11,000) pending reimbursement receipts from grantor agencies in the next fiscal year.

3. Interfund Transfers:

	General Fund	Non-Major Governmental Funds	Internal Service Funds
Transfers From:	$ (30,077,668)	$ (10,600,209)	$ (408,503)
Transfers To:			
General Fund	$	$ 6,886,642	$ 53,000
Debt Service Fund	18,272,570		
Non-major Governmental Funds	2,779,307	2,656,249	300,000
Enterprise Funds:			
War Memorial Coliseum	2,500,000	1,057,318	
Solid Waste Management	1,805,777		
Internal Service Funds	4,720,014		55,503
Total	$ 30,077,668	$ 10,600,209	$ 408,503

	Water Resources Fund	Stormwater Management Fund	Total
Transfers From:	$ (1,025,000)	$ (687,600)	$ (42,798,980)
Transfers To:			
General Fund	$	$	$ 6,939,642
Debt Service Fund			18,272,570
Non-Major Governmental Funds	1,025,000	687,600	7,448,156
Enterprise Funds:			
War Memorial Coliseum			3,557,318
Solid Waste Management			1,805,777
Internal Service Funds			4,775,517
Total	$ 1,025,000	$ 687,600	$ 42,798,980

Transfers are used to move unrestricted revenues to finance various programs that the government must account for in other funds in accordance with budgetary authorizations, including amounts provided as matching funds for various grant programs.

The Greensboro ABC Board transferred $3,634,041 to the General Fund in Fiscal Year 2016, which was recorded as Intergovernmental Revenue.

The Greensboro Transit Authority transferred $17,670 to the State and Federal Grants fund in Fiscal Year 2016, which was recorded as an expense in the GTA Fund and revenue to the State and Federal Grants Fund.

G. Long-Term Debt

Long-term Bonded Debt of the City consists of General Obligation Bonds, which are collateralized by the full faith, credit and taxing power of the City and are issued for both general governmental improvements and for Proprietary Fund purposes. The City's legal debt margin as of June 30, 2016 is $1,714,218,530. Long-term Bonded Debt consists of the following:

1. General Governmental Improvement General Obligation Bonds/Anticipation Notes

These outstanding tax-exempt and taxable bonds bear interest, payable monthly, at variable rates along with interest payable semi-annually at fixed rates from 2.00% to 5.00%. The outstanding tax-exempt and taxable variable rate bonds are reported at .43%, and .42%, respectively as of June 30, 2016. Principal is payable annually in varying amounts through 2034.

On March 18, 2014, the City entered into an agreement with Wells Fargo Bank, N.A. for a General Obligation Bond Anticipation Note drawdown program in the amount of $50,000,000. As of June 30, 2016, $31,023,007 has been drawn down for improvements at the Greensboro Science Center, Reedy Fork Fire Station, Library Facilities, Street Improvements, Parks and Recreation Facilities, and Affordable Housing. The note bears variable interest at 70% of 1 Month LIBOR plus 35 basis points and matures on November 1, 2016.

General Obligation Bonds	$136,330,128
Bond Anticipation Notes Payable	31,023,007
	167,353,135

2. Internal Services Improvement General Obligation Bonds

This obligation, issued in 1998, relates to a public safety communications system and is recorded in the Technical Services Fund. Debt service will be covered by fees charged to other internal departments.

General Obligation Bonds	1,619,872
Total	$168,973,007

3. Limited Obligation Notes

On May 17, 2016, the City entered into an agreement with Wells Fargo Bank, N.A. for Limited Obligation Notes in the amount of $20,000,000, for coliseum improvements with a principal amount of $14,000,000 being non-taxable and $6,000,000 being taxable. The non-taxable and taxable notes bear variable interest of 70% of 1 Month LIBOR plus 40 basis points and 1 Month LIBOR plus 50 basis points, respectively, and mature May 2022.

4. Defeased Bonds

In prior years, the City defeased General Obligation Bonds by placing the proceeds of new bonds in an irrevocable trust to provide for all future debt service payments on the old debt. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the City's financial statements. At June 30, 2016, $20,905,000 of General Obligation Bonds outstanding are considered defeased. For details of all General Obligation outstanding bond issues refer to the Schedule of General Long Term Debt on pages 163 - 166.

5. General Obligation Bonds/Anticipation Notes Debt Service Requirements to Maturity are:

	Governmental Activities Annual Requirements		
Fiscal Year	Principal [1]	Interest	Total
2016-17	$ 43,083,007	$ 4,396,393	$ 47,479,400
2017-18	12,205,000	3,762,445	15,967,445
2018-19	12,645,000	3,184,311	15,829,311
2019-20	12,760,000	2,761,683	15,521,683
2020-21	13,195,000	2,355,193	15,550,193
2021-26	49,015,000	7,332,609	56,347,609
2026-31	23,530,000	2,541,263	26,071,263
2031-34	2,540,000	219,000	2,759,000
	$ 168,973,007	$ 26,552,897	$ 195,525,904

[1] Bond Anticipation Notes of $31,023,007 included are scheduled to mature in Fiscal 2017.

6. Limited Obligation Bonds

On October 7, 2014, the City issued $24,450,000 in Limited Obligation Bonds Series 2014 bearing interest payable semiannually at fixed rates from 2.0% to 5.0% on June 1 and December 1, with final maturity in 2040. The original issue premium amounted to $1,587,051. The proceeds of these bonds were used to retire the $24,000,000 limited obligation notes issued on June 1, 2012. The proceeds of the note were used for coliseum improvements.

	Governmental Activities Annual Requirements		
Fiscal Year	Principal	Interest	Total
2016-17	$ 610,000	$ 957,768	$ 1,567,768
2017-18	630,000	933,368	1,563,368
2018-19	655,000	908,168	1,563,168
2019-20	685,000	881,968	1,566,968
2020-21	720,000	847,718	1,567,718
2021-26	4,025,000	3,798,990	7,823,990
2026-31	4,955,000	2,872,954	7,827,954
2031-36	5,880,000	1,942,352	7,822,352
2036-40	5,700,000	561,946	6,261,946
	$ 23,860,000	$ 13,705,232	$ 37,565,232

7. Special Obligation Bonds

On November 17, 2005, the City issued $8,400,000 in Special Obligation Bonds Series 2005 bearing interest payable semiannually at fixed rates from 3.75% to 5.0% on June 1 and December 1, with final maturity in 2020. The original issue premium amounted to $224,026. The proceeds of these bonds were used for the construction of a solid waste transfer station along with related equipment and improvements.

A portion of the Local Option Sales Tax is pledged for payment of debt service on the Bonds. Certain financial covenants are contained in the bond order, among the most restrictive of which provide the City maintain a long-term debt service ratio, as defined, of not less than 2.0. The coverage ratio at June 30, 2016 is 22.80. The City demonstrated compliance with bond covenants during Fiscal Year 2015-16.

Special Obligation Bonds Debt Service Requirements to Maturity are:

	Business-Type Activities Annual Requirements		
Fiscal Year	Principal	Interest	Total
2016-17	$ 680,000	$ 146,500	$ 826,500
2017-18	715,000	112,500	827,500
2018-19	750,000	76,750	826,750
2019-20	785,000	39,249	824,249
	$ 2,930,000	$ 374,999	$ 3,304,999

8. Combined Enterprise System Revenue Bonds

The City has participated in the capital markets by issuing over $200 million Combined Enterprise System Revenue Bonds since 1995, to fund the on-going capital improvement program of the City's water and sanitary sewer utility. Certain maturities of the debt through 2007 have been defeased, by placing the proceeds of the new bonds in an irrevocable trust to provide for all future debt service payments on the old debt. Accordingly, the trust account assets and the liability for the defeased bonds are not reflected in the City's financial Statements. At June 30, 2016, $181,890,000 of Combined Enterprise System Revenue Bonds is considered defeased. The Combined Enterprise System is currently comprised of only the City's water and sanitary sewer system. Principal and interest requirements will be provided by an appropriation in the year in which they become due.

On April 14, 2016, the City entered into an agreement with Bank of America, N.A. for a Combined Enterprise System Revenue Bond Anticipation Note drawdown program in the amount of $50,000,000. As of June 30, 2016, $18,496,701 has been draw down for improvements to the City's water and sewer systems. This agreement committed funds for water and sewer improvements for 2016-2018 capital projects. The notes bear variable interest at 70% of 1 Month LIBOR plus 33 basis points and mature in 2020.

On February 1, 2016, the City issued $29,310,000 Series 2016 Refunding Combined Enterprise System Revenue Bonds payable semiannually at a fixed rate ranging from 2.0% - 5.0% on June 1 and December 1, with a final maturity in 2045. This bond was issued to redeem in whole the City's Combined Enterprise System Revenue Bond Anticipation Note Series 2014 which had an outstanding principal amount of $30,000,000 and has been removed from the Water Resources Fund.

On June 23, 2015, the City issued $33,985,000 Series 2015 Refunding Combined Enterprise System Revenue Bonds payable semiannually at a fixed rate ranging from 3.0% - 5.0% on June 1 and December 1, with a final maturity in 2029. This bond was issued to defease $35,810,000 of certain Series 2007A and 2014A Combined Enterprise System Revenue Bonds. The aggregate difference in debt service between the refunded debt net cash flow of $36,783,650 and the refunding debt net cash flow of $34,459,828 was $2,323,822. The net proceeds of $37,983,527 (after payment of $439,177 in underwriting fees and other issuance cost) were placed in escrow in an irrevocable trust to provide for all future debt service payments on the old certificates. As a result, a portion of the liability for the 2007A and 2014A Series Revenue Bonds has been removed from the Water Resources Fund. The net present value savings as a result of the refunding was $1,986,402.

In 2012, the City issued $35,185,000 Series 2012A Refunding Combined Enterprise System Revenue Bonds payable semiannually at a fixed rate ranging from 3.0% - 5.0% on June 1 and December 1, with a final maturity in 2027. This bond was issued to defease $40,885,000 of certain Series 2005A and 2005B Combined Enterprise System Revenue Bonds. The aggregate difference in debt service between the refunded debt net cash flow of $52,897,408 and the refunding debt net cash flow of $50,868,670 is $2,028,738. The net proceeds of $41,599,354 (after payment of $482,377 in underwriting fees and other issuance cost) were placed in escrow in an irrevocable trust to provide for all future debt service payments on the old certificates. As a result, a portion of the liability for the 2005 Series Revenue Bonds has been removed from the Water Resources Fund. The proceeds of these bonds, along with the $3,200,000 received from the origination of Series 2012B federally taxable Combined Enterprise System Revenue Refunding Bonds, were used to terminate the associated 2005B interest rate swap agreement. The net present value savings as a result of the refunding was $1,790,610.

On June 1, 2009, the City issued $43,180,000 Series 2009A Enterprise System Revenue Bonds payable semiannually at a fixed rate ranging from 3.5% to 5.0% on June 1 and December 1, with a final maturity in 2031. In addition, the City issued $10,000,000 in 2009B variable rate Combined Enterprise System Revenue Bonds with interest payable monthly through 2034. The original issue premium amounted to $1,547,280. The proceeds of these bonds have been used for improvements to the City of Greensboro's water system.

In June 2007, the City issued $38,040,000 2007A Combined Enterprise System Revenue Bonds payable semiannually at a fixed rate ranging from 4.0% to 5.0% on June 1 and December 1, with a final maturity in 2029. The City also issued $10,000,000 in 2007B variable rate Combined Enterprise System Revenue Bonds with interest payable monthly through 2032. The original issue premium amounted to $536,101. The proceeds of these bonds have been used for improvements to the City's water and sanitary sewer system. Also, refer to the 2015 Refunding Bonds.

On December 7, 2006, the City issued $49,480,000 Series 2006 Refunding Combined Enterprise System Revenue Bonds at a fixed rate of 4.0% to 5.25% with a final maturity in 2025. These bonds were issued to defease a portion of Combined Enterprise System Bond Series 1998A, 2001A and 2003A. The amounts were refunded at $13,820,000, $19,290,000 and $19,150,000, respectively for a total defeasance of $52,260,000. The aggregate difference in debt service between the refunded debt net cash flow of $84,860,919 and the refunding debt net cash flow of $81,028,550 is $3,832,369. The net proceeds of $54,971,117 (after payment of $506,736 in underwriting fees, accrued interest, call premium and other issuance cost) were placed in escrow in an irrevocable trust to provide for all future debt service payments on the old certificates. The net present value interest savings as a result of the refunding was $2,557,141. As a result, the liabilities for a portion of the 1998A, 2001A and 2003A Series Revenue Bonds have been removed from the Water Resources Fund. The proceeds of these bonds were used for improvements to the City's water and sanitary sewer system and other issue costs.

The City has pledged 100% of future water and sewer customer revenues, net of specified operating expenses to the payment of and as security for the Revenue Bonds in the amounts shown below specifically to cover annual debt service through 2045. This pledge relates to all Combined Enterprise Revenue bonds outstanding, issued for the purpose of making water and sewer system improvements. Certain financial covenants are contained in the revenue bond order, among the most restrictive of which provide that the City maintain a long-term debt service coverage ratio, as defined, of not less than 1.50. Pledged revenues exceeded operating expenses by $47,868,717 to provide a coverage ratio of 2.41 at June 30, 2016. The City was in compliance with all such covenants during Fiscal Year 2015-16.

Revenue Bonds/Anticipation Notes Debt Service Requirements to Maturity are:

	Business-Type Activities Annual Requirements		
Fiscal Year	Principal [1]	Interest	Total
2016-17	$ 13,640,000	$ 8,033,296	$ 21,673,296
2017-18	14,295,000	7,433,513	21,728,513
2018-19	14,995,000	6,729,713	21,724,713
2019-20	33,076,701	5,964,437	39,041,138
2020-21	15,325,000	4,934,178	20,259,178
2021-26	71,605,000	15,746,134	87,351,134
2026-31	49,075,000	6,482,007	55,557,007
2031-36	18,825,000	2,614,680	21,439,680
2036-41	6,390,000	1,594,938	7,984,938
2041-45	5,900,000	487,014	6,387,014
	$ 243,126,701	$ 60,019,910	$ 303,146,611

[1] Bond Anticipation Notes of $18,496,701 included are scheduled to mature in Fiscal 2020.

9. Certificates of Participation

In September 2010, the Greensboro Center City Corporation (GCCC) issued $7,000,000 Certificates of Participation payable annually at a fixed rate of 3.0% to 5.25% through FY 2031. Pursuant to installment purchase agreements, the City will make installment payments sufficient to pay the scheduled debt service on all certificates. Principal and interest requirements will be provided by appropriation in the year in which they become due. These payments will be appropriated in the Hotel/Motel Occupancy Tax Special Revenue Fund. Certificates were issued for the Coliseum Complex Aquatic Center purposes.

Certificates of Participation of the GCCC have been issued in prior years for parking facilities, expansion and improvements to the War Memorial Coliseum Complex, and equipment purchases. All certificates are matured, except those relating to the Coliseum Complex – Aquatic Center. Principal is payable annually in varying amounts through FY 2031.

Certificates of Participation Debt Service Requirements to Maturity are:

	Governmental Activities Annual Requirements		
Fiscal Year	Principal	Interest	Total
2016-17	$ 290,000	$ 270,775	$ 560,775
2017-18	305,000	259,175	564,175
2018-19	315,000	246,975	561,975
2019-20	330,000	234,375	564,375
2020-21	340,000	221,175	561,175
2021-26	1,925,000	893,725	2,818,725
2026-31	2,425,000	395,064	2,820,064
	$ 5,930,000	$ 2,521,264	$ 8,451,264

10. Lease-Purchase and Other Financing Agreements

The City has entered into lease-purchase and other financing agreements for certain energy improvements, and land payable monthly and quarterly through 2026. Principal and interest requirements will be provided by an appropriation in the year in which they become due.

The City entered into a $30,000,000 Installment Financing Agreement with PNC Bank in November 2014 for the purchase of land and improvements for the Steven B. Tanger Center for the Performing Arts. The outstanding balance of $12,147,306 includes the retirement of another short-term Master Installment Agreement of $11,500,000 entered into in FY 2013-2014 with Bank of America for project land acquisition. The current Installment Financing Agreement bears interest at 68.5% of 1 Month LIBOR plus 42 basis points, maturing in 2018.

The City has an outstanding Master Lease Agreement totaling $3,977,220 as of June 30, 2016, with PNC Bank for certain energy improvements, at a fixed tax-exempt rate of 4.38%, maturing in 2022. In addition, the City has in place a Master Lease agreement with Bank of America at a fixed interest rate of 3.765%, maturing in 2020. This agreement, of which $1,157,227 is outstanding as of June 30, 2016, was issued for Coliseum energy improvements.

The City has a grand total of $17,281,753 in master lease agreements and installment financings to finance energy improvements, property acquisitions, and other improvements. The City also has a total of $3,212,729 in capital leases primarily for information technology systems.

In 2015, the City issued $3,578,000 HUD Section 108 Series 2015A notes and refinanced Series 2002A, 2003A and 2006 S. Elm Street interim notes. These notes bear interest as fixed rates ranging from 2.78 to 8.12% maturing in 2026. Total notes outstanding as of June 30, 2016 for HUD funding are $4,822,000 with an original commitment of $10,461,000.

In July 2005, the City merged fire operation with Rural Fire District #14 located in eastern Guilford County and assumed an outstanding obligation of $422,898 at a fixed rate of 5.75% maturing in August 2019 which is collateralized by the District's real property. The outstanding amount as of June 30, 2016 is $120,297.

Lease Purchase and Other Financing Agreements Debt Service Requirements to Maturity are:

	Governmental Activities Annual Requirements		Business-Type Activities Annual Requirements		
Fiscal Year	Principal	Interest	Principal [1]	Interest	Total
2016-17	$ 2,342,834	$ 410,659	$ 302,618	$ 430,333	$ 3,486,444
2017-18	2,126,748	333,116	12,471,703	161,097	15,092,664
2018-19	2,000,584	257,485	347,308	19,962	2,625,339
2019-20	1,495,590	189,400	182,904	3,443	1,871,337
2020-21	1,374,060	134,423			1,508,483
2021-26	2,792,430	98,004			2,890,434
	$ 12,132,246	$ 1,423,087	$ 13,304,533	$ 614,835	$ 27,474,701

[1] Installment financing agreement of $12,147,306 included is scheduled to mature in Fiscal 2018.

11. Changes in Long-Term debt are as follows:

Long-term liability activity for the year ended June 30, 2016, was as follows:

	Beginning Balance	Additions	Reductions	Ending Balance[1]	Due Within One Year
Governmental Activities:					
Bonds and Notes Payable:					
General Obligation Bonds	$ 149,700,000	$	$(11,750,000)	$ 137,950,000	$ 12,060,000
Premium on General Obligation Bonds	5,504,439		(1,470,429)	4,034,010	1,414,390
General Obligation Bond Anticipation Notes	13,635,363	17,387,644		31,023,007	31,023,007
Limited Obligation Bonds	24,450,000		(590,000)	23,860,000	610,000
Premium on Limited Obligation Bonds	1,587,051		(102,503)	1,484,548	102,503
Limited Obligation Notes		1,057,318		1,057,318	
Certificates of Participation	6,210,000		(280,000)	5,930,000	290,000
Premium on Certificates of Participation	375,733		(43,014)	332,719	43,014
Section 108 HUD Loan	5,376,000		(554,000)	4,822,000	600,000
Fire Station Loan	156,116		(35,819)	120,297	37,879
Master Lease Agreement	4,387,079		(409,859)	3,977,220	456,960
Total Debt Payable	211,381,781	18,444,962	(15,235,624)	214,591,119	46,637,753
Other Liabilities					
Net Pension Liability (LGERS)[3]		10,204,742		10,204,742	
Other Post Employment Benefits Payable	2,337,875	3,317,533		5,655,408	
Capital Leases	2,626,029	2,182,414	(1,595,714)	3,212,729	1,247,995
Compensated Absences[2]	11,924,776	7,947,777	(7,794,115)	12,078,438	7,159,777
Governmental Activity Long-Term Liability[1]	$ 228,270,461	$ 42,097,428	$(24,625,453)	$ 245,742,436	$ 55,045,525

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Business-Type Activities:					
Bonds and Notes Payable:					
Special Obligation Bonds	$ 3,585,000	$	$ (655,000)	$ 2,930,000	$ 680,000
Premium on Special Obligation Bonds					
Revenue Bonds	207,790,000	29,310,000	(12,470,000)	224,630,000	13,640,000
Premium on Revenue Bonds	12,262,720	1,086,964	(2,474,527)	10,875,157	2,601,277
Revenue Bond Anticipation Notes	14,075,366	34,421,335	(30,000,000)	18,496,701	
Master Lease Agreement	1,439,147		(281,920)	1,157,227	302,618
Installment Lease Agreement - Performing Arts	12,005,695	141,611		12,147,306	
State Water Revolving Loan	254,404		(254,404)		
Total Debt Payable	251,412,332	64,959,910	(46,135,851)	270,236,391	17,223,895
Other Liabilities					
Net Pension Liability (LGERS)[3]		1,936,931		1,936,931	
Other Post Employment Benefits Payable	416,477	692,011		1,108,488	
Accrued Landfill Liability	25,179,925	421,777		25,601,702	500,000
Compensated Absences	2,016,160	1,729,378	(1,596,392)	2,149,146	1,331,237
Business-Type Activity Long-Term Liability	$ 279,024,894	$ 69,740,007	$(47,732,243)	$ 301,032,658	$ 19,055,132

The gross amount of assets acquired under capital leases at June 30, 2016, represents computer equipment and amortization is included in depreciation expense over a three year period.

[1] Internal Service Funds predominately serve the governmental funds. Accordingly, the related long term liabilities are included as part of the above totals for governmental activities. The Internal Service Funds debt totals are noted below.

[2]The General Fund primarily is used to liquidate the liabilities for compensated absences associated with governmental activities.

[3]The General Fund primarily is used to liquidate the liabilities for the net pension liability and other post employment benefits associated with governmental activities.

Debt obligations recorded in the War Memorial Coliseum Enterprise Fund, not contemplated to be repaid with the Fund's own resources, are reported as general government debt for financial reporting purposes, according to guidance in NCGAS Statement No. 1.

	Ending Balance
Internal Service Funds:	
Bonds and Notes Payable:	
General Obligation Bonds Payable	$ 1,619,872
Premium - General Obligation Bonds Payable	100,124
Total Debt Payable	1,719,996
Other Liabilities:	
Capital Leases	3,212,729
Other Financing Agreements	3,977,220
Compensated Absences	905,006
Pension & OPEB	1,144,479
Internal Service Fund Long-Term Liability	$ 10,959,430

Hedging Derivatives and Associated Hedged Debt

Using rates as of June 30, 2016, debt service requirements of the variable-rate debt and net swap payments assuming current interest rates remain the same for the term, were as follows. As rates vary, variable-rate bond interest payments and net swap payments will vary. The hedging derivative instruments column reflects only net receipts/payments on derivative instruments that qualify for hedge accounting.

FY Ending	Variable Rate Bonds		Interest Rate Swaps	
June 30	Principal	Interest [1]	Net [2]	Total
2017	$	$ 24,510	$ 179,641	$ 204,151
2018		24,510	179,641	204,151
2019	2,740,000	24,510	179,641	2,944,151
2020	2,960,000	12,728	93,287	3,066,015
	$ 5,700,000	$ 86,258	$ 632,210	$ 6,418,468

[1] Computed at 0.43% at June 30, 2016
[2] Computed at 3.46% less 67% of 1 Month LIBOR (0.31%) at June 30, 2016

Derivative Instrument Summary

At June 30, 2016 the City had the following hedging derivative instrument outstanding:

	Changes in Fair Value		Notional	Effective	Maturity	Fair Value at 6/30/16	
	Classification	Amount	Amount	Date	Date	Classification	Amount
Governmental Activities:							
Cash Flow Hedges	Objective: Hedge of changes in cash flows on the 1998 Series GO Bonds specifically related to changes in municipal tax-exempt interest rates.						
Pay-fixed interest rate swaps, receive variable rate	Deferred Outflow	$ 38,736	$ 5,700,000	10/8/2002	4/1/2020	Debt	$ (566,943)

H. Annual Leave and Sick Leave

The City's policy permits employees to accumulate up to 30 days of earned but unused annual leave, which would be paid to employees upon separation from the City. Accumulated annual leave at June 30, 2016 amounted to $14,227,584 of which $12,078,438 relates to Governmental Activities and $2,149,146 relates to Business-Type Activities. Changes in accumulated annual leave are as follows:

Fund Type	Balance 7/1/2015	Current Year Increase	Current Year Decrease	Balance 6/30/2016	Due Within One Year
Governmental Activities	$ 11,924,776	$ 7,947,777	$ (7,794,115)	$ 12,078,438	$ 7,159,777
Business-Type Activities	2,016,160	1,729,378	(1,596,392)	2,149,146	1,331,237
	$ 13,940,936	$ 9,677,155	$ (9,390,507)	$ 14,227,584	$ 8,491,014

Greensboro ABC Board employees may accumulate up to 20 days earned leave. The balance of the accumulated leave liability is not considered to be material. Operations of the GHDP are performed by employees of the City. Accordingly, there is no recorded liability for employee leave amounts for GHDP at June 30, 2016. GTA leave liability is $47,364.

City employees had accumulated sick leave benefits of $58,631,463 at June 30, 2016, based on compensation rates in effect on that date. Sick leave does not vest, but any unused sick leave accumulated at the time of retirement may be used in the determination of length of service for retirement benefit. Since the City has no obligation for the accumulated sick leave until it is actually taken, no accrual has been made for sick leave. The same policy is followed by the Greensboro ABC Board.

V. Other Information

A. Risk Management

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City protects itself from potential loss through a combination of purchased commercial insurance for primary and/or excess liability coverage and self-funded risk retention. Self-funded risks are primarily for health, employee workers' compensation, general, professional, law enforcement, vehicle and underground storage tank liabilities.

The City purchases Flood Insurance coverage through the Blanket Property insurance policy with an annual aggregate flood limit of $100,000,000 with deductibles ranging from $100,000 to $500,000 per location depending on the size and location of the facility. One location is covered solely by the City's self-funded insurance plan. The City has not had a flood loss in the past 30 plus years that amounted to more than $100,000.

Bonding in the following amounts is held for City employees involved in financial transactions: Finance Officer, $100,000, Tax Collector, $100,000, and Employee Blanket Bond, $75,000.

All operating funds of the City participate in the risk management program and make payments to the Employee Risk Retention Fund and the General Risk Retention Fund based on the funds' historical claims experience. Payments are for prior and current year claims and to establish a reserve for catastrophic losses.

Claims liabilities are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. Liabilities include an amount for claims that have been incurred but are not reported (IBNR's), based on actuarial computations. Settled claims have not exceeded self–retained or purchased insurance coverage in any of the past three fiscal years.

1. Employee Risk Retention

The City provides for health, dental, life and workers' compensation benefits in its Employee Risk Retention Fund.

The City's health plan currently offers two plan options through a self-funded program, and a dental plan and vision plan is administered for employees and their covered dependents, supplemented by employee contributions.

Term life insurance for employees is provided by the City for the term of employment, at no cost to the employee. The amount of coverage is based on salary. For those dependents covered by the health plan, the City also provides a reduced coverage term life insurance policy at no cost to the employee. For the life plan, the City pays its contribution directly to the insurer.

The City is self-funded for workers' compensation for claims up to $1,000,000 per occurrence. Claims in excess of the retention are covered through a combination of purchased insurance and self-funding participation.

The City's contributions toward employee costs are accounted for as expenditures when the funds are contributed to the Employee Risk Retention Fund.

2. General Risk Retention

The City's General Risk Retention Fund includes five separate funds in the Local Government Excess Liability Fund, Inc. (ELF) to self-fund certain types of liability claims. Up until December 31, 1999, the ELF was structured to provide varying tiers of funding, with pre-determined contribution rates, limits of coverage, repayment schedules and certain levels of transfer of risk from the five local governments and school members represented by the ELF. Annual contributions by members are periodically reviewed by the Board of Directors and the Executive Director of the ELF.

Effective January 1, 2000, the ELF was reorganized and the resulting structure provides for no transfer of risk from any of the member units to the ELF. Fund balances are segregated by member and in the event of loss, those amounts are available for claims payment by the respective member, on either a loan or withdrawal basis. The new structure of the ELF is considered to be similar to a claims-servicing arrangement. The ELF Revolving Fund – Primary Liability Coverage pays amounts in excess of $100,000 up to $5,000,000 per occurrence, with an aggregated available for the City of $9,076,625 as of June 30, 2016. Additional amounts of $3,232,437 are recorded in the ELF for payment of City claims.

In addition, a new tier of coverage was established in the ELF in April 2007, to replace purchased Excess Liability coverage and to support General Liability claims. The balance on deposit as of June 30, 2016 is $4,678,667 which includes $1,011,046 transferred in Fiscal Year 2011 due to a distribution of funds from a previous member-shared "run-off" account following settlement of all related claims. Accordingly, including these balances, a total of $16,987,729 is included in the City's General Risk Retention Fund as insurance deposits. In addition, the City recorded $1,153,637 in deposits in the Employee Risk Retention Fund to reflect amounts held by the ELF to pay employer's liability and workers' compensation claims.

The City is also a member of the Local Government Property Insurance Deductible Fund, Inc. The City purchases Replacement Cost property insurance with a $100,000 deductible for most losses. Property losses up to $100,000 per occurrence are paid by the Fund after application of a $10,000 deductible requirement.

Property insurance coverage above the annual retention provides for up to 100% replacement cost, limited to $500,000,000 per occurrence. In Fiscal Year 2016, the City contributed $50,000 to the Property Deductible Fund. At June 30, 2016 following distribution of net earnings to individual accounts for respective members, the fund held deposits of $602,981 payable to the City of Greensboro for payment of future claims.

The City has the right to withdraw its contributions in the Revolving Fund – Primary Liability Coverage, the Self-Retention Fund, the Excess Liability Fund and the Revolving Fund – Employers, Liability/Workers' Compensation of the Local Government Excess Liability Fund, Inc. and the Local Government Property Insurance Deductible Fund, Inc. when all claims against the Funds have been settled and all legal obligations have been paid for each claims year.

3. Reconciliation of Claims Liability

Changes in the City's claims liability balance during Fiscal Years 2016 and 2015 are as follows:

	Employee Risk Retention	General Risk Retention	Total 2015-16	Total 2014-15
Balance-July 1	$ 8,339,725	$ 4,031,666	$ 12,371,391	$ 11,704,980
Add: Incurred Claims (including) IBNR's and Changes in Estimates	42,077,803	4,871,244	46,949,047	38,627,906
Deduct: Claims Payments	(40,789,136)	(1,445,952)	(42,235,088)	(37,961,495)
Balance - June 30	$ 9,628,392	$ 7,456,958	$ 17,085,350	$ 12,371,391

B. Subsequent Events

The City has evaluated subsequent events through October 31, 2016 in connection with the preparation of these financial statements, which is the date the financial statements were available to be issued.

On August 1, 2016, City Council authorized the placement of four general obligation bond issues for voter approval on the November 8, 2016 referendum ballot, as follows:

Housing Bonds	$ 25,000,000
Community and Economic Development Bonds	38,500,000
Parks and Recreation Bonds	34,500,000
Transportation Bonds	28,000,000
Total	$ 126,000,000

On August 16, 2016, City Council authorized up to $72.5 million in General Obligation Refunding Bonds to refinance a $50 million Bond Anticipation Note and two General Obligation Bonds issued in 2006 and 2008. Bonds in the amount of $62.59 million were issued on October 20, 2016. The bonds were rated AAA, Aaa, and AAA by Fitch Ratings, Moody's Investors Service, and S & P Global, respectively.

On October 21, City Council voted to approve a settlement of all claims in a certain police matter. The amount to be paid by the City is $3,153,333 with an additional $3,266,667 to be paid by Genesis Insurance Company. An expense and accrued liability of 3,160,333, including the mediation fee, has been recorded in the City's General Risk Retention Fund, as of June 30, 2016.

C. Commitments and Contingencies

1. Legalities

The City is party to a number of civil lawsuits and other legal actions. Most of these lawsuits involve construction contracts, public right of way management, and personnel issues. In the opinion of the City's Attorney and management, the ultimate outcome of these suits is not expected to have significant impact upon the City's financial position.

2. Authorized capital projects at June 30, 2016 are comprised of the following:

	Project Authorization	Expended Through June 30, 2016	Unexpended Authorization
Governmental Funds:			
Special Revenue [1]	$ 54,410,054	$ 40,593,840	$ 13,816,214
Capital Projects	421,822,201	240,038,035	181,784,166
	$ 476,232,255	$ 280,631,875	$ 195,600,380
Enterprise Funds:			
Water Resources	$ 343,693,770	$ 261,048,576	$ 82,645,194
Stormwater Management	17,965,301	12,083,374	5,881,927
War Memorial Coliseum	66,775,505	47,913,455	18,862,050
Solid Waste Management	8,329,433	7,937,006	392,427
Parking	500,998	227,050	273,948
	$ 437,265,007	$ 329,209,461	$ 108,055,546
Component Units:			
GTA	$ 20,972,911	$ 20,061,510	$ 911,401

[1] Includes Powell Bill Transportation Projects.

3. Financial Assistance Programs

The City participates in a number of Federal and State financial assistance programs. For the Fiscal Year ended June 30, 2016, these programs were subject to audit in accordance with the Single Audit Act Amendments of 1996, the new Uniform Grant Guidance and the State Single Audit Implementation Act. The amount, if any, of expenditures which may be disallowed by the granting agencies resulting from this and other audits cannot be determined at this time, although the City expects such amounts if any, to be immaterial.

4. Operating Lease Agreement – ABC Board

The Greensboro ABC Board has operating leases agreements for various store and office properties. Rental expense for the year ended June 30, 2016 totaled $637,155. Future lease payments, less payments under sublease agreement, are as follows:

Fiscal Year	Lease Payments
2016-17	$ 466,500
2017-18	338,900
2018-19	262,900
2019-20	109,000
2020-21	95,300
	$ 1,272,600

Operating Lease Payments

The City has operating lease payments for computers, printers, software/licenses, maintenance and workstations. Lease payments for the year ended June 30, 2016 totaled $1,314,946. Future lease payments are as follows:

Fiscal Year	Lease Payments
2016-17	$ 1,241,430
2017-18	980,027
2018-19	455,493
	$ 2,676,950

5. Contingencies

The City is involved in certain lawsuits with former members of the Greensboro Police Department. The City will defend these suits and claims vigorously, and although no assurances can be given as to the ultimate outcome of these matters, the City's legal counsel is of the opinion that any possible liability of the City resulting from an adverse adjudication in such matters would not have a material adverse effect on the financial position of the City.

D. Joint Venture

Piedmont Triad Regional Water Authority (Authority)

The City in conjunction with five other governmental entities formed the Authority in September 1987 to develop a regional water supply. The Authority's board is composed of ten members, three of which are appointed by the City Council. The joint venture agreement provided that each participant annually contribute funds to acquire land, a reservoir and to construct the Randleman Dam. The reservoir, dam and water treatment plant projects are complete and water began flowing through the system to Greensboro in October, 2010. The City's funding share was originally 59.4%, or $33,858,000, based on a percentage of future raw water allocations. Initial City contributions, funded from the Water and Sewer Capital Reserve Fund, total $34,063,761, including $205,761 for staff administration and equipment fees paid from City operations. Additional cash payments were subsequently made on a pay-as-you-go basis to further fund reservoir, infrastructure, water treatment plant construction and other improvements for a total net Greensboro investment of $77,919,061, net of amortization of $10,330,972 as of June 30, 2016. The City contributed annual member dues in the amount of $882,023 in FY 2016 to cover the Authority's administrative and operating costs.

In December 2004, the City received a reimbursement of $5,244,257 from Randolph County to acquire a portion of Greensboro's future raw water allocation which effectively reduced the City's share of the project to 53.1%.

The City, on average, receives 6.4 million gallons per day from this source. In 2016 the water plant expanded capacity from 12 Million Gallons per Day (MGD) to 14.03 MGD, effectively increasing the City's allocation to 7.83 MGD, as authorized by City Council on July 19, 2016. Total planned plant capacity is 48 MGD. The City's investment is reported in the Water Resources Enterprise Fund as an Intangible Asset, representing future water rights, amortized over a 50-year term. According to the joint venture agreement, the participating governments do not have an equity interest in the joint venture, but rather rights to purchase future water from the project. Complete financial statements for the Authority may be obtained from the Authority's administrative office at 2216 West Meadowview Road, Greensboro, North Carolina.

E. Jointly Governed Organization

Greensboro/Guilford County Tourism Development Authority (Authority)

The City, in conjunction with Guilford County (County), established the Authority to promote regional tourism. The City appoints five members of the Authority's thirteen-member board. The Authority receives a percentage of room occupancy taxes which are levied on gross receipts from rental accommodations within the County.

The tax is levied at 6% for establishments within the City limits of Greensboro, of which 3% is levied by the City and 3% is levied by the County. The City contributes 20% of its portion to the Authority. During Fiscal Year 2015-16, the City levied

$4,983,253 in room occupancy taxes, of which $1,116,333 was remitted to the Authority for travel and tourism promotion, net of a 1% collection fee paid to the County.

Piedmont Triad Regional Council (Council)

The City, in conjunction with 6 counties and 25 other municipalities, established the Piedmont Triad Regional Council. The participating governments established the Council to coordinate various funding received from Federal and State agencies. Each participating government appoints one member to the Council's governing board. The City paid membership fees of $58,517 to the Council during the fiscal year ended June 30, 2016.

Piedmont Triad Airport Authority (Authority)

The City has an agreement with the Authority in which it appoints one member to the board. The City has no financial obligation or investment in the operation of the Airport Authority. Complete financial statements for the Authority may be obtained through the Authority, 100A Ted Johnson Parkway, Greensboro, NC 27409.

Guilford County Economic Development Alliance (Alliance)

The City, in conjunction with Guilford County and the City of High Point founded the Alliance in 2016. The Alliance was founded to coordinate and align all economic development recruitment and retention activities, to enhance economic conditions within the county and the region, and present a united message to all corporate development prospects. All participants have an equal representation on the Alliance's Leadership Council and contribute an equal amount of funding. The City contributed $100,000 in the fiscal year ended June 30, 2016.

F. Related Organization

Greensboro Housing Authority (Authority)

The Authority was created to provide affordable housing for citizens with limited income. Although all of the members of the governing body of the Authority are appointed by the Mayor, the City has no decision in selecting the management of the Authority. Financial transactions between the City and the Authority reflect contractual agreements between the parties for the provision of services by the City. The City is not responsible for any deficits nor is it entitled to any surpluses of the Authority. The City does not significantly influence the operations of the Authority, and the Authority is not accountable to the City for its fiscal matters. In 1998, the City issued $1.5 million in General Obligation Bonds on behalf of the Authority to fund certain housing projects. The amount was being repaid by the Authority with payments in lieu of taxes, as principal and interest payments became due. As of June 30, 2015, $1.5 million has been repaid by the Authority, with excess amounts reimbursed to Guilford County and the Authority in accordance with a 2015 Memorandum of Understanding between the Authority and the City.

G. Other Post-Employment Benefits (OPEB)

Plan Description

In addition to the pension benefits described in Note I, the City also provides post-employment benefits to retirees under a single-employer plan ("The Plan"), provided they participate in the North Carolina Local Governmental Employees Retirement System (NCLGERS), and are actively employed with the City at the time of retirement. In order to receive any benefits, retirees must have achieved 20 years of active service with the City or have reached age 60 with 5 years of active service. Healthcare, prescription drug coverage, as well as retiree and dependent life insurance are provided in the City's Plan. Health and prescription drug coverage ends once the retiree reaches age 65 or becomes Medicare eligible, whichever comes first. The City and retirees share the cost of healthcare, based on years of service at retirement. Approximately 80% is paid by the City for 30 years of service, with less subsidy provided for fewer years of service. Dental coverage is available at full cost to the retiree. Retirees may keep their dental insurance for life. Life insurance benefits of up to $20,000 are provided to retirees until age 65, except for those retirees who were hired before March 1, 1975 (receive $2,000 at age 65 for life). Dependent coverage for each of the benefits in the Plan is available, if enrolled at the time of the employee's retirement, at full cost to the retiree, with the exception of certain life insurance coverage. In addition, if the retiree ceases to have coverage or dies, dependent coverage will terminate. The City Council may amend the benefit provisions with a resolution. The City has elected to partially pre-pay the future overall cost of coverage for these benefits by establishing a Trust arrangement according to General Statutes 159-30.1(b). Investment of the OPEB Trust funds are made pursuant to a

Deposit Agreement with the North Carolina Department of State Treasurer. The State Treasurer in her discretion may invest the proceeds in equities of certain publicly held companies and long or short term fixed income investments as detailed in G.S. 147-69.2(b) (1-6) and (8). Funds deposited are held in the State Treasurer's, OPEB Long-Term Fund, 11%, OPEB Equity Fund, 63%, and the NC Short-Term Investment Fund, 26%. At June 30, 2016, the Plan assets totaled $15,182,164. A separate report was not issued for the Plan.

Membership of the Plan consisted of the following at December 31, 2014, the date of the latest actuarial valuation:

	General Employees	Law Enforcement Officers	Retirees	Total
Retirees receiving benefits			979	979
Active plan members	2,317	706		3,023
Total	2,317	706	979	4,002

Funding Policy

The City will contribute toward the cost of the eligible retiree health and life insurance coverage based on the years of service at retirement. Dental coverage is provided at full cost to the retiree. The City has chosen to fund the healthcare benefits on a pay-as-you-go basis, with additional amounts contributed to prefund benefits, determined annually by management.

The current Annual Required Contribution ("ARC") or $8,711,948 is 5.95% of annual covered payroll. For the current year, the City contributed $4,734,307 (or 3.2% of annual covered payroll) toward actual benefit payments. The City obtains health care and dental coverage through a self-funded program and through a private insurer for life insurance benefits. The City's obligation to contribute to the Plan is established and may be amended by the City Council during the budget process per the City annual budget ordinance. Determination of the amounts contributed by the City and retirees is made by the Employee Benefit Executive Committee, annually, upon review of current costs and trends.

Summary of Significant Accounting Policies

Post-employment claims and premiums expenditures are made from the Employee Risk Retention Fund (Internal Service Fund), which is maintained on the accrual basis of accounting. Internal charges are made to various other City funds for the respective active employees, based upon the pre-determined City contribution rate. Short-term money market instruments and deposits are reported at cost or amortized cost, which approximates fair value as of June 30, 2016. Certain longer term securities are valued at estimated market value, as determined by the State Treasurer. Administration costs of the OPEB Investment Fund are determined by inter-agency agreement with the North Carolina Department of State Treasurer.

Annual OPEB Cost and Net OPEB Obligation

The City's annual OPEB cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis is projected to cover normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years. The following table shows the components of the City's annual OPEB cost for the year, the amount actually contributed to the Plan, and changes in the City's net OPEB obligation for post-employment benefits:

Annual Required Contribution	$ 8,711,948
Interest on Net Pension Obligation	199,691
Adjustment to Annual Required Contribution	(167,788)
Annual OPEB Cost (expense)	8,743,851
Contributions Made	(4,734,307)
Increase (decrease) in Net OPEB Obligation	4,009,544
Net OPEB Obligation-Beginning of Year	2,754,352
Net OPEB Obligation-End of Year	$ 6,763,896

The City's annual OPEB cost, the percentage of annual OPEB cost contributed to the Plan, and the net OPEB obligation/asset were as follows:

Fiscal Year Ending	Annual OPEB Cost	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
6/30/2014	$ 8,097,401	102.4%	$ 1,219,448
6/30/2015	8,429,516	81.8%	2,754,352
6/30/2016	8,743,851	54.1%	6,763,896

Funded Status and Funding Progress

As of the December 31, 2014 report, the most recent actuarial valuation date, the Plan was partially funded at 16.8%. The actuarial accrued liability for benefits was $90,252,610 and the actuarial value of the assets was $15,182,164 resulting in an unfunded actuarial accrued liability (UAAL) of $75,070,446. The estimated covered payroll (annual payroll of active employees covered by the Plan) was $146,382,467 and the ratio of the UAAL to the covered payroll was 51.3%. Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and health care trends. Amounts determined regarding the funded status of the Plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectation and new estimates are made about the future. The Schedule of Funding Progress, presented as required supplementary information following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of Plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive Plan (the Plan as understood by the employer and the Plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and Plan members at that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the December 31, 2014 actuarial valuation, the projected unit credit actuarial cost method was used. The actuarial assumptions included a 7.25% investment rate of return which is the expected long-term investment return on the Trust assets calculated based on the funded level of the Plan at the valuation date, and an annual medical cost trend increase of 7.50% to 5.00% annually. Both rates included a 3.00% inflation assumption. The actuarial value of assets, if any, was determined using a market valuation. The UAAL is being amortized as a level percentage of projected payroll on a closed basis. The remaining amortization period at December 31, 2014, was 26 years.

H. Deferred Compensation

The City offers all of its employees a Deferred Compensation Plan (Plan) in accordance with Internal Revenue Code Section 457 and 401. The Plan, available to permanent City employees, permits them to defer a portion of their salary until future years. The deferred compensation is not available to employees until termination, retirement, death or unforeseeable emergency.

The City has complied with changes in laws which govern the City's Plan, requiring all assets of the Plan to be held in trust, custodial accounts or into annuity contracts for the exclusive benefit of participants and their beneficiaries. Effective January 1, 1999, the City entered in a trust arrangement in compliance with GASB Statement No. 32, *Accounting and Financial Reporting for Internal Code Section 457 Deferred Compensation Plans*. All transactions are administered by third party administrators and accordingly, Plan assets are not included in the City's financial statements.

The City contributes 3.25% of salary for participating full time employees to the 401(a) Plan. The City also contributes an additional 1.75% to a 401(a) plan prior to FICA deduction of salary if applicable, for those engaged in firefighting, if firefighters choose to defer at least 1.75% of their salary, as well. Those employees engaged in law enforcement may participate in the 457 Plan, however, no City contributions are made on their behalf, but instead, the City contributes 5% of

salary to the 401(k) Defined Contribution Pension Plan. All employees may defer amounts in the 457 Plan, administered by ICMA-Retirement Corporation, and the 401(k) Plan, administered by Prudential Retirement for the State of North Carolina and its subdivisions, up to the maximum allowed by the Internal Revenue Service each year. The employee receives credit for his contribution as well as the City's, and benefits are based on the total assets owned in the employee's individual accounts. The fair market value of the deferred compensation accounts of employees through the year ended June 30, 2016 was $121,515,098 consisting of $92,247,917 (457), $17,656,140 (401(a)), and $11,611,041 (401(k)).

I. Pension Plan Obligations

1. Local Governmental Employees' Retirement System

Plan Description

The City of Greensboro is a participating employer in the statewide Local Governmental Employees' Retirement System (LGERS), a cost-sharing multiple-employer defined benefit pension plan administered by the State of North Carolina. LGERS membership is comprised of general employees and local law enforcement officers (LEOs) of participating local governmental entities. Article 3 of GS Chapter 128 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. Management of the plan is vested in the LGERS Board of Trustees, which consists of 13 members – nine appointed by the Governor, one appointed by the State Senate, one appointed by the State House of Representatives, and the State Treasurer and State Superintendent, who serve as ex-officio members. The Local Governmental Employees' Retirement System is included in the Comprehensive Annual Financial Report (CAFR) for the State of North Carolina. The State's CAFR includes financial statements and required supplementary information for LGERS. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, by calling (919) 981-5454, or at www.osc.nc.gov.

Benefits Provided

LGERS provides retirement and survivor benefits. Retirement benefits are determined as 1.85% of the member's average final compensation times the member's years of creditable service. A member's average final compensation is calculated as the average of a member's four highest consecutive years of compensation. Plan members are eligible to retire with full retirement benefits at age 65 with five years of creditable service, at age 60 with 25 years of creditable service, or at any age with 30 years of creditable service. Plan members are eligible to retire with partial retirement benefits at age 50 with 20 years of creditable service or at age 60 with five years of creditable service (age 55 for firefighters). Survivor benefits are available to eligible beneficiaries of members who die while in active service or within 180 days of their last day of service and who have either completed 20 years of creditable service regardless of age (15 years of creditable service for firefighters and rescue squad members who are killed in the line of duty) or have completed five years of service and have reached age 60. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or return of the member's contributions. The plan does not provide for automatic post-retirement benefit increases. Increases are contingent upon actuarial gains of the plan.

LGERS plan members who are LEOs are eligible to retire with full retirement benefits at age 55 with five years of creditable service as an officer, or at any age with 30 years of creditable service. LEO plan members are eligible to retire with partial retirement benefits at age 50 with 15 years of creditable service as an officer. Survivor benefits are available to eligible beneficiaries of LEO members who die while in active service or within 180 days of their last day of service and who also have either completed 20 years of creditable service regardless of age, or have completed 15 years of service as a LEO and have reached age 50, or have completed five years of creditable service as a LEO and have reached age 55, or have completed 15 years of creditable service as a LEO if killed in the line of duty. Eligible beneficiaries may elect to receive a monthly Survivor's Alternate Benefit for life or a return of the member's contributions.

Contributions

Contribution provisions are established by General Statute 128-30 and may be amended only by the North Carolina General Assembly. City of Greensboro employees are required to contribute 6% of their compensation. Employer contributions are actuarially determined and set annually by the LGERS Board of Trustees. The City of Greensboro's contractually required contribution rate for the year ended June 30, 2016, was 7.15% of compensation for law enforcement officers and 6.75% for general employees and firefighters, actuarially determined as an amount that, when combined with employee contributions, is expected to finance the costs of benefits earned by employees during the year. Contributions to the pension plan from the City of Greensboro were $10,185,674 for the year ended June 30, 2016.

Refunds of Contributions

City employees who have terminated service as a contributing member of LGERS, may file an application for a refund of their contributions. By state law, refunds to members with at least five years of service include 4% interest. State law requires a 60 day waiting period after service termination before the refund may be paid. The acceptance of a refund payment cancels the individual's right to employer contributions or any other benefit provided by LGERS.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2016, the City reported a liability of $12,141,673 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2015. The total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of December 31, 2014. The total pension liability was then rolled forward to the measurement date of June 30, 2015 utilizing update procedures incorporating the actuarial assumptions. The City's proportion of the net pension liability was based on a projection of the City's long-term share of future payroll covered by the pension plan, relative to the projected future payroll covered by the pension plan of all participating LGERS employers, actuarially determined. At June 30, 2015, the City's proportion was 2.71%, unchanged from its proportion measured as of June 30, 2014.

For the year ended June 30, 2016, the City recognized pension expense of $6,442,259. At June 30, 2016, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$	$ 2,853,985
Changes of assumptions		
Net difference between projected and actual earnings on pension plan investments		3,456,695
Changes in proportion and differences between City contributions and proportionate share of contributions	22,734	506,102
City contributions subsequent to the measurement date	10,185,674	
Total	$ 10,208,408	$ 6,816,782

$10,185,674 reported as deferred outflows of resources related to pensions resulting from City contributions subsequent to the measurement date will be recognized as a decrease of the net pension liability in the year ended June 30, 2017. Other amounts reported as deferred inflows and deferred outflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30:	
2017	$ (4,152,539)
2018	(4,152,539)
2019	(4,148,246)
2020	5,659,277
2021	
Thereafter	
	$ (6,794,047)

Actuarial Assumptions

The total pension liability in the December 31, 2014 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	3.0 percent
Salary Increases	4.25 to 8.55 percent, including inflation and productivity factor
Investment rate of return	7.25 percent, net of pension plan investment expense, including inflation

The plan currently uses mortality tables that vary by age, gender, employee group (i.e. general, law enforcement officer) and health status (i.e. disabled and healthy). The current mortality rates are based on published tables and based on studies that cover significant portions of the U.S. population. The healthy mortality rates also contain a provision to reflect future mortality improvements.

The actuarial assumptions used in the December 31, 2014 valuation were based on the results of an actuarial experience study for the period January 1, 2005 through December 31, 2009.

Future ad hoc COLA amounts are not considered to be substantively automatic and are therefore not included in the measurement.

The projected long-term investment returns and inflation assumptions are developed through review of current and historical capital markets data, sell-side investment research, consultant whitepapers, and historical performance of investment strategies. Fixed income return projections reflect current yields across the U.S. Treasury yield curve and market expectations of forward yields projected and interpolated for multiple tenors and over multiple year horizons. Global public equity return projections are established through analysis of the equity risk premium and the fixed income return projections. Other asset categories and strategies' return projections reflect the foregoing and historical data analysis. These projections are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class as of June 30, 2015 are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Fixed Income	29.0%	2.2%
Global Equity	42.0%	5.8%
Real Estate	8.0%	5.2%
Alternatives	8.0%	9.8%
Credit	7.0%	6.8%
Inflation Protection	6.0%	3.4%
Total	100.0%	

The information above is based on 30-year expectations developed with the consulting actuary for the 2014 asset, liability, and investment policy study for the North Carolina Retirement Systems, including LGERS. The long-term nominal rates of return underlying the real rates of return are arithmetic annualized figures. The real rates of return are calculated from nominal rates by multiplicatively subtracting a long-term inflation assumption of 3.00%. All rates of return and inflation are annualized.

Discount rate

The discount rate used to measure the total pension liability was 7.25%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current contribution rate and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on these assumptions,

the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of the current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the City's proportionate share of the net pension asset to changes in the discount rate

The following presents the City's proportionate share of the net pension asset calculated using the discount rate of 7.25 percent, as well as what the City's proportionate share of the net pension asset or net pension liability would be if it were calculated using a discount rate that is one percentage point lower (6.25 percent) or one percentage point higher (8.25 percent) than the current rate:

	1% Decrease (6.25%)	Discount Rate (7.25%)	1% Increase (8.25%)
City's proportionate share of the net pension liability (asset)	$ 84,665,579	$ 12,141,673	$ (48,958,112)

Pension plan fiduciary net position

Detailed information about the pension plan's fiduciary net position is available in the separately issued Comprehensive Annual Financial Report (CAFR) for the State of North Carolina.

2. Law Enforcement Officers Special Separation Allowance

Plan Description

The City is the administrator of a single-employer, defined benefit, retirement system (Separation Allowance) established by the City to provide special separation benefits to its law enforcement officers, as required by state law. The payroll for employees covered by the System for the Fiscal Year ended June 30, 2016 was $37,308,704. The City's total payroll was $157,237,942.

All full-time City law enforcement officers are covered by the Separation Allowance. At December 31, 2015, the date of the latest actuarial valuation, the Separation Allowance's membership consisted of:

Retirees currently receiving benefits	136
Active plan members	690
Total	826

The Separation Allowance provides separation benefits to all full-time City law enforcement officers who meet the following requirements:

(1) Have (i) completed 30 or more years of creditable service or, (ii) attained 55 years of age and completed 5 or more years of creditable service; and

(2) Have not attained 62 years of age; and

(3) Have completed at least 5 years of continuous service as a law enforcement officer immediately preceding a service retirement

The qualified law enforcement officers are entitled to an annual retirement benefit of 0.85% of the annual equivalent of the base rate of compensation most recently applicable to the covered employee for each year of creditable service. The retirement benefits are paid semi-monthly in equal installments. Payments to retired officers cease at their death or on the last day of the month in which the officer attains 62 years of age or upon the first day of reemployment by any State department, agency, or institution.

Article 12D of G. S. Chapter 143 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly.

Summary of Significant Accounting Policies

Basis of Accounting – The City has chosen to fund the Separation Allowance on a pay as you go basis. Pension expenditures are made from the General Fund, which is maintained on the modified accrual basis of accounting. Benefits are recognized when due and payable in accordance with the terms of the plan.

The Separation Allowance has no assets accumulated in a trust that meets the following criteria which are outlined in GASB Statements 67 and 68:

- contributions to the pension plan and earnings on those contributions are irrevocable
- pension plan assets are dedicated to providing benefits to plan members
- pension plan assets are legally protected from the creditors or employers

Contributions

The City is required by Article 12D of G. S. Chapter 143 to provide these retirement benefits and has chosen to fund the amounts necessary to cover the benefits earned on a pay as you go basis through appropriations made in the General Fund operating budget. There were no contributions made by employees. The City's obligation to contribute to this plan is established and may be amended by the North Carolina General Assembly. Administration costs of the Separation Allowance are financed through investment earnings.

The annual required contribution for the current year was determined as part of the December 31, 2014 actuarial valuation using the projected unit credit actuarial cost method. The actuarial assumptions include (a) 5% investment rate of return and (b) projected salary increase of 4.25% to 7.85%. Both (a) and (b) included an inflation component of 3.0%. The assumptions did not include post-retirement benefit increases. The actuarial value of assets was determined using the market value of investments. The remaining amortization period at December 31, 2014 was 16 years.

Fiscal Year Ending	Annual Pension Cost (APC)	Percentage of APC Contributed	Net Pension Asset
6/30/2014	$ 2,240,933	105.46%	$ (5,924,241)
6/30/2015	2,370,039	101.99%	(5,971,314)
6/30/2016	2,508,446	99.44%	(5,957,173)

The City's annual pension cost and net pension obligation to the Separation Allowance for the current year, calculated by actuarial analysis and GASB 73 guidance, were as follows:

Annual Required Contribution	$ 2,282,276
Interest on Net Pension Asset	(298,566)
Adjustment to Annual Required Contribution	524,736
Annual Pension Cost	2,508,446
Benefit Payments Made	(2,494,305)
Decrease in Net Pension Asset	14,141
Net Pension Asset-Beginning of Year	(5,971,314)
Net Pension Asset-End of Year	$ (5,957,173)

Funded Status and Funding Progress

As of December 31, 2015, the most recent actuarial valuation date, the Separation Allowance was 19.5 percent funded. The actuarial accrued liability for benefits was $32,672,426 and the actuarial value of the assets was $6,366,653 resulting in an unfunded actuarial accrued liability (UAAL) of $26,305,773. The covered payroll (annual payroll of active employees covered by the plan) was $38,648,789 and the ratio of the UAAL to the covered payroll was 68.1 percent. The schedule of funding progress, presented as required supplementary information following the notes to the

financial statements, presents multiyear trend information about whether the actuarial value of plan assets are increasing or decreasing over time relative to the actuarial accrued liability for benefits.

e. Actuarial Methods and Assumptions

The annual required contribution (ARC) for the fiscal year ended June 30, 2017 is calculated as of December 31, 2015. In the December 31, 2015 actuarial valuation used to calculate the FY2017 contribution, the entry age normal actuarial cost method was used. The actuarial assumptions included a 3.57% investment rate of return, projected salary increases at 3.5% to 7.35% and a 3.0% inflation component. The actuarial value of assets was determined using a market valuation. The UAAL is being amortized on a level dollar, closed basis. The remaining amortization period at December 31, 2015 was 15 years.

3. Supplemental Retirement Income Plan For Law Enforcement Officers

All law enforcement officers employed by the City participate in the State of North Carolina Supplemental Retirement Income Plan, a 401(k) defined contribution pension plan, administered by the Department of State Treasurer and a Board of Trustees. Participation begins on the first day of the quarter upon reaching sworn status. In a defined contribution plan, benefits depend solely on amounts contributed to the plan plus investment earnings. Article 5 of G. S. Chapter 135 assigns the authority to establish and amend benefit provisions to the North Carolina General Assembly. Article 12E of G. S. Chapter 143 requires that the City contribute each month an amount equal to 5% of each officer's salary, and all amounts contributed are vested immediately. Also, the law enforcement officers may make voluntary contributions to the plan. The City's contributions for the year ended June 30, 2016 were calculated using a covered payroll (base salary) in the amount of $35,522,326. The City's total payroll was $157,237,942. Total contributions were $4,455,827, which consisted of $1,776,116 from the City and $2,679,711 from the law enforcement officers. The City's required contributions and the officer's voluntary contributions represented 5.0% and 7.5% of the covered payroll amount, respectively. The Supplemental Retirement Income Plan for Law Enforcement Officers is included in the Comprehensive Annual Financial Report (CAFR) for the State of North Carolina. The State's CAFR includes the pension trust fund financial statements for the Internal Revenue Code Section 401(k) plan that includes the Supplemental Retirement Income Plan for Law Enforcement Officers. That report may be obtained by writing to the Office of the State Controller, 1410 Mail Service Center, Raleigh, North Carolina 27699-1410, or by calling (919) 981-5454.

Schedule of Funding Progress

Law Enforcement Officers' Special Separation Allowance
Required Supplementary Information
Years Ended December 31, 2006- 2015

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (b)[1]	Funded Ratio (a) / (b)	Unfunded Actuarial Accrued Liability (b) - (a)	Covered Payroll (c)	Unfunded Actuarial Accrued Liability as a Percentage of Covered Payroll ((b - a) / c)
12/31/06	4,928,994	17,108,957	28.8	12,179,963	28,904,571	42.1
12/31/07	5,303,623	19,222,221	27.6	13,918,598	30,409,922	45.8
12/31/08	5,508,789	20,246,141	27.2	14,737,352	32,424,296	45.5
12/31/09	5,711,795	20,222,331	28.2	14,510,536	33,925,054	42.8
12/31/10	5,929,167	21,154,975	28.0	15,225,808	32,888,679	46.3
12/31/11	6,049,722	21,719,945	27.9	15,670,233	34,008,872	46.1
12/31/12	6,074,645	22,108,659	27.5	16,034,014	34,308,314	46.7
12/31/13	6,152,335	22,620,327	27.2	16,467,992	36,294,681	45.4
12/31/14	6,311,610	23,109,232	27.3	16,797,622	37,206,540	45.1
12/31/15	6,366,653	32,672,426	19.5	26,305,773	38,648,789	68.1

Analysis of the dollar amounts of plan net position, actuarial accrued liability, and unfunded actuarial accrued liability in isolation can be misleading. Expressing plan net position as a percentage of the actuarial accrued liability provides one indication if PERS funding status is a going-concern basis. Analysis of this percentage over time indicates whether the system is becoming financially stronger or weaker. Generally, the greater this percentage, the stronger the PERS. Trends in the unfunded actuarial accrued liability and annual covered payroll are both affected by inflation. Expressing the unfunded actuarial accrued liability as a percentage of annual covered payroll approximately adjusts for the effects of inflation and aids analysis of PERS progress made in accumulating sufficient assets to pay benefits when due. Generally, the smaller this percentage, the stronger the PERS.

(1) For years prior to 12/31/15, the projected unit credit actuarial cost method was used.
Beginning with 12/31/15, the entry age normal actuarial cost method is used.

Other Post Employment Benefit Plan

Required Supplementary Information
Fiscal Years Ended June 30, 2006-2016

Schedule of Funding Progress

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability - Projected Unit Credit (b)	Funded Ratio (a) / (b)	Unfunded Actuarial Accrued Liability (b) - (a)	Covered Payroll (c)	Unfunded Actuarial Accrued Liability as a Percentage of Covered Payroll
12/31/05	$ -	$44,832,743	-	$44,832,743	$118,928,047	37.7%
12/31/07	1,040,448	57,187,696	1.8%	56,147,248	132,329,610	42.4
12/31/10	5,385,473	83,863,536	6.4	78,478,063	136,912,251	57.3
12/31/12	8,577,807	83,627,059	10.3	75,049,252	131,076,275	57.3
12/31/12	13,039,328	83,627,059	15.6	70,587,731	135,008,563	52.3
12/31/14	15,358,413	90,252,610	17.0	74,894,197	142,118,900	52.7
12/31/14	15,182,164	90,252,610	16.8	75,070,446	146,382,467	51.3

Schedule of Employer Contributions

Year Ended June 30	Annual Required Contribution	Percentage % Contributed
2008	$3,554,069	100.0
2009	4,999,407	99.7
2010	4,999,407	104.2
2011	8,472,184	95.6
2012	8,472,184	94.0
2013	8,726,350	91.6
2014	8,077,527	102.7
2015	8,413,843	81.9
2016	8,711,948	54.3

Notes to the Required Schedules:

The information presented in the required supplementary schedules was determined as part of the actuarial valuations at the dates indicated. Additional information as of the latest actuarial valuation follows:

Valuation Date	12/31/2014
Actuarial Cost Method	Projected Unit Credit
Amortization Method	Level percent of pay, closed
Remaining Amortization Period	26 Years
Asset Valuation Method	Market Value
Actuarial Assumptions:	
Investment Rate of Return (1)	7.25%
Medical Cost Trend Rate	7.50% - 5.00%
Year of Ultimate Trend Rate	2020
(1) Includes inflation at	3.00%

Local Governmental Employees' Retirement System

Required Supplementary Information
Last Three Fiscal Years

Employer's Proportionate Share of Net Pension Liability (Asset)

	2016	2015	2014
Greensboro's proportion of net pension liability (asset) (%)	2.71%	2.71%	2.65%
Greensboro's proportion of net pension liability (asset) ($)	$12,141,673	($15,959,838)	$32,000,534
Greensboro's covered-employee payroll	$150,875,082	$147,235,355	$146,821,293
Greensboro's proportion of net pension liability (asset) as a percentage of its covered-employee payroll	8.0%	(10.84%)	21.80%
Plan fiduciary net position as a percentage of the total pension liability	98.09%	102.64%	94.35%

Employer Contributions

	2016	2015	2014
Contractually required contribution	$10,185,674	$10,414,334	$10,100,894
Contributions in relation to the contractually required contribution	$10,185,674	$10,414,334	$10,100,894
Contribution deficiency (excess)	$	$	$
Greensboro's covered-employee payroll	$153,474,783	$150,875,082	$147,235,355
Contributions as a percentage of covered employee payroll	6.64%	6.90%	6.86%

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APPENDIX D

DEFINITIONS OF CERTAIN TERMS AND SUMMARY OF CERTAIN PROVISIONS OF THE TRUST AGREEMENT AND THE TWENTY-FIRST SUPPLEMENTAL TRUST AGREEMENT

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APPENDIX D

Set forth in this Appendix D is the definition of certain terms and a summary of certain provisions of the Trust Agreement and the Twenty-First Supplemental Trust Agreement. The summary does not purport to be a complete summary of these documents and is qualified in its entirety by reference to the complete copies of such documents which are on file with the Trustee. Capitalized terms used herein and not otherwise defined have the same meanings given such terms in the Trust Agreement and the Twenty-First Supplemental Trust Agreement.

DEFINITIONS OF CERTAIN TERMS

The following is a summary of certain definitions set forth in the Trust Agreement and the Twenty-First Supplemental Trust Agreement and used in this Official Statement:

"Additional Projects" means any additions, acquisitions, improvements, betterments or extensions of or related to the Combined Enterprise System. The term "Additional Projects" will not include the Project or any Special Purpose Facilities unless the indebtedness incurred to finance the Special Purpose Facilities has been retired or provision has been made for the payment thereof and the City has determined by resolution to include the Special Purpose Facilities as an Additional Project.

"Additional Projects Account" means the account in the Construction Fund created and so designated by the Trust Agreement.

"Annual Budget" means the City's budget for a Fiscal Year adopted pursuant to the provisions of the Local Government Budget and Fiscal Control Act.

"Appropriate Consultant" means one or more independent public accountants or firms or corporations of independent public accountants, or architects or architectural firms or corporations, or engineers or engineering firms or corporations, or professional management consultants or firms or corporations of professional management consultants, or such other independent Persons each of which has a favorable repute at the time employed for skill and experience in its respective area of work for which it is employed by the City to perform and carry out the duties imposed on an Appropriate Consultant by the Trust Agreement.

"Authorized Officer" means the City Manager, the Finance Director and any other person authorized by resolution of the City Council of the City to perform the duties imposed on an Authorized Officer by the Trust Agreement whose name is filed with the Trustee for such purpose.

"Balloon Long-Term Indebtedness" means fixed or variable rate Long-Term Indebtedness twenty-five percent (25%) or more of the principal payments of which are due in a single twelve-month period which portion of the principal is not required by the documents pursuant to which such Indebtedness is incurred to be amortized by redemption prior to the expiration of such period.

"Bond" or "Bonds" means the Series 1995 Bonds and any other bonds issued under the Trust Agreement and secured on a parity with each other and any Parity Debt by the Trust Agreement.

"Bond Fund" means the fund created and designated the City of Greensboro Combined Enterprise System Bond Fund by the Trust Agreement.

"Bond Registrar" means, with respect to any Series of Bonds, the Bond Registrar at the time serving as such under the Supplemental Agreement relating to such Series, whether the original or a successor Bond Registrar. "Bond Registrar" means, with respect to the Series 2017 Bonds, U.S. Bank National Association as designated by the Twenty-First Supplemental Trust Agreement.

"Bond Year" means, with respect to the Series 2017A Bonds, the period commencing on June 1 of any year and ending on May 31 of the following year and, with respect to the Series 2017B Bonds, the period commencing on December 1 of any year and ending on November 30 of the following year.

"Capital Improvements Budget" means for any Fiscal Year the budget for capital improvements adopted by the City in accordance with the Trust Agreement.

"Capitalized Interest Account" means the account in the Bond Fund created and so designated by the Trust Agreement.

"Combined Enterprise System" means the Existing Facilities, the Project, any Additional Projects, and any Enterprise added thereto by the City as provided in the Trust Agreement.

"Completion Indebtedness" means any Long-Term Indebtedness incurred for the purpose of financing the completion of the Project or any Additional Projects for which Long-Term Indebtedness has theretofore been incurred in accordance with the provisions of the Trust Agreement, to the extent necessary to complete the Project or Additional Projects in the manner and scope contemplated at the time that such Long-Term Indebtedness theretofore incurred was originally incurred, and, to the extent the same will be applicable, in accordance with the general plans and specifications for such Project or Additional Projects as originally prepared with only such changes as have been made in conformance with the documents pursuant to which such Long-Term Indebtedness theretofore incurred was originally incurred.

"Consolidated Water and Sewer Line Agreement" means the City and County Consolidated Water and Sewer Line Agreement, dated as of May 20, 1968, by and between the City and the County of Guilford, North Carolina, as heretofore and hereafter amended.

"Construction Fund" means the fund created and designated the City of Greensboro Combined Enterprise System Construction Fund by the Trust Agreement.

"Credit Facility" means a line of credit, letter of credit, standby bond purchase agreement, bond insurance policy or similar liquidity or credit facility permitted by the State and Local Government Revenue Bond Act and established or obtained in connection with the incurrence of any Parity Indebtedness.

"Credit Provider" means the Person providing a Credit Facility, as designated in any Supplemental Agreement or Parity Debt Resolution. If and to the extent permitted by law, the City may be a Credit Provider with the approval of the Local Government Commission.

"Current Expenses" means the City's current expenses for the operation, maintenance and repair of the Combined Enterprise System as determined in accordance with generally accepted accounting principles, except as modified by this definition, including, without limiting the generality of the foregoing,

(a) all ordinary and usual expenses of operation, maintenance and repair, whether or not annually recurring, including, specifically, payments for water treatment plant capacity to the Piedmont Triad Regional Water Authority pursuant to the Randleman Dam Agreement,

(b) administrative expenses,

(c) salaries and other compensation,

(d) operating lease payments,

(e) payments to any pension or retirement plan or plans properly chargeable to the Combined Enterprise System,

(f) insurance premiums and expenses,

(g) engineering and architectural expenses relating to the operation, maintenance or repair of the Combined Enterprise System,

(h) fees and expenses of the Trustee, the Bond Registrar, any Depository and any paying agent, legal expenses, Credit Facility fees, remarketing fees and fees of consultants,

(i) penalty fees and fees or interest on late payments, and

(j) any other similar-type current expenses required to be paid by the City under the Trust Agreement or by law;

but Current Expenses will not include:

(a) any reserves for extraordinary replacements or repairs,

(b) any allowance for depreciation or any amortization of financing expense,

(c) any deposits to any fund, account and subaccount created under the Trust Agreement or any Supplemental Agreement and payments of principal, premium, if any, and interest from such funds, accounts and subaccounts, and

(d) any debt service payments in respect of Parity Debt, Subordinated Indebtedness and System G. O. Indebtedness.

"Defeasance Obligations" means (a) noncallable Government Obligations and (b) Defeased Municipal Obligations.

"Defeased Municipal Obligations" means obligations of state or local government municipal bond issuers which are rated the highest rating by Standard & Poor's Ratings Services, a Division of the McGraw-Hill Companies, Inc. ("S&P") and Moody's Investors Service, Inc. ("Moody's"), respectively, provision for the payment of the principal of and interest on which will have been made by deposit with a trustee or escrow agent of Defeasance Obligations, the maturing principal of and interest on which, when due and payable, will provide sufficient money to pay the principal of, premium, if any, and interest on such obligations of state or local government municipal bond issuers. References in this definition to state or local government bond issuers will mean the State of North Carolina and, subject to such restrictions as the Secretary of the Local Government Commission may impose, North Carolina local

government bond issuers, and, to the extent permitted by law, states other than the State of North Carolina and local government bond issuers other than North Carolina local government bond issuers.

"Depositary" means one or more banks or trust companies or other institutions, including the Trustee, duly authorized by law to engage in the banking business and designated by the City as a depositary of moneys under the Trust Agreement.

"Derivative Indebtedness" means Indebtedness or any portion thereof with respect to which the City will have entered into a Derivative Agreement.

"Derivative Agreement" means, without limitation, (i) any contract known as or referred to or which performs the function of an interest rate swap agreement, forward payment conversion agreement or futures contract; (ii) any contract providing for payments based on levels of, or changes or differences in, interest rates or other indices; (iii) any contract to exchange cash flows or payments or series of payments; (iv) any type of contract called, or designed to perform the function of, interest rate floors or caps, options, puts or calls, to hedge or minimize any type of financial risk, including, without limitation, payment, rate or other financial risk; and (v) any other type of contract or arrangement that the City determines is to be used, or is intended to be used, to manage or reduce the cost of Indebtedness, to convert any element of Indebtedness from one form to another or to protect against any type of financial risk or uncertainty.

"Derivative Agreement Counterparty" means, with respect to a Derivative Agreement, the Person that is identified in such agreement as the counterparty to, or contracting party with, the City.

"Derivative Agreement Obligation" means the obligation of the City to make regularly scheduled payments or termination payments under a Derivative Agreement. Derivative Agreement Obligations will be subordinate and junior in right of payment to the prior payment in full of Parity Indebtedness and Senior Subordinated Indebtedness to the extent and in the manner set forth below:

In the event (a) of any insolvency or bankruptcy proceedings, and any receivership, liquidation, reorganization, arrangement or other similar proceedings in connection therewith, relative to the City or the Combined Enterprise System, or in the event of any proceedings for voluntary liquidation, dissolution or other winding-up of the City or the Combined Enterprise System whether or not involving insolvency or bankruptcy; (b) any termination payment under a Derivative Agreement becomes due and payable because of the occurrence of an event of default or a termination event under the related Derivative Agreement; or (c) any Event of Default under the Trust Agreement will occur and be continuing and, in the case of this clause (c), (1) written notice of such Event of Default will have been given to the City and (2) judicial proceedings will be commenced in respect of such Event of Default within 180 days in the case of a default in payment of principal or interest on Parity Indebtedness or Senior Subordinated Indebtedness and within 90 days in the case of any other default after the giving of such notice, then, for so long as any action described in clause (a), (b) or (c) hereof will not have been remedied or cured in the opinion of the Trustee, the owners of Parity Indebtedness and Senior Subordinated Indebtedness will be entitled to receive payment in full of all principal, premium and interest on all Parity Indebtedness and Senior Subordinated Indebtedness before the Derivative Agreement Counterparty is entitled to receive any payment on account of the Derivative Agreement Obligations, and to that end the owners of Parity Indebtedness and Senior Subordinated Indebtedness will be entitled to receive for application in payment thereof any payment or distribution of any kind or character, whether in cash or property or securities, which may be payable or delivered in any such proceedings in respect of the Derivative Agreement Obligations after giving effect to any concurrent payment or distribution in respect to such Parity Indebtedness and Senior Subordinated Indebtedness.

"Eminent Domain" means the eminent domain or condemnation power by which all or any part of the Combined Enterprise System may be taken for another public use or any agreement that is reached in lieu of proceedings to exercise such power.

"Enterprise" means any one or more projects, facilities or systems constituting a "revenue bond project" under the State and Local Government Revenue Bond Act and any other facilities or systems in the general nature of a revenue-producing activity as authorized by law and as conclusively determined by resolution of the City Council of the City.

"Event of Default" means each of those events of default set forth in the Trust Agreement.

"Existing Facilities" means all of the water and sewer system facilities owned and operated by the City as of the date of issuance of the Series 1995 Bonds.

"Fiscal Year" means the period commencing on the first day of July of any year and ending on the last day of June of the following year.

"General Fund" means the existing general fund of the City.

"Government Obligations" means direct obligations of, or obligations the principal of and the interest on which are unconditionally guaranteed by, the United States of America in either certificated or book-entry form, including (i) stripped Government Obligations stripped by the United States Treasury itself and (ii) interest only portions of obligations issued by Resolution Funding Corporation.

"Gross Receipts" means all receipts, revenues, income, proceeds and money received in any period by or for the City in respect of the Combined Enterprise System, including, but without limiting the generality of the foregoing,

(a) all payments, proceeds, fees, charges, rents, including, without limiting the generality of the foregoing, tap, connection, developer, impact, plant capacity, sampling and monitoring fees, special assessments (unless such special assessments are specifically excluded by resolution of the City Council of the City), and all other income derived by or for the City for the use of and for the services and facilities furnished by or from the operation or ownership of the Combined Enterprise System, and all other income derived by the City from the operation or ownership of the Combined Enterprise System, and all rights to receive the same, whether in the form of accounts receivable, contract rights or other rights, and the proceeds of such rights whether now owned or held or hereafter coming into existence, and

(b) any proceeds of use and occupancy or business interruption insurance;

but there will not be included in "Gross Receipts"

(a) twenty-five percent (25%) of the moneys collected by the City for water and sewer service provided to all persons, firms and corporations connecting to water lines, sewer lines or any combination thereof constructed pursuant to the provisions of the Consolidated Water and Sewer Line Agreement,

(b) the proceeds of any gifts, grants, bequests, contributions or donations,

(c) the proceeds from the sale or disposition of all or any part of the Combined Enterprise System in accordance with the provisions of the Trust Agreement,

(d) reimbursements received by the City of advances made by it in respect of (i) the Project, (ii) any Additional Projects, (iii) any refinancing of Indebtedness and (iv) any capital improvements to the Combined Enterprise System,

(e) the investment income realized on, and the income and gains realized upon the maturity or sale of, securities held by or on behalf of the City in any funds, accounts and subaccounts established by or pursuant to the Trust Agreement, but only to the extent such income and gains as so realized are required to be deposited to some fund, account or subaccount other than the Revenue Account as may be provided in the Trust Agreement or in any Parity Resolution,

(f) to the extent and for so long as such payments are pledged to secure the financing of the same, debt service or other payments made to the City in respect of Special Purpose Facilities, except to the extent otherwise provided by the City in respect of any such payments,

(g) Net Insurance Proceeds or Net Eminent Domain Proceeds or the proceeds of any other insurance other than any use and occupancy or business interruption insurance,

(h) the proceeds of any appropriation made by any political subdivision in the State or by the State or any State Agency unless the proceeds of any such appropriation are designated, in whole or in part, as Gross Receipts by the City,

(i) the income from the investment of Qualified Escrow Funds to the extent such income is applied to the payment of the principal of or the interest on Long-Term Indebtedness which is excluded from the determination of the Long-Term Debt Service Requirement,

(j) the proceeds of any security deposits or moneys received to make refunds to users, and

(k) the proceeds of any Indebtedness.

"Holder" means the holder or owner of Parity Debt.

"Income Available for Debt Service" means for any period the City's excess of Revenues over Current Expenses.

"Indebtedness" means all obligations incurred or assumed by the City in connection with the ownership or operation of the Combined Utilities System

(a) for payments of principal and interest with respect to borrowed money, including any obligation to repay a Credit Provider for moneys drawn to pay and retire Indebtedness; and

(b) for payments under leases which are required to be capitalized in accordance with generally accepted accounting principles and under installment or lease purchase or conditional sale contracts;

provided, however, that Indebtedness will include only Parity Indebtedness and Subordinated Indebtedness and that any obligation constituting Indebtedness to pay a Credit Provider for moneys drawn to purchase, but not pay and retire, Indebtedness will constitute Indebtedness only to the extent such payments are in excess of any scheduled payments of principal and interest required to be made to such Credit Provider as an Owner or Holder of such Indebtedness.

"Insurance and Condemnation Award Account" means the account created and designated the City of Greensboro Combined Enterprise System Insurance and Condemnation Award Account by the Trust Agreement.

"Insurance Consultant" means a Person having a favorable reputation in the State for skill and experience in dealing with the insurance requirements of enterprises similar to the Combined Enterprise System and in performing the duties to be imposed upon the Insurance Consultant by the Trust Agreement, including an appropriate consultant employed by the North Carolina League of Municipalities meeting such requirements.

"Interest Account" means the account in the Bond Fund created and so designated by the Trust Agreement.

"Interest Payment Date" means, with respect to any Series of Bonds, each of the interest payment dates provided for in the Supplemental Agreement relating to such Series. "Interest Payment Date" means, with respect to the Series 2017 Bonds, June 1 or December 1, as the case may be, commencing December 1, 2017.

"Investment Obligations" means, to the extent permitted by law,

(a) Government Obligations;

(b) Obligations of the Federal Financing Bank, the Federal Home Loan Banks, the Federal Home Loan Mortgage Corporation, the Federal National Mortgage Association, the Government National Mortgage Association, the Federal Housing Administration and the Farmers Home Administration;

(c) Obligations of the State rated in one of the two highest rating categories by Moody's and S&P;

(d) Bonds and notes of any North Carolina local government or public authority, subject to such restrictions as the Secretary of the Local Government Commission may impose, provided such bonds or notes are rated in one of the two highest rating categories by Moody's and S&P;

(e) Savings certificates or certificates of deposit issued by any commercial bank or savings and loan association organized under the laws of the State or by any federal bank or savings and loan association having its principal office in the State; provided, however, that any principal amount of such certificates in excess of the amount insured by the federal government or any agency thereof, or by a mutual deposit guaranty association authorized by the Administrator of the Savings Institutions Division of the Department of Commerce of the State, be fully collateralized by obligations described in (a) or (b) above;

(f) Prime quality commercial paper bearing the highest rating of Moody's and S&P and not bearing a rating below the highest by any nationally recognized rating service which rates the particular obligation;

(g) Participating shares in the cash portfolio of North Carolina Capital Management Trust, provided that the investments in such fund are limited to those qualifying for investment under this definition and said fund is certified by the Local Government Commission;

(h) A commingled investment pool established and administered by the State Treasurer pursuant to G.S. 147-69.3;

(i) Repurchase agreements with respect to Government Obligations if entered into with a broker or dealer, as defined by the Securities Exchange Act of 1934, which is a dealer recognized as a primary dealer by a Federal Reserve Bank with a short-term rating of not less than "P-1" from Moody's, which agreement is approved by S&P, or any commercial bank, trust company or national banking association rated "A" or better by Moody's and S&P, the deposits of which are insured by the Federal Deposit Insurance Corporation or any successor thereof if:

a. such obligations that are subject to such repurchase agreement are delivered (in physical or in book entry form) to the City, or any financial institution serving either as trustee for the City or as fiscal agent for the City or are supported by a safekeeping receipt issued by a depository satisfactory to the City, provided that such repurchase agreement must provide that the value of the underlying obligations will be maintained at a current market value, calculated at least daily, of not less than one hundred percent (100%) of the repurchase price, and, provided further, that the financial institution serving either as trustee or as fiscal agent for the City holding the obligations subject to the repurchase agreement hereunder or the depository issuing the safekeeping receipt will not be the provider of the repurchase agreement;

b. a valid and perfected first security interest in the obligations which are the subject of such repurchase agreement has been granted to the City or its assignee or book entry procedures, conforming, to the extent practicable, with federal regulations and satisfactory to the City have been established for the benefit of the City or its assignee;

c. such securities are free and clear of any adverse third party claims;

d. such repurchase agreement is in a form satisfactory to the City; and

e. an opinion of counsel is delivered to the City to the effect that the repurchase agreement complies with the provisions of State law regarding the investment of public funds.

"Junior Subordinated Indebtedness" means Indebtedness the terms of which will provide that it will be subordinate and junior in right of payment to the prior payment in full of Parity Indebtedness, Senior Subordinated Indebtedness and Derivative Agreement Obligations to the extent and in the manner set forth below:

In the event (a) of any insolvency or bankruptcy proceedings, and any receivership, liquidation, reorganization, arrangement or other similar proceedings in connection therewith, relative to the City or the Combined Enterprise System, or in the event of any proceedings for voluntary liquidation, dissolution or other winding-up of the City or the Combined Enterprise System whether or not involving insolvency or bankruptcy; (b) any Junior Subordinated Indebtedness is declared or otherwise becomes due and payable before its stated maturity because of the occurrence of an event of default occurring under the documents pursuant to which such Junior Subordinated Indebtedness was incurred; or (c) any Event of Default under the Trust Agreement will occur and be continuing and, in the case of this clause (c), (1) written notice of such Event of Default will have been given to the City and (2) judicial proceedings will be commenced in respect of such Event of Default within 180 days in the case of a default in payment of principal or interest on Parity Indebtedness, Senior Subordinated Indebtedness or a default in payment of Derivative Agreement Obligations and within 90 days in the case of any other default after the giving of such notice, then, for so long as any action described in clause (a), (b) or (c) above will not have been remedied or cured in the opinion of the Trustee, the owners of Parity Indebtedness and Senior Subordinated Indebtedness and any Derivative Agreement Counterparty to which a Derivative Agreement Obligation is payable by the City will be entitled to receive payment in full of all principal, premium and interest on all Parity Indebtedness and Senior Subordinated Indebtedness and all Derivative Agreement

Obligations before the owners of the Junior Subordinated Indebtedness are entitled to receive any payment on account of principal of or interest on the Junior Subordinated Indebtedness, and to that end the owners of Parity Indebtedness and Senior Subordinated Indebtedness and any Derivative Agreement Counterparty to which a Derivative Agreement Obligation is payable by the City will be entitled to receive for application in payment thereof any payment or distribution of any kind or character, whether in cash or property or securities, which may be payable or delivered in any such proceedings in respect of the Junior Subordinated Indebtedness after giving effect to any concurrent payment or distribution in respect to such Parity Indebtedness, Senior Subordinated Indebtedness and Derivative Agreement Obligations.

"Long-Term Debt Service Requirement" means, for any period of twelve (12) consecutive calendar months for which such determination is made, the aggregate of the required deposits to be made in respect of principal and interest (whether or not separately stated) on Outstanding Long-Term Indebtedness during such period, also taking into account:

(a) with respect to Balloon Long-Term Indebtedness which is not amortized by the terms thereof, the amount of principal which would be payable in such period if such principal were amortized from the date of incurrence thereof over a period of thirty (30) years on a level debt service basis at an interest rate equal to the current market rate for a 30-year obligation set forth in an opinion of a banking institution or an investment banking institution knowledgeable in municipal utility finance delivered to the Trustee as the interest rate at which the City could reasonably expect to borrow the same by issuing Indebtedness with the same term as assumed above; provided, however, that if the date of calculation is within twelve (12) calendar months of the actual final maturity date of such Indebtedness, the full amount of principal payable at maturity will be included in such calculation;

(b) with respect to Long-Term Indebtedness which is Variable Rate Indebtedness, the interest on such Indebtedness will be calculated at the rate which is equal to the average of the actual interest rates which were in effect (weighted according to the length of the period during which each such interest rate was in effect) for the most recent twelve-month period immediately preceding the date of calculation for which such information is available (or shorter period if such information is not available for a twelve-month period), except that with respect to Variable Rate Indebtedness proposed to be incurred the interest rate for such Indebtedness for the initial interest rate period will be the initial rate to be borne by such Indebtedness and thereafter will be calculated as set forth above; and

(c) with respect to any Credit Facility, to the extent that such Credit Facility has not been used or drawn upon, the principal and interest relating to such Credit Facility will not be included in the Long-Term Debt Service Requirement; and

(d) with respect to Derivative Indebtedness, (i) for any historical computation, the interest on such Indebtedness will be calculated by adding (A) the amount of interest payable by the City on such Derivative Indebtedness pursuant to its terms and (B) the amount of regularly scheduled payments made by the City pursuant to the Derivative Agreement and subtracting (C) the amount of regularly scheduled payments made by the Derivative Agreement Counterparty pursuant to the Derivative Agreement; (ii) for any historical pro forma or forecasted computation, if the Derivative Agreement Counterparty has a long-term credit rating of at least "A" (without regard to any rating refinement or gradation by numerical modifier or otherwise) assigned to it by at least one nationally recognized rating agency then rating the Bonds and does not have a long-term rating of less than "A" (without regard to any rating refinement or gradation by numerical modifier or otherwise) from any other nationally recognized rating agency then rating the Bonds and has not defaulted on its payment obligations thereunder as of the date of computation, the interest on such Derivative Indebtedness will be calculated by adding (A) the amount of interest payable by the City on such Derivative Indebtedness pursuant to its terms and (B) the amount of

regularly scheduled payments payable by the City pursuant to the Derivative Agreement and subtracting (C) the amount of regularly scheduled payments payable by the Derivative Agreement Counterparty pursuant to the Derivative Agreement; and (iii) in all other instances, the amount of interest payable by the City on such Derivative Indebtedness will be calculated as if such Derivative Agreement had not been executed; provided, however, that, for any historical pro forma or forecasted computation, any floating payment rate specified in the Derivative Agreement will be calculated (a) at the rate which is equal to the weighted average of the floating payment rates (1) which were in effect during the five-year period ending as close as possible to the date of computation, or (2) if such Derivative Agreement was entered into less than five years prior to the date of computation or such Derivative Indebtedness has not yet been incurred, which would have been in effect during such five-year period if such Derivative Agreement had been in effect for such period and the rate can be determined based on the variables provided in the Derivative Agreement and (b) in all other instances, (1) at the rate which is equal to the weighted average of the floating payment rates which were in effect from the date the Derivative Agreement became effective to as close as possible to the date of computation, provided that such period is not less than one year, or (2) if the rate cannot be determined under (b)(1), at the rate set forth in an opinion of a commercial or investment banking institution knowledgeable in municipal finance delivered to the Trustee as the floating payment rate which such institution reasonably expects to be in effect during the projected computation period; and provided, further, that, in lieu of relying on an opinion pursuant to clause (b)(2) of the preceding proviso, the City may elect, as evidenced by an Officer's Certificate, to determine the amount of interest payable by the City on such Derivative Indebtedness as if such Derivative Agreement had not been executed;

provided, however, that interest will be excluded from the determination of Long-Term Debt Service Requirement to the extent the same is provided from the proceeds of the Long-Term Indebtedness or otherwise provided so as to be available for deposit into an account for capitalized interest or similar account not later than the date of delivery of and payment for such Long-Term Indebtedness; and provided further that, notwithstanding the foregoing, the aggregate of the payments to be made with respect to principal and interest on Outstanding Long-Term Indebtedness will not include principal or interest payable from Qualified Escrow Funds.

"Long-Term Indebtedness" means all Indebtedness, including (a) Short-Term Indebtedness if a Credit Facility by a Credit Provider exists to provide financing to retire such Short-Term Indebtedness and such Credit Facility provides for the repayment of principal on terms which would, if such commitment were implemented, constitute Long-Term Indebtedness, and (b) the current portion of Long-Term Indebtedness, for any of the following:

(a) money borrowed for an original term, or renewable at the option of the City for a period from the date originally incurred, of longer than one year;

(b) leases which are required to be capitalized in accordance with generally accepted accounting principles having an original term, or renewable at the option of the City for a period from the date originally incurred, of longer than one year; and

(c) installment purchase, installment financing or conditional sale contracts having an original term in excess of one year.

"Maximum Long-Term Debt Service Requirement" means the highest Long-Term Debt Service Requirement for the present and any succeeding Fiscal Year.

"Net Eminent Domain Proceeds" means the gross proceeds paid to the City as a final award for the taking by Eminent Domain of any of the Combined Enterprise System less payment of attorneys' and other fees and expenses properly incurred in the collection of such gross proceeds.

"Net Insurance Proceeds" means the gross proceeds paid to the City as a result of any casualty insurance policy with respect to the Combined Enterprise System or as a result of any liability insurance policy less payment of attorneys' and other fees and expenses properly incurred in the collection of such gross proceeds.

"Net Receipts" for any particular period means the excess, if any, of Gross Receipts after the payment of Current Expenses for such period and will include all moneys (and any investments purchased therewith) that constituted Gross Receipts at the time of their deposit in the Revenue Account which, if transferred from the Revenue Account as authorized by the Trust Agreement, have not been commingled with any other moneys of the City or encumbered pursuant to The Local Government Budget and Fiscal Control Act (Article 3 of Chapter 159 of the General Statutes of North Carolina); provided, however, that any amounts so transferred will cease to retain such character upon the close of the Fiscal Year in which they were received.

"Parity Debt" means all Indebtedness incurred by the City in respect of the Combined Enterprise System and not evidenced by Bonds which (a) is designated as Parity Debt in the documents pursuant to which it was incurred, (b) was incurred in compliance with the provisions of the Trust Agreement governing the incurrence of Parity Indebtedness or is a Credit Facility supporting Indebtedness incurred in compliance with the provisions of the Trust Agreement governing the incurrence of Parity Indebtedness, and (c) may be accelerated only in compliance with the procedures set forth in the Trust Agreement.

"Parity Debt Resolution" means the resolution and any other documentation adopted or executed by the City providing for the issuance of Parity Debt.

"Parity Indebtedness" means the Bonds and Parity Debt.

"Parity Reserve Account" means the account in the Bond Fund created and so designated by the Trust Agreement.

"Parity Reserve Account Requirement" means the least of (i) the Maximum Long-Term Debt Service Requirement for all Parity Indebtedness secured by the Parity Reserve Account, (ii) one hundred twenty-five percent (125%) of the average annual Long-Term Debt Service Requirement for all Parity Indebtedness secured by the Parity Reserve Account and (iii) ten percent (10%) of the stated principal amount of all Parity Indebtedness secured by the Parity Reserve Account; provided, however, that if any Series of Bonds or Parity Debt secured by the Parity Reserve Account has original issue discount or premium that exceeds 2% of the stated redemption price at maturity plus any original issue premium attributable exclusively to underwriter's compensation, the initial offering prices to the public will be used in lieu of the stated principal amount for purposes of the 10% limitation. The Parity Reserve Account Requirement may be composed of cash, Investment Obligations or Reserve Alternative Instruments, or any combination of the foregoing, as the City may determine.

"Parity Resolution" means a Supplemental Agreement or a Parity Debt Resolution, or both, as the case may be.

"Permitted Encumbrances" means, in addition to any charge created or permitted by the Trust Agreement upon the Combined Enterprise System or any part thereof or on the Net Receipts:

(a) liens for taxes or other governmental charges or levies not delinquent or that are being contested in good faith, by appropriate proceedings, by the City;

(b) covenants, easements, encumbrances, defects of title, reservations, restrictions, and conditions existing at the time of delivery of the Series 1995 Bonds and defects, irregularities, encumbrances, easements, including easements for roads and public Enterprise and similar easements, rights of way, mineral conveyances, mineral reservations, and clouds on title, none of which in the written opinion of counsel to the City, a copy of which is filed with the Trustee, materially impairs the use of the property affected thereby for its intended purposes;

(c) mechanics', workers', repairmen's, architects', engineers', surveyors', or carriers' liens or other similar liens provided that the same will be discharged in the ordinary course of business and without undue delay or the validity of the same will be contested in good faith with any pending execution thereof appropriately stayed;

(d) liens upon the property, plant and equipment of the Combined Enterprise System securing indebtedness of the City; provided, however, that the principal amount of indebtedness so secured will not exceed ten percent (10%) of the net property, plant and equipment of the Combined Enterprise System as shown on the audited financial statements for the most recent Fiscal Year for which such audited financial statements are available; and

(e) other liens, charges and encumbrances that, in the written opinion of counsel to the City, a copy of which is filed with the Trustee, do not prevent or materially impair the use of the Combined Enterprise System (counsel to the City may rely upon a certificate of any engineer or any architect as to whether such liens, charges and encumbrances prevent or materially impair the use of the Combined Enterprise System).

"Person" includes corporations, firms, associations, partnerships, joint ventures, joint stock companies, trusts, unincorporated organizations, and public bodies, as well as natural persons.

"Principal Account" means the account in the Bond Fund created and so designated by the Trust Agreement.

"Project" means the project acquired, constructed and equipped from the proceeds of the Series 1995 Bonds and other available funds as more particularly set forth in the Supplemental Agreement for the Series 1995 Bonds.

"Project Account" means the account in the Construction Fund created and so designated by the Trust Agreement.

"Put Indebtedness" means fixed or variable rate Long-Term Indebtedness twenty-five percent (25%) or more of the principal of which may, at the option of the Owner or Holder thereof, be tendered to the City, the Trustee, a Depositary or a paying agent or other fiduciary, or an agent of any of the foregoing, for payment or purchase at one time, which portion of the principal is not required by the documents pursuant to which such Indebtedness is incurred to be amortized by redemption prior to the expiration of such period.

"Qualified Escrow Funds" means amounts deposited in a segregated escrow fund or other similar fund or account in connection with the issuance of Long-Term Indebtedness which fund or account is required by the documents establishing such fund or account to be applied toward the City's payment obligations with respect to principal or interest on (a) the Long-Term Indebtedness which is incurred

under the documents establishing such fund or account or (b) Long-Term Indebtedness which is incurred prior to the establishment of such fund or account.

"Randleman Dam Agreement" means the Joint Governmental Agreement, dated as of September 18, 1987, by and among the City, the City of Archdale, North Carolina, the City of High Point, North Carolina, the Town of Jamestown, North Carolina, the City of Randleman, North Carolina, the County of Randolph, North Carolina and the Piedmont Triad Regional Water Authority.

"Redemption Account" means the account in the Bond Fund created and so designated by the Trust Agreement.

"Reserve Alternative Instrument" means an unconditional insurance policy or surety bond or irrevocable letter of credit or guaranty deposited in the Parity Reserve Account or a Special Reserve Account in lieu of or in partial substitution for the deposit of cash and Investment Obligations in satisfaction of the Parity Reserve Account Requirement or a Special Reserve Account Requirement. The Reserve Alternative Instrument will be payable (upon the giving of notice as required thereunder) to remedy any deficiency in the appropriate subaccounts in the Interest Account, the Principal Account and the Sinking Fund Account in order to provide for the timely payment of interest and principal (whether at maturity or pursuant to Sinking Fund Requirements therefor). Subject to the provisions of any Parity Resolution, the provider of a Reserve Alternative Instrument will be (a) an insurer that has been assigned, for bonds insured by the provider of the Reserve Alternative Instrument, a rating by either Moody's or S&P in one of the two highest rating categories (without regard to gradations, such as "plus" or "minus", of such categories) or (b) a commercial bank, insurance company or other financial institution the bonds payable or guaranteed by which have been assigned a rating by either Moody's or S&P in one of the two highest rating categories (without regard to gradations such as "plus" or "minus" of such categories).

"Revenue Account" means the account created and designated the City of Greensboro Combined Enterprise System Revenue Account by the Trust Agreement.

"Revenues" means revenues of the Combined Enterprise System, as determined in accordance with generally accepted accounting principles; provided, however, that revenues will include, without limiting the generality of the foregoing, tap, connection, developer, impact, plant capacity, sampling and monitoring fees and special assessments; and provided further that no determination of Revenues will take into account any gain or loss resulting from either the extinguishment of Indebtedness or the sale, exchange or other disposition of capital assets; and provided further that Revenues will not include:

(a) any gifts, grants, bequests, contributions or donations,

(b) reimbursements to the City of advances made by it in respect of (i) the Project, (ii) any Additional Projects, (iii) any refinancing of Indebtedness and (iv) any capital improvements,

(c) the investment income on, and the income and gains upon the maturity or sale of, securities held by or on behalf of the City in any funds, accounts and subaccounts established by, or pursuant to the Trust Agreement, but only to the extent such income and gains are required to be deposited to some fund, account or subaccount other than the Revenue Account as may be provided in the Trust Agreement or in any Parity Resolution,

(d) to the extent and for so long as such payments are pledged to secure the financing of the same, debt service or other payments made to the City in respect of Special Purpose Facilities,

(e) Net Insurance Proceeds or Net Eminent Domain Proceeds or the proceeds of any other insurance other than any use and occupancy or business interruption insurance,

(f) the proceeds of any appropriation made by any political subdivision in the State or by the State or any State Agency to the City unless the proceeds of any such appropriation are designated by the City, in whole or in part, as Gross Receipts and as Revenues within the meaning of this definition,

(g) the income from the investment of Qualified Escrow Funds to the extent such income is applied to the payment of the principal of or the interest on Long-Term Indebtedness which is excluded from the determination of the Long-Term Debt Service Requirement,

(h) the proceeds of any security deposits or moneys received to make refunds to users, and

(i) the proceeds of any Indebtedness.

"Senior Subordinated Indebtedness" means Indebtedness the terms of which will provide that it will be subordinate and junior in right of payment to the prior payment in full of Parity Indebtedness to the extent and in the manner set forth below:

In the event (a) of any insolvency or bankruptcy proceedings, and any receivership, liquidation, reorganization, arrangement or other similar proceedings in connection therewith, relative to the City or the Combined Enterprise System, or in the event of any proceedings for voluntary liquidation, dissolution or other winding-up of the City or the Combined Enterprise System whether or not involving insolvency or bankruptcy; (b) any Senior Subordinated Indebtedness is declared or otherwise becomes due and payable before its stated maturity because of the occurrence of an event of default occurring under the documents pursuant to which such Senior Subordinated Indebtedness was incurred; or (c) any Event of Default under the Trust Agreement will occur and be continuing and, in the case of this clause (c), (1) written notice of such default will have been given to the City and (2) judicial proceedings will be commenced in respect of such Event of Default within 180 days in the case of a default in payment of principal or interest on Parity Indebtedness and within 90 days in the case of any other default after the giving of such notice, then, for so long as any action described in clause (a), (b) or (c) above will not have been remedied or cured in the opinion of the Trustee, the owners of Parity Indebtedness will be entitled to receive payment in full of all principal, premium and interest on all Parity Indebtedness before the owners of the Senior Subordinated Indebtedness are entitled to receive any payment on account of principal of or interest on the Senior Subordinated Indebtedness, and to that end the owners of Parity Indebtedness will be entitled to receive for application in payment thereof any payment or distribution of any kind or character, whether in cash or property or securities, which may be payable or delivered in any such proceedings in respect of the Senior Subordinated Indebtedness after giving effect to any concurrent payment or distribution in respect to such Parity Indebtedness.

The loan heretofore made to the City by the State under the State Revolving Loan Fund Program, of which $3,642,319 principal amount was outstanding as of June 30, 2003, constitutes Senior Subordinated Indebtedness. From and after July 1, 2003, no Senior Subordinated Indebtedness may be incurred without the prior written consent of the holders of all Junior Subordinated Indebtedness then outstanding and all Derivative Agreement Counterparties.

"Serial Bonds" means the Bonds of any Series that are stated to mature in consecutive annual installments. "Serial Bonds" means, with respect to the Series 2017 Bonds, collectively, the Series 2017A Serial Bonds and the Series 2017B Serial Bonds.

"Series" means all of the Bonds designated as being of the same series.

"Series 1995 Bonds" means, collectively, the City of Greensboro, North Carolina Combined Enterprise System Revenue Bonds, Series 1995A and Series 1995B.

"Series 2017 Bonds" means, collectively, the Series 2017A Bonds and the Series 2017B Bonds.

"Series 2017 Project" means various improvements to the City's existing water and sanitary sewer system, as more fully described in the Twenty-First Supplemental Trust Agreement.

"Series 2017A Serial Bonds" means the Series 2017A Bonds maturing June 1, 2019 to 2037, inclusive.

"Series 2017B Serial Bonds" means the Series 2017B Bonds maturing on December 1, 2019 to 2030, inclusive.

"Series 2017A Bonds" means the $64,700,000 City of Greensboro, North Carolina Combined Enterprise System Revenue Bonds, Series 2017A issued pursuant to the Trust Agreement and the Twenty-First Supplemental Agreement.

"Series 2017B Bonds" means the $25,990,000 City of Greensboro, North Carolina Combined Enterprise System Revenue Refunding Bonds, Series 2017B issued pursuant to the Trust Agreement and the Twenty-First Supplemental Agreement.

"Series 2017 Subaccount of the Additional Projects Account" means the subaccount created and so designated by the Twenty-First Supplemental Trust Agreement.

"Series 2017 Subaccount of the Interest Account" means the subaccount created and so designated by the Twenty-First Supplemental Trust Agreement.

"Series 2017 Subaccount of the Principal Account" means the subaccount created and so designated by the Twenty-First Supplemental Trust Agreement.

"Series 2017 Subaccount of the Redemption Account" means the subaccount created and so designated by the Twenty-First Supplemental Trust Agreement.

"Series 2017 Subaccount of the Sinking Fund Account" means the subaccount created and so designated by the Twenty-First Supplemental Trust Agreement.

"Series 2017A Term Bonds" means, with respect to the Series 2017A Bonds, the Series 2017A Bonds maturing on June 1, 2042 and 2047.

"Short-Term Indebtedness" means all Indebtedness incurred for borrowed money other than the current portion of Long-Term Indebtedness for any of the following:

(a) money borrowed for an original term, or renewable at the option of the borrower for a period from the date originally incurred, of one year or less;

(b) leases which are capitalized in accordance with generally accepted accounting principles having an original term, or renewable at the option of the lessee for a period from the date originally incurred, of one year or less; and

(c) installment purchase, installment financing or conditional sale contracts having an original term of one year or less.

"Sinking Fund Account" means the account in the Bond Fund created and so designated by the provisions of the Trust Agreement.

"Sinking Fund Requirement" means, with respect to any Series of Bonds, the Sinking Fund Requirement provided in the Supplemental Agreement relating to such Series.

"Sinking Fund Requirement" means, with respect to the Series 2017A Term Bonds and for any Bond Year, the principal amount fixed or computed for retirement by purchase or redemption on June 1 of the following Bond Year. The Sinking Fund Requirements for the Series 2017A Term Bonds shall be initially the respective principal amounts of such Series 2017A Term Bonds for retirement on each June 1 as fixed in the Twenty-First Supplemental Trust Agreement.

If during any Bond Year, the total principal amount of Series 2017A Term Bonds retired by purchase or redemption under the provisions of the Twenty-First Supplemental Trust Agreement shall be greater than the amount of the Sinking Fund Requirement for such Series 2017A Term Bonds, the subsequent Sinking Fund Requirements for such Series 2017A Term Bonds shall be reduced in such amount aggregating the amount of such excess as shall be specified in an Officer's Certificate filed with the Trustee on or prior to June 1 of the next ensuing Bond Year.

"Special Purpose Facilities" means any additions, acquisitions, improvements, betterments, land, buildings, structures or other facilities, including equipment, acquired or constructed, and the preparation and grading of land, relating to the Combined Enterprise System which are financed by the issuance of obligations which are issued in compliance with the provisions of the Trust Agreement but are not, directly or indirectly, secured by or payable from Gross Receipts or Net Receipts or issued under or secured by the provisions of the Trust Agreement, nor is the operation and maintenance of such Special Purpose Facilities payable as a Current Expense.

"Special Reserve Account" means a special debt service reserve account, if any, created by a Parity Resolution as a debt service reserve account only for the particular Parity Indebtedness authorized thereby.

"Special Reserve Account Requirement" means the amount required to be placed or maintained in a Special Reserve Account as may be required by the Parity Resolution creating such Account. The Special Reserve Account Requirement may be composed of cash, Investment Obligations or Reserve Alternative Instruments or any combination of the foregoing, as the City may determine.

"Subordinated Indebtedness" means, collectively, Senior Subordinated Indebtedness and Junior Subordinated Indebtedness.

"Subordinated Indebtedness Resolution" means the resolution and any other documentation adopted or executed by the City providing for the issuance of Subordinated Indebtedness.

"Supplemental Agreement" means an order or resolution of the City authorizing any particular Series of Bonds together with a supplemental trust agreement executed and delivered by the City in connection with the issuance of such Series of Bonds that is required to be executed and delivered by the Trust Agreement prior to the issuance of any such Series.

"System G.O. Indebtedness" means general obligation indebtedness heretofore and hereafter issued by the City to finance all or any part of the Combined Enterprise System or to refinance general obligation indebtedness issued to finance all or any part of the Combined Enterprise System.

"Term Bonds" means the Bonds of any Series, other than Serial Bonds, that are designated as such in the Supplemental Agreement for such Series, including the Series 2017A Term Bonds.

"Trust Agreement" means the Trust Agreement, dated as of June 1, 1995, between the City and the Trustee, and any supplements and amendments thereto as permitted thereby.

"Trustee" means the Trustee serving as such under the Trust Agreement, whether original or successor.

"Total Operating Revenues" means, as to any period of time, total operating revenues of the Combined Enterprise System as determined in accordance with generally accepted accounting principles.

"Variable Rate Indebtedness" means any portion of Indebtedness the interest rate on which is not established at the time of incurrence at a fixed or constant rate.

SUMMARY OF THE TRUST AGREEMENT

Construction Fund

A special fund is established with the Trustee and designated the "City of Greensboro Combined Enterprise System Construction Fund," and within said Construction Fund there are established two special accounts designated the "Project Account" and the "Additional Projects Account," respectively. The proceeds of any Series of Bonds to be used for construction of Additional Projects will be deposited upon the delivery of such Series of Bonds in a separate subaccount in the Additional Projects Account created by the Supplemental Agreement providing for the issuance of the Bonds financing such Additional Projects.

The money in the Construction Fund will be held by the Trustee in trust and, pending application to the payment of the cost of the Project or Additional Projects, as the case may be, or transfer as provided in the Trust Agreement or in the Supplemental Agreement, will, to the extent permitted by law, be subject to a lien and charge in favor of the Owners of the Series of Bonds issued with respect to such Improvements or Additional Projects and Outstanding under the Trust Agreement and will be held for the security of such Owners.

Establishment of Funds and Accounts

In addition to the Construction Fund, there are established the following funds and accounts:

(a) City of Greensboro Combined Enterprise System Revenue Account;

(b) City of Greensboro Combined Enterprise System Bond Fund, in which there are established six special accounts to be known as the Capitalized Interest Account, the Interest Account, the Principal Account, the Sinking Fund Account, the Redemption Account and the Parity Reserve Account; and

(c) City of Greensboro Combined Enterprise System Insurance and Condemnation Award Account.

The Bond Fund and the accounts and subaccounts therein and the Insurance and Condemnation Award Account will be held by the Trustee. The Revenue Account will be held by a Depositary selected by the City.

A Parity Resolution may provide for the creation of a Special Reserve Account for the Parity Indebtedness authorized by such Parity Resolution and for the deposit of moneys to and withdrawal from such Account. A Special Reserve Account may be established with and maintained by the Trustee or by a Depository as the City may determine. A Parity Resolution may also provide for the creation of such other accounts, as the City may determine, for the Parity Indebtedness authorized by such Parity Resolution.

The money in the Bond Fund and all of the accounts and subaccounts therein will be held in trust and applied as provided in the Trust Agreement and, pending such application, the money in the Bond Fund and the accounts and subaccounts therein will be subject to a pledge, charge and lien in favor of the Owners of the respective Series of Bonds issued and Outstanding under the Trust Agreement and for the further security of such Owners, except as otherwise provided in the Trust Agreement or in any Supplemental Agreement.

Each Supplemental Agreement will provide, to the extent applicable, for the creation of a separate subaccount within the Capitalized Interest Account, the Interest Account, the Principal Account, the Redemption Account, and the Sinking Fund Account with respect to each Series of Bonds, which subaccounts will bear the designation of such Series of Bonds. A Supplemental Agreement may provide that the Bonds authorized thereby may be additionally secured by the Parity Reserve Account or a Special Reserve Account or it may provide that there will not be any debt service reserve in respect of such Series of Bonds. If a Series of Bonds is additionally secured by a Special Reserve Account or is not additionally secured by any debt service reserve account, such Series of Bonds will have no claim on the Parity Reserve Account.

Application of Money in the Revenue Account

Except as otherwise provided in the Trust Agreement, all Gross Receipts will be deposited when received in the Revenue Account.

The Current Expenses will be paid by the City from and will be a first charge against the Revenue Account. The Current Expenses will be paid as the same become due and payable in conformity with the applicable budgetary and payment procedures of the City.

Except during the continuation of an Event of Default, the City may, in its discretion, after making the deposits required by the Trust Agreement, transfer in each month any balance remaining in the Revenue Account, in whole or in part, to any fund or account established by the City that is limited solely to the making of expenditures with respect to the Combined Enterprise System designated by the City, the amounts so transferred to be held separate and apart from money of the City derived from any other source, provided that an Authorized Officer will first certify to the Trustee in an Officer's Certificate that, in his opinion, the transfer of such amount will not have a materially adverse effect on the City's ability during the following six calendar months to pay the Current Expenses, to make the deposits required under the Trust Agreement and to meet all other financial obligations imposed by this Trust Agreement. Following the close of each Fiscal Year, any moneys so transferred will be unrestricted as to use.

Except during the continuation of an Event of Default, the City may, in its discretion, transfer within the 30 days following June 30 of each Fiscal Year any balance remaining in the Revenue Account

on such date, in whole or in part, to the General Fund or any other fund or account designated by the City, provided that an Authorized Officer must first certify to the Trustee that, in his opinion, the transfer of such amount will not have a materially adverse effect on the City's ability over the next 12 calendar months to pay the Current Expenses, to make the deposits required by the Trust Agreement and to meet all other financial obligations imposed by the Trust Agreement.

Use of Money for Debt Service Accounts, Reserve Accounts and Other Purposes

The amount withdrawn from the Revenue Account in accordance with the Trust Agreement will be applied by the City in the following manner and order:

(a) Beginning in the month provided in the Parity Resolutions, the City will deliver to the Trustee (1) the amounts specified in the Supplemental Agreements for deposit in the appropriate subaccounts in the Interest Account, and (2) the amounts required by the related Parity Debt Resolutions for the payment of interest on such Parity Debt for deposit with or payment to the appropriate parties designated in such related Parity Debt Resolutions in accordance with the related Parity Debt Resolutions, provided that if there will not be sufficient Net Receipts to satisfy all such deposits and payments, such deposits and payments will be made to each such subaccount and appropriate party ratably according to the amount so required to be deposited or paid.

(b) Beginning in the month provided in the Parity Resolutions, the City will deliver to the Trustee (1) the amounts specified in the Supplemental Agreements for deposit in the appropriate subaccounts in the Principal Account and the Sinking Fund Account, and (2) the amounts, if any, required by the related Parity Debt Resolutions for the payment of principal on such Parity Debt, whether at maturity or pursuant to an amortization requirement, for deposit with or payment to the appropriate parties designated in such related Parity Debt Resolutions in accordance with the related Parity Debt Resolutions, provided that if there will not be sufficient Net Receipts to satisfy all such deposits and payments, such deposits and payments will be made to each such subaccount and appropriate party ratably according to the amount so required to be deposited or paid.

(c) Beginning in the month provided in the Trust Agreement or any Parity Resolutions, in any month in which the amount in the Parity Reserve Account is less than the Parity Reserve Account Requirement or the amount in any Special Reserve Account is less than the applicable Special Reserve Account Requirement, the City will deliver to the Trustee the amounts required by the Trust Agreement or any Parity Resolution to make up such deficiency in the Parity Reserve Account or any Special Reserve Account in the manner provided in the Trust Agreement or such Parity Resolution, provided that if there will not be sufficient Net Receipts to satisfy all such deposits, such deposits will be made among the Parity Reserve Account and all Special Reserve Accounts ratably according to the amounts so required to be deposited.

(d) Beginning in the month provided in any Subordinated Indebtedness Resolution, the City will pay to or deposit with the Person specified in the related Subordinated Indebtedness Resolution the amount, if any, required for the payment of interest on and principal of any Senior Subordinated Indebtedness in accordance with the related Subordinated Indebtedness Resolution.

(e) Beginning in the month provided in any Derivative Agreement, the City will pay to each Derivative Agreement Counterparty any Derivative Agreement Obligations in accordance with the related Derivative Agreement, provided that if there will not be sufficient Net Receipts to satisfy all such payments, such payments will be made to each Derivative Agreement Counterparty ratably according to the amount so required to be paid.

(f) Beginning in the month provided in any Subordinated Indebtedness Resolution, the City will pay to or deposit with the Person specified in the related Subordinated Indebtedness Resolution the amount, if any, required for the payment of interest on and principal of any Junior Subordinated Indebtedness in accordance with the related Subordinated Indebtedness Resolution provided that if there will not be sufficient Net Receipts to satisfy all such deposits and payments, such deposits and payments will be made to each Person ratably according to the amount so required to be deposited or paid.

(g) So long as System G.O. Indebtedness is outstanding, the City will deposit with the appropriate party as determined by the City, the amount, if any, required, together with any other available funds provided by the City, for the payment of interest and principal on System G.O. Indebtedness on or prior to the next required deposits to be made in accordance with the Trust Agreement as determined in accordance with the City's Annual Budget.

In each month following a month in which the City fails to make any deposit or payment required by subsections (a), (b) and (c) above, the City will deposit or pay, in addition to the amounts then due, but only from Net Receipts, an amount sufficient to cure the deficiency in deposit or payment in the prior month unless such deficiency is cured by a transfer, pursuant to the terms of the Trust Agreement, of money or Investment Obligations to such fund or account. Notwithstanding the foregoing, failure by the City to make any deposits required by (g) above, irrespective of whether Net Receipts are available therefor, will not in and of itself be an Event of Default.

On or before the 45th day next preceding any date on which Serial Bonds are to mature or Term Bonds are to be redeemed pursuant to Sinking Fund Requirements therefor or are to mature, the City may satisfy all or a portion of its obligation to make the payments required by (a) and (b) above by delivering to the Trustee Serial Bonds maturing or Term Bonds maturing or required to be redeemed on such date. The price paid to purchase any such Bond will not exceed the Redemption Price plus accrued interest to the date of purchase applicable to such Bonds at the next redemption date. Upon such delivery, the City will receive a credit against amounts required to be deposited into the Interest Account and the Principal Account or Sinking Fund Account, as the case may be, on account of such Bonds with respect to all interest payments for the remainder of the Fiscal Year and in the amount of 100% of the principal amount of any such Serial Bonds or Term Bonds so delivered.

On or before the 45th day next preceding any date on which Parity Debt is to mature or is to be redeemed pursuant to an amortization requirement, the City may satisfy all or a portion of its obligation to make the payments required by (a) and (b) above by delivering to the Trustee Parity Debt maturing or required to be so redeemed on such date. The price paid to purchase any such Parity Debt will not exceed the price payable upon redemption plus accrued interest to the date of purchase applicable to such Parity Debt at the next redemption date. Upon such delivery the City will receive a credit against amounts required to be deposited into the Interest Account and the Principal Account or Sinking Fund Account, as the case may be, on account of such Parity Debt with respect to all interest payments for the remainder of the Fiscal Year and in the amount of 100% of the principal amount of any such Parity Debt so delivered.

Application of Money in Interest Account and Capitalized Interest Account

Not later than 10:00 A.M. on each Interest Payment Date, date for the payment of Defaulted Interest or date upon which Bonds are to be redeemed, or on such other date as may be specified in the applicable Supplemental Agreement, the Trustee will withdraw from the applicable subaccount in the Interest Account and wire transfer to the Bond Registrar, in Federal Reserve or other immediately available funds, the amounts required for paying interest on the respective Bonds. The Bond Registrar will remit or otherwise set aside the amount due and payable to the Owners as provided in the Supplemental Agreements.

Unless otherwise provided by a Supplemental Agreement, on the date of issuance of any Series of Bonds, an Authorized Officer will deliver to the Trustee a schedule of monthly transfers to be made from the applicable subaccount of the Capitalized Interest Account to the applicable subaccount of the Interest Account. The Trustee will make such transfers as required by the schedule of an Authorized Officer

If the City fails to deposit with the Trustee the amounts required to be deposited in the Interest Account as provided in the Trust Agreement, or if the balance in the Interest Account on the Business Day next preceding an Interest Payment Date is insufficient to pay interest becoming due on the Bonds on such Interest Payment Date, the Trustee will notify the City of the amount of the deficiency and request the City to immediately cure such deficiency. Upon failure of the City to cure such deficiency and in any event not later than such Interest Payment Date, the Trustee will transfer an amount sufficient to cure the same, drawing upon funds in the Parity Reserve Account, if any, securing such Series of Bonds, or in the Special Reserve Account, if any, securing such Series of Bonds.

Application of Money in Principal Account

Not later than 10:00 A.M. on each principal payment date, the Trustee will withdraw from the applicable subaccount in the Principal Account and wire transfer to the Bond Registrar, in Federal Reserve or other immediately available funds, the amount necessary to pay the principal of the related Serial Bonds at their respective maturities.

If on any date there is money in the Principal Account and no Serial Bonds are then Outstanding or if on any principal payment date money remains therein after the payment of the principal of Serial Bonds then due, the Trustee will withdraw such money and apply the same as follows: (a) deposit in the Sinking Fund Account the amount then required to be paid thereto by the City, (b) deposit, if and to the extent determined by the City, in the Parity Reserve Account or in one or more Special Reserve Accounts such amounts as may be determined by the City in order to make the amounts on deposit therein equal to the Parity Reserve Account Requirement or the Special Reserve Account Requirement, as the case may be, and (c) deliver all remaining amounts to the City.

If the City fails to deposit with the Trustee the amounts required to be deposited in the Principal Account as provided in the Trust Agreement, or if the balance in the Principal Account on the 25th day of the month next preceding a principal payment date is insufficient to pay principal coming due on the Serial Bonds on such principal payment date, the Trustee will notify the City of the amount of the deficiency and request the City to immediately cure such deficiency. Upon failure of the City to cure such deficiency and in any event not later than such principal payment date, the Trustee will transfer an amount sufficient to cure the same, drawing upon funds in the Parity Reserve Account, if any, securing such Series of Bonds, or in the Special Reserve Account, if any, securing such Series of Bonds.

Application of Money in Sinking Fund Account

Money held for the credit of the subaccounts in the Sinking Fund Account will be applied during each Fiscal Year to the retirement, purchase, redemption or payment of Term Bonds in the manner provided in the applicable Supplemental Agreement. If the City fails to deposit with the Trustee the amount required to be deposited in the Sinking Fund Account as provided in the Trust Agreement, or if the balance in the Sinking Fund Account on the 25th day of the month next preceding a sinking fund payment date is insufficient to retire Term Bonds on such date as required by a Supplemental Agreement, the Trustee will notify the City of the amount of the deficiency and request the City to immediately cure such deficiency. Upon failure of the City to cure such deficiency and in any event not later than such sinking fund payment date, the Trustee will transfer an amount sufficient to cure the same, drawing upon

funds in the Parity Reserve Account, if any, securing such Series of Bonds, or in the Special Reserve Account, if any, securing such Series of Bonds.

Deposit and Application of Money in Parity Reserve Account and any Special Reserve Account; Determination of Deficiencies

If a Parity Resolution provides that the Parity Indebtedness incurred thereunder is to be additionally secured by the Parity Reserve Account or a Special Reserve Account, the City must fund, from the proceeds of such Parity Indebtedness or from any other available sources, concurrently with the delivery of and payment for such Parity Indebtedness or, in the case of Parity Indebtedness secured by a Special Reserve Account, at the time or times and in the manner specified by the applicable Parity Resolution, the Parity Reserve Account Requirement or the Special Reserve Account Requirement, as the case may be, for such Parity Indebtedness.

The Trustee will use amounts in the Parity Reserve Account to make transfers, or use moneys provided under a Reserve Alternative Instrument to make deposits, in the following order, in respect of all Parity Indebtedness additionally secured by the Parity Reserve Account, to the appropriate subaccounts in the Interest Account, the Principal Account and the Sinking Fund Account to remedy any deficiency therein not later than such Interest Payment Date, principal payment date or sinking fund payment date, or to pay the interest on or the principal of or amortization requirement in respect of any Parity Debt when due, whenever and to the extent the money on deposit for such purposes is insufficient.

The Trustee will use amounts in any Special Reserve Account held by it to make transfers or use moneys provided under a Reserve Alternative Instrument to make deposits, in the following order, in respect of the particular Parity Indebtedness secured by said Account to the appropriate subaccounts in the Interest Account, the Principal Account and the Sinking Fund Account to remedy any deficiency therein not later than such Interest Payment Date, principal payment date or sinking fund payment date, or to pay the interest on or the principal of or amortization requirement in respect of on any Parity Debt when due, whenever and to the extent the money on deposit for such purposes is insufficient.

Any deficiency in the Parity Reserve Account resulting from the withdrawal of moneys therein will be made up over the twelve-month period immediately following the month in which such withdrawal is made by monthly deposits of one-twelfth (1/12) of amount of such deficiency. Any deficiency in the Parity Reserve Account resulting from a draw on a Reserve Alternative Instrument will be made up as provided in such Reserve Alternative Instrument or documentation relating thereto, but any such deficiency must be made up by not later than the final date when such deficiency would have been required to be made up if there had been a withdrawal of moneys from the Parity Reserve Account rather than a draw on a Reserve Alternative Instrument. Deficiencies, whether resulting from withdrawals or draws, may be satisfied through the deposit of additional moneys or the providing of an additional, or increase in a, Reserve Alternative Instrument. Moneys or Investment Obligations on deposit in the Parity Reserve Account will be used to satisfy deficiencies, as provided above, prior to any draw on a Reserve Alternative Instrument.

Unless a Reserve Alternative Instrument is in effect, if on any date of valuation, the amount on deposit in the Parity Reserve Account is less than 90% of the Parity Reserve Account Requirement, the City will deposit into the Parity Reserve Account monthly one-twelfth (1/12) of the amount required as of such date to cause the amount then on deposit in the Parity Reserve Account to be equal to the Parity Reserve Account Requirement. Any such deficiency may be satisfied through the deposit of additional moneys or the providing of an additional, or increase in a, Reserve Alternative Instrument.

Any deficiency in a Special Reserve Account resulting from the withdrawal of moneys therein or a draw on a Reserve Alternative Instrument or resulting from a valuation of the Investment Obligations therein will be made up as provided in the relevant Parity Resolution.

Application of Money in Redemption Account

The Trustee will apply money in the Redemption Account to the purchase or redemption of Bonds as provided in the Trust Agreement.

Insurance and Condemnation Award Account

The Trustee will deposit Net Insurance Proceeds or Net Eminent Domain Proceeds into the Insurance and Condemnation Award Account when and as received by the Trustee from the City. Money in the Insurance and Condemnation Award Account will be used for the following purposes:

If, as a result of any casualty occurring to any of the Combined Enterprise System or as a result of any taking by Eminent Domain of any of the Combined Enterprise System, the revenue-producing capabilities of the Combined Enterprise System will, in the opinion of the City Manager, be materially impaired for a period in excess of 120 consecutive days, all Net Insurance Proceeds and Net Eminent Domain Proceeds received by the City will be delivered to the Trustee for deposit in the Insurance and Condemnation Award Account and will be applied, to the extent permitted by law, at the election of the City:

(1) to replace, repair, rebuild or restore the Combined Enterprise System to substantially the same condition as that which existed prior to such damage, destruction or taking, with such alterations and additions as the City may determine and as will not impair or otherwise adversely affect the revenue-producing capability of the Combined Enterprise System, provided that prior to the commencement of such replacement, repair, rebuilding or restoration, the City will deliver to the Trustee a report of a licensed architect or engineer employed by the City setting forth (A) an estimate of the total cost of the same, (B) the estimated date upon which such replacement, repair, rebuilding or restoration will be substantially completed, and (C) a statement to the effect that Net Insurance Proceeds or Net Eminent Domain Proceeds, as the case may be, together with other funds made available or to be made available by the City, are projected to be sufficient to pay the costs of the replacement, repair, rebuilding or restoration of the Combined Enterprise System; or

(2) to the redemption of Bonds or Parity Debt as provided in the Parity Resolutions, provided that Bonds or Parity Debt may be redeemed only if (A) the Combined Enterprise System has not been restored to substantially the same condition as prior to such damage, destruction or taking or (B) the licensed architect or engineer employed by the City has been unable to make the statement mentioned in clause (1)(C) above; or

(3) to transfer to the General Fund or any other fund or account designated by the City if the Combined Enterprise System has been restored to substantially the same condition as prior to such damage, destruction or taking with other funds of the City or made available to the City which were not subject to the lien in favor of the Owners and Holders.

All Net Insurance Proceeds and all Net Eminent Domain Proceeds not required to be applied pursuant to the foregoing provisions will be applied in such manner as the City believes to be in the best interests of the City.

If the City elects to apply Net Insurance Proceeds or Net Eminent Domain Proceeds, or cause them to be applied, to replace, repair, rebuild, or restore the Combined Enterprise System, the City will make disbursements from the Insurance and Condemnation Award Account, to the extent practicable, in accordance with the procedures and requirements set forth for requisitions from the Construction Fund. However, to the extent such Net Insurance Proceeds or Net Eminent Domain Proceeds exceed the cost of such replacement, repair, rebuilding or restoration, the same will be transferred to the General Fund or any other fund or account designated by the City.

If the City elects to redeem Bonds, the City will direct the Trustee to redeem Bonds in accordance with the Trust Agreement and to transfer from the Insurance and Condemnation Award Account to the Redemption Account an amount sufficient to pay the Redemption Price of the Bonds to be redeemed and to the Interest Account an amount that, together with amounts then on deposit therein, is sufficient to pay interest accruing on the Bonds to be redeemed to the date of redemption. If the City elects to redeem Parity Debt, the City will follow the requirements for such redemption as set forth in the Parity Debt Resolution for such Parity Debt.

The foregoing provisions are subject to the provisions of the Trust Agreement relating to allocation of Net Insurance Proceeds or Net Eminent Domain Proceeds if Parity Debt is Outstanding.

Investment of Money

Money held for the credit of all funds, accounts and subaccounts will be continuously invested and reinvested by the Trustee or the Depositaries, whichever is applicable, in Investment Obligations to the extent practicable. Investment Obligations will mature or be redeemable at the option of the holder thereof not later than the respective dates when the money held for the credit of such funds, accounts and subaccounts will be required for the purposes intended, except with respect to the Parity Reserve Account.

Investment Obligations in the Parity Reserve Account will mature or be redeemable at the option of the Trustee so that all such Investment Obligations will have an average maturing life of not more than ten (10) years after the date of such investment.

Investment Obligations acquired with money in or credited to any fund, account or subaccount established under the Trust Agreement will be deemed at all times to be part of such fund, account or subaccount. Any loss realized upon the disposition or maturity of such Investment Obligations will be charged against such funds, accounts or subaccounts. The interest accruing on any such Investment Obligations and any profit realized upon the disposition or maturity of such Investment Obligations will be credited to such funds, accounts or subaccounts as follows:

Funds, Accounts or Subaccounts	Credited to
Revenue Account	Revenue Account
All other funds, accounts and subaccounts	Revenue Account unless otherwise directed by the related Supplemental Agreement

Whenever a transfer of money between two or more of the funds, accounts or subaccounts is permitted or required, such transfer may be made as a whole or in part by transfer of one or more Investment Obligations at a value determined at the time of such transfer in accordance with the Trust

Agreement, provided that the Investment Obligations transferred are those in which money of the receiving fund, account or subaccount could be invested at the date of such transfer.

For purposes of making any investment, the Trustee may consolidate money held by it in any fund, account or subaccount with money in any other fund, account or subaccount. Transfers from any fund, account or subaccount to the credit of any other fund, account or subaccount provided for in the Trust Agreement may be effectuated on the books and records of the Trustee, the City or any Depository without any actual transfer of funds or liquidation of investments. Investment Obligations purchased with consolidated funds will be allocated to each Fund, Account or subaccount on a pro-rata basis in accordance with the initial amount so invested from each such fund, account or subaccount.

The Trustee will sell or reduce to cash a sufficient amount of such Investment Obligations whenever it is necessary so to do to provide money to make any payment from any such fund, account or subaccount. The Trustee will not be liable or responsible for any loss resulting from any such action.

Security for Deposits

Any and all money received by the City under the provisions of the Trust Agreement will be deposited as received with the Trustee or one or more other Depositaries as provided in the Trust Agreement, and will, in the case of deposits with the Trustee, be trust funds under the terms thereof, and, to the extent permitted by law in the case of the Construction Fund, will not be subject to any lien or attachment by any creditor of the City.

All money deposited with the Trustee or any Depository will be credited to the particular fund, account or subaccount to which such money belongs.

Valuation

For the purpose of determining the amount on deposit in any fund, account or subaccount, Investment Obligations in which money in such fund, account or subaccount is invested will be valued (a) at face value if such Investment Obligations mature within twelve (12) months from the date of valuation thereof, and (b) if such Investment Obligations mature more than twelve (12) months after the date of valuation thereof, at the price at which such Investment Obligations are redeemable by the holder at his option, if so redeemable, or, if not so redeemable, at the lesser of (1) the cost of such Investment Obligations minus the amortization of any premium or plus the amortization of any discount thereon, and (2) the market value of such Investment Obligations.

All Investment Obligations in all of the funds, accounts and subaccounts, except the Revenue Account, will be valued as of the last day of each Fiscal Year. In addition, Investment Obligations will be valued at any time requested by the City on reasonable notice to the Trustee (which period of notice may be waived or reduced by the Trustee); provided, however, that the Trustee will not be required to value Investment Obligations more than once in any calendar month.

Security for the Bonds and Other Parity Indebtedness

As security for the payment of the Bonds and any other Parity Indebtedness and the interest thereon, the City grants to the Trustee a pledge, charge and lien upon Net Receipts.

In addition, as further security for the payment of each Series of Bonds and the interest thereon, the City grants to the Trustee a pledge, charge and lien upon the money and Investment Obligations in

any and all of the related accounts and subaccounts of the Bond Fund and accounts established under the Supplemental Agreements relating to their issuance.

Payment of Principal, Interest and Premium

The City will cause to be paid, when due, the principal of (whether at maturity, by acceleration, by call for redemption or otherwise) and the premium, if any, and interest on the Bonds and the Parity Debt at the places, on the dates and in the manner provided in the Trust Agreement and in the Bonds and the Parity Debt and the documentation securing such Bonds and Parity Debt, according to the true intent and meaning thereof. The Bonds are special obligations payable from Net Receipts and money and Investment Obligations and Reserve Alternative Instruments held in the funds, accounts and subaccounts created in the Trust Agreement and the income from such Investment Obligations and the investment of such money.

Rate Covenant

The City covenants to fix and charge rates, fees, rentals and charges for the use of and for services furnished or to be furnished by the Combined Enterprise System, and that from time to time and as often as it will appear necessary, it will revise such rates, fees, rentals and charges as may be necessary or appropriate, in order that, for each Fiscal Year, the Income Available for Debt Service for such Fiscal Year will be not less than the greater of (i) one hundred twenty percent (120%) of the Long-Term Debt Service Requirement for Parity Indebtedness only for such Fiscal Year and (ii) one hundred percent (100%) of the Long-Term Debt Service Requirement for Parity Indebtedness and Subordinated Indebtedness for such Fiscal Year.

The City also covenants to fix and charge rates, fees, rentals and charges for the use of the Combined Enterprise System, and that from time to time and as often as it will appear necessary, it will revise such rates, fees, rentals and charges as may be necessary or appropriate, in order that the Gross Receipts will be sufficient in each Fiscal Year to pay Current Expenses and to make the cash deposits to the funds and accounts required by the Trust Agreement in each Fiscal Year.

Nothing contained in the rate covenant obligates the City to take any action in violation of any applicable requirements imposed by law.

The City covenants that if the rate covenant is not satisfied, it will, within thirty (30) days of the receipt by the City of the audit report required by the Trust Agreement, request the Appropriate Consultant to make its recommendations, if any, as to a revision of the City's rates, fees, rentals and charges, its Current Expenses or the method of operation of the Combined Enterprise System in order to satisfy the rate covenant. If the City will comply with all of the recommendations of the Appropriate Consultant, failure to meet the requirements of the rate covenant will not constitute an Event of Default for breach of the rate covenant for this reason alone, but such compliance will have no effect on any other Event of Default.

In the event of any failure to comply with the rate covenant and the failure of the City to comply with all of the recommendations of the Appropriate Consultant, and in addition to the remedies elsewhere provided in the Trust Agreement, the Trustee or the Owners of not less than twenty-five per centum (25%) in aggregate principal amount of the Parity Indebtedness then Outstanding may, and the Trustee will, upon the request of the Owners of not less than twenty-five per centum (25%) in aggregate principal amount of the Parity Indebtedness then Outstanding and upon being indemnified to its satisfaction, institute and prosecute an appropriate action to compel the City to comply with all of the recommendations of the Appropriate Consultant in order to satisfy the rate covenant.

Notwithstanding the rate covenant, contracts and agreements for the use of the Combined Enterprise System in effect on the date of the issuance of the Series 1995 Bonds are not subject to revision for purposes of compliance with the foregoing provisions except in accordance with their terms. The City may enter into new contracts or agreements or amend or rescind the same, on such terms and for such periods of time as the City determines to be proper.

The City also covenants to fix and charge rates, fees, rentals and charges for each component of the Combined Enterprise System which rates, fees, rentals and charges will be reasonable and non-discriminatory.

Insurance

The City covenants that it will maintain, or cause to be maintained, a practical insurance program, with reasonable terms, conditions, provisions and costs, which the City determines (i) will afford adequate protection against loss caused by damage to or destruction of the Combined Enterprise System or any part thereof and (ii) will include reasonable liability insurance on all of the Combined Enterprise System for bodily injury and property damage resulting from the construction or operation of the Combined Enterprise System. All such insurance policies will be carried in a responsible insurance company or companies authorized and qualified to assume the risks thereof.

If the City obtains an opinion of an Insurance Consultant, who does not sell, directly or indirectly, any insurance to the City, stating that:

(a) the insurance, or any part or parts thereof, the City proposes to obtain in order to comply with its covenant to insure is not available at a reasonable cost, and

(b) the amounts and types of insurance which the City has obtained or the provision for Qualified Self Insurance which the City has made provide protection against the risk or risks mentioned above equivalent to the protection then being relied upon by utilities of similar size and type or the protection determined by the City in its reasonable judgment to be adequate for the Combined Enterprise System, then the maintenance of such amounts and types of insurance or the provision for Qualified Self Insurance will constitute compliance with said covenant. The term "Qualified Self Insurance" means any program of self insurance or use of an insurance company or association controlled by the City, either singly or with others, or in which the City has a material interest (a "captive insurance company"), regarding which the City has received a written evaluation of an Insurance Consultant or an independent actuarial consultant having a favorable repute for skill and experience for such work, which evaluation will include an opinion of such consultant that the use of such self insurance or captive insurance company program will not diminish substantially the Receipts and that adequate reserves for such program are either maintained with an independent corporate trustee or otherwise held with appropriate safeguards to ensure their availability. Any self insurance program of the City carried to comply with the above-mentioned insurance requirements will be in written form and, together with the written evaluation regarding self insurance mentioned above, filed with the Trustee. Such program will (a) provide actuarially sound reserves, (b) be reviewed annually by an insurance advisor, who may sell insurance to the Authority, or a registered actuary in light of claims made in order to determine the adequacy of any such reserves and (c) provide upon the termination of such program for adequate reserves for, or insurance coverage of, any potential retained liability in respect of the period of self insurance.

All such policies will be for the benefit of the City, will be made payable to the City and will remain with the City, and the City will have the sole right to receive the proceeds of such insurance and to collect and receive claims thereunder. Net Insurance Proceeds will be applied in accordance with the Trust Agreement.

Notwithstanding any of the forgoing provisions, the City will not be required to amend or otherwise change any of the insurance provisions of its contracts, leases and other agreements in effect on the date of the issuance of the Series 1995 Bonds for the purpose of complying with the foregoing provisions and, with respect to any contract, lease or other agreement entered into by the City after the date of the issuance of the Series 1995 Bonds, the City may provide for policies which are payable to the parties of such contract, lease or other agreement as their interests may appear and may provide that the proceeds be applied in such manner as the City will, in its opinion, believe to be in the best interest of the City and, further, the City may require evidence of the existence of such policies and notice of cancellation in lieu of the possession of such policies.

Records, Accounts and Audits

The City will keep the funds, accounts, subaccounts, money and investments of the Combined Enterprise System separate from all other funds, accounts, money and investments, if any, of the City and will keep accurate records and accounts of all items of costs and of all expenditures relating to the Combined Enterprise System and of the Revenues collected and the application of such Revenues. Such records and accounts will be open to the inspection of the Trustee.

The City will cause its accountant to prepare and deliver to the City within 150 days after the close of such Fiscal Year an audit of the City's books and accounts. Reports of each such audit will be filed with the Local Government Commission and the Trustee, and copies of each such report will be mailed to each Owner or Holder requesting the same in writing and will be made available for inspection at the office of the Finance Director of the City. Each such audit report will be accompanied by an opinion of the accountant stating that the examination of the financial statements was conducted in accordance with generally accepted auditing standards and stating whether such financial statements present fairly the financial position of the City and the results of its operations and a statement of cash flows for the period covered by such audit report in conformity with generally accepted accounting principles applied on a consistent basis. Each such audit report will also contain schedules that present the balance sheet of the Combined Enterprise System, the results of its operations and a statement of cash flows for the Combined Enterprise System for the period covered by such audit report.

If for any reason beyond its control, the City is unable to obtain the foregoing opinion as to compliance with generally accepted accounting principles, the City will be deemed to be in compliance with this Section if it is taking all reasonable and feasible action to obtain such opinion in subsequent Fiscal Years, and if, in lieu of a statement as to compliance and conformity, such opinion states the reasons for such noncompliance or non-conformity.

Each audit report will be accompanied by a special report of the City's accountant or additional data setting forth in respect of said Fiscal Year the following:

a. a separate income and expense account of the Combined Enterprise System, showing the Revenues and Current Expenses for such Fiscal Year and

b. a calculation to determine compliance with the rate covenant.

Payment of Charges and Covenant Against Encumbrances

Except as provided in the Trust Agreement, the City will not create or suffer to be created any lien or charge upon the Combined Enterprise System or any part thereof, or on the Net Receipts, except for Permitted Encumbrances. The City will cause to be discharged, or will make adequate provision to satisfy and discharge, within 60 days after the same become due and payable, all lawful costs, expenses,

liabilities and charges relating to the maintenance, repair, replacement or improvement of the properties constituting the Combined Enterprise System and the operation of the Combined Enterprise System and lawful claims and demands for labor, materials, supplies or other objects that might by law become a lien upon the Combined Enterprise System or Net Receipts if unpaid. Nothing contained in the Trust Agreement requires the City to pay or cause to be discharged, any lien, charge, cost, liability, claim or demand so long as the validity thereof is contested in good faith and by appropriate legal proceedings.

Covenants Against Sale or Disposition

The City covenants that, except as permitted by the Trust Agreement, it will not sell, exchange or otherwise dispose of the Combined Enterprise System or any part thereof.

The City may from time to time sell, exchange or otherwise dispose of any equipment, motor vehicles, machinery, fixtures, apparatus, tools, instruments or other movable property if it determines that such articles are no longer needed or are no longer useful in connection with the Combined Enterprise System, and the proceeds thereof will be applied to the replacement of the properties so sold, exchanged or disposed of or will be deposited to the credit of the Bond Fund or a subaccount or subaccounts in the Redemption Account as the City may determine.

The City may from time to time sell, exchange or otherwise dispose of (but not lease, contract or agree for the use thereof except as permitted under the Trust Agreement) any other property of the Combined Enterprise System if it determines by resolution:

(a) that such property is no longer needed or is no longer useful in connection with the Combined Enterprise System, or

(b) that the sale, exchange or other disposition thereof would not materially adversely affect the operating efficiency of the Combined Enterprise System and would not materially reduce Net Receipts, or

(c) that the sale, exchange or other disposition thereof (i) would not materially and adversely affect the City's ability to comply with the rate covenant, (ii) would not result in any Series of Bonds being downgraded to a rating category that is less than "investment grade" by Moody's or S&P, and (iii) would be for a consideration not less than the fair market value thereof, and the proceeds, if any, thereof will be (i) deposited to the credit of the Bond Fund or a subaccount or subaccounts in the Redemption Account or (ii) used to replace the property so sold, exchanged or disposed of, as the City may determine.

If the fair market value of any item of real or personal property to be sold, exchanged or otherwise disposed of in any Fiscal Year in accordance with the above provisions will have a fair market value in excess of one percent (1%) of the net property, plant and equipment of the Combined Enterprise System as shown on the most recent audited financial statements or if the fair market value of any such item together with the fair market value of all other such items so disposed of in such Fiscal Year will aggregate in excess of one percent (1%) of the net property, plant and equipment of the Combined Enterprise System as shown on the most recent audited financial statements, then no such disposal will be effected without first obtaining the written approval of the Appropriate Consultant of the determinations to be made by the City with respect to such disposition under the above provisions.

Addition of Enterprise; Deletion of Enterprise

Additional Enterprises, including any existing or future facilities or systems relating to such Enterprises, may be added to the Combined Enterprise System from time to time at the discretion of the

City by resolution of the City Council. If Indebtedness is to be incurred by the City in connection with such addition, the resolution of the City Council will be sufficient for such purpose. If Indebtedness is not to be incurred in connection with such addition, then the following must be filed with the City Council prior to the adoption of the resolution:

(i) an opinion of counsel to the City or nationally recognized bond counsel to the effect that the State and Local Government Revenue Bond Act then permits such addition to the Combined Enterprise System in the absence of the issuance of Indebtedness by the City, and

(ii) an Officer's Certificate showing that the Income Available for Debt Service for the Fiscal Year preceding the Fiscal Year in which the resolution of the City is adopted, based upon the assumption that such addition was made as of the first day of such preceding Fiscal Year would have complied with the rate covenant for such Fiscal Year.

The City may at any time remove an Enterprise from the Combined Enterprise System upon delivery to the Trustee of (i) a resolution of the City Council of the City describing, in reasonable detail, the Enterprise to be deleted and providing that such Enterprise will no longer be part of the Combined Enterprise System, (ii) an Officer's Certificate, in form and substance reasonably acceptable to the Trustee, to the effect that the City will remain in compliance with the provisions of the rate covenant for the current Fiscal Year and for the succeeding Fiscal Year with respect to the Combined Enterprise System exclusive of the Enterprise to be deleted, and (iii) evidence reasonably satisfactory to the Trustee (which may include an Officer's Certificate) to the effect that the removal of such Enterprise from the Combined Enterprise System would not result in any Parity Indebtedness being downgraded to below "investment grade" by Moody's or S&P. The provisions of this paragraph do not apply to the sale of a part of the Combined Enterprise System.

Operation of the Combined Enterprise System

The City will establish and enforce reasonable rules and regulations governing the operation and use of the Combined Enterprise System, operate the Combined Enterprise System in an efficient and economical manner, maintain the properties constituting the Combined Enterprise System in good repair and in sound operating condition for so long as the same are necessary for the operation of the Combined Enterprise System, and comply with all valid acts, rules, regulations, orders and directions of any legislative, executive, administrative or judicial body that are applicable to the Combined Enterprise System. The City's obligation to maintain and operate the Combined Enterprise System is an obligation only upon Gross Receipts, and no Owner or Holder of Indebtedness has the right to compel the exercise of the taxing power by the State or any political subdivision thereof or the City or the forfeiture of any of their respective property in connection with any such obligation.

Special Purpose Facilities

Nothing in the Trust Agreement prohibits the City from financing the acquisition or construction of any Special Purpose Facilities.

No Special Purpose Facilities may be financed by the City unless there will be filed with the City:

(a) an opinion of counsel to the City to the effect that the Special Purpose Facilities, or the indebtedness incurred to finance such Special Purpose Facilities, are not, directly or indirectly, secured by or payable from Net Receipts or issued under or secured by the provisions of the Trust Agreement and that the financing of the Special Purpose Facilities will not conflict with or constitute on the part of the City a breach of or default under any of the covenants or provisions of the Trust Agreement;

(b) a statement, signed by the Appropriate Consultant, to the effect that in its opinion the acquisition or construction of such Special Purpose Facilities will not materially adversely affect the Income Available for Debt Service or impair the operating efficiency of the Combined Enterprise System; and

(c) a statement, signed by the Appropriate Consultant, to the effect that in its opinion the estimated gross revenues to be received from the operation of the Special Purpose Facilities will be sufficient to pay the estimated operating and maintenance expenses of such Special Purpose Facilities, any debt service or reserve requirements with respect thereto and any other necessary related costs and expenses.

Limitation on Parity Indebtedness

Subject to the conditions provided by the Trust Agreement, the City will have the right to incur Parity Indebtedness for any purpose for which Bonds may be issued under the Trust Agreement, as follows:

(a) Long-Term Indebtedness constituting Parity Indebtedness may be incurred if prior to incurrence, one of the following conditions is met:

(i) there is delivered to the Trustee an Officer's Certificate certifying that, taking into account all Outstanding Long-Term Indebtedness constituting Parity Indebtedness (excluding any Long-Term Indebtedness to be refunded by the Long-Term Indebtedness to be issued) and the Long-Term Indebtedness constituting Parity Indebtedness then to be incurred as if it had been incurred at the beginning of the most recent Fiscal Year for which audited financial statements are available preceding the date of delivery of such Officer's Certificate, the Income Available for Debt Service for such Fiscal Year was not less than 1.20 times the Maximum Long-Term Debt Service Requirement with respect to all Outstanding Long-Term Indebtedness constituting Parity Indebtedness and the Long-Term Indebtedness to be incurred; provided, however, that if the rates, fees and charges for the Combined Enterprise System have been revised and such revised rates, fees and charges are or will be in effect prior to or concurrently with the issuance of the Long-Term Indebtedness constituting Parity Indebtedness then to be incurred, the Authorized Officer may add to such Income Available for Debt Service, his estimate of the additional Income Available for Debt Service, as determined in accordance with the provisions of the Trust Agreement, that would have been included in the calculation of such Income Available for Debt Service in the judgment of such Authorized Officer if such rates, fees and charges had been in effect at the beginning of such Fiscal Year; and provided further that if an existing Enterprise is to be acquired by the City and such Enterprise, together with any existing or future facilities or systems related to such Enterprise, are to be made a part of the Combined Enterprise System and such acquisition will be in effect prior to or concurrently with the issuance of the Long-Term Indebtedness constituting Parity Indebtedness then to be incurred, such Authorized Officer may add to such Income Available for Debt Service his estimate of the additional Income Available for Debt Service, as determined in accordance with the provisions of the Trust Agreement, that would have been included in the calculation of such Income Available for Debt Service if the acquisition of such Enterprise and any such additions to the Combined Utilities System had been in effect at the beginning of such Fiscal Year; or

(ii) there is delivered to the Trustee both of the following:

(A) an Officer's Certificate certifying that the Income Available for Debt Service for the most recent Fiscal Year preceding the date of incurrence of such proposed Long-Term

Indebtedness constituting Parity Indebtedness for which audited financial statements are available was at least 1.20 times the Long-Term Debt Service Requirement for such Fiscal Year with respect to all Outstanding Long-Term Indebtedness constituting Parity Indebtedness excluding the Long-Term Indebtedness to be incurred; provided, however, that if the rates, fees and charges for the Combined Enterprise System have been revised and such revised rates, fees and charges are or will be in effect prior to or concurrently with the issuance of the Long-Term Indebtedness constituting Parity Indebtedness then to be incurred, the Authorized Officer may add to such Income Available for Debt Service his estimate of the additional Income Available for Debt Service, as determined in accordance with the provisions of the Trust Agreement, that would have been included in the calculation of such Income Available for Debt Service if such rates, fees and charges had been in effect at the beginning of such Fiscal Year; and provided further that if an existing Enterprise is to be acquired by the City and such Enterprise, together with any existing or future facilities or systems related to such Enterprise, are to be made a part of the Combined Enterprise System and such acquisition will be in effect prior to or concurrently with the issuance of the Long-Term Indebtedness constituting Parity Indebtedness then to be incurred, such Authorized Officer may add to such Income Available for Debt Service his estimate of the additional Income Available for Debt Service, as determined in accordance with the provisions of the Trust Agreement, that would have been included in the calculation of such Income Available for Debt Service if the acquisition of such Enterprise and any such additions to the Combined Enterprise System had been in effect at the beginning of such Fiscal Year; and

(B) an Officer's Certificate showing that the forecasted Income Available for Debt Service, which forecast may take into consideration rates to become effective prior to or during such period, estimates of usage, inflation factors and any other factors deemed by the signer to be relevant, for the first two Fiscal Years next succeeding (1) the date on which capitalized interest, if any, provided from the proceeds of the proposed Long-Term Indebtedness constituting Parity Indebtedness then to be incurred or any other source to pay interest on the proposed Long-Term Indebtedness is expended, in the case of the acquisition or construction of Additional Projects, or (2) the date on which the proposed Long-Term Indebtedness is incurred, in any other case, is at least 1.20 times the Long-Term Debt Service Requirement with respect to all Outstanding Long-Term Indebtedness constituting Parity Indebtedness (excluding any Parity Indebtedness to be refunded by the proposed Long-Term Indebtedness) and the proposed Long-Term Indebtedness for each of such Fiscal Years; or

(iii) there is delivered to the Trustee an Officer's Certificate certifying that for the most recent Fiscal Year preceding the incurrence of such proposed Long-Term Indebtedness constituting Parity Indebtedness for which audited financial statements are available, the proposed Long-Term Indebtedness to be incurred under this paragraph, together with any other Long-Term Indebtedness constituting Parity Indebtedness incurred under this paragraph and then Outstanding, does not exceed ten percent (10%) of Total Operating Revenues for such Fiscal Year.

(b) Completion Indebtedness constituting Parity Indebtedness may be incurred without limitation; provided, however, that prior to the incurrence of such Completion Indebtedness, the City will furnish to the Trustee (i) a certificate of a licensed architect or engineer estimating the costs of completing the facilities for which such Completion Indebtedness is to be incurred and (ii) an Officer's Certificate certifying that the amount of such Completion Indebtedness to be incurred will be sufficient, together with other funds, if applicable, to complete construction of the facilities as estimated by the architect or engineer in respect of which such Completion Indebtedness is to be incurred.

(c) Long-Term Indebtedness constituting Parity Indebtedness may be incurred for the purpose of refunding all or any part of any Outstanding Long-Term Indebtedness constituting Parity Indebtedness so as to render it no longer Outstanding if prior to incurrence thereof an Officer's Certificate is delivered to the Trustee (i) determining that the proceeds of such Long-Term Indebtedness, together with interest earnings on the Defeasance Obligations to be acquired and other available funds, will be sufficient to pay the principal of and interest and any premium on the Long-Term Indebtedness to be refunded to the redemption or maturity date or dates and the expenses incident to the refunding, and (ii) stating that either (A) the Maximum Long-Term Debt Service Requirement for any Fiscal Year thereafter on account of all Long-Term Indebtedness constituting Parity Indebtedness to be Outstanding after the issuance of such Long-Term Indebtedness to accomplish the refunding and after the refunding of such Long-Term Indebtedness will not be greater by more than ten percent (10%) than the Maximum Long-Term Debt Service Requirement on account of all Long-Term Indebtedness constituting Parity Indebtedness Outstanding immediately prior to the issuance of such Long-Term Indebtedness to accomplish such refunding, including the Long-Term Indebtedness to be refunded, or (B) the incurrence of such Long-Term Indebtedness to accomplish the refunding will satisfy the requirements of (a) above.

(d) Short-Term Indebtedness constituting Parity Indebtedness may be incurred if, immediately after the issuance of such Short-Term Indebtedness, the Outstanding principal amount of all Short-Term Indebtedness constituting Parity Indebtedness does not exceed twenty-five percent (25%) of the Revenue Account balance for the most recent Fiscal Year preceding the date of issuance of such Short-Term Indebtedness for which audited financial statements are available; provided, however, that for a period of twenty (20) consecutive calendar days in each Fiscal Year, no such Short-Term Indebtedness will be Outstanding.

(e) Put Indebtedness constituting Parity Indebtedness may be incurred if prior to the incurrence of such Put Indebtedness (i) the conditions described in (a), (b) or (c) above are met and (ii) a Credit Facility exists to provide financing sufficient to pay the purchase price of such Put Indebtedness on any date on which the Owner or Holder of such Put Indebtedness may demand payment thereof pursuant to the terms of such Put Indebtedness.

Whenever (a) or (d) above requires a certification for the most recent Fiscal Year preceding the date of incurrence of the Parity Indebtedness in question for which audited financial statements are available, the City may, in its discretion, provide for a special audit and a certification based upon such special audit, in lieu of the audit for such Fiscal Year, provided such special audit covers twelve (12) consecutive calendar months of the eighteen (18) full consecutive calendar months preceding the date of incurrence of the Indebtedness in question.

Limitation on Subordinated Indebtedness

The City will have the right to incur Subordinated Indebtedness for any purpose for which Bonds may be issued under the Trust Agreement, as follows:

(a) Long-Term Indebtedness constituting Subordinated Indebtedness may be incurred if prior to incurrence, one of the following conditions is met:

(i) there is delivered to the Trustee an Officer's Certificate certifying that, taking into account all Outstanding Long-Term Indebtedness constituting Subordinated Indebtedness (excluding any Long-Term Indebtedness to be refunded by the Long-Term Indebtedness to be issued) and the Long-Term Indebtedness constituting Subordinated Indebtedness then to be incurred as if it had been incurred at the beginning of the most recent Fiscal Year for which audited financial statements are available preceding the date of delivery of such Officer's

Certificate, the Income Available for Debt Service for such Fiscal Year was not less than 1.00 times the Maximum Long-Term Debt Service Requirement with respect to all Outstanding Long-Term Indebtedness constituting Parity Indebtedness and Subordinated Indebtedness and the Long-Term Indebtedness to be incurred; provided, however, that if the rates, fees and charges for the Combined Enterprise System have been revised and such revised rates, fees and charges are or will be in effect prior to or concurrently with the issuance of the Long-Term Indebtedness constituting Subordinated Indebtedness then to be incurred, the Authorized Officer may add to such Income Available for Debt Service, his estimate of the additional Income Available for Debt Service, as determined in accordance with the provisions of the Trust Agreement, that would have been included in the calculation of such Income Available for Debt Service in the judgment of such Authorized Officer if such rates, fees and charges had been in effect at the beginning of such Fiscal Year; and provided further that if an existing Enterprise is to be acquired by the City and such Enterprise, together with any existing or future facilities or systems related to such Enterprise, are to be made a part of the Combined Enterprise System and such acquisition will be in effect prior to or concurrently with the issuance of the Long-Term Indebtedness constituting Subordinated Indebtedness then to be incurred, such Authorized Officer may add to such Income Available for Debt Service his estimate of the additional Income Available for Debt Service, as determined in accordance with the provisions of the Trust Agreement, that would have been included in the calculation of such Income Available for Debt Service if the acquisition of such Enterprise and any such additions to the Combined Enterprise System had been in effect at the beginning of such Fiscal Year; or

(ii) there is delivered to the Trustee both of the following:

(A) an Officer's Certificate certifying that the Income Available for Debt Service for the most recent Fiscal Year preceding the date of incurrence of such Long-Term Indebtedness constituting Subordinated Indebtedness to be incurred for which audited financial statements are available was at least 1.00 times the Long-Term Debt Service Requirement for such Fiscal Year with respect to all Outstanding Long-Term Indebtedness constituting Parity and Subordinated Indebtedness excluding the Long-Term Indebtedness to be incurred; provided, however, that if the rates, fees and charges for the Combined Enterprise System have been revised and such revised rates, fees and charges are or will be in effect prior to or concurrently with the issuance of the proposed Long-Term Indebtedness constituting Subordinated Indebtedness then to be incurred, the Authorized Officer may add to such Income Available for Debt Service his estimate of the additional Income Available for Debt Service, as determined in accordance with the provisions of the Trust Agreement, that would have been included in the calculation of such Income Available for Debt Service if such rates, fees and charges had been in effect at the beginning of such Fiscal Year; and provided further that if an existing Enterprise is to be acquired by the City and such Enterprise, together with any existing or future facilities or systems related to such Enterprise, are to be made a part of the Combined Enterprise System and such acquisition will be in effect prior to or concurrently with the issuance of the proposed Long-Term Indebtedness constituting Subordinated Indebtedness then to be incurred, such Authorized Officer may add to such Income Available for Debt Service his estimate of the additional Income Available for Debt Service, as determined in accordance with the provisions of the Trust Agreement, that would have been included in the calculation of such Income Available for Debt Service if the acquisition of such Enterprise and any such additions to the Combined Enterprise System had been in effect at the beginning of such Fiscal Year; and

(B) an Officer's Certificate showing that the forecasted Income Available for Debt Service, which forecast may take into consideration rates to become effective prior to or during such period, estimates of usage, inflation factors and any other factors deemed by the signer to be

relevant, for the first two Fiscal Years next succeeding (1) the date on which capitalized interest, if any, provided from the proceeds of the proposed Long-Term Indebtedness constituting Subordinated Indebtedness then to be incurred or any other source to pay interest on the proposed Long-Term Indebtedness is expended, in the case of the acquisition or construction of Additional Projects, or (2) the date on which the proposed Long-Term Indebtedness is incurred, in any other case, is at least 1.00 times the Long-Term Debt Service Requirement with respect to all Outstanding Long-Term Indebtedness constituting Parity Indebtedness and Subordinated Indebtedness (excluding any Subordinated Indebtedness to be refunded by the proposed Long-Term Indebtedness) and the proposed Long-Term Indebtedness for each of such Fiscal Years; or

(iii) there is delivered to the Trustee an Officer's Certificate certifying that for the most recent Fiscal Year preceding the incurrence of such proposed Long-Term Indebtedness constituting Subordinated Indebtedness for which audited financial statements are available, the proposed Long-Term Indebtedness to be incurred under this paragraph, together with any other Long-Term Indebtedness constituting Subordinated Indebtedness incurred under this paragraph and then Outstanding, does not exceed ten percent (10%) of Total Operating Revenues for such Fiscal Year.

(b) Completion Indebtedness constituting Subordinated Indebtedness may be incurred without limitation; provided, however, that prior to the incurrence of such Completion Indebtedness, the City will furnish to the Trustee (i) a certificate of a licensed architect estimating the cost of completing the facilities for which such Completion Indebtedness is to be incurred and (ii) an Officer's Certificate certifying that the amount of such Completion Indebtedness to be incurred will be sufficient, together with other funds, if applicable, to complete construction of the facilities in respect of which such Completion Indebtedness is to be incurred.

(c) Long-Term Indebtedness constituting Subordinated Indebtedness may be incurred for the purpose of refunding all or any part of any Outstanding Long-Term Indebtedness constituting Subordinated Indebtedness so as to render it no longer Outstanding if prior to incurrence thereof, an Officer's Certificate is delivered to the Trustee (i) determining that the proceeds of such Long-Term Indebtedness, together with interest earnings on the Defeasance Obligations to be acquired and other available funds, will be sufficient to pay the principal of and interest and any redemption premium on the Long-Term Indebtedness to be refunded to the redemption or maturity date or dates and the expenses incident to the refunding, and (ii) stating that either (A) the Maximum Long-Term Debt Service Requirement for any Fiscal Year thereafter on account of all Long-Term Indebtedness constituting Subordinated Indebtedness to be Outstanding after the issuance of such Long-Term Indebtedness to accomplish the refunding and after the refunding of such Long-Term Indebtedness will not be greater by more than ten percent (10%) than the Maximum Long-Term Debt Service Requirement on account of all Long-Term Indebtedness constituting Subordinated Indebtedness Outstanding immediately prior to the issuance of such Long-Term Indebtedness to accomplish such refunding, including the Long-Term Indebtedness to be refunded or (B) the incurrence of such Long-Term Indebtedness to accomplish the refunding will satisfy the requirements of (a) above; and

(d) Long-Term Indebtedness constituting Subordinated Indebtedness may be incurred for the purpose of refunding all or any part of any Outstanding Long-Term Indebtedness constituting Parity Indebtedness so as to render it no longer Outstanding if prior to incurrence thereof an Officer's Certificate is delivered to the Trustee determining (i) that the proceeds of such Long-Term Indebtedness, together with interest earnings on the Defeasance Obligations to be acquired and other available funds, will be sufficient to pay the principal of and interest and any redemption premium on the Long-Term Indebtedness to be refunded to the redemption or maturity date or dates and the expenses incident to the refunding, and (ii) stating that either (A) the Maximum Long-Term Debt Service Requirement for any

Fiscal Year thereafter on account of all Long-Term Indebtedness constituting Parity Indebtedness and Subordinated Indebtedness to be Outstanding after the issuance of such Long-Term Indebtedness to accomplish the refunding and after the refunding of such Long-Term Indebtedness will not be greater by more than ten percent (10%) than the Maximum Long-Term Debt Service Requirement on account of all Long-Term Indebtedness constituting Parity Indebtedness and Subordinated Indebtedness Outstanding immediately prior to the issuance of such Long-Term Indebtedness to accomplish such refunding, including the Long-Term Indebtedness to be refunded or (B) the incurrence of such Long-Term Indebtedness to accomplish the refunding will satisfy the requirements of (a) above.

(e) Short-Term Indebtedness constituting Subordinated Indebtedness may be incurred if, immediately after the issuance of such Short-Term Indebtedness, the Outstanding principal amount of all Short-Term Indebtedness constituting Subordinated Indebtedness does not exceed twenty-five percent (25%) of the Revenue Account balance for the most recent Fiscal Year preceding the date of issuance of such Short-Term Indebtedness for which audited financial statements are available; provided, however, that for a period of twenty (20) consecutive calendar days in each Fiscal Year, no such Short-Term Indebtedness will be Outstanding.

(f) Put Indebtedness constituting Subordinated Indebtedness may be incurred if prior to the incurrence of such Put Indebtedness (i) the conditions described in subsections (a), (b), (c) or (d) above are met and (ii) a Credit Facility exists to provide financing sufficient to pay the purchase price of such Put Indebtedness on any date on which the Owner or Holder of such Put Indebtedness may demand payment thereof pursuant to the terms of such Put Indebtedness.

Whenever (a) or (e) above require a certification for the most recent Fiscal Year preceding the dates of incurrence of the Subordinated Indebtedness in question for which audited financial statements are available, the City may, in its discretion, provide for a special audit and a certification based upon such special audit, in lieu of the audit for such Fiscal Year, provided such special audit covers twelve (12) full consecutive calendar months of the eighteen (18) full consecutive calendar months preceding the date of incurrence of the Subordinated Indebtedness in question.

Events of Default

Each of the following events is an "Event of Default" under the Trust Agreement with respect to Bonds and Parity Debt:

(a) payment of the principal of and the redemption premium, if any, on any of the Bonds or any Parity Debt is not made when the same are due and payable, either at maturity or by redemption or otherwise;

(b) payment of the interest on any of the Bonds or any Parity Debt is not made when the same is due and payable;

(c) final judgment for the payment of money in excess of $500,000 is rendered against the City as a result of the ownership, control or operation of the Combined Enterprise System, and any such judgment is not discharged with one hundred twenty (120) days from the entry thereof or an appeal is not taken therefrom or from the order, decree or process upon which or pursuant to which such judgment will have been granted or entered, in such manner as to stay the execution of or levy under such judgment, order, decree or process or the enforcement thereof;

(d) the City (i) becomes insolvent or the subject of insolvency proceedings; or (ii) is unable, or admits in writing its inability, to pay its debts as they mature; or (iii) makes a general assignment for

the benefit of creditors or to an agent authorized to liquidate any substantial amount of its property; or (iv) files a petition or other pleading seeking reorganization, composition, readjustment, or liquidation of assets, or requesting similar relief; or (v) applies to a court for the appointment of a receiver for it or for the whole or any part of the Combined Enterprise System other than Special Purpose Facilities; or (vi) has a receiver or liquidator appointed for it or for the whole or any part of the Combined Enterprise System other than Special Purpose Facilities (with or without the consent of the City) and such receiver is not discharged within 90 consecutive days after his appointment; or (vii) becomes the subject of an "order for relief" within the meaning of the United States Bankruptcy Code; or (viii) files an answer to a creditor's petition admitting the material allegations thereof for liquidation, reorganization, readjustment or composition or to effect a plan or other arrangement with creditors or fail to have such petition dismissed within 60 consecutive days after the same is filed against the City;

(e) a court of competent jurisdiction assumes custody or control of the City or of the whole or any substantial part of its property under the provisions of any other law for the relief or aid of debtors, and such custody or control is not terminated within ninety (90) days from the date of assumption of such custody or control;

(f) an event of default will have occurred under any Supplemental Agreement or the Trustee will have received written notice from any Holder of an event of default under any Parity Debt Resolution; and

(g) the City defaults in the due and punctual performance of any other of the covenants, conditions, agreements and provisions contained in the Trust Agreement, and such default continues for 30 days after receipt by the City of a written notice from the Trustee specifying such default and requesting that it be corrected, provided that if prior to the expiration of such 30-day period the City institutes action reasonably designed to cure such default, no "Event of Default" will be deemed to have occurred upon the expiration of such 30-day period for so long as the City pursues such curative action with reasonable diligence.

Acceleration

Upon the happening and continuance of any Event of Default, then the Trustee may, and upon the written request of the Owners or Holders of not less than fifty-one percent (51%) in aggregate principal amount of the Bonds and Parity Debt then Outstanding will, by a notice in writing to the City, declare the principal of all the Bonds and Parity then Outstanding (if not then due and payable) to be due and payable immediately, and upon such declaration the same will become and be immediately due and payable, anything contained in the Bonds, any Parity Debt, the Trust Agreement or any Parity Resolution to the contrary notwithstanding; provided, however, that if at any time after the principal of the Bonds and Parity Debt will have been so declared to be due and payable, and before the entry of final judgment or decree in any suit, action or proceeding instituted on account of such default, or before the completion of the enforcement of any other remedy under the Trust Agreement, moneys will have accumulated sufficient to pay the principal of all matured Bonds and Parity Debt and all arrears of interest, if any, upon all the Bonds and Parity Debt then Outstanding (except the principal of any Bonds and Parity Debt not then due and payable by their terms and the interest accrued on such Bonds and Parity Debt since the last interest payment date) and sufficient to satisfy the sinking fund requirement, if any, for any Term Bonds and Parity Debt then Outstanding for the then current Fiscal Year, and the charges, compensation, expenses, disbursements, advances and liabilities of the Trustee and all other amounts then payable by the City will have been paid or a sum sufficient to pay the same will have been deposited with the Trustee or the Bond Registrar and every other default known to the Trustee in the observance or performance of any covenant, condition, agreement or provision contained in the Bonds, any Parity Debt, the Trust Agreement or any Parity Resolution (other than a default in the payment of the principal of such Bonds

and Parity Debt then due and payable only because of a declaration of acceleration) will have been remedied to the satisfaction of the Trustee, then the Trustee may, and upon the written request of the Owners and Holders of not less than fifty-one percent (51%) in aggregate principal amount of the Bonds and Parity Debt not then due and payable by their terms and then Outstanding will, by written notice to the City, rescind and annul such declaration and its consequences, but no such rescission or annulment will extend to or affect any subsequent Event of Default or impair any right consequent thereon.

Remedies

Upon the happening and continuance of any Event of Default the Trustee may proceed, and upon the written request of the Owners or Holders of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds and Parity Debt then Outstanding will proceed, subject to the requirement of prior indemnification, to protect and enforce its rights and the rights of the Owners or Holders of the Bonds and Parity Debt under applicable laws and the Trust Agreement by such suits, actions or special proceedings in equity or at law, or by proceedings in the office of any board or officer having jurisdiction, either for the specific performance of any covenant or agreement or in aid or execution of any power granted or for the enforcement of any proper legal or equitable remedy, as the Trustee, being advised by counsel chosen by the Trustee, will deem most effectual to protect and enforce such rights. If the Trustee receives a request from the Owners or Holders of not less than twenty-five percent (25%) in aggregate principal amount of the Bonds and Parity Debt then Outstanding that is contrary to the request made of the Trustee pursuant to the first sentence of this paragraph, the Trustee will not be required to pursue such remedial action until requested to do so by the Owners or Holders of not less than fifty-one percent (51%) in aggregate principal amount of the Bonds and Parity Debt then Outstanding.

In addition to any remedies available to the Trustee under the Trust Agreement and under State and federal law, upon the occurrence of an Event of Default the Trustee may:

(a) require the City to endorse all checks and other negotiable instruments representing Gross Receipts to the order of the Trustee immediately upon the receipt thereof and to deliver such endorsed instruments daily to the Trustee,

(b) notify any or all account debtors of the City to pay any amounts representing Gross Receipts, when due and owing, directly to the Trustee, as Trustee, at the address set forth in the Trust Agreement, and

(c) require the City to deliver to the Trustee any Net Receipts in the possession of the City or any Depositary.

The endorsement and delivery requirements and the payment of Gross Receipts directly to the Trustee will continue until the Event of Default has been cured to the satisfaction of the Trustee.

Pro Rata Application of Funds

If at any time the money deposited with the Trustee pursuant to Section 504 of the Trust Agreement or pursuant to any remedial action is not sufficient to pay the interest on or the principal of the related Bonds and Parity Debt as the same become due and payable (either by their terms or by acceleration), such money, together with any money then available or thereafter becoming available for such purposes will be applied as follows:

(a) if the principal of all Bonds and Parity Debt will not have become or will not have been declared due and payable, all such money will be applied as follows:

first: to the payment to the persons entitled thereto of all installments of interest on Bonds and Parity Debt then due and payable in the order in which such installments became due and payable and, if the amount available will not be sufficient to pay in full any particular installment, then to the payment, ratably according to the amounts due on such installment, to the persons entitled thereto, without any discrimination or preference except as to any difference in the respective rates of interest specified in such Bonds and Parity Debt;

second: to the payment to the persons entitled thereto of the unpaid principal of any Bonds and Parity Debt that will have become due and payable (other than Bonds and Parity Debt deemed to have been paid pursuant to the provisions of the Trust Agreement), in the order of their due dates, with interest on the overdue principal at a rate equal to the rate on such Bonds and parity Debt, and, if the amount available will not be sufficient to pay in full the principal of Bonds and Parity Debt due and payable on any particular date, then to the payment ratably according to the amount of such principal due on such date, to the persons entitled thereto without any discrimination or preference; and

third: to the payment of the interest on and the principal of Bonds and Parity Debt, to the purchase and retirement of Bonds and Parity Debt, and to the redemption of Bonds and Parity Debt, all in accordance with the provisions of the Trust Agreement and any Parity Resolution.

(b) If the principal of all Bonds and Parity Debt will have become or will have been declared due and payable, all such money will be applied to the payment of principal and interest then due upon such Bonds and Parity Debt, without preference or priority of principal over interest or of interest over principal, or of any installment of interest over any other installment of interest, or of any Bond or Parity Debt over any other Bond or Parity Debt, ratably, according to the amounts due respectively for principal and interest, to the persons entitled thereto without any discrimination or privilege.

(c) If the principal of all Bonds and Parity Debt will have been declared due and payable and if such declaration will thereafter have been rescinded and annulled, then, subject to the provisions of (b) above in the event that the principal of all Bonds and Parity Debt will later become due and payable or be declared due and payable, the money then remaining on deposit with the Trustee and thereafter accruing will be applied in accordance with the provisions of (a) above.

Control of Proceedings; Restrictions Upon Action; Notice of Event of Default

The Owners or Holders of a majority in aggregate principal amount of Bonds and Parity Debt at any time Outstanding have the right, subject to prior indemnification of the Trustee, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, to direct the method and place of conducting all remedial proceedings to be taken by the Trustee under the Trust Agreement, provided that such direction is in accordance with law and the provisions of the Trust Agreement.

No Owner or Holder will have any right to institute any suit, action or proceeding unless such Owner or Holder previously will (a) have given to the Trustee written notice of the Event of Default on account of which suit, action or proceeding is to be instituted, (b) have requested the Trustee to take action after the right to exercise such powers or right of action, as the case may be, will have accrued, (c) have afforded the Trustee a reasonable opportunity either to proceed to institute such action, suit or proceedings in its or their name, and (d) have offered to the Trustee reasonable security and satisfactory indemnity against the costs, expenses and liabilities to be incurred therein or thereby, and the Trustee will have refused or neglected to comply with such request within a reasonable time. Notwithstanding the foregoing and without complying therewith, the Owners or Holders of not less than twenty-five percent (25%) in aggregate principal amount of Bonds and Parity Debt then Outstanding may institute any such

suit, action or proceeding in their own names for the benefit of all Owners or Holders. No one or more Owners or Holders will have any right in any manner whatsoever by his or their action to affect, disturb or prejudice the security of the Trust Agreement or to enforce any right thereunder except in the manner provided by the Trust Agreement.

The Trustee will mail to all Owners at their addresses as they appear on the registration books and to all Holders who will have filed their names with the Trustee for such purpose written notice of the occurrence of any Event of Default within 30 days after the Trustee has notice that any such Event of Default will have occurred.

Allocations if Parity Debt Outstanding

If at any time there are both Bonds Outstanding and Parity Debt Outstanding and the City or the Trustee receives Net Insurance Proceeds or Net Eminent Domain Proceeds and the City elects or is required to redeem Bonds with the same pursuant to the Trust Agreement, then all such Net Insurance Proceeds or Net Eminent Domain Proceeds to be distributed under the terms of the Trust Agreement to Owners are required to be allocated among and distributed by the Trustee to Owners and either the Holders or the trustee for the Holders of Parity Debt (as will be specified to the Trustee) in the proportion that the outstanding principal amount of each type of Parity Indebtedness bears to the total principal balance of all outstanding Parity Indebtedness, unless such an allocation and distribution has been made prior to the receipt by the Trustee of such Net Insurance Proceeds or Net Eminent Domain Proceeds.

Concerning the Trustee

Prior to the occurrence of any Event of Default and after the curing of all such Events of Default that may have occurred, the Trustee is required to perform such duties and only such duties of the Trustee as are specifically set forth in the Trust Agreement. Upon the occurrence and during the continuation of any Event of Default, the Trustee is required to use the same degree of care and skill in their exercise as a prudent person would exercise or use under the circumstances in the conduct of such person's own affairs.

No provision of the Trust Agreement or any Parity Resolution will be construed to relieve the Trustee from liability for its own negligent action, its own negligent failure to act, or its own willful misconduct, except that:

(a) prior to any Event of Default, and after the curing of any Events of Default that may have occurred:

(i) the duties and obligations of the Trustee will be determined solely by the express provisions of the Trust Agreement and the Trustee will not be liable except for the performance of such duties and obligations of the Trustee as are specifically set forth in the Trust Agreement, and no implied covenants or obligations will be read into the Trust Agreement against the Trustee, and

(ii) in the absence of bad faith on its part, the Trustee may conclusively rely, as to the accuracy of the statements and the correctness of the opinions expressed therein, upon any certificate or opinion furnished to it conforming to the requirements of the Trust Agreement; and

(b) at all times, regardless of whether or not any such Event of Default will exist:

(i) the Trustee will not be liable for any error of judgment made in good faith by a responsible officer or officers of the Trustee unless it will be proved that the Trustee was negligent in ascertaining the pertinent facts, and

(ii) the Trustee will not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Owners of the required aggregate principal amount of Bonds and Parity Debt then Outstanding relating to the time, method and place of conducting any proceeding for any remedy available to the Trustee, or exercising any power conferred upon the Trustee under the Trust Agreement.

The Trustee will be under no obligation to institute any suit or to take any remedial proceeding (including, but not limited to, the appointment of a receiver or the acceleration of the maturity date of all Bonds and Parity Debt) or to enter any appearance or in any way defend in any suit in which it may be made defendant, or to take any steps in the execution of any of the trusts hereby created or in the enforcement of any rights and powers, until it has been indemnified to its satisfaction against any and all costs and expenses, outlays and counsel fees and other reasonable disbursements, and against all liability.

Except upon the happening of any Event of Default specified in clauses (a), (b) and (f) under "Events of Default", the Trustee will not be obliged to take notice or be deemed to have notice of any Event of Default, unless specifically notified in writing of such Event of Default by the City or the Owners and Holders of not less than twenty-five percent (25%) in aggregate principal amount of Bonds and Parity Debt then Outstanding.

The Trustee may resign and thereby become discharged by notice in writing given to the City, and mailed, postage prepaid, at the Trustee's expense, to each Owner, not less than 60 days before such resignation is to take effect, but such resignation will take effect immediately upon the appointment of a new Trustee if such new Trustee is appointed before the time limited by such notice and accepts the trusts under the Trust Agreement.

The Trustee may be removed at any time by an instrument or concurrent instruments in writing, (i) executed by the Owners and Holders of not less than a majority in aggregate principal amount of Bonds and Parity Debt then Outstanding and filed with the City, or (ii) so long as no Event of Default will have occurred and be continuing, an order adopted or an instrument executed by the City, not less than sixty (60) days before such removal is to take effect as stated in said instrument or instruments.

The Trustee may also be removed at any time for acting or proceeding in violation of, or for failing to act or proceed in accordance with, any provisions of this Trust Agreement with respect to the duties and obligations of the Trustee by any court of competent jurisdiction upon the application of the City or the Owners and Holders of not less than twenty-five percent (25%) in aggregate principal amount of Bonds and Parity Debt then Outstanding.

Supplemental Trust Agreements

The City and the Trustee may, from time to time and at any time, execute and deliver supplemental trust agreements (which supplemental trust agreements will thereafter form a part of the Trust Agreement) as will be substantially consistent with the terms and provisions of the Trust Agreement and, in the opinion of the Trustee, who may rely upon a written opinion of legal counsel, will not materially and adversely affect the interest of the Owners and Holders:

(a) to cure any ambiguity or formal defect or omission, to correct or supplement any provision in the Trust Agreement that may be inconsistent with any other provision, to make any other

provisions with respect to matters or questions arising under the Trust Agreement, or to modify, alter, amend, add to or rescind, in any particular, any of the terms or provisions contained in the Trust Agreement, or

(b) to grant or to confer upon the Trustee, for the benefit of the Owners or Holders, any additional rights, remedies, powers, authority or security that may lawfully be granted to or conferred upon the Owners, the Holders or the Trustee, or

(c) to add to the provisions of the Trust Agreement other conditions, limitations and restrictions thereafter to be observed, or

(d) to add to the covenants and agreements of the City in the Trust Agreement other covenants and agreements thereafter to be observed by the City or to surrender any right or power in the Trust Agreement reserved to or conferred upon the City, or

(e) to permit the qualification of the Trust Agreement under any federal statute now or hereafter in effect or under any state Blue Sky law, and, in connection therewith, if the City so determines, to add to the Trust Agreement or any supplemental trust agreement such other terms, conditions and provisions as may be permitted or required by such federal statute or Blue Sky law, or

(f) to provide for the issuance of Bonds in bearer form, or

(g) to provide for the issuance of Bonds under a book-entry system.

The Owners and Holders of not less than a majority in aggregate principal amount of the Bonds and Parity Debt then Outstanding that will be affected by a proposed supplemental trust agreement will have the right, from time to time, anything contained in the Trust Agreement to the contrary notwithstanding, to consent to and approve the execution and delivery of such supplemental trust agreements as are deemed necessary or desirable by the City for the purpose of modifying, altering, amending, adding to or rescinding, in any particular, any of the terms or provisions contained in the Trust Agreement or in any supplemental trust agreement; provided, however, that nothing will permit, or be construed as permitting (a) an extension of the maturity of the principal of or the interest on any Bond or Parity Debt without the consent of the Owner of such Bond or the Holder of such Parity Debt, (b) a reduction in the principal amount of any Bond or Parity Debt or the redemption premium or the rate of interest thereon without the consent of the Owner of such Bond or the Holder of such Parity Debt, (c) the creation of a lien upon or a pledge of Net Receipts other than the lien and pledge created by the Trust Agreement without the consent of the Owners and Holders of all Bonds and Parity Debt Outstanding, (d) a preference or priority of any Bond or Parity Debt over any other Bond or Parity Debt without the consent of the Owners and Holders of all Bonds and Parity Debt Outstanding or (e) a reduction in the aggregate principal amount of Bonds and Parity Debt required for consent to such supplemental trust agreement.

If at any time the City and the Trustee determine that it is necessary or desirable to execute and deliver any supplemental trust agreement for any of the purposes described in the preceding paragraph, the Trustee will cause notice of the proposed supplemental trust agreement to be mailed, postage prepaid, to all Owners at their addresses as they appear on the registration books and to all Holders in accordance with the related Parity Debt Resolution. Such notice will briefly set forth the nature of the proposed supplemental trust agreement and will state that copies thereof are on file at the principal corporate trust office of the Trustee for inspection by all Owners and Holders. The Trustee will not, however, be subject to any liability to any Owner or Holder by reason of its failure to cause the notice required by this paragraph to be mailed, and any such failure to cause the notice required by this paragraph to be mailed

and any such failure will not affect the validity of such supplemental trust agreement when consented to and approved as provided in this paragraph.

Whenever, at any time within three years after the date of the mailing of such notice, the City delivers to the Trustee an instrument or instruments in writing purporting to be executed by the Owners or Holders of not less than a majority in aggregate principal amount of Bonds and Parity Debt then Outstanding that are affected by a proposed supplemental trust agreement, which instrument or instruments will refer to the proposed supplemental trust agreement described in such notice and will specifically consent to and approve the execution and delivery thereof in substantially the form of the copy thereof referred to in such notice, thereupon, but not otherwise, the City and the Trustee may execute and deliver such supplemental trust agreement in substantially such form, without liability or responsibility to any Owner or Holder whether or not such Owner or Holder will have consented thereto.

Defeasance

When:

(a) the Bonds and any Parity Debt will have become due and payable in accordance with their terms or otherwise as provided in the Trust Agreement, and the whole amount of the principal and the interest and premium, if any, so due and payable upon all Bonds and Parity Debt will be paid, or

(b) if the Bonds and any Parity Debt will not have become due and payable in accordance with their terms, the Trustee or the Bond Registrar will hold, sufficient (i) money or (ii) Defeasance Obligations or a combination of (i) and (ii), the principal of and the interest on which, when due and payable, will provide sufficient money to pay the principal of, and the interest and redemption premium, if any, on all Bonds and Parity Debt then Outstanding to the maturity date or dates of such Bonds and Parity Debt or to the date or dates specified for the redemption thereof, as verified by a nationally recognized independent certified public accountant, and, if Bonds or any Parity Debt are to be called for redemption, irrevocable instructions to call the Bonds or Parity Debt for redemption will have been given by the City to the Trustee, and sufficient funds will also have been provided or provision made for paying all other obligations payable under the Trust Agreement by the City,

then and in that case the right, title and interest of the Trustee in the funds, accounts and subaccounts under the Trust Agreement will thereupon cease, determine and become void and the Trustee will release the Trust Agreement. In the event Defeasance Obligations will be deposited with and held by the Trustee or the Bond Registrar, (i) within 30 days after such Defeasance Obligations will have been deposited with it, the Trustee will cause a notice signed by the Trustee to be mailed, postage prepaid, to all Owners and to all Holders of Parity Debt, setting forth (a) the date or dates, if any, designated for the redemption of the Bonds and any Parity Debt, (b) a description of the Defeasance Obligations so held by it, and (c) that the Trust Agreement has been released, and (ii) (a) the Trustee will nevertheless retain such rights, powers and privileges under the Trust Agreement as may be necessary and convenient in respect of the Bonds and any Parity Debt for the payment of the principal, interest and any premium for which such Defeasance Obligations have been deposited and (b) the Bond Registrar will retain such rights, powers and privileges under the Trust Agreement as may be necessary and convenient for the registration, transfer and exchange of Bonds; provided, however, that failure to mail such notice to any Owner or to the Owners, or to any such Holder or to such Holders, or any defect in such notice so mailed will not affect the validity of the proceedings for the release of the Trust Agreement.

All money and Defeasance Obligations held by the Trustee (or the Bond Registrar) pursuant to this Section will be held in trust and applied to the payment, when due, of the obligations payable therewith.

SUMMARY OF THE TWENTY-FIRST SUPPLEMENTAL TRUST AGREEMENT

Establishment of Subaccounts

The following subaccounts are established by the Twenty-First Supplemental Trust Agreement:

(a) Series 2017 Subaccount of the Interest Account;

(b) Series 2017 Subaccount of the Principal Account;

(c) Series 2017 Subaccount of the Sinking Fund Account;

(d) Series 2017 Subaccount of the Redemption Account; and

(e) Series 2017 Subaccount of the Additional Projects Account.

The subaccounts mentioned above will be established with and held by the Trustee pursuant to the Trust Agreement and the Twenty-First Supplemental Trust Agreement. The Series 2017 Bonds are not secured by a Parity Reserve Account or any Special Reserve Account.

Application of Net Receipts

On or before the dates set forth below, the City will, subject to the provisions of the Trust Agreement, deposit, or cause to be deposited, from Net Receipts held in the Revenue Account, with the Trustee the following amounts, and the Trustee will apply such amounts to the various account and subaccounts specified in the Twenty-First Supplemental Trust Agreement in the following order:

(a) into the Series 2017 Subaccount of the Interest Account, on or before the Business Day immediately preceding each Interest Payment Date, an amount equal to the interest payable on the Series 2017 Bonds on such Interest Payment Date;

(b) into the Series 2017 Subaccount of the Principal Account, on or before the Business Day immediately preceding each June 1, an amount equal to the principal of all Series 2017A Bonds constituting Series 2017A Serial Bonds due on such June 1;

(c) into the Series 2017 Subaccount of the Principal Account, on or before the Business Day immediately preceding each December 1, an amount equal to the principal of all Series 2017B Bonds constituting Series 2017B Serial Bonds due on such December 1; and

(d) into the Series 2017 Subaccount of the Sinking Fund Account, on or before the Business Day immediately preceding each June 1, the amount required to retire the Series 2017A Bonds constituting Series 2017A Term Bonds to be called by mandatory redemption or to be paid at maturity on such June 1 in accordance with the Sinking Fund Requirement therefor.

In addition, the Trustee will deposit to the Series 2017 Subaccount of the Redemption Account all amounts as will be delivered to the Trustee by the City from time to time with instructions that such amounts be so deposited.

Application of Money in the Series 2017 Subaccount of the Additional Projects Account

Money deposited in the Series 2017 Subaccount of the Additional Projects Account in accordance with the Twenty-First Supplemental Trust Agreement shall be applied to pay the costs of the Series 2017

Project and the fees and expenses incurred in connection with the sale and issuance of the Series 2017 Bonds, all in accordance with the Twenty-First Supplemental Trust Agreement

Investment of Money

Money held for the credit of the subaccounts established under the Twenty-First Supplemental Trust Agreement will be continuously invested and reinvested by the Trustee in Investment Obligations to the extent practicable. Any such Investment Obligations must mature not later than the respective dates when the money held for the credit of such account or subaccounts will be required for the purposes intended. No Investment Obligations in any such account or subaccount may mature beyond the latest maturity date of any Series 2017 Bonds Outstanding at the time such Investment Obligations are deposited.

Investment Obligations acquired with money in or credited to any account or subaccount established under the Twenty-First Supplemental Trust Agreement will be deemed at all times to be part of such account or subaccount. Any loss realized upon the disposition or maturity of such Investment Obligations will be charged against such account or subaccount. The interest accruing on any such Investment Obligations and any profit realized upon the disposition or maturity of such Investment Obligations will be credited to such account or subaccounts as follows:

Subaccount	Credited to
Series 2017 Subaccount of the Additional Projects Account	Series 2017 Subaccount of the Additional Projects Account
All other subaccounts	Such subaccounts, respectively

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APPENDIX E

THE NORTH CAROLINA LOCAL GOVERNMENT COMMISSION

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THE NORTH CAROLINA LOCAL GOVERNMENT COMMISSION

The Local Government Commission (the "*Commission*") is composed of nine members: the State Treasurer, the Secretary of State, the State Auditor, the Secretary of Revenue and five others by appointment (three by the Governor, one by the General Assembly upon recommendation of the President Pro Tempore of the Senate and one by the General Assembly upon recommendation of the Speaker of the House of Representatives). The State Treasurer serves as Chairman and selects the Secretary of the Commission, who heads the administrative staff serving the Commission.

A major function of the Commission is the approval, sale and delivery of substantially all North Carolina local government bonds and notes. A second key function is monitoring certain fiscal and accounting standards prescribed for units of local government by The Local Government Budget and Fiscal Control Act. In addition, the Commission furnishes, upon request, on-site assistance to units of local government concerning existing financial and accounting systems as well as aid in establishing new systeMs. Further, educational programs and materials are provided for local officials concerning finance and cash management.

Before any unit of local government can incur bonded indebtedness, the proposed bond issue must be approved by the Commission. In determining whether to give such approval the Commission may consider, among other things, the unit's debt management procedures and policies, its compliance with The Local Government Budget and Fiscal Control Act and its ability to service the proposed debt. All general obligation issues are customarily sold on the basis of formal sealed bids submitted at the Commission's offices in Raleigh and are subsequently delivered to the successful bidder by the Commission. The Commission maintains records for all units of local government of principal and interest payments coming due on bonded indebtedness in the current and future years and monitors the payment by the units of local government of debt service through a system of monthly reports.

As a part of its role in assisting and monitoring the fiscal programs of units of local government, the Commission attempts to ensure that the units of local government follow generally accepted accounting principles, systems and practices. The Commission's staff also counsels the units of local government in treasury and cash management, budget preparation and investment policies and procedures. Educational programs, in the form of seminars or classes, are also provided by the Commission in order to accomplish these tasks. The monitoring of the financial systems of units of local government is accomplished through the examination and analysis of the annual audited financial statements and other required reports. The Local Government Budget and Fiscal Control Act requires each unit of local government to have its accounts audited annually by a certified public accountant or by an accountant certified by the Commission as qualified to audit local government accounts. A written contract must be submitted to the Secretary of the Commission for his approval prior to the commencement of the audit.

The Commission has the statutory authority to impound the books and records of any unit of local government and assume full control of all its financial affairs (a) when the unit defaults on any debt service payment or, in the opinion of the Commission, will default on a future debt service payment if the financial policies and practices of the unit are not improved or (b) when the unit persists, after notice and warning from the Commission, in willfully or negligently failing or refusing to comply with the provisions of The Local Government Finance Act. When the Commission takes action under this authority, the Commission is vested with all of the powers of the governing board of the unit of local government as to the levy of taxes, expenditure of money, adoption of budgets and all other financial powers conferred upon such governing board by law.

In addition, if a unit of local government fails to pay any installment of principal or interest on its outstanding debt on or before its due date and remains in default for 90 days, the Commission may take such action as it deems advisable to investigate the unit's fiscal affairs, consult with its governing board and negotiate with its creditors in order to assist the unit in working out a plan for refinancing, adjusting or compromising such debt. When a plan is developed that the Commission finds to be fair and equitable and reasonably within the ability of the unit of local government to meet, the Commission will enter an order finding that the plan is fair, equitable and within the ability of the unit to meet and will advise the unit to take the necessary steps to implement such plan. If the governing board of the unit declines or refuses to do so within 90 days after receiving the Commission's advice, the Commission may enter an order directing the unit to implement such plan and may apply for a court order to enforce such order. When a refinancing plan has been put into effect, the Commission has the authority (a) to require any periodic financial reports on the unit's financial affairs that the Secretary deems necessary and (b) to approve reject the unit's annual budget ordinance. The governing board of the unit of local government must also obtain the approval of the Secretary of the Commission before adopting any annual budget ordinance. The power and authority granted to the Commission as described in this paragraph will continue with respect to a defaulting unit of local government until the Commission is satisfied that the unit has performed or will perform the duties required of it in the refinancing plan and until agreements made with the unit's creditors have been performed in accordance with such plan.

APPENDIX F

PROPOSED FORMS OF OPINIONS OF CO-BOND COUNSEL

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APPENDIX F

[Proposed Form of Opinion of Womble Carlyle Sandridge & Rice, LLP]

August __, 2017

City Council of the
City of Greensboro, North Carolina

We have examined, as co-bond counsel to the City of Greensboro, North Carolina (the "City"), (a) the Constitution and laws of the State of North Carolina, including The State and Local Government Revenue Bond Act, as amended (the "Act"), (b) a certified copy of the proceedings of the City Council of the City showing the adoption of an order authorizing the issuance by the City of its $64,700,000 Combined Enterprise System Revenue Bonds, Series 2017A, dated the date hereof (the "Series 2017A Bonds") and $25,990,000 Combined Enterprise System Revenue Refunding Bonds, Series 2017B, dated the date hereof (the "Series 2017B Bonds" and, together with the Series 2017A Bonds, the "Series 2017 Bonds") , and (c) other proofs submitted relative to the sale and issuance of the Series 2017 Bonds. The Series 2017 Bonds are being issued under and pursuant to a Trust Agreement, dated as of June 1, 1995 (as amended, the "Trust Agreement"), between the City and Branch Banking and Trust Company (succeeded by U.S. Bank National Association), as trustee (the "Trustee"), and a Twenty-First Supplemental Trust Agreement, dated as of August 1, 2017 (the "Twenty-First Supplemental Trust Agreement"), between the City and the Trustee. Capitalized terms used herein and not otherwise defined have the meanings given such terms in the Trust Agreement and the Twenty-First Supplemental Trust Agreement.

The Series 2017 Bonds bear interest from their date and mature, subject to redemption prior to their stated maturities, as provided in the Twenty-First Supplemental Trust Agreement.

The Series 2017A Bonds are being issued to provide funds, together with any other available funds, to (a) redeem in whole the outstanding Series 2016 Note, (b) pay the costs of the Series 2017 Project and (c) pay the fees and expenses incurred in connection with the sale and issuance of the Series 2017A Bonds. The Series 2017B Bonds are being issued to provide funds, together with any other available funds, to (a) advance refund a portion of the outstanding Series 2009A Bonds and (b) pay the fees and expenses incurred in connection with the sale and issuance of the Series 2017B Bonds.

Pursuant to the Trust Agreement, the City has heretofore issued Bonds and incurred Parity Debt. The Trust Agreement provides for the issuance, under the conditions, limitations and restrictions therein set forth, of additional Bonds and permits the incurrence of Parity Debt, both on a parity as to the pledge of Net Receipts with the outstanding Bonds and Parity Debt. The City, in its discretion, may secure any Bonds and Parity Debt by the Parity Reserve Account or by a Special Reserve Account under the conditions set forth in the Trust Agreement. The Series 2017 Bonds are not secured by the Parity Reserve Account or any Special Reserve Account. The Trust Agreement also permits the incurrence of Subordinated Indebtedness under the conditions, restrictions and limitations set forth therein.

As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials and others furnished to us without undertaking to verify the same by independent investigation.

Based on such examination, we are of the opinion, as of the date hereof and under existing law, that:

1. The Series 2017 Bonds have been duly authorized, executed and delivered.

2. The Trust Agreement and the Twenty-First Supplemental Trust Agreement have been duly authorized, executed and delivered by the City and, assuming due authorization, execution and delivery by the Trustee, are valid and binding agreements enforceable against the City in accordance with their respective terms.

3. The Series 2017 Bonds, together with the outstanding Bonds and any additional Bonds hereafter issued by the City under the Trust Agreement and any Parity Debt heretofore or hereafter incurred by the City, are, to the extent provided in the Trust Agreement, secured by a pledge, charge and lien upon the Net Receipts.

4. The Series 2017 Bonds are valid and binding special obligations of the City secured by a pledge, charge and lien upon, and the principal of, and the premium, if any, and interest on which are payable from, the funds and the income from the investment thereof in the respective subaccounts of the Bond Fund.

5. The City is not obligated to pay the principal of or interest on the Series 2017 Bonds except as provided in the Trust Agreement and the Twenty-First Supplemental Trust Agreement. The principal of and interest on the Series 2017 Bonds are not payable from the general funds of the City, nor do the Series 2017 Bonds constitute a legal or equitable pledge, charge, lien or encumbrance upon the income, receipts or revenues of the City except for the Net Receipts and the amounts referenced in paragraph 4 above, in each case to the extent provided in the Trust Agreement. Neither the faith and credit nor the taxing power of the City is pledged to the payment of the principal of or interest on the Series 2017 Bonds, and no holder of the Series 2017 Bonds has the right to compel the exercise of the taxing power by the City, or the forfeiture of its property other than the Net Receipts, in connection with any default with respect to the Series 2017 Bonds.

6. Assuming continuing compliance by the City with certain covenants to comply with the requirements of the Internal Revenue Code of 1986, as amended (the "Code"), regarding, among other matters, use, expenditure and investment of the proceeds of the Series 2017 Bonds, and the timely payment of certain investment earnings to the United States Treasury, interest on the Series 2017 Bonds is not includable in the gross income of the owners thereof for purposes of federal income taxation and is not a specific preference item for purposes of the alternative minimum tax imposed by the Code on corporations and other taxpayers, including individuals; however, such interest is includable in determining adjusted current earnings of corporations for purposes of computing the alternative minimum tax imposed by the Code on corporations.

7. Interest on the Series 2017 Bonds is exempt from all State of North Carolina income taxes.

The Code and other laws of taxation, including the laws of taxation of the State of North Carolina, of other states and of local jurisdictions, may contain other provisions that could result in tax consequences, upon which we render no opinion, as a result of the ownership or disposition of the Series 2017 Bonds, the inclusion in certain computations of interest that is excluded from gross income for purposes of federal and North Carolina income taxation or the accrual or receipt of interest (or deemed interest) on the Series 2017 Bonds.

The rights of the owners of the Series 2017 Bonds and the enforceability thereof and of the Trust Agreement and the Twenty-First Supplemental Trust Agreement may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore and hereafter enacted to the extent constitutionally applicable, and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases.

We express no opinion herein as to the accuracy, adequacy or completeness of the Official Statement relating to the Series 2017 Bonds.

This opinion is given as of the date hereof, and we assume no obligation to update, revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

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[Proposed Form of Opinion of McKenzie & Associates]

August __, 2017

City Council of the
City of Greensboro, North Carolina

We have examined, as co-bond counsel to the City of Greensboro, North Carolina (the "City"), (a) the Constitution and laws of the State of North Carolina, including The State and Local Government Revenue Bond Act, as amended (the "Act"), (b) a certified copy of the proceedings of the City Council of the City showing the adoption of an order authorizing the issuance by the City of its $64,700,000 Combined Enterprise System Revenue Bonds, Series 2017A, dated the date hereof (the "Series 2017A Bonds") and $25,990,000 Combined Enterprise System Revenue Refunding Bonds, Series 2017B, dated the date hereof (the "Series 2017B Bonds" and, together with the Series 2017A Bonds, the "Series 2017 Bonds") , and (c) other proofs submitted relative to the sale and issuance of the Series 2017 Bonds. The Series 2017 Bonds are being issued under and pursuant to a Trust Agreement, dated as of June 1, 1995 (as amended, the "Trust Agreement"), between the City and Branch Banking and Trust Company (succeeded by U.S. Bank National Association), as trustee (the "Trustee"), and a Twenty-First Supplemental Trust Agreement, dated as of August 1, 2017 (the "Twenty-First Supplemental Trust Agreement"), between the City and the Trustee. Capitalized terms used herein and not otherwise defined have the meanings given such terms in the Trust Agreement and the Twenty-First Supplemental Trust Agreement.

The Series 2017 Bonds bear interest from their date and mature, subject to redemption prior to their stated maturities, as provided in the Twenty-First Supplemental Trust Agreement.

The Series 2017A Bonds are being issued to provide funds, together with any other available funds, to (a) redeem in whole the outstanding Series 2016 Note, (b) pay the costs of the Series 2017 Project and (c) pay the fees and expenses incurred in connection with the sale and issuance of the Series 2017A Bonds. The Series 2017B Bonds are being issued to provide funds, together with any other available funds, to (a) advance refund a portion of the outstanding Series 2009A Bonds and (b) pay the fees and expenses incurred in connection with the sale and issuance of the Series 2017B Bonds.

Pursuant to the Trust Agreement, the City has heretofore issued Bonds and incurred Parity Debt. The Trust Agreement provides for the issuance, under the conditions, limitations and restrictions therein set forth, of additional Bonds and permits the incurrence of Parity Debt, both on a parity as to the pledge of Net Receipts with the outstanding Bonds and Parity Debt. The City, in its discretion, may secure any Bonds and Parity Debt by the Parity Reserve Account or by a Special Reserve Account under the conditions set forth in the Trust Agreement. The Series 2017 Bonds are not secured by the Parity Reserve Account or any Special Reserve Account. The Trust Agreement also permits the incurrence of Subordinated Indebtedness under the conditions, restrictions and limitations set forth therein.

As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials and others furnished to us without undertaking to verify the same by independent investigation.

Based on such examination, we are of the opinion, as of the date hereof and under existing law, that:

1. The Series 2017 Bonds have been duly authorized, executed and delivered.

2. The Trust Agreement and the Twenty-First Supplemental Trust Agreement have been duly authorized, executed and delivered by the City and, assuming due authorization, execution and delivery by the Trustee, are valid and binding agreements enforceable against the City in accordance with their respective terms.

3. The Series 2017 Bonds, together with the outstanding Bonds and any additional Bonds hereafter issued by the City under the Trust Agreement and any Parity Debt heretofore or hereafter incurred by the City, are, to the extent provided in the Trust Agreement, secured by a pledge, charge and lien upon the Net Receipts.

4. The Series 2017 Bonds are valid and binding special obligations of the City secured by a pledge, charge and lien upon, and the principal of, and the premium, if any, and interest on which are payable from, the funds and the income from the investment thereof in the respective subaccounts of the Bond Fund.

5. The City is not obligated to pay the principal of or interest on the Series 2017 Bonds except as provided in the Trust Agreement and the Twenty-First Supplemental Trust Agreement. The principal of and interest on the Series 2017 Bonds are not payable from the general funds of the City, nor do the Series 2017 Bonds constitute a legal or equitable pledge, charge, lien or encumbrance upon the income, receipts or revenues of the City except for the Net Receipts and the amounts referenced in paragraph 4 above, in each case to the extent provided in the Trust Agreement. Neither the faith and credit nor the taxing power of the City is pledged to the payment of the principal of or interest on the Series 2017 Bonds, and no holder of the Series 2017 Bonds has the right to compel the exercise of the taxing power by the City, or the forfeiture of its property other than the Net Receipts, in connection with any default with respect to the Series 2017 Bonds.

The rights of the owners of the Series 2017 Bonds and the enforceability thereof and of the Trust Agreement and the Twenty-First Supplemental Trust Agreement may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore and hereafter enacted to the extent constitutionally applicable, and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases.

We express no opinion herein as to the accuracy, adequacy or completeness of the Official Statement relating to the Series 2017 Bonds.

This opinion is given as of the date hereof, and we assume no obligation to update, revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

APPENDIX G

DTC'S BOOK-ENTRY-ONLY SYSTEM

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DTC'S BOOK-ENTRY-ONLY SYSTEM

The Depository Trust Company ("*DTC*"), New York, New York, will act as securities depository for the Series 2017 Bonds. The Series 2017 Bonds will be delivered as fully-registered certificates registered in the name of Cede & Co., DTC's partnership nominee, or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate for each maturity of each series of the Series 2017 Bonds will be registered in the name of Cede & Co., as nominee for DTC, each in the aggregate principal amount of such maturity and will be deposited with DTC. SO LONG AS CEDE & CO. IS THE REGISTERED OWNER OF THE SERIES 2017 BONDS, AS DTC'S PARTNERSHIP NOMINEE, REFERENCES HEREIN TO THE OWNERS OR REGISTERED OWNERS OF THE SERIES 2017 BONDS SHALL MEAN CEDE & CO. AND SHALL NOT MEAN THE BENEFICIAL OWNERS OF THE SERIES 2017 BONDS.

DTC is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("*Direct Participants*") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("*DTCC*"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("*Indirect Participants*"). DTC is rated "AA+" by Standard & Poor's. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org; nothing contained in such websites is incorporated into this Official Statement.

Purchases of Series 2017 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2017 Bonds on DTC's records. The ownership interest of each actual purchaser of Series 2017 Bonds ("*Beneficial Owner*") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchases. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participants through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2017 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive physical certificates representing their ownership interests in the Series 2017 Bonds, except in the event that use of the book-entry system for the Series 2017 Bonds is discontinued.

To facilitate subsequent transfers, all Series 2017 Bonds deposited by Direct Participants with the Trustee, as custodian for DTC, are registered in the name of DTC's partnership nominee, Cede & Co, or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2017 Bonds with the Trustee, as custodian for DTC, and their registration in the name of Cede & Co. or such

other nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual identities of the Beneficial Owners of the Series 2017 Bonds; DTC's records reflect only the identities of the Direct Participants to whose accounts the Series 2017 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants are responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants and by Direct and Indirect Participants to Beneficial Owners of the Series 2017 Bonds will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of the Series 2017 Bonds may wish to take certain steps to augment transmission to them of notices of significant events with respect to the Series 2017 Bonds, such as redemption, tenders, defaults and proposed amendments to the documents authorizing and securing the Series 2017 Bonds. For example, Beneficial Owners of the Series 2017 Bonds may wish to ascertain that the nominee holding the Series 2017 Bonds for their benefit has agreed to obtain and transmit notices to the Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the Trustee and request that copies of notices be sent directly to them.

Redemption notices shall be sent to DTC. If less than all of the Series 2017 Bonds are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such Series 2017 Bonds to be redeemed.

Neither DTC nor Cede & Co. (nor such other DTC nominee) will consent or vote with respect to the Series 2017 Bonds unless authorized by a Direct Participant in accordance with DTC's procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2017 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Principal and interest payments on the Series 2017 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City on each payable date in accordance with their respective holdings shown on DTC's records. Payments by Direct and Indirect Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Direct and Indirect Participants and not of DTC (nor its nominee), the City, the Trustee or the Bond Registrar, subject to any statutory or regulatory requirements as may be in effect front time to time. Payments of principal and interest to DTC is the responsibility of the Bond Registrar, disbursement of such payments to Direct Participants shall be the responsibility of DTC and disbursements of such payments to the Beneficial Owners shall be the responsibility of the Direct and Indirect Participants.

DTC may discontinue providing its service as securities depository with respect to the Series 2017 Bonds at any time by giving reasonable notice to the City and the Trustee. Under such circumstances, or in the event that a successor depository is not obtained, Series 2017 Bonds will be printed and delivered. The City may decide to discontinue participation in the system of book-entry transfer through DTC (or a successor securities depository). In that event, Series 2017 Bonds will be printed and delivered to DTC.

The information in this Appendix concerning DTC and DTC's book-entry system has been obtained from DTC, and the City takes no responsibility for the accuracy thereof.

The City, the Trustee and the Bond Registrar cannot and do not give any assurances that DTC, Direct Participants or Indirect Participants will distribute to the Beneficial Owners of the Series 2017 Bonds (a) payments of principal of or and interest on the Series 2017 Bonds, (b) confirmations of their ownership interests in the Series 2017 Bonds or (c) redemption or other notices sent to DTC or Cede & Co, its partnership nominee, as the registered owner of the Series 2017 Bonds, or that they will do so on a timely basis, or that DTC, Direct Participants or Indirect Participants will serve and act in the manner described in this Official Statement.

NEITHER THE CITY, THE TRUSTEE NOR THE BOND REGISTRAR WILL HAVE ANY RESPONSIBILITY OR OBLIGATIONS TO DTC, THE DIRECT PARTICIPANTS, THE INDIRECT PARTICIPANTS OR THE BENEFICIAL OWNERS ON (1) THE ACCURACY OF ANY RECORDS MAINTAINED BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT; (2) THE PAYMENT BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY AMOUNT DUE TO ANY BENEFICIAL OWNER IN RESPECT OF THE PRINCIPAL AMOUNT OF OR REDEMPTION PRICE OR INTEREST ON THE SERIES 2017 BONDS; (3) THE DELIVERY BY DTC OR ANY DIRECT PARTICIPANT OR INDIRECT PARTICIPANT OF ANY NOTICE TO ANY BENEFICIAL OWNER THAT IS REQUIRED OR PERMITTED TO BE GIVEN TO OWNERS OF THE SERIES 2017 BONDS UNDER THE TERMS OF THE TRUST AGREEMENT OR THE TWENTY-FIRST SUPPLEMENTAL TRUST AGREEMENT; AND (4) THE SELECTION OF THE BENEFICIAL OWNERS TO RECEIVE PAYMENT IN THE EVENT OF ANY PARTIAL REDEMPTION OF THE SERIES 2017 BONDS; OR (5) ANY CONSENT GIVEN OR OTHER ACTION TAKEN BY DTC AS OWNER.

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